Basel Committee on Banking Supervision

BANK FOR INTERNATIONAL SETTLEMENTS

Chairman

Restricted

Via e-mail

Mr Arnold Schilder
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Exposure Draft: Proposed International Standard on Auditing 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

Dear Arnold

The Basel Committee on Banking Supervision welcomes the opportunity to comment on the International Auditing and Assurance Standards Board's April 2017 Exposure Draft ("ED"), Proposed International Standard on Auditing 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*. The Committee supports high-quality external audits of banks, which enhances the effectiveness of prudential supervision, thereby contributing to financial stability.

The Committee's main interest in updating ISA 540 was to address the auditing challenges surrounding the new accounting standards on Expected Credit Losses ("ECL") promulgated by the IAASB and the Financial Accounting Standards Board. It has been acknowledged that the "complexity, variability, and materiality of the ECL provision, and the need for judgment regarding certain key data and assumptions, are likely to give rise to one or more significant audit risks".[1] Thus, the IAASB set out to consider how ISA 540 could be further enhanced to drive appropriate audit procedures, taking into consideration the processes and controls in place at the entity, and reinforcing the application of professional judgment and professional skepticism for complex estimates, such as ECL.

Accordingly, at the outset of the project to revise ISA 540, the Committee requested that the IAASB focus the revisions on issues for audits of financial institutions arising from the adoption of ECL frameworks. However, the ISA 540 ED instead addresses all estimates and maintains that the audit requirements and guidance in the ED are relevant for all accounting estimates, as this term is defined in paragraph 9(a). We would have preferred that the IAASB adopt the approach we suggested because that approach would have enabled the audit challenges for the audit of ECL

[1] Please see www.iaasb.org/system/files/meetings/files/20160125-IAASB-Agenda_Item_1A-Draft_Project_Publication-final.pdf.

frameworks to be fully addressed in sufficient detail. However, bearing in mind the decision the IAASB has taken as to its focus, we agree that the ED will improve the requirements and guidance for the audit of complex accounting estimates (in general) for all types and sizes of entities and we support it on those terms.

We appreciate the significant efforts made by the IAASB and its ISA 540 Task Force to revise the standard to better support a high-quality audit of accounting estimates that are subject to complexity, judgment or estimation uncertainty. We further support the improvements made to the standard for enhanced risk assessments, the application of professional skepticism, and the requirement for the auditor to "stand back" and evaluate the audit evidence obtained. These improvements in the proposed standard address auditing challenges for estimates in increasingly complex business environments (such as approaches to models and data, obtaining an understanding of regulatory factors and additional internal control considerations) and go a long way towards enhancing ISA 540.

Additionally, we recommend that the ISA 540 Flow Chart be included within the standard. This tool provides a strong and straightforward explanation of how the standard should be applied and clearly shows that, if an accounting estimate has complexity, management judgment or estimation uncertainty, the auditor must adhere to the Requirements of ISA 540.

Furthermore, we strongly encourage the IAASB to finalise the standard expeditiously, with early adoption permitted, as it is important that auditors are able to apply the standard in the year that banks adopt an ECL accounting framework.

As the primary global standard setter for the prudential regulation of banks, our focus is on the application of ISA 540 (Revised) to complex estimates in banks, including the audit of ECL estimates. Thus, the Committee's views, set out below, are on key aspects of the ED that could be further enhanced to address the auditing of complex estimates in banks.

Identifying and assessing the risks of material misstatement and evaluating identified misstatements

We believe that the revisions to ISA 540 (Revised) will result in a more consistent determination of a misstatement than is done today. That said, the Committee recommends additions that we see as helpful to the identification and assessment of misstatements and the use of an auditor's range to evaluate management's point estimate, with reference to paragraphs 13–20 and 23, and the Application Material in paragraphs A67–A134 and A142–A146.

In the Committee's view, misstatements identified during the course of the audit of an accounting estimate should be communicated to, and corrected by, management as soon as possible (sufficiently in advance of the closure of the audit process). This will help minimise the impact that a misstatement, if uncorrected, would have on the fair presentation of the financial statements. Timely communication of misstatements is especially important within banks, where correcting misstatements may involve modifying highly complex models (or model inputs) and updating significant management judgments.

The Committee further recommends that the final standard cross reference to ISA 450, *Evaluation of Misstatements Identified during the Audit*, paragraph A3, which contains application guidance on distinguishing misstatements for the purpose of the auditor's evaluation, including misstatements arising from differences in facts, judgments and projections. In addition, the Application Material in ISA 540 paragraphs A142–A146 should be enhanced by referencing ISA 450 paragraphs 10–13, and providing guidance on how to evaluate the effect of uncorrected misstatements on the financial statements when judgments are involved. Currently guidance is included only when projections are involved and the auditor is expected to develop a range of possible outcomes as a basis of comparison with management's range or point estimate. Additional guidance is needed because, in our view, it will often not be possible for auditors to develop an independent range as a basis of comparison for complex estimates, such as ECL.

Lastly, the Committee views the Application Material in paragraphs A142–A146 as fundamental to the final standard, and recommends that the IAASB move this guidance to the level of Requirements.

Our additional recommendations pertain to identifying and assessing the risks of material misstatements, as they relate to complexity, judgment and estimation uncertainty (including assessing complex models, forward-looking information, management's point estimate within a range, and third-party models/data), and the scope of ISA 540). These recommendations are set out in Annex 1.

Internal control

For banks, a robust internal control environment is critical to the strength of an entity's governance system, its ability to manage risk, and the fair presentation of its financial statements, including the related disclosures. Paragraph 10 in the ED contains a general reference to the Requirements for the auditor to obtain an understanding of internal control, including the components of internal control as they relate to making accounting estimates. Paragraphs 16 and 26 provide guidance on testing the operating effectiveness of the internal control framework, and reporting internal control deficiencies to those charged with governance ("TCWG") when the auditor intends to rely on internal control, respectively. We recommend that the references to ISA 315 in footnote 25 to paragraph 10 of the ED be expanded to include references to paragraphs 5–13 of ISA 315 (Revised), in addition to the current references to ISA 315, paragraphs 5–6 and 11. This will allow auditors to more completely identify the extent of the ISA 315 Requirements relevant to ISA 540, paragraph 10, with respect to risk assessment procedures and obtaining an understanding of the entity and its environment, including its internal control.

The Committee believes that obtaining an understanding of internal control is critical for the audit of most estimates. Although we generally support the content of paragraphs 10, 16 and 26, we note the absence from paragraph 16 of an explicit reference to the design effectiveness of controls relating to accounting estimates. Accordingly, we urge that the standard be revised to clearly state the auditor's responsibility to evaluate the design and operating effectiveness of internal control, as required by paragraph 13 of ISA 315 (Revised), for processes that make extensive use of information technology and have a large number of estimates that are highly judgmental, complex or subject to high estimation uncertainty like those associated with the ECL estimate. For such estimates, we recommend that the standard state that the performance of substantive procedures alone will not be sufficient, except in limited circumstances. In our view, those limited circumstances will not exist within banks. Furthermore, examples of matters the auditor should consider when obtaining an understanding of the internal control framework are needed in the final standard to reinforce how auditors can meet these requirements, including emphasising that obtaining an understanding solely through management inquiry is insufficient.

Professional skepticism and management bias

Professional skepticism plays a central role in the audit of accounting estimates and the Committee notes that the ED contains several provisions to appropriately reinforce the auditor's application of professional skepticism and consideration of the potential for management bias. The Committee supports these provisions, and recommends that additional language be included in the final standard to further emphasise the importance of auditors exercising professional skepticism throughout the entire audit process. For example, the final standard should state that, in responding to the assessed risks of material misstatement for accounting estimates that involve complexity, management judgment or estimation uncertainty, such as ECL, auditors should challenge management's assumptions and question management's evidence on an ongoing basis during the normal course of the audit and appropriately document this process in the auditor's workpapers.

The Committee agrees that, when accounting estimates are subject to a high degree of management judgment, the estimate is inherently more susceptible to management bias, particularly when this judgment involves greater subjectivity, as stated in paragraph A85. This statement should be further strengthened by including concrete examples of *how* auditors could demonstrate the application of professional skepticism in these instances. This would be particularly useful for estimates that require management to form a view of the future, which is inherently complex and subject to significant judgment. We understand that these recommendations may be further considered by the IAASB, the International Ethics Standards Board for Accountants and the International Accounting Education Standards Board's Professional Skepticism Working Group, but we believe that professional skepticism is critically important and should be addressed in the final ISA 540.

Audit of Disclosures

We agree with the position set out in the Explanatory Memorandum to the ED that "disclosures relating to accounting estimates are critical to users' understanding of the accounting policies applied, the nature and extent of estimation uncertainty, key judgments and other matters relating to accounting estimates and more so when estimation uncertainty is high" (paragraph 44). We consider it essential that the auditor's evaluation of management's disclosures as required by ISA 540 be thorough enough to ensure that the disclosures help users to understand the nature and magnitude of the uncertainty affecting the estimates, the degree of complexity and the types of judgment made.

Please refer to Annex 1 for our detailed comments on the above topics and other aspects of the ED. We have also provided, in Annex 2, the set of principles by which the Committee has been guided in evaluating the ED. These principles are derived from the Committee's March 2014 Guidance on *External Audits of Banks*.[2]

We hope you find our comments constructive and helpful. This letter and its Annexes have been prepared by the Committee's Accounting Experts Group,

[2] Available at: www.bis.org/publ/bcbs280.pdf.

chaired by Fernando Vargas Bahamonde, Associate Director General of the Bank of Spain. If you have any questions regarding these comments, please contact Mr Vargas (+34 913 38 61 04), Nic van der Ende, chair of the Committee's Audit Subgroup (+31 20 524 91 11), or Ruby Garg at the Basel Committee Secretariat (+41 61 280 8463).

Yours sincerely

Stefan Ingves

Annex 1 – Comments on specific aspects of the ISA 540 ED

1. Identifying and assessing the risks of material misstatement and evaluating identified misstatements

The ED establishes requirements for identifying and assessing the risks of material misstatement in relation to accounting estimates and the auditor's responses to these risks in paragraphs 13–20. This is supplemented by Application Material in paragraphs A67–A134. The ED then addresses the evaluation of whether accounting estimates and related disclosures are misstated in paragraph 23, including the related Application Material in paragraphs A142–A146. The following sets out our detailed comments on these referenced paragraphs.

1.1 Auditor assessment of complexity, judgment and estimation uncertainty

Auditors should have established approaches and procedures to assess the risks of material misstatement of estimates when complexity, estimation uncertainty and significant judgments exist. The ED includes many relevant examples of complex estimates and examples of when accounting estimates are likely to have complex models in paragraph A81. Paragraph A1 includes examples of situations where accounting estimates may be required.

Many of these estimates are material to banks, such as ECL, fair value of financial instruments, and goodwill impairment. The complexity of these estimates is high because of the use of forward-looking information, complex models and externally developed models or data, amongst other factors. This increases estimation uncertainty, which consequently increases the risks of material misstatement for these estimates. Furthermore, changes to assumptions, models and data originating from management could add to estimation uncertainty. Given the inherent challenges these particular areas bring for management (in developing the estimate) and auditors (in gathering sufficient appropriate audit evidence), ISA 540 would benefit from additional guidance.

1.2 Auditor assessment when model complexity exists

With respect to an auditor's responsibility to address the risks of material misstatement related to complex methods (or models), paragraph 17 requires auditors to verify whether the calculations are mathematically accurate and appropriately applied. The guidance should be further expanded beyond mathematical accuracy to sufficiently address the risks of material misstatement due to model complexity. For example, the Application Material after paragraph A106 should be further expanded to indicate that the auditor's approach to the testing of models could vary depending on the assessed risk of material misstatement. The approach could range from a simple model review for accounting estimates with low inherent risk, to auditing the performance of the model or independently developing an estimate based on the auditors' own assumptions and/or model (when, in the auditor's judgment, it is necessary and possible) for estimates where inherent risk is not low. Nevertheless, we would emphasise that given the nature of complex internal models within banks, it could prove to be very difficult for an auditor to independently develop their own model for ECL estimates. In that situation, the auditor should put emphasis on assessing the appropriateness of internal processes, including assumptions, controls and the reasonableness of management's ranges and point estimates, as well as the model's theoretical soundness and mathematical integrity.

In addition, the Application Material should be expanded to include criteria for auditors in their consideration of the appropriate use of a particular approach. For example:

- A simple model review could be appropriate to address accounting estimates with an assessed risk of material misstatement that is low, based on low inherent risk. This

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could include a review of model documentation and methodology, management's governance processes and the internal control environment.

- Auditing the performance of the model may be appropriate to address accounting estimates for which the assessed risk of material misstatement is not low. This could include reviewing management's significant assumptions (considering the appropriateness of the data used and testing its integrity), reviewing the model's theoretical soundness and mathematical integrity, re-running the model to develop an expected outcome and back-testing procedures.

1.3 Auditor assessment of management's use of forward-looking information

The modelling of many accounting estimates requires management to consider forward-looking information and scenarios. Auditing forward-looking information is arguably one of the more challenging aspects of an audit and the ED provides little guidance in this area. We strongly recommend that additional audit guidance be developed for this complex area. We believe this would be helpful, not only for complex estimates in banks, but also for many of the estimates that are within the scope of ISA 540, including those identified in paragraph A1 of the ED. With reference to banks, this guidance would be relevant to the auditor's assessment of ECL accounting estimates, where there is high subjectivity, for example in management's choice of scenarios (which incorporate forward-looking information) and the related probability weights selected.

1.4 Auditor assessment of management's point estimate within a range

Where estimation uncertainty exists, management may develop a range within which an accounting estimate may reasonably fall. Paragraph A123 provides helpful guidance on matters auditors should consider in assessing the reasonableness of management's point estimate, which include evaluating (1) the appropriateness of management's selection between alternative methods and sources of data; (2) that management's assumptions are selected from a range of reasonably possible amounts; and (3) that management's point estimate is appropriately representative of the range of reasonably possible measurement outcomes.

We recommend that the standard be expanded to provide guidance on the auditor's responsibility for evaluating the point in the range chosen by management. Specifically, paragraph 19(b) (and its related Application Material) should be expanded to include an auditor's assessment of where management's point estimate falls within the range, whether there is a tendency to choose a point at either end of the range (eg the low end) and the determination of the appropriateness of management's choices within the accounting framework. While we understand that some financial reporting frameworks call for neutrality and do not specify whether any one point in the range is preferable to another, this additional guidance would be helpful for the auditor's evaluation of indicators of potential management bias in paragraph 22(a). As it relates to the auditor's overall evaluation of audit procedures performed that is required in paragraphs 22–23, which the Explanatory Memorandum refers to as the "stand-back" test, it would be particularly helpful to include the auditor's evaluation of the point in the range chosen by management, including the auditor's evaluation of whether there is a pattern of management selecting similar points within ranges for material estimates in the financial statements.

We also question whether the last sentence in paragraph A145 is the most appropriate: "when the audit evidence supports a range that does not encompass management's point estimate, the misstatement is the difference between management's point estimate and the nearest point of the auditor's range". If the auditor were to develop an independent estimate (which may not always be possible), we believe that the misstatement is more appropriately determined using the auditor's point estimate or best estimate within the range, and comparing this with management's point estimate.

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As well, in relation to paragraph A114, we believe that, in cases where management has not reasonably considered alternative methods, sources of data and assumptions, auditors should be required to consider the need to obtain written representations from management on the reasonableness of its chosen methods, data sources and assumptions. Mere discussions with management (as stated in paragraph A114) by way of gathering audit evidence in our view would not be sufficient to address the risks of material misstatement. We view this suggestion to obtain written representation from management as consistent with the spirit of paragraph 25. However, paragraph 25 and paragraph A153 in the Application Material could be expanded as indicated below in our discussion on internal control.

1.5 Auditor assessment of third-party models or data

Data inputs are significant to many accounting estimates, making their relevance, accuracy and overall integrity critically important. For some estimates, banks, like other entities, may rely on externally sourced third-party models or data. With the inherent challenges of auditing externally sourced models or data and given the significant impact that models or data could have on an estimate's outcome, auditors should design and perform audit procedures responsive to risks around third-party systems and processes. In our view, auditors' responsibilities extend beyond in-house data and models to externally provided models or data. We support the consequential amendments that will be made to ISA 500, *Audit Evidence,* in paragraphs A33A-A33H. We believe that ISA 540 should include a stronger reference to the relevant paragraphs in ISA 500, because the link between ISA 540 (Revised) and the current guidance in ISA 500 could otherwise be missed. A few examples could include:

- When external data sources are used, auditors should assess whether data and assumptions obtained from the external sources are reliable, relevant, complete and accurate.
- When a third-party model is used, auditors should assess the model methodology (including theoretical soundness and mathematical integrity), the appropriateness of model inputs (eg data and assumptions), and validation procedures and controls over the model.

1.6 Scope and assessment of risk

We support the inclusion in paragraph A73 of examples where "the risks of material misstatement may be influenced by inherent risk that is not low", and in particular that this should be the case for "accounting estimates…..such as an expected credit loss model in a financial institution that is active in different markets". Paragraph A81 also recognises that ECL estimates are likely to be based on complex models. We note that the application of the ECL approach involves (i) a high level of complexity; (ii) the exercise of significant judgment; and (iii) high estimation uncertainty. For these reasons, we agree that the ECL assessments by banks should normally remain within the scope of ISA 540, notably because the inherent risk cannot normally be assessed as low for a bank. We make the following additional recommendations to ensure that the standard adequately emphasises the complexity of auditing ECL estimates:

(a) Amend paragraph 13 to include the element of paragraph A73 mentioned above, except that the reference to banks using an ECL approach should not be limited to those banks active in different markets, and rather should extend to all banks. In addition, we strongly believe that the inherent risks related to ECL for banks should systematically be considered not low as a rebuttable presumption.

(b) Include the contents of paragraph A78 within the Requirements of paragraph 13, to require auditors to consider the factors listed in paragraph A78 when assessing the risks of material misstatement. We strongly believe that the regulatory environment, including relevant regulatory requirements, should be systematically considered as part of the assessment of the risks of material misstatement. In addition, we recommend that paragraph 13 include requirements regarding appropriate documentation in relation to the identification and assessment of the risks of material misstatement, especially when inherent risk is assessed as low.

2. Internal control

A robust internal control environment is critical to the strength of an entity's governance system and its ability to manage risk, including the risk of materially misstated accounting estimates. We support the ED Application Material, in paragraphs A48–A60, for auditors to obtain an understanding of internal control over estimates for entities of all sizes, which largely clarifies the interplay between ISA 315, *Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment*; ISA 330, *The Auditor's Responses to Assessed Risks*; and ISA 540 (Revised). Our further suggestions include specific guidance on audit considerations and procedures for obtaining an understanding of internal control over estimates and aim to strengthen the link between ISA 315, ISA 330 and ISA 540.

We agree with the text in paragraphs A30, A42, A43 and A49 that an entity's system of internal control should be commensurate with the nature, volume and complexity of its activities. A high-quality audit requires an auditor to first assess the risks of material misstatement of the estimate, taking into account the effectiveness of the entity's internal control framework (both design and operating effectiveness of internal control), and then to design audit procedures responsive to the assessed risk. We strongly agree that substantive procedures alone are often not sufficient for certain types of estimates, including estimates of ECL, and are rarely sufficient for banks.

2.1 Obtaining an understanding of internal control over estimates

We support the inclusion of paragraph 10(f) in the ED and the related Application Material in paragraphs A48–A60, which require auditors to obtain an understanding of internal control components as part of the risk assessment. ISA 315 contains a number of examples of matters that auditors should consider when obtaining an understanding of an entity's internal control environment. In addition, we recommend including in ISA 540 the following examples of matters to consider when obtaining an understanding of an entity's internal control environment with regard to accounting estimates:

(i) *Knowledge of the entity's internal control* ***over estimates*** *obtained by the auditor during prior audits and other engagements performed by the auditor, as well as engagements performed by internal audit;*

(ii) *Control deficiencies* ***relevant to accounting estimates*** *previously communicated to those charged with governance or management;*

(iii) *Preliminary judgments about the effectiveness of internal control over financial reporting* ***relevant to estimates****; and*

(iv) *The size and relative complexity of the entity's operations in general and the* ***complexity of estimates*** *in particular. Complexity will likely affect the risks of material misstatement and the controls necessary to address those risks.*

We propose the introduction of additional words (underlined below) to paragraph 15 to establish that an understanding of internal control is important for most audits and that the auditor needs to test controls when substantive procedures alone are not sufficient:

- *15(a) - When inherent risk is low, <u>as determined through the auditor's risk assessment procedures</u>, the auditor shall determine whether one or more of the following further audit procedures would provide sufficient appropriate audit evidence regarding the assessed risk(s) of material misstatement in the circumstances.*

- *15(b) When inherent risk is not low, for example, as is the case with accounting estimates that make use of complex models or are highly judgmental, the auditor's further audit procedures shall include procedures to obtain audit evidence about the matters in paragraphs 17–20, when applicable. (Ref: Para A97)*
- *Include at the end of paragraph 15 (before paragraph 16), "The results of the work that the auditor performs as part of their risk assessment procedures, which includes developing an understanding of relevant internal controls, shall inform the approach taken by the auditor to audit the estimate."*

Within the Application Materials, we recommend changes to describe the audit procedures necessary to obtain an understanding of the internal control over estimates, including for audits of smaller entities. In particular, in paragraph A10, we recommend adding that, in audits of smaller entities, the auditor may obtain an understanding of internal control over accounting estimates by performing walkthroughs. In our view, inquiry alone is not sufficient to obtain an appropriate understanding of internal control over accounting estimates.

We are supportive of Application Material paragraph A30, which provides guidance on the factors auditors should consider as part of obtaining an understanding of models. In particular, we agree that additional controls around models are more likely to be relevant to the audit when the model used is complex, such as for ECL models.

We recommend that the final standard include the following underlined edits in paragraph A49 to emphasise and clarify the need for the auditor to understand internal control when auditing most entities, and that obtaining an understanding of internal control is not limited to audits of entities with a wide range of estimates.

A49. It is important for the auditor to understand the design and implementation of relevant controls to address the risks of material misstatement. This is true for most estimates, but its importance increases as the complexity of an estimate and the risks of material misstatement increase. Some entities may have a wide range of accounting estimates, some of which may be significantly affected by, or subject to, complexity, the need for the use of judgment by management, and estimation uncertainty. In such circumstances, there may be an increased need for the application of specialized skills or knowledge, and management may make extensive use of information technology in making the estimates. For such estimates, it is even more important for the auditor to understand the design and implementation of relevant controls, and also to test their design and operating effectiveness in addressing the assessed risks of material misstatements.

We suggest adding a new factor and propose adding the two sentences below to paragraph A58 to emphasise the importance of understanding the precision applied by management in executing controls and whether controls are designed at a sufficiently precise level to prevent or detect a material misstatement on a timely basis:

> *The auditor may consider the level of precision applied by management in executing these control activities. Controls should be designed to operate at a level of precision that would prevent or detect misstatements of one or more assertions regarding estimates.*

In addition we suggest that the following be added to paragraph A50:

To understand the likely sources of potential misstatements and, as a part of selecting controls to test, the auditor may achieve the following objectives:

(i) Understand the flow of transactions related to the relevant assertions;

(ii) *Identify the points within the entity's processes at which a misstatement, including a misstatement due to fraud, could arise;*

(iii) *Identify the controls that management has implemented to address these potential misstatements; and*

(iv) *Understand how information technology affects the flow of transactions.*

2.2 Testing the design and operating effectiveness of internal control over accounting estimates

We support the inclusion of paragraph 16 and the related Application Material in paragraphs A98–A100. However, these paragraphs (including paragraph 8 of ISA 330, which is referenced in the footnote to paragraph 16 of ISA 540) require auditors to test only the operating effectiveness of internal control relating to accounting estimates if auditors intend to rely on controls relating to accounting estimates or if substantive procedures alone cannot provide sufficient appropriate audit evidence. Given the complexity of many accounting estimates and the necessity of implementing appropriate controls from a risk management perspective, it is imperative that the auditor also evaluate the design of controls relating to estimates. Therefore, we urge the IAASB to enhance paragraph 16 by adding the following underlined language to the final standard, which in particular clarifies our expectations for audits of banks. In addition, the audit response should include consideration of control deficiencies identified and an assessment of the impact of such deficiencies on the audit.

16. *If the auditor intends to rely on controls relating to accounting estimates, or if substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level, as in the case of audits of entities (such as banks) that make extensive use of information technology and have a large number of estimates that are highly judgmental, complex, or subject to high estimation uncertainty, the auditor shall design and perform tests of controls to obtain sufficient appropriate audit evidence as to their operating effectiveness. The auditor shall test and evaluate the design and operating effectiveness of internal controls related to accounting estimates based on the assessed risk and perform such other procedures as the auditor considers necessary in the circumstances. In addition, the auditor shall evaluate the impact of any deficiencies in internal control on the assessed risk. (Ref: para A98–A100)*

We support the inclusion of paragraph 25 requiring the auditor to obtain written representations from management stating that they believe the methods, significant data and assumptions used in making the accounting estimates and their related disclosures are appropriate to achieve recognition, measurement and disclosures that are reasonable in the context of the applicable financial reporting framework. We believe the auditor should also obtain written representations from management acknowledging management's responsibility for establishing and maintaining effective internal control over financial reporting and suggest that this requirement be incorporated in the standard.

We support the inclusion of paragraph A98, which explains circumstances where it is not possible or practicable for auditors to perform only substantive procedures, such as for banks that make extensive use of information technology and have a large number of estimates that are highly judgmental or complex. We agree that substantive procedures alone may not provide sufficient audit evidence. This will be the case where there is a large volume of transactions, significant information is produced electronically, complex models are used or information is used across systems, which is the case for ECL estimates that integrate the entity's risk management and financial reporting systems. This situation will also arise for reasons that are not principally driven by information technology, such as the nature of the accounting methods being applied. It would be further helpful if paragraph A98 began by providing guidance on those aspects that drive the decision to rely on controls, followed by examples of the limited circumstances that may support relying only on substantive procedures to provide sufficient appropriate audit evidence.

2.3 Auditor's responsibility to report significant deficiencies in internal control

We support the inclusion of paragraph 26 which clarifies the application of ISA 260 (Revised), *Communication with Those Charged with Governance* and ISA 265, *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*, with respect to the requirement that auditors report to TCWG on significant deficiencies in internal control, among other matters. Given the nature of accounting estimates and the impact of control deficiencies on estimation uncertainty, we recommend addressing the timing of communicating with management and TCWG. This is especially important for banks that rely heavily on information technology and have complex internal processes. In these cases, early identification and communication of internal control deficiencies provides an opportunity for a bank's management to take steps to remediate the control deficiencies and correct any resulting misstatements on a timely basis.

3. Professional skepticism and management bias

The application of management judgment is pervasive in the measurement of complex accounting estimates, including, but not limited to, ECL. Significant management judgments may exist, for example, in the selection of key accounting policies, development of methodologies and data sources, and the choice of assumptions. We strongly support the efforts of the IAASB to address this issue. In particular, we support the references to unintentional or intentional bias in paragraphs 18(a)(i)b) and A7, and the requirement that the potential for management bias should be taken into account in paragraph 13(b) with respect to methods, assumptions and data.

As judgment can have a material impact on the outcome of the reported estimate, it is critical that ISA 540 emphasises that auditors must demonstrate how they exercised professional skepticism to critically evaluate management's judgments, throughout all stages of the audit, as well as at the end of the audit.

3.1 Demonstrating professional skepticism throughout all stages of the audit

The ED addresses professional skepticism as a key concept in paragraph 5. This paragraph emphasises the importance of the application of professional skepticism, particularly in relation to the risk of management bias affecting the outcome of estimates that are subjective, complex and uncertain. We agree that the application of professional skepticism plays a central role in the audit of estimates and thus, that this concept is appropriately located at the start of the standard. Paragraph 5 should be reinforced by adding a statement in the final standard that *<u>the auditor shall exercise professional skepticism throughout all stages of the audit and prepare appropriate audit documentation to demonstrate the application of professional skepticism</u>.*

With respect to the overall evaluation based on audit procedures performed that is required in paragraphs 22-23, we recommend that the "stand-back" test also require the auditor to perform an overall assessment of whether a sufficient level of professional skepticism has been applied by the auditor. This is particularly relevant to areas when the determination of an accounting estimate requires significant management judgment and is therefore more susceptible to management bias.

3.2 Professional skepticism and management judgment

The ED recognises the importance of professional skepticism, pointing in particular to the link to "estimation uncertainty" in the Application Material in paragraph A93. The final standard should strengthen the link between the existence of significant management judgments and the importance of auditors demonstrating professional skepticism. Paragraph A85 states: "[w]hen accounting estimates are subject to a high degree of judgment, the accounting estimate may be more susceptible to the potential for management bias, particularly when this judgment involves greater subjectivity...". We agree with this statement and believe that paragraphs 18 and A85 should be expanded to incorporate the need for the auditor to demonstrate the application of professional skepticism in these cases. This could be achieved by adding the following underlined language to paragraph A93: *when the reasons for the assessment given to the risks of material misstatement include estimation uncertainty and management judgment, the auditor's application of professional skepticism is particularly important.* We further recommend incorporating paragraph A93 into the standard's Requirements in paragraph 18.

In addition, paragraph A85 speaks to the potential for management bias when new estimates make it necessary to revise judgments previously made by management for other estimates. We suggest that the latter be emphasised because there is a high risk of management bias when a new estimate indicates that a previous management judgment needs revision.

Lastly, an increased focus on skepticism could be achieved by adding the following to the end of paragraph A69: "applying specialized skills or knowledge as well as demonstrating a questioning mind-set and sound professional judgment".

3.3 Application of professional skepticism to areas of management judgment

Where the risks of material misstatement are high and require more persuasive audit evidence (paragraph 15b), the final standard should explicitly require auditors to use professional skepticism by "challenging" management's assumptions, where appropriate. This could be reinforced by including examples in the corresponding Application Material (paragraph A97) on how auditors could form their own independent views on certain data or management assumptions and on how auditors could challenge management's assumptions. As an example, auditors could do so by looking at sources of data other than those chosen by management, such as macroeconomic data relevant for forward-looking information, as a way of demonstrating a questioning mind-set and gathering more persuasive audit evidence. Auditors should also seek to obtain and consider any contradictory audit evidence during the course of the audit as part of the overall "stand-back" test included in the ED in paragraphs 22–23.

3.4 Work of the Professional Skepticism Working Group

We understand that the Professional Skepticism Working Group was established jointly by the IAASB, the IESBA and the IAESB in June 2015 to provide input into the development of ISAs under revision, including the ISA 540 ED. We strongly encourage that this work continue as a priority and view it as an opportune time for the PSWG to now develop recommendations on how to more effectively respond to issues related to professional skepticism, including the interaction between professional skepticism and the audit of complex estimates. Nevertheless, to support the timely issuance of ISA 540, we recommend that the specific requirements on professional skepticism that we have recommended above be included in the final version of ISA 540. If the PSWG identifies further enhancements on professional skepticism, these may be added later to the appropriate ISAs.

4. Audit of Disclosures

We consider it essential that the auditor's evaluation of management's disclosures, as required by ISA 540, be thorough enough to ensure that the disclosures help users to understand the nature and magnitude of the uncertainty affecting the estimates, the degree of complexity and the types of judgments made. Therefore, we support the alignment of the audit objective for disclosures with the objective for the other aspects of the audit of the related accounting estimate, so that "reasonable" is the benchmark (paragraph 8 of the ED).

We are concerned that references to audit considerations on disclosure are dispersed throughout the ISA 540 Requirements and Application Material. For example, guidance on disclosure is addressed in paragraphs (including, but not limited to) A2, A16, A57, A88, A123–125, A136, A137 and A153. This reduces the cohesiveness and understandability of this guidance and could undermine the importance attached to the auditor's responsibilities for disclosures. As such, we recommend that the IAASB bring this guidance together in one place. If this is not possible, we recommend increasing the cross references between the paragraphs noted above.

Because of the high degree of judgment involved in making ECL estimates, clear disclosure around where in the range a point estimate is, why the point estimate is appropriate, and what the point estimate is sensitive to, are especially important in assessing the reasonableness of an estimate. We therefore support the change outlined in paragraphs 43–45 of the Explanatory Memorandum to the ED that expands the requirement for auditors to consider disclosures that describe estimation uncertainty when it relates to risks other than just those regarded as significant (paragraph 19a(ii)). We also support the inclusion of paragraph A134 and agree that the auditor's evaluation of the reasonableness of disclosures becomes increasingly important as estimation uncertainty increases.

We further recommend paragraph A2, which includes important expectations on disclosures, be included in the standard's Requirements, along with the material in paragraphs A123–A125.

Annex 2 –The Committee's principles for a high-quality audit of ECL

The following principles are derived from the Committee's March 2014 Guidance on *External audits of banks*.

Loan loss provisioning is generally material for a bank's financial statements and the calculation of capital and key performance metrics. The measurement of loan loss provisions involves complex judgments which are subjective in nature.

1. External audits of financial statements performed in accordance with the relevant auditing standards should enhance the confidence of all users, including supervisors, in the reliability of the audited financial statements and the quality of the information provided.
2. Commensurate with the size, complexity and diversity of banking activities, and the legal and regulatory framework in which banks operate, the external auditor of a bank should have specialised knowledge and competence in auditing banks. Knowledge and competence are particularly important in an external auditor's ability to exercise professional judgment and carry out key aspects of the audit, such as identifying and assessing the risks of material misstatement and designing and implementing appropriate responses to those risks.
3. The external auditor should exercise professional skepticism when planning and performing the audit of a bank, having due regard to the specific challenges in auditing a bank. Professional skepticism should manifest itself not only through the auditor obtaining corroborating evidence for management's assertions, but also challenging management's assertions, considering whether there are alternative accounting treatments that are preferable to those selected by management, and documenting the auditing approach, the evidence obtained, the rationale applied and the conclusions reached. Throughout the audit, the auditor "adopts a questioning approach when considering information and in forming conclusions". [3]
4. External auditors should be satisfied that the bank's system of internal control is commensurate with the nature, volume and complexity of the bank's activities and is organised in accordance with regulatory and legal requirements. The internal control structure of a bank must be robust and reliable in order to cope with stressed environments.
5. ISAs require the external auditor to obtain an understanding of control activities relevant to the audit (those activities necessary to assess the risks of material misstatement and to establish the audit strategy). The external auditor of a bank should identify and assess the risks of material misstatement in the bank's financial statements, taking into consideration the complexities of the bank's activities and the effectiveness of its internal control environment.
6. The external auditor of a bank should respond appropriately to the significant risks of material misstatement in the bank's financial statements.

[3] IAASB (February 2012), Staff Questions & Answers – Professional Skepticism in an Audit of Financial Statements, Question 1.

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August 1, 2017

Mr. Matt Waldron
Technical Director
International Auditing and Assurance Standards Board
International Federation of Accountants
585 Fifth Avenue – 14th Floor
New York, NY 10017
U.S.A.

Dear Mr. Waldron,

Re: IAASB Exposure Draft Proposed ISA 540 (Revised), Auditing Accounting Estimates and Related Disclosures

The Canadian Auditing and Assurance Standards Board (AASB) is pleased to provide its comments on the proposed International Standard on Auditing 540, *Auditing Accounting Estimates and Related Disclosures* (ED-540).

In developing our views, we wanted to bring a practical perspective to our deliberations. We asked a selected number of firms of various sizes to choose accounting estimates from prior period audits and field test ED-540 as to whether it would enable them to make the judgments that will be needed in auditing accounting estimates. That insight, as well as feedback provided by Canadian stakeholders through written comments and roundtable sessions, has informed the views we express in this response. The **Appendix** includes a summary of the Canadian consultations on ED-540.

In our response, "stakeholders" refers to Canadian stakeholders who provided us with input. Also, "we" refers to the AASB.

Our comments are set out under the following main headings:

A. Overall Comments;

B. Request for Specific Comments; and

C. Other Comments on Specific Paragraphs or Matters of Interest.

A. OVERALL COMMENTS

We applaud the IAASB's significant effort to strengthen auditing of accounting estimates and related disclosures. We acknowledge that developing this exposure draft was a difficult task due to the complexity of the issues under consideration.

We are supportive of many of the proposals in ED-540. We feel, however, that for ED-540 to be operational, further improvements are needed. The results of field testing conducted by Canadian practitioners showed that many had significant challenges with operationalizing the requirements in paragraphs 15 and 17-19 in a manner that would achieve consistency of practice and appropriate use of the auditor's professional judgment. We agree with the views expressed by our stakeholders. In particular, we are concerned that:

- There is an implied requirement to identify and assess inherent risk as low or not low, which we believe should be made explicit. This requirement would be new to the ISAs, yet ED-540 provides little clarity as to how one makes such determination. As the classification of inherent risk as low or not low is key to determining the appropriate response to the assessed risks of material misstatement, we are concerned that lack of adequate clarity may lead to inconsistencies in practice.
- There is confusion as to whether the auditor can select one or a combination of approaches in testing accounting estimates when inherent risk is not low, such as those listed in paragraph 15(a). Participants of the field testing read paragraphs 17-19 as requiring the auditor to test how management made the accounting estimate and the data on which it is based. They were unclear as to why the auditor would be required to address these matters in the circumstance when the auditor decides to obtain sufficient appropriate audit evidence from events occurring up to the date of the auditor's report, or by developing a point estimate or range to evaluate management's point estimate.
- It is not practicable to ask the auditor to categorize accounting estimates into the three risk factors of complexity, judgment and estimate uncertainty. This is because the risk factors are not mutually exclusive and are not precisely defined. Also, categorizing accounting estimates into three discrete risk factors is inconsistent with management's process for making estimates. This inconsistency could be problematic, as the auditor may ask management to provide information for audit purposes that management has not considered as part of its own process.
- The relationship between the requirements in paragraphs 13, 15 and 17-19 is not clear. As a result, there is confusion as to whether the applicability of paragraphs 17-19 is

affected by the extent of complexity, judgment, and estimation uncertainty identified by the auditor in paragraph 13. For example, when the accounting estimate was considered to contain low complexity, some participants of the field testing believed that they did not need to apply paragraph 17, while others believed that they did need to apply paragraph 17.

- Further, when the auditor determines that paragraphs 17-19 do apply, it is not clear whether the work effort to address the matters in these paragraphs can vary depending on the extent to which an accounting estimate is affected by complexity, judgment, and estimation uncertainty, as determined by the auditor in paragraph 13. For example, when a reason for the assessed risks of material misstatement was complexity, some participants of the field testing interpreted paragraph 17 to require that all matters be addressed, while others believed they would use professional judgment to determine which matters are relevant.

We comment further on this in our response to question 4.

B. REQUEST FOR SPECIFIC COMMENTS

Q1. Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?

In part. We believe ED-540 has been appropriately updated to deal with International Financial Reporting Standard (IFRS) 9, *Financial Instruments*, as it relates to accounting estimates that are typical in entities such as financial institutions and those that trade complex financial instruments.

However, our stakeholders, particularly SMPs, made the observation that ED-540 is heavily skewed towards addressing considerations relevant to accounting estimates arising from IFRS 9. They believed that the standard needs to also focus on considerations relevant to accounting estimates in the non-financial sector and those that are more commonly included in financial statements. Such accounting estimates may include: goodwill, intangible assets, property valuations, asset retirement obligations, property plant and equipment impairments, inventory valuations, and acquisition valuations.

We believe that a more balanced coverage of material addressing accounting estimates of varying degrees of complexity and levels of risk would make ISA 540 more scalable and meaningful to a wide range of practitioners and applicable across entities of varying sizes.

Q2. Do the requirements and application material of ED-540 appropriately reinforce the application of professional skepticism when auditing accounting estimates?

Yes - we believe that ED-540 appropriately reinforces the application of professional skepticism when auditing accounting estimates.

We support the inclusion of introductory paragraph 5 to emphasize, at the outset, the importance of the application of professional skepticism by the auditor. We believe that the application of professional skepticism is strengthened through the enhanced risk assessment requirements, and the requirements to "stand back" and evaluate the audit evidence obtained regarding the accounting estimates, including both corroborative and contradictory audit evidence.

Q3. Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?

We have identified some challenges in the scalability of certain proposals. Based on feedback provided by our stakeholders, we offer suggestions below as to how ISA 540 could be made more scalable.

<u>Overall clarity and readability of ED-540</u>

Many of our stakeholders found the application material in the proposed standard complex, resulting in readability and navigation difficulty. We believe that if certain requirements could be written to provide more clarity as to what is expected of the auditor, it would alleviate the need for extensive application material in the standard. As an example, we note paragraph 10(f) includes fourteen paragraphs of application material.

Further, stakeholders found the flowchart supplemental to ED-540 helpful in illustrating the work effort requirements. We encourage the IAASB to include this, or a similar flowchart, as an appendix to the Basis for Conclusions of ISA 540 (Revised).

<u>Risk assessment procedures (paragraph 10)</u>

Paragraph 10(b) requires the auditor to understand regulatory factors, if any, relevant to accounting estimates. While the wording "if any" recognizes that regulatory factors may not be present in all circumstances, our stakeholders questioned the extent to which the auditor would be required to search for regulatory factors that may be applicable to the estimate. Clarity around "how much is enough" would be helpful.

Paragraph 10(e) requires the auditor to understand how management makes accounting estimates, including sub-requirements to understand particular elements of management's processes. We have a few suggestions as to how this requirement could be made more scalable, as follows:

- Adding clarity to explain the labelling convention used for "accounting estimate" and "accounting estimate**s**" (plural). While we recognize that the IAASB's intention in using the term "accounting estimate<u>**s**</u>" (plural) was to refer to accounting estimates as a whole, that concept was not understood clearly by field testing participants. Some participants misinterpreted the requirements under paragraph 10(e) to apply more granularly to individual accounting estimates.

- Amending paragraphs 10(e)(v), (vi) and (vii) to include the wording "whether, and if so, how" (new wording emphasized by underline). The added wording recognizes that some smaller entities may not have processes in place to deal with risk of management bias, address estimation uncertainty, or address the need for change in the inputs to the estimate(s) from the prior period.
- Expanding paragraph A44 to include discussion with the owner-manager about the need to use individuals with specialized skills and knowledge in accounting, in addition to the need to use an expert. Stakeholders felt that when management does not have the skills and knowledge in accounting necessary to make accounting estimates, it is important that this be identified early in the audit process so management can take appropriate action. Stakeholders also noted that the circumstances described in this paragraph can occur in entities of all sizes, and so this paragraph should not be under the heading "Considerations specific to smaller entities".

Paragraph 10(f) requires the auditor to understand "each of the components of internal controls as they relate to making accounting estimates". Auditors of smaller entities may face a specific challenge with the interpretation of such wording because certain controls in these entities, such as the direct involvement of the owner-manager, may be relevant to many components. We suggest the IAASB clarify the requirement to make it more scalable to a particular circumstance. For example, using the wording in paragraph 8(c)(ii) of extant ISA 540, which refers to "relevant controls" rather than "each of the components of internal control" may be clearer. This may also allow the application material to be streamlined, thus, improving readability.

Review the outcome of accounting estimates (paragraph 11)

Paragraph 11 requires the auditor to review the outcome of accounting estimates included in the previous period financial statements, or, where applicable, their subsequent re-estimation. We recognize that this wording comes from extant ISA 540, however, our stakeholders have indicated that there is varied interpretation in practice as to when this requirement applies. For example, some stakeholders have interpreted this requirement as not being applicable in circumstances when the accounting estimate does not have an outcome, such as in the case of stock-based compensation. We encourage the IAASB to revisit the wording of the requirement and the application material to ensure that it is clear that, while some accounting estimates may not have an outcome, a retrospective review of the results of the inputs used (such as, data and assumptions) in making the estimate, or management's estimation process applied in prior periods, may also inform the auditor's risk assessment and indicate possible management bias.

Response to risk (paragraphs 17-19)

We believe that the requirements in paragraphs 17-19 are not sufficiently clear as to whether, and if so how, they are meant to be scalable to the level of risk of material misstatement and the degree of complexity, judgment and estimation uncertainty associated with the accounting estimate. See response to question 4 below for further discussion.

Application material specific to smaller entities

Our stakeholders find the application material in ED-540 on considerations specific to smaller entities to be helpful in assisting the auditor in understanding and applying specific requirements, especially when it goes beyond issue identification by also discussing what the auditor may do differently. Accordingly, we encourage the IAASB to continue its focus on the applicability of ISA 540 to audits of entities of all sizes and to give careful and due consideration to matters specific to smaller entities.

We noted some application material in paragraphs A10 and A107 (last sentence) that refers to smaller entities, and therefore, we believe it should be identified with the title "Considerations Specific to Smaller Entities".

Q4. When inherent risk is not low (see paragraphs 13, 15 and 17–20):

(a) Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?

In part. We support the consideration of the three risk factors (complexity, judgment and estimation uncertainty) in identifying and assessing the risks of material misstatement, as specified in paragraph 13. We also support the premise of setting a threshold for the detailed work effort based on the level of inherent risk associated with the accounting estimate, as specified in paragraph 15. With additional clarity, we believe that classification of inherent risk of low and not low can be operationalized in practice with success.

However, we believe that further improvement is needed to the proposed approach to responding to the assessed risks of material misstatement, when inherent risk is not low, under paragraphs 15(b) and 17-19. The results of our field testing showed that there may be significant issues with operationalizing these in a manner that would achieve consistency of practice and appropriate use of the auditor's professional judgment.

We have identified the following key issues:

- Lack of clarity as to the work effort in classifying inherent risk as low and not low, under paragraph 15.

- Lack of clarity regarding the available approaches to test accounting estimates when inherent risk is not low, under paragraph 15(b).
- Difficulty categorizing accounting estimates into the three risk factors of complexity, judgment and estimation uncertainty, in complying with paragraphs 17-19.
- Lack of clarity regarding the relationship between the requirements in paragraphs 13, 15 and 17-19.
- Lack of clarity as to whether the work effort in paragraphs 17-19 can vary depending on the extent to which an accounting estimate is affected by the three risk factors.

Lack of clarity as to the work effort in classifying inherent risk as low and not low

Paragraphs A39 to A42 of ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*, allow for a separate assessment of inherent risk. However, requiring such an assessment, as implied under paragraph 15, is new to the ISAs. Consequently, our stakeholders raised many questions and had varied interpretations around the application of this requirement. In the absence of additional guidance, we are concerned that the auditor may do either too much or insufficient work in classifying inherent risk as low or not low.

We believe that further clarity is warranted with respect to the following:

- How the auditor assesses whether inherent risk is low; for instance, whether all three of the risk factors need to be considered low or not applicable for inherent risk to be identified as low, and whether there are other considerations of conditions and events that should be considered.
- Inherent risk assessment of not low may encompass a range of possible risk levels, including risks assessed above low up to and including significant, which may impact the design of further audit procedures under paragraph 7(a) in ISA 330.
- Whether the auditor may assess or revise inherent risk as low when the outcome of an accounting estimate becomes known during the audit. Such guidance is provided in paragraph A75, but is not sufficiently clear and prominent to readers.

Further, paragraph 15 contains an implied requirement for the auditor to identify and assess inherent risk as low or not low related to accounting estimates, which we believe should be made explicit. An explicit requirement would provide clarity as to the work effort and a better logical flow to responding to the assessed risks of material misstatement. If the IAASB agrees, a new requirement could be placed immediately after paragraph 13 of ED-540, following the auditor's identification and assessment of the risks of material misstatement. Also, the second sentence of paragraph A95 would need to be amended to remove the reference to ISA 540 not implying or requiring a separate assessment of inherent risk.

Lack of clarity regarding the available approaches to test accounting estimates when inherent risk is not low

Our stakeholders felt that it was unclear in ED-540 whether, in complying with paragraph 15(b) when inherent risk is not low, they have the same choice of further audit procedures as those set out in paragraph 15(a) when inherent risk is low.

Participants of the field testing read paragraphs 17-19 as requiring the auditor to test how management made the accounting estimate and the data on which it was based. There was confusion as to why the auditor would be required to test how management made the accounting estimate when the auditor decides that it would be more efficient or effective to obtain sufficient appropriate audit evidence from events occurring up to the date of the auditor's report, or by developing a point estimate or range to evaluate management's point estimate.

For instance, paragraph 19(a)(i) requires the auditor to obtain evidence about whether management has taken appropriate steps to understand and address estimation uncertainty. Our stakeholders interpreted this requirement as relevant to testing how management made the accounting estimate. They questioned why the auditor would be required to carry out this work in circumstances when it would be more effective and efficient, for example, to obtain audit evidence about events occurring up to the date of the auditor's report.

We believe that it is critical that ISA 540 (Revised) be clear that the auditor can select one or a combination of approaches in testing accounting estimates when inherent risk is not low, such as those listed in paragraphs 15(a). Moving material from paragraph A97 to 15(b) will give the available approaches to testing accounting estimates more prominence and address some of the confusion. Also, we suggest that the IAASB revisit paragraphs 17-19 with a view of providing clarity as to which requirements would apply to each of the available approaches to testing accounting estimates.

Difficulty categorizing accounting estimates into the three risk factors of complexity, judgment and estimation uncertainty

Our stakeholders noted that categorizing responses into three discrete risk factors is not consistent with management's process for making estimates. Often times, management considers accounting estimates more in terms of data, assumptions and methods / models. This potential inconsistency between how management determines accounting estimates and how the auditor is asked to audit those estimates could be problematic as the auditor may ask management to provide information for audit purposes that management has not considered as part of its own process. The IAASB may look to the recently issued PCAOB Docket 43: *Proposed Auditing Standard for Auditing Accounting Estimates, Including Fair Value Measurements,* which approaches the audit of estimates in a manner that appears to be more consistent with the way management makes their estimates.

Participants of the field testing had difficulty categorizing accounting estimates into the risk factors. The reasons cited were:

- The risk factors are not mutually exclusive items. For example, some participants viewed estimation uncertainty as always present in an accounting estimate, and judgment and complexity as factors that often influence estimation uncertainty.
- The risk factors are not precisely defined. The lack of precise definitions at the outset of the standard, makes it difficult for readers to assign a meaning to the terms as they encounter them in ED-540. Including definitions may enable streamlining the large amount of application material in relation to the three factors, thus improving readability.
- The discussions of the three risk factors each refer to data, methods, and assumptions which contributes to the difficulty in distinguishing the risk factors from each other.

We asked participants of the field testing why they chose a particular risk factor as a reason for the assessment given to the risks of material misstatement, and noted their judgments were not comparable. At times, the same reasons were provided to justify why an estimate was subject to high estimation uncertainty and why another was subject to judgment. This demonstrated the lack of clarity and varied interpretations in applying the requirements of paragraphs 15(b) and 17-19. We noted that it was mostly field testing participants dealing with less complex accounting estimates that struggled with categorizing the responses into the three risk factors.

We believe it is not practical to categorize the response to the assessed risks of material misstatement into the reasons given to that assessment (i.e., the three risk factors of complexity, judgment, and estimation uncertainty), as explained above. We encourage the IAASB to explore other ways to link the assessed risks of material misstatement to the further audit procedures required when inherent risk is not low.

<u>Lack of clarity regarding the relationship between the requirements in paragraphs 13, 15 and 17-19</u>

Results of the field testing demonstrated lack of clarity as to whether the risk factors are considered as having "all or nothing" conditionality, or on a spectrum (i.e., low to high), when determining the response to the assessed risks of material misstatement. Some participants interpreted the factors as either applicable or not applicable to the estimate being tested, while others interpreted the three factors being on a spectrum of low to high. Also, when a factor was considered “low” in relation to the estimate being tested, there was inconsistent interpretation from field testing participants on whether paragraphs 17-19 applied. For example, some participants believed that when an estimate was affected by complexity, but complexity was considered low, they did not need to apply paragraph 17, while others believed that because there was some complexity they did need to apply paragraph 17.

We encourage the IAASB to provide clarity as to the relationship between paragraphs 13, 15, and 17-19, including how paragraphs 17-19 is affected by the extent of complexity, judgment, and estimation uncertainty identified by the auditor in paragraph 13.

Lack of clarity as to whether the work effort in paragraphs 17-19 can vary depending on the extent to which an accounting estimate is affected by the three risk factors

Participants of the field testing had difficulty in understanding whether the work effort to address the matters in paragraphs 17-19 can vary depending on the extent to which an accounting estimate is affected by complexity, judgment, and estimation uncertainty, identified by the auditor in paragraph 13. Participants had different interpretations of paragraphs 17-19. For example, some participants interpreted:

- all the matters in paragraphs 17-19 as relevant, while others indicated they would use professional judgment to determine which matters in paragraphs 17-19 are relevant;
- certain of the matters in paragraph 17 (such as paragraph 17(b) and (e) related to the relevance and reliability of the data and whether calculations are mathematically accurate and appropriately applied) to always apply regardless of the evaluation of inherent risk; and
- the matters in paragraph 19 to always be relevant because estimation uncertainty is always assumed to be present in estimates.

We encourage the IAASB to provide clarity as to whether, and if so how, the work effort in paragraphs 17-19 can vary depending on the extent to which an accounting estimate is affected by the three risk factors.

(b) Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty?

Yes - we support the proposed requirement in paragraph 13 with respect to identifying and assessing risks of material misstatement in relation to accounting estimates. We believe it appropriately directs the auditor to take into account the three factors (i.e., complexity, judgment and estimation uncertainty) that are most likely to influence the assessed risks of material misstatement. However, see response to question 4(a) for comments relating to the difficulty in identifying which of the factors (complexity, judgment and estimation uncertainty) were the reasons for the assessed risks, and whether paragraphs 17-19 can be applied proportionately to the level of risk of material misstatement.

(c) Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 to 19 of ED-540? If not, what additional guidance should be included?

Results of field testing indicated significant issues with the approach to responding to risks of material misstatement in paragraphs 17-19, as explained in the response to question 4(a). However, if the IAASB decides to retain the approach and the requirements, we have some suggestions for further clarity relating to the response when the reasons for the assessment given to the risks of material misstatement include *complexity* (paragraph 17).

Paragraph 17(d) requires the auditor to obtain sufficient appropriate audit evidence about whether the integrity of significant data and significant assumptions has been maintained in applying the method. Our stakeholders questioned what is meant by 'integrity of significant data' and 'integrity of significant assumptions'. We believe clarity should be provided on these two phrases. For example:

- The "integrity of significant data" could be clarified by drawing from the application material in paragraphs A107 to A109 of ISA 315, which refers to the integrity of data or accounting records
- The "integrity of significant assumptions" could be clarified as to whether it is referring to aspects such as the judgment in the assumptions, the completeness of the assumptions, or the processes used in applying the assumption

Q5. Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?

In part. We agree that the requirement in paragraphs 19(b) and 20 appropriately establish how an auditor's range should be developed. However, we do not agree with the wording in paragraph A128 that developing an auditor's point estimate or range is a substantive analytical procedure. We believe the reference to the requirements and guidance in ISA 520, *Analytical Procedures*, introduces unnecessary confusion. For example, the inquiries of management about differences from expected values required by paragraph 7(a) in ISA 520 seem inconsistent with the premise in paragraph 19(b) that management has not appropriately understood and addressed the estimation uncertainty.

We do not feel it is necessary to specify in a standard which type of procedure would be used in developing a point estimate or range. We note that ED-540 does not include guidance on the type of procedures to use in testing how management made the accounting estimate, and so we question why there would be guidance on the type of procedures to use in developing a point estimate or range. We recommend that paragraph A128 be removed.

Q6. Will the requirement in paragraph 23 and related application material (see paragraphs A2–A3 and A142–A146) result in more consistent determination of a misstatement, including when the auditor uses an auditor's range to evaluate management's point estimate?

Yes – we support the "stand-back" requirements in paragraph 23, but our stakeholders made the observation that its linkage with the broader requirement in paragraph 13(c) of ISA 700, *Forming an Opinion and Reporting on Financial Statements*, needs to be clarified.

For clarity, we suggest including a cross-reference in ISA 540.23 to ISA 700.13(c), with some guidance to explain the relationship. This would provide an appropriate lead-in to the important requirement that follows in the second sentence, which states "In making this evaluation, the auditor shall consider all relevant audit evidence obtained whether corroborative or contradictory."

Further, we suggest clarifying whether paragraph 23 applies to all estimates, with inherent risk of low and not low. Results of field testing showed varied interpretations.

Q7. With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?

Yes, we believe the conforming amendments to ISA 500 will result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources. However, we have identified a few areas in application material that we believe need refinement.

<u>Proposed paragraph 500.A33C - Other examples could be added</u>

Paragraph A33C cites the central bank as an example of an external information source where the auditor may not be able to get access to the source controls and, therefore, consider the accuracy and completeness of the information. We believe that more examples should be added to acknowledge that there are other circumstances where this may occur. Other examples include valuators of real estate property or an actuary.

Proposed paragraph 500.A33F – 4th bullet is too narrowly focused on external information source relating to security prices

Paragraph A33F lists possible responses to obtaining evidence about the relevance and reliability of information from external information sources. We do not agree with the drafting of the fourth bullet point, which suggests that when the external information source relates to security prices, the auditor would obtain an independent price from a source that is different from that used by management. This bullet may be inappropriately read to mean that in the case of external information source relating to security prices the auditor can never use the same external information source as management. In practice, the auditor may consider it appropriate to use the same external information source as management when the sources are widely used and generally accepted to be of high quality, and when the nature of the item being valued is non-complex.

We believe that the wording in the fourth bullet should be amended to remove reference to "security prices" and "price" so it applies more broadly to all external information sources, consistent with the approach taken in drafting the three previous bullets in paragraph A33F.

Proposed paragraph 500.A33H – further clarification needed

Paragraph A33H does not have a logical flow. It starts with the situation where management and the auditor may use the same information source as management because there is only one provider. However, it ends with a suggestion for the auditor to access a different information source, when available, in obtaining audit evidence. Also, the third sentence starts with the words "in such cases", but it is unclear what is being referred to.

We believe that there are two separate thoughts included in paragraph A33H. For clarity, we suggest breaking this paragraph into two separate paragraphs. One paragraph would deal with instances where the auditor uses the same information source as management because there is only one provider. The other paragraph would deal with instances when the information source used is determined not to be relevant or reliable, and the auditor would access a different information source from that used by management, when available. The guidance should also provide clarity on when the auditor would decide that it is appropriate to seek other audit evidence, when the auditor uses the same information source as management.

Clearer link to ISA 500 in ISA 540

Stakeholders indicted that it is not sufficiently clear in ED-540 that the auditor should refer to ISA 500 for more information relevant to external information sources. The reference to ISA 500 in the footnote to paragraph 17(b) does not seem to be sufficiently prominent to readers. The link to ISA 500 in ISA 540 could be made more prominent by including it within application material.

Q8. In addition to the requests for specific comments above, the IAASB is also seeking comments on the matters set out below:

a) **Translations —Recognizing that many respondents may intend to translate the final ISA for adoption in their own environments, the IAASB welcomes comment on potential translation issues respondents note in reviewing the ED-540.**

   We have not identified any potential translation issues.

b) **Effective Date—Recognizing that ED-540 is a substantive revision, and given the need for national due process and translation, as applicable, the IAASB believes that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of a final ISA. Earlier application would be permitted and encouraged. The IAASB welcomes comments on whether this would provide a sufficient period to support effective implementation of the ISA.**

   We are supportive of an effective date of 18 months after the approval of the final ISA. This is the typical implementation period for new or updated standards. We are also supportive that early application should be permitted.

C. OTHER COMMENTS ON SPECIFIC PARAGRAPHS OR MATTERS OF INTEREST

<u>Linkage to existing requirements in ISA 315[1] and ISA 700[2]</u>

Some of the proposed requirements in ED-540 appear to be built on other ISAs, such as ISA 315 and ISA 700. We believe that there is a lack of clarity as to how the broader requirements in the other ISAs interact with the related requirements in ED-540 and the auditor's incremental work effort, if any. Examples where further clarification in ISA 540 may be appropriate are as follows:

- Paragraph 10 of ED-540 includes risk assessment requirements related to accounting estimates. Although the lead-in paragraph appropriately cross-references to the broader risk assessment requirements in ISA 315, our stakeholders questioned whether the requirements in paragraph 10 of ED-540 were incremental to ISA 315. To clarify, we suggest that the word "also" be added to the lead-in of paragraph 10 to state "…the auditor shall <u>also</u> obtain an understanding of the following…"
- Paragraph 21 of ED-540 includes a requirement to obtain sufficient appropriate audit evidence about whether the disclosures related to accounting estimates are reasonable in the context of the requirements of the applicable financial reporting framework, including in the case of a fair presentation framework and compliance framework. This

[1] ISA 315, *Identifying and Assessing the Risks of Material Misstatement Through Understanding the Entity and its Environment*
[2] ISA 700, *Forming an Opinion and Reporting on Financial Statements*

requirement appears to be built on the requirement in paragraph 13(e) of ISA 700. However, there is no cross-reference nor clarification included as to how the two requirements interact.

We also highlight the importance of coordinating the revisions to ISA 540 with the revisions to ISA 315. ED-540 includes reference to general risk assessment concepts that will need to be consistent with, and may require further explanation in, ISA 315 as that project moves forward.

Disclosures Related to Accounting Estimates

Paragraph 21(a) requires the auditor, in the case of a fair presentation framework, to obtain audit evidence about "whether management has provided the disclosures beyond those specifically required by the framework that are necessary to achieve the fair presentation of the financial statement as a whole". We believe that the requirement is unclear as to its intent and appears to go beyond the work effort in paragraph 14 of ISA 700 by suggesting that there would always be additional disclosures necessary to achieve fair presentation. We suggest that paragraph 21(a) be amended to caveat the reference to "beyond those specifically required by the framework", with the wording "where appropriate".

Communications with Those Charged with Governance or Management

Paragraph 26 requires the auditor to consider the matters, if any, to communicate to those charged with governance or management with respect to complexity, judgment and estimation uncertainty related to accounting estimates. Some of our stakeholders questioned the extent of such communication. For example, whether the auditor should communicate all estimates subject to complexity, judgment or estimation uncertainty, or only those identified with inherent risk assessed as "not low". Additional clarity would be helpful.

We also believe that it would be helpful to remind readers that matters relating to accounting estimates discussed with those charged with governance may be considered a key audit matter under ISA 701, *Communicating Key Audit Matters in the Independent Auditor's Report*.

Items that require definition or explanation

We have identified terminology used within ED-540 that we believe could be defined or further explained. Those are:

- "specialized skills and knowledge";
- "further audit procedures";
- "significant data"; and
- "significant assumptions".

In regard to the use of the phrase "further audit procedures", we recognize that it is meant to encompass procedures performed in response to assessed risks of material misstatement, including tests of controls (if any), tests of details and analytical procedures. However, not all stakeholders were clear as to the intention of using this phrase. Some stakeholders interpreted the reference to “further” in paragraph 15(b) as further to what is required in 15(a). Therefore, they concluded that when inherent risk is not low, they would need to perform one of the procedures listed in paragraph 15(a), as well as perform procedures over the matters in paragraphs 17-19. While we recognize that the definition of “further procedures” is included in the Glossary of Terms, for clarity, we recommend that the definition also be included in ISA 540 (Revised).

** ** ** **

Editorial comments on ED-540 have been provided directly to the IAASB staff.

We hope that these comments will be useful to the IAASB in determining the appropriate next steps relating to this key project. If you have any questions or require additional information, please contact Eric Turner at (416) 204-3240 or eturner@aasbcanada.ca.

Yours very truly,

Darrell Jensen FCPA, FCA
Chair, Auditing and Assurance Standards Board (Canada)

c.c. Canadian Auditing and Assurance Standards Board members

Ron Salole, member of the International Auditing and Assurance Standards Board

Appendix: Summary of consultations on the IAASB's Exposure Draft of ISA 540 (Revised)

I. Groups consulted

- Advisory Group to the AASB on the project to Revise Auditing Accounting Estimates and Related Disclosures
- Regulators
- Large Firms
- Practitioners in small and medium-sized practices
- Auditors focusing on oil, gas, and mining entities
- Legislative auditors
- Provincial CPA body working group on assurance and reporting

II. Formal response letters received

- Three response letters from provincial and federal auditor general offices
- Two response letters from large public accounting firms
- One response letter from a provincial CPA body working group on assurance and reporting

III. Summary of field testing conducted by stakeholders in Canada

Exhibit I –Number of estimates tested across stakeholder and risk type

	SMPs	Large Firms	Oil / Gas / Mining*	TOTAL
Total estimates field tested	**16**	**9**	**4**	**29**
Low inherent risk	4	3	1	8
Not low inherent risk	12	6	3	21

*Oil / Gas / Mining was chosen as an industry to focus on as it is somewhat unique to Canada

Exhibit II –Types of estimates and industry coverage

Types of estimates field tested	Industries
Allowance for doubtful accounts	- Healthcare - Public sector - Wholesaler
Asset retirement obligation	- Chemical processing - Metal recycling - Mining
Employee Benefits	- Not for profit
Impairment	- Construction - Mining - Oil & gas
Inventory obsolescence	- Construction - Distribution
Landfill liability	- Municipal
Loan loss provision	- Large bank - Credit union
Fair value (investments or property)	- Distribution - Investment Fund - Mining - Oil & Gas - Real Estate
Revenue (including rebates / provisions / %age complete)	- Agriculture - Commodities - Construction - Healthcare - Municipal - Retail

European Securities and Markets Authority

The Chair

26 July 2017
ESMA32-62-91

Mr Arnold Schilder
Chairman
International Auditing and Assurance Standards Board (IAASB)
529 Fifth Avenue 6th Floor
New York, NY 100017
United States of America

Ref: Proposed International Standard on Auditing 540 (Revised) - Auditing Accounting Estimates and Related Disclosures

Dear ~~Mr Schilder~~, Beste Arnold,

The European Securities and Markets Authority (ESMA) thanks you for the opportunity to comment on the International Auditing and Assurance Standards Board's (IAASB) Exposure Draft: *Proposed International Standard on Auditing 540 (Revised) – Auditing Accounting Estimates and Related Disclosures* (thereafter "ED"). The views expressed in this letter are made with the objective of enhancing investor protection as well as market efficiency, integrity and transparency through ensuring high quality financial reporting.

ESMA welcomes the IAASB's efforts to address in the ED the consequences of the evolution of the financial reporting framework on the audit of accounting estimates. ESMA has previously argued[1] that the IAASB should address the relevant application issues in relation to the audit of accounting estimates. Over the last decade, financial reporting frameworks have progressively increased the importance of unbiased, comprehensive and clear disclosures on assumptions and judgments made by management when developing accounting estimates. Furthermore, ESMA notes that the recent accounting standards such as IFRS 9 *Financial Instruments* and IFRS 17 *Insurance Contracts* increase significantly the use of, and the reliance on management judgement when making accounting estimates, often requiring long forecast periods and reliance on complex modelling.

Consequently, ESMA strongly believes that audit standard setters need to consider these developments and ensure comprehensive and rigorous audit requirements for accounting estimates and the underlying judgements made by management. Furthermore, ISA 540 (Revised) should include requirements on audit of disclosures on these estimates and judgements as well as on appropriate documentation of the audit procedures performed. ESMA believes that the requirements of the ED represent an important step into the right

[1] ESMA comment letter to the IAASB Invitation to Comment: *Enhancing Audit Quality in the Public Interest: A focus on Professional Scepticism, Quality Control and Group Audits*, May 2016, ESMA/2016/728

esma

direction and have the potential to improve audit quality. However, ESMA is of the view that ISA 540 (Revised) should include specific provisions on audit of selected accounting estimates, such as those made when auditing expected credit losses (ECL), fair value measurement or goodwill impairment. With respect to the newly introduced ECL model, ESMA calls on the IAASB to scrutinise carefully issues arising from auditing of the new ECL model, and, if necessary, provide additional guidance on a timely basis as a matter of priority. Detailed scrutiny is especially relevant for the implementation and auditing of complex ECL models, e.g. in the financial sector.

ESMA is of the view that the ED can be improved regarding the balance between the requirements and the application guidance, which do not have the same authoritative status. We are of the view that part of the application guidance should be transformed into binding requirements in order to ensure that the relevant provisions can be applied and enforced consistently. At the same time, ESMA is of the view that the application guidance should be as clear and concise as possible and therefore should avoid to the extent possible unnecessary repetition. Examples of both type of provisions are included in the Appendix to this letter.

Furthermore, ESMA would like to highlight a number of areas where further development of the auditing framework is necessary to ensure proper audit of accounting estimates, notably from an investor protection perspective:

- application of professional scepticism
- assessment and evaluation of management bias
- testing of effectiveness of internal controls
- response to the risk of material misstatement
- audit documentation
- interaction with key audit matters.

Finally, ESMA would like to ask the IAASB to finalise the revised standard on auditing of accounting estimates on a timely basis. In our view, the IAASB should enable and promote early application of the standard after its publication and facilitate the audit of ECL requirements, which are applicable from 1 January 2018.

Details on our suggestions where the framework for audit of accounting estimates could be further developed, together with our comments on some of the questions from the ED are set out in the Appendix to this letter. Please do not hesitate to contact us should you wish to discuss all or any of the issues we have raised.

Yours sincerely,

Steven Maijoor

Appendix – ESMA's comments on the specific parts of the ED

Scope of application (Q1 of the Request for comments)

1. ESMA welcomes that the proposed requirements in the ED are applicable to the audit of all accounting estimates for all entities. ESMA highlights that the auditing of specific accounting estimates based on forward-looking information, long-term forecasting or projection has raised issues in the past. This has been particularly the case when auditing impairment of goodwill, recognition and measurement of deferred tax assets arising from the tax losses carried forward or determination of the fair value that rely on third-party pricing services or unobservable inputs (such as when using the discounting cash flow method). ESMA therefore believes that the current revision of the standard for auditing of accounting estimates should specifically address these issues.

2. ESMA acknowledges that use of forward-looking information will become more complex under the new accounting standards, notably for the financial sector. In this context, we would like to express our serious concerns on whether the proposed requirements are sufficiently specific to ensure effective audit of complex models led by the introduction of expected credit loss (ECL) models for impairment of financial assets in IFRS 9 or valuation of insurance liabilities at their fulfilment value in IFRS 17. Accordingly, in our view, the audit of the application of the ECL model might require specific guidance, notably with respect to the testing of effectiveness of controls and to the governance over the modelling and validation processes.

Specificity of the standard with regards to audit of ECL (Q1 of the Request for comments)

3. ESMA notes that the IAASB previously considered addressing some specific issues related to the audit of financial institutions in a separate International Auditing Practice Note (IAPN #1).[2] ESMA prefers that all requirements and application guidance specifically targeted to audit of accounting estimates stemming from ECL models for all entities are provided in ISA 540 (Revised). This reasoning applies equally to the audit of fair value measurement that rely on third-party pricing services. Currently the ISAs include discussion on pricing services in IAPN 1000, *Special Considerations in Auditing Financial Instruments.* ESMA is of the view that the IAASB should include in ISA 540 (Revised) the requirements on using of third-party pricing services when auditing assumptions used while determining fair values.

4. Consequently, ESMA recommends that the IAASB re-evaluates its decision and provides specific requirements on audit of ECL directly in ISA 540 (Revised), including any specific considerations relevant for audit of specific types of complex organisations, such as financial institutions or audit of fair value measurement relying on external pricing services.

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[2] According to the IAASB work plan for 2017 – 2018 International Auditing Practice Note #1 is intended to address the auditor's relationship with financial institution supervisory authorities, such as is common in the banking and insurance industries

5. ESMA accepts that the provisioning under the new ECL model and auditing of these estimates under ISA 540 (Revised) might raise a number of implementation issues and challenges. Therefore, ESMA calls on the IAASB to scrutinise carefully any issues arising from the audit of the new ECL model; this is especially relevant in cases of complex ECL models' audits, such as in the financial sector. ESMA strongly believes that as part of its implementation monitoring, the IAASB should be prepared to provide, if necessary, additional guidance on a timely basis and as a matter of priority. Such guidance might be in form of amendments to ISA 540 (Revised) or other additional guidance depending on the questions that might arise after the implementation of the new standard.

Key concepts and objectives of the standard (Q1 of the Request for comments)

6. ESMA believes that the objective of the ISA 540 (Revised) should not be merely "*focusing auditors attention on design and performing further audit procedures responsive to reasons for the assessment given to the assessed risks of material misstatement*" (paragraph 4 of the ED). Instead, it should also explicitly refer to the determination of the key methodological issues/procedures in the audit of accounting estimates. In this respect, ISA 540 (Revised) should require sufficient work effort on audit of accounting estimates in order for the auditor to be able to formulate an opinion in the audit report and evaluate whether accounting estimates and related disclosures are reasonable in the context of the applicable financial reporting framework, or are misstated. This reasoning applies equally to audit documentation. Furthermore, the audit procedures identified by the ED should cross-refer to the appropriate audit procedure requirements in other ISAs and be accompanied by specific guidance for audit of accounting estimates where appropriate.

7. While ESMA agrees with the proposed objectives of the work of the auditor, we are of the view that the objectives should explicitly require the auditor to evaluate whether management has made all the estimates necessary by the financial reporting framework in the specific circumstances of the reporting entity.

Scope and nature of the application guidance (Q1 of the Request for comments)

8. ESMA welcomes the IAASB willingness to provide sufficient application guidance for the requirements of the ISA 540 (Revised). However, ESMA is of the view that the ED does not strike the right balance between the requirements of the standard and its application guidance, which do not have the same authoritative status. Notably ESMA believes that part of the application guidance should be transformed into binding requirements in order to ensure that the provisions are applied consistently.

9. This is for example the case with regards to the application guidance related to the need to consider whether the auditor has obtained sufficient understanding of the entity and its environment in order to identify and assess the risks of material misstatement and to plan further audit procedures (paragraph A9 of the ED) and the enumeration of the cases when auditors may not rely on substantive testing alone (paragraph A98 of the ED). Further examples are included in a specific section of this letter.

10. On the other hand, the application guidance should be clear and avoid repetition to the extent possible. In this context, ESMA encourages the IAASB to review further the drafting of the application guidance in order to ensure clarity and readability of the text and where possible avoid unnecessary repetition.

11. For example, the IAASB could consider whether, when referring to other ISAs a cross-reference is sufficient when no new guidance specific to audit of accounting estimates is provided in ISA 540 (Revised). This might be the case e.g. in paragraphs A10-A11 of the ED in relation to ISA 260 - *Communication with Those Charged with Governance* and ISA 315 - *Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment*, paragraph A76 in relation to ISA 315 and paragraphs A67, A70 and A94-A96 of the ED in relation to a number of ISAs. Furthermore, in some cases the application guidance refers only to basic procedures without sufficient level of specification. In these cases, it could be considered either to simplify the guidance or provide guidance more adapted to the level of complexity of the audit of accounting estimates. This might be the case e.g. when referring to basic accounting or auditing procedures in paragraphs A26-A29, A32 and A117-122 of the ED.

12. Finally, while we welcome that the IAASB decided to provide some specific examples on audit of ECL in the application guidance, we would prefer that the standard includes more specific considerations for auditing of estimates related to ECL. Furthermore, ESMA is of the view that the examples provided in the application guidance should not lead to an overly narrow interpretation of the requirements. Consequently, while ESMA appreciates the example in paragraph A73 of the ED that considers accounting estimate of an ECL model in a financial institution as an example of an estimate where the inherent risk is not low, ESMA doubts that this example should be limited only to ECL models of financial institutions that are active in different markets. Indeed, ESMA is of the view that the example applies to all financial institutions.

Role of professional scepticism (Q2 of the Request for comments)

13. ESMA welcomes that the proposed requirements highlight the role for the professional scepticism applied by the auditors when auditing accounting estimates. However, ESMA believes that the IAASB should emphasise further the need for rigorous application of professional scepticism throughout ISA 540 (Revised) requires gathering sufficient level of evidence to support the judgments and its proper documentation.

14. While ESMA acknowledges that the IAASB has a separate project dedicated to the enhancement of professional scepticism as part of the audit, ESMA is of the view that further requirements might be necessary to strengthen and document the use of professional scepticism in the context of ISA 540 (Revised). This is particularly the case when auditing accounting estimates for balances for which the inherent risk is not low. As these specific considerations might need to be considered comprehensively in that separate project, ESMA is of the view that the IAASB should finalise that separate project as a matter of priority.

Proportionality and scalability *(Q3 of the Request for comments)*

15. ESMA acknowledges that proportionality and scalability need to be able to address specific considerations related to audit of smaller or simpler entities, such as lack of segregation of duties and management override of controls. Furthermore, ESMA recognises that ISA 540 (Revised) should not be scalable only in one direction. On the contrary, it should highlight that for entities where the risks of material misstatement is exceptionally high (e.g. due to particular risk of management bias or because of their complexity) additional procedures would need to be required in order to achieve sufficient level of assurance for the audit of accounting estimates. Such requirements might be linked e.g. to the obligatory need to test effectiveness of internal controls for certain complex entities (see also paragraphs 24-25 of this letter).

16. ESMA highlights that from securities regulators perspective, consistent high-level audit requirements should be required for audits of similar underlying economic transactions in comparable types of entities. While considering proportionality, all entities with securities listed on a regulated market should be governed by the same (high) auditing standards.

Management bias

17. ESMA welcomes that the discussion on the risk of management bias when auditing accounting estimates is included in the application guidance. As we believe that the risk of management bias related to accounting estimates should be embedded into the auditors' work during the whole audit process, we believe that the result of the assessment and evaluation of the management bias should be included in the on-going communication with those charged with governance. Furthermore, where appropriate, due to significant risk of material misstatement, results of such evaluation should be included as a key audit matter in the auditor's report.

18. Consequently, we are of the view that the notion of management bias should be incorporated throughout ISA 540 (Revised). This could be done e.g. through clarification that the definition of reasonable in paragraph A2 of the ED should include an attribute being "free from bias", specifying that assumptions, as referred to in paragraph A32 of the ED, should be "free from bias" and including evaluation of management bias as one of the consideration required in paragraph A33 of the ED.

19. Furthermore, ESMA believes that the guidance on the assessment of management bias in paragraph A7 of the ED should be explicitly linked to the assessment of the outcome of an accounting estimate. Finally, ESMA is of the view that the ED could include additional examples on specific considerations pertinent to the evaluation of the management bias linked to auditing accounting estimates, e.g. related to ECL models, recognition and measurement of deferred taxes as well as goodwill impairment.

Risk assessment (Q4-Q6 of the Request for comments)

20. The ED proposes a different risk model for risk assessment related to audit of accounting estimates compared to extant ISA 315. While ISA 315 broadly distinguishes between significant and non-significant risks, the ED acknowledges low inherent risk and non-low inherent risk in addition to significant risk. In our view, the ED does not describe and explain clearly and unequivocally (i) the risk level not being low and (ii) significant risk(s) and does not explain the relation between them. Consequently, ESMA encourages the IAASB to clarify further the risk model in the ED and its relation to the existing requirements of ISA 315.

21. ESMA agrees with the proposed risk assessment procedures and related activities in paragraph 10 of the ED. However, ESMA believes that the IAASB should consider that understanding of risk and related internal control related to (i) the preparation of accounting estimates and related disclosures by management as required by the respective financial reporting framework and (ii) the completeness of the estimates made by management should be explicitly considered as part of the understanding of the entity and its environment.

22. ESMA emphasises the importance of using specialised skills when auditing accounting estimates, notably when those estimates rely on complex modelling. Therefore, we welcome the requirement that the auditor needs to determine early in the audit process whether specialised skills or knowledge are required, in order to perform the risk assessment procedures, or to identify and assess the risks of material misstatement. However, we are of the view, that the importance of the use of specialised skills and knowledge should be highlighted in all phases of the audit of accounting estimates not only as part of the risk assessment. Use of specialised skills might be indispensable also during the planning stage, during performing testing of controls or substantive testing, notably in complex environment.

Factors taken into account in identifying and assessing the risk of material misstatement (Q4-Q6 of the Request for comments)

23. ESMA agrees that complexity, management judgment and estimation uncertainty are principal factors to be taken into account in identifying and assessing the risk of material misstatement. However, ESMA is of the view that the level of estimation uncertainty represents the first element to be taken into account when identifying and assessing the risk of material misstatement, e.g. in case of reliance on forward-looking information. Consequently, we are of the view that this thought process should be reflected in the structure of the standard that should start with the level of estimation uncertainty, continue with the management judgement before considering complexity. ESMA also notes that the order of factors is different in the body of the standard and in Appendix 2 of the ED.

Testing of effectiveness of internal controls (Q4 and Q6 of the Request for comments)

24. ESMA welcomes the application guidance in the ED on the testing of effectiveness of internal controls over the accounting estimates and over the process of their preparation. In order to ensure that the auditors are required to test internal controls over the ECL in all appropriate circumstances (such as for financial institutions), guidance currently proposed for paragraph A98 should be further expanded and incorporated in the requirements section of the standard.

25. ESMA also believes that the importance of the testing of internal controls over the accounting estimates should be highlighted when performing procedures related to risk assessment and responses to the assessed risk of material misstatement. In reference to the latter, ESMA suggests that the relevant guidance in paragraphs A48-A60 of the ED related to auditor obtaining an understanding of internal controls (paragraph 10(f) of the ED) could be linked and emphasised in the requirements related to the auditor responses to the assessed risk of material misstatement (notably to paragraph 16 of the ED).

Responses to the assessed risks of material misstatement (Q4-Q6 of the Request for comments)

26. ESMA is of the view that the structure of the requirements in the paragraphs 14-20 of the ED could be improved by more clearly addressing the two situations in paragraph 15 (i.e. specifically identifying audit procedures to be performed (a) when inherent risk is low and (b) when inherent risk is not low). Furthermore, paragraph 15(a) could explicitly require an auditor to assess whether previous audit procedures performed provide sufficient appropriate audit evidence, when inherent risk is low.

27. While ESMA agrees with the matters of which the auditor needs to obtain audit evidence (paragraphs 17- 20 of the ED), we are of the view that they do not give an answer to the question what is sufficient appropriate audit evidence regarding cases with complexity, judgement or estimation uncertainty. We are of the view that specific audit procedures or specific practical guidance should be added to the application guidance.

28. ESMA is of the view that paragraph 18(c)(ii) that requires the auditor to obtain sufficient appropriate audit evidence on whether changes from the previous period's model are appropriate in the circumstances should be clarified. In particular, the guidance should address separately changes in the model and changes in the outcome of the model. Furthermore, the auditor should be required to obtain sufficient appropriate audit evidence when assessing reasons for a significant change in the model or a significant difference in the accounting estimate as well as in situations when there is a significant change in circumstances but no significant change in related accounting estimate.

29. Furthermore, ESMA is of the view that the application guidance in paragraph A126 should be turned into requirement in paragraph 19(b). Consequently, when in the auditor's judgment, management has not appropriately understood and addressed the estimation

uncertainty; the auditor should request management to consider alternative assumptions or to provide additional disclosure relating to the estimation uncertainty, before developing its own estimate. At the same time, in our view, the IAASB should explicitly address the consequences of the auditors' assessment that management has not appropriately understood and addressed the estimation uncertainty on the audit opinion and on reporting of key audit matters.

30. ESMA is of the view that evaluation of estimation uncertainty needs to be specified by (i) further clarifying paragraph A129 of the ED with regards to circumstances when it is appropriate to develop an auditor's point estimate and when a range and (ii) providing additional application guidance how the criteria in paragraph 20 of the ED could be met.

31. Finally, in our view, given that the accounting estimates are often subject to significant management judgement, the standard should include a separate requirement of obtaining relevant management's documentation regarding accounting estimates as part of obtaining sufficient appropriate audit evidence. Subsequently, taking into account the documentation received from management an auditor shall assess the appropriateness of an accounting estimate and conclude on its impact on the overall audit.

Audit documentation

32. ESMA is disappointed that the requirements related to the documentation of the auditing of accounting estimates do not seem to be sufficiently developed in the ED. ESMA is of the view that it would be appropriate to expand and define the documentation requirements included in the paragraph 27 of the ED as well as cross-refer them to the requirements of paragraphs 8 and A10 of ISA 230 - *Audit Documentation*. While ESMA does not support repetition of the requirements of other auditing standards, ESMA is of the view that the IAASB should consider transforming the relevant part of the application guidance specifically related to documentation of the audit of accounting estimates currently included in paragraph A158 into requirements within paragraph 27 of the ED.

33. We are of the view that estimation uncertainty, use of judgement and complexity of accounting estimates warrant additional documentation of the work of the auditors in this area than currently proposed by the ED. While we agree with the general intention of paragraph 27 of the ED, ESMA is concerned that the requirement of paragraph 27(a) of the ED is not sufficiently specific to ensure documentation of all substantial judgements and procedures when auditing this complex and judgemental area of financial reporting.

34. Therefore, ESMA suggests that the auditor should be required to document, with regards to all significant accounting estimates, as a minimum:

   a. the basis for the auditor's conclusions on the reasonableness of areas of subjective judgement (as included in paragraph 27(a) of the ED);
   b. assessment and evaluation of the accounting estimates, including their specific risk factors;

c. significant judgements made by the auditor when assessing the accounting estimates;
d. how professional scepticism in auditing accounting estimates was ensured; and
e. assessment and evaluation of the factors driving potential risks related to the accounting estimates.

ESMA is of the view that specific requirements for audit documentation of accounting estimates in ISA 540 (Revised) would specify the generic requirements in paragraph 32 of ISA 315.

35. Finally, ESMA notes that the documentation requirements should be extended by specific requirements related to the documentation of the identification and assessment of the risk of material misstatement in relation to the accounting estimates by the auditor. This is because in our view, the reference to ISA 315 in paragraph 13 of the ED seems to be overly restrictive and might not capture documenting auditors' identification and assessment of the individual relevant factors, which the accounting estimate is subject to. In our view, such documentation requirement is even more relevant when the auditor assesses the inherent risk of misstatement as low.

Key audit matters

36. ESMA appreciates the reference to the link between certain aspects of the audit of accounting estimates related to estimation uncertainty and the key audit matters in paragraph A125 of the ED. However, ESMA strongly believes that the interaction between the audit of accounting estimates (and notably the auditor work on assessment of its elements of estimation uncertainty, management judgement and complexity) and key audit matters should be further developed in the requirements section of ISA 540 (Revised).

Disclosures

37. ESMA welcomes the requirements of paragraph 21 on the audit of disclosures related to accounting estimates. ESMA highly appreciates the requirements of paragraph 21(a) and strongly supports the requirement that the auditor should evaluate whether the management has provided all the disclosures that not only meet the objective of the disclosure requirements but also ensure fair presentation of the financial statements as a whole. However, ESMA is of the view that this requirement could be better explained (e.g. by building on the description provided in paragraph A120 that seems to be more clear and explicit as the requirements) and further exemplified in the application guidance.

Effective date (Q8(b) of the Request for comments)

38. While the impetus for revising the requirements for audit of accounting estimates is not limited to audit of ECL models, ESMA highlights the benefits of aligning the date of application of the new ISA 540 (Revised) and IFRS 9 to the extent possible. In this respect, ESMA regrets that full alignment is no longer possible given the mandatory effective date

of IFRS 9. Consequently, ESMA believes that the IAASB should do its outmost to finalise a high-quality and comprehensive standard for auditing accounting estimates (including any specific guidance for financial institutions) in time that it could be early adopted for the audit of the first set of annual financial statements in which IFRS 9 is applied.

<u>Other comments</u>

39. ESMA is of the view that paragraph 3(c)(ii) of the ED should be split into two separate considerations one focusing on management point estimate and one on disclosure. In our view it remains unclear why the IAASB decided to combine these two factors, as the susceptibility to misstatement with respect to estimation uncertainty may increase because of each these factors independently.

40. The term "outcome" defined in paragraph 9(f) of the ED should be used consistently throughout the standard. In this respect, the IAASB should distinguish whether the term outcome refers to the ultimate cash flows resulting from the estimate or to the final calculation of the amount, which was estimated.

41. While ESMA accepts the use of the term "reasonable" for the audit of disclosures related to accounting estimates for the reasons included in paragraph 11 of the explanatory memorandum to ISA 540 (Revised), ESMA is of the view that the explanation of the term in relation to the audit of disclosures should be included directly in ISA 540 (Revised).

<u>*Q7 of the Request for comments:*</u>

42. While ESMA welcomes the confirming amendments to paragraph 7 of ISA 500 – *Audit Evidence* addressing information obtained from an external source, ESMA notes that the requirements are disproportionally limited in comparison with the substantive body of the application material. ESMA suggest that those parts of the application guidance that constitute requirements are moved to the requirement section of ISA 540 (Revised).

43. Finally, we believe it would be inappropriate to limit external information sources to the information that is available to the public as proposed in paragraph A1A of ISA 500. We are of the view that such wording might be understood as limiting the scope only to "free and open data". ESMA notes that external information sources are often not available to public, but only to certain users who often need to pay for such services (e.g. external pricing services or credit history providers).

INTERNATIONAL ASSOCIATION OF
INSURANCE SUPERVISORS

11 July 2017

Ref: 17/31

Prof. Arnold Schilder
Chairman
International Auditing and Assurance Standards Board (IAASB)
International Federation of Accountants
529 Fifth Avenue, 6th Floor
New York, New York
10017 U.S.A.

Dear Professor Schilder,

RE: Proposed International Standard on Auditing 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

The International Association of Insurance Supervisors (IAIS) welcomes the opportunity to comment on the IAASB's Exposure Draft (ED) of the revised International Standard on Auditing (ISA) 540, *Auditing Accounting Estimates and Related Disclosures.*

The IAIS acknowledges the significant work done by the IAASB in developing the ISA 540 (Revised) ED, and we are happy to have been able to participate and contribute to the work efforts of the IAASB's ISA 540 Task Force.

Overall, the IAIS believes the revisions will improve the requirements and guidance for the audit of accounting estimates, including estimates of insurance contract liabilities, and that it is an important step in the right direction with respect to the overall objective of enhancing audit quality in the public interest.

At the same time, the IAIS understands that the generic and principles-based nature of the ISA 540 ED requirements do not allow for a more detailed audit consideration of important aspects of the typically significant and complex estimates of insurance contract liability estimates that are made by insurance entities. Also, the IAIS believes there is a strong need for more detailed application material on the audit of financial institutions, including key accounting estimate considerations. Lastly, due to unfortunate timing, the particular audit considerations relating to IFRS 17 (Insurance Contracts) could obviously not be fully assessed during the development of the ISA 540 ED.

Consequently, the IAIS strongly encourages the IAASB to consider on a priority basis the further development of audit application or guidance material, such as an *International Auditing Practice Note* (IAPN), to better address the specific considerations around auditing insurance contract liabilities.

The appendix to this letter provides more detailed responses to the questions set out in the ED. This appendix was prepared on behalf of the IAIS by its Accounting and Auditing Working Group (AAWG). The AAWG`s membership represents a subset of all IAIS members.

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Yours sincerely,

Victoria Saporta
Chair, Executive Committee

Elise Liebers
Acting Chair, Financial Stability and Technical Committee

Appendix: IAIS Responses to Questions set out in the Exposure Draft (ED) on the revised International Standard on Auditing (ISA) 540, *Auditing Accounting Estimates and Related Disclosures*

Overall Questions

1) Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?

On a general basis, the ED-540 looks to cover key matters in the development of accounting estimates, including new requirements for further audit procedures that respond to the reasons for a specific assessment of material misstatement, and relevant application material on topics such as complex modelling, model adjustments, use of point estimates, significant data and assumptions, inactive and illiquid markets, and internal controls.

However, the generic nature of the ISA requirements do not allow for a more detailed consideration of important aspects of significant accounting estimates made within particular industries, such as insurance industry. Many jurisdictions have (or have had) specific guidance around auditing insurance contract liabilities, and such guidance allows for the development of specific considerations to address the particular features of these typically significant and complex accounting estimates being made by insurance entities. With respect to ISA 540, given its development as a principles-based standard, more detailed guidance on particular insurance audit specificities would provide auditors with more clarity on ISA 540 application, as well as a stronger foundation for assessing auditors' compliance with its principles-based requirements.

Lastly, it is unfortunate that topical dialogue and experience on particular audit considerations around IFRS 17 (Insurance Contracts) could not have been more prominent during development of the revised ISA 540 given the late timing of the release of IFRS 17. The revised ISA 540 was developed without the benefit of IFRS 17 application experience and hindsight, which will come with time, and so there may be a need for some further considerations. Consequently, the IAIS strongly encourages the IAASB to consider on a priority basis the further development of audit application or guidance material, such as an *International Auditing Practice Note* (IAPN), to better address the specific considerations around auditing insurance contract liabilities.

2) Do the requirements and application material of ED-540 appropriately reinforce the application of professional skepticism when auditing accounting estimates?

As we stated in our 4 May 2016 response to the IAASB's Invitation to Comment (ITC) *Enhancing Audit Quality in the Public Interest*, professional skepticism is by nature a questioning state of mind which can be better supported at many levels including through enhanced audit standards as well as better audit firm and engagement practices. At the standards setting level, we highlighted that IAASB literature needs to be sufficiently flexible and open-ended such that it not interpreted as an exhaustive or self-contained set of rules or procedures designed to 'prove' skepticism – i.e. to avoid a 'tick-box' auditor mind-set - and that can be meaningfully applied to new situations as they arise.

Also, professional skepticism is closely interrelated with professional judgment. Professional skepticism cannot be considered as professional without sound professional experience and judgment. In order for skepticism to function properly, the auditor must have the requisite technical knowledge and experience that relates to key judgment areas in the audit of a particular industry.

By that criteria, the ED-540 appropriately reinforces the application of professional skepticism by focussing on audit objectives and allowing flexibility for external auditors to address the underlying drivers of the risk of material misstatement in a more tailored fashion. At the same time, the ED-540 speaks directly to indicators of management bias, includes a ‘stand-back’ assessment provision, and outlines that all relevant audit evidence obtained whether corroborative or contradictory needs to be considered – these are all useful considerations for reinforcing the application of professional skepticism.

In addition, the importance of specialized skills or knowledge to properly assess some accounting estimates is relatively well covered in paragraphs A67-A70. It would be useful in paragraph 27 of the ED to require auditors to document the basis for not requiring the use of an expert with specialized skills or knowledge when the inherent risk of material misstatements with an accounting estimate is not low, as we expect would often be the case for accounting estimates of insurance contract liabilities.

However, we also note the ISA 540 material could include more emphasis around auditors ‘challenging’ the consistency of the management assumptions, as this is a concrete application of professional skepticism. While not precluding further emphasis in other areas - as auditors should demonstrate professional skepticism in all stages of the audit - we suggest that further emphasis on ‘challenging’ management assumptions should particularly be included within the guidance material relating to auditor responses when the risks of material misstatement are not low due to the extent of judgement applied, and when assessing management bias. In particular, we suggest strengthening the auditor’s role in assessing the consistency of management assumptions within an entity and in comparison to relevant objective information and market data.

Furthermore, more could be done outside of ED-540 to support the application of professional skepticism. This includes more at the standard-setting level, such as reinforcing the definition of professional skepticism within ISA 200 to make it less ‘neutral’ by introducing a concept of a questioning mind that would tend to exhibit a more doubting attitude.

Focus on Risk Assessment and Responses

3) Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?

Yes, the flexibility of the standard allows it to be scalable. That said, our focus was on considerations when inherent risk is not low, as we expect this would be the usual situation for an audit of accounting estimates involving insurance contract liabilities.

4) When inherent risk is not low (see paragraphs 13, 15 and 17–20):

a) Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?

Generally, we think the requirements will support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates. In particular, we find that para. 16 and A98-A100 on internal control considerations fit well within that section.

However, we feel the guidance material around third-party model considerations within para. A104 should be expanded, given the additional risks that management may not be fully aware of and/or have complete documentation relating to the model's limitations and features.

Also, we think there could be a stronger link established between the associated categories of an inherent risk that is not low and a significant risk, especially as the auditor is required to meet certain requirements under other ISAs when the risk is identified as a significant risk.

To establish a stronger link, the IAASB may want to consider:

- Including the following additional wording within para. 16 to make it consistent with requirements in ISA 330 para. 15, "…the auditor shall design and perform tests of controls in the current period to obtain sufficient appropriate audit evidence as to their operating effectiveness."

- Including the following additional wording at the end of the para. A76 "…including control activities relevant to that specific risk.", as this would better reflect the ISA 315 specific requirements linked to the fact that a risk is considered a 'significant risk'.

- Expanding para. A76 to highlight the important ISA 315 para. 27 consideration that "In exercising this judgment, the auditor shall exclude the effects of identified controls related to the risk."

b) Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty?

Yes, we support requirements for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty.

However, we find the ISA-540 could be better worded in certain areas discussing estimation uncertainly to ensure the focus is on the extent of it and not merely its existence. Clearly, the para. 9 (a) definition of 'accounting estimate' highlights it is a measurement subject to estimation uncertainty, i.e. all accounting estimates will have estimation uncertainty. Consequently, when identifying, assessing and responding to the risk of material misstatement due to estimation uncertainty, the relevant consideration should appropriately be on the extent of the estimation uncertainty, not merely its existence. However, while para. 13 (c) discusses extent of estimation uncertainty, the para. 19 wording does not, and can be read as focussing more on its existence. We suggest adding wording to para. 19 to ensure the focus is properly on the extent of estimation uncertainty as the relevant consideration.

c) Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 to 19 of ED-540? If not, what additional guidance should be included?

Generally, we believe there is sufficient guidance in relation to the proposed objectives-based requirements in para. 17 to 19.

However, we are concerned with the potential for confusion around the use of particular nuanced key words in multiple contexts within the ED, for example:

- As noted within para. A2, the notion of 'reasonable' that is used in various paragraphs is meant to indicate that all the relevant requirements of the applicable financial reporting framework have been applied appropriately. This definition of 'reasonable' is clearly meant to be different from the meaning of 'reasonable assurance' (para 37 in ISA 700), and is (as outlined in A3) not identical to the meaning of 'appropriate'. However, we are concerned that the nuances being applied to these commonly used words can create confusion. The IAASB should ensure that the definitions introduced are consistently applied; we note that the use of the term 'reasonable' in para. A124 does not appear to be consistent with its definition in para. A2;

- The para. 9 (f) definition of 'outcome of an accounting estimate' clearly highlights it is an actual monetary amount that results from the resolution of the underlying transaction(s), event(s) or condition(s) addressed by an accounting estimate. However, we note the term 'outcome(s)' is used in the ED in different contexts, many which are relevant for the audit of insurance contract liabilities ("range of outcomes", "outcomes scenarios" etc.), and so this may create some confusion. Also the term 'outcomes of the accounting estimates' is used in para. A109 within a context that is not consistent with the para. 9(f) definition.

We suggest this wording be revisited to increase clarity.

5) Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?

Yes, we generally believe the approach prescribed within para. 20 and the related application material in para. A128–A134 will be more effective for evaluating whether management's point estimate is reasonable or misstated. However, we encourage the IAASB to develop future examples and other support tools to address special audit considerations relating to the application of ISA 540 para. 19 b) and para. 20, in particular for audits of financial institutions.

We like the stronger requirement for auditors to address uncertainty (where management have not) by developing a range included at paragraph 19(b). We suggest further application material on ranges be brought into the requirements part of ISA, making it clearer that the auditor should be satisfied that the point estimate selected by management is in an appropriate place within a range. For example, the wording in A123, that management's estimate "is appropriately representative of the range of reasonably possible outcomes" is important, but appearing at the 6th bullet point, is rather buried. The lead in wording to A123 should be stronger, for example as the second sentence already includes "as applicable" at the end, the earlier "may be relevant" should become "are" or "will be" relevant. The application material at A116-A118 is useful and should be retained.

We also believe it would be useful to highlight within para. A131 that when the auditor uses management's model to develop a point estimate or range, the auditor first needs to obtain sufficient and appropriate evidence that the internal controls associated with the model are operating effectively.

6) Will the requirement in paragraph 23 and related application material (see paragraphs A2–A3 and A142–A146) result in more consistent determination of a misstatement, including when the auditor uses an auditor's range to evaluate management's point estimate?

Yes, we believe the requirement in paragraph 23 and related application material in para. A2–A3 and A142–A146 will result in more consistent determination of a misstatement, including when the auditor uses an auditor's range to evaluate management's point estimate

Conforming and Consequential Amendments

7) With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?

We think the proposed new ISA 500 material regarding external information sources should include the additional requirement that the reliability and credibility of the external information source be assessed, and in particular when the information source is not widely used. With that, the new material should be helpful in promoting better evaluations of audit evidence that is based upon data from external information sources. This area seems to be growing in importance as entities are increasingly engaging in complex investment, hedging, financing, and other activities that are using data from external information sources to support the determination or validation of their estimates.

Request for General Comments

8) In addition to the requests for specific comments above, the IAASB is also seeking comments on the matters set out below: **a) Translations—Recognizing that many respondents may intend to translate the final ISA for adoption in their own environments, the IAASB welcomes comment on potential translation issues respondents note in reviewing the ED-540.**

We have no comments to provide on this question.

b) Effective Date—Recognizing that ED-540 is a substantive revision, and given the need for national due process and translation, as applicable, the IAASB believes that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of a final ISA. Earlier application would be permitted and encouraged. The IAASB welcomes comments on whether this would provide a sufficient period to support effective implementation of the ISA.

The IAIS welcomes the introduction of the revised ISA 540 as soon as possible, noting that it provides a more relevant basis for the audit of accounting estimates made under IFRS 9

(Financial Instruments) which has a mandatory effective date for annual periods beginning on or after 1 January 2018, with earlier application permitted.

However, we also appreciate the need to allow some time for jurisdictions and firms to transition to the substantively revised ISA 540. Consequently, we support the IAASB's view that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of a final ISA, with earlier application to be permitted and encouraged. On that latter point, even before the approval of the final ISA, we believe that audit firms could and should be taking preliminary steps (such as internal education sessions, enhancements to their audit approach etc.) to ensure they can early apply the improved standard to their audits of accounting estimates.

Additional Comments

The IAIS also provides the following additional comments on the ED-540:

- We fully support the changed objective which recognises the audit of accounting estimates disclosed within financial statements as being at the same level as those recognised within the financial statements. The auditor's sustained focus on the quality of disclosures is an important part of the auditor's overall work on accounting estimates;

- At the end of para. 4, there is an unsupported reference to auditors being limited in their ability to reduce estimation uncertainly below a certain level. Although the sentence begins by saying "The ISA also recognises", there appears to be no other related reference elsewhere in the ED regarding the ability to reduce estimation uncertainly, and it is debatable as to whether auditors can reduce estimation uncertainly (which involves an inherent lack of precision) at all, and so we recommend removing the last part of the last sentence within para. 4;

- The objective outlined in para. 8 can be better articulated to ensure it encompasses the 'completeness' assertion; auditors need to obtain evidence that all accounting estimates that have to be recognized or disclosed are effectively recognized or disclosed. A simple fix may be to have para. 8(a) say "…whether or not…";

- We suggest that para. 10(f) and/or A48 include a reference to the specific requirements of para. 13 of ISA 315 which says:

  "*When obtaining an understanding of controls that are relevant to the audit, the auditor shall evaluate the design of those controls and determine whether they have been implemented, by performing procedures in addition to inquiry of the entity's personnel.*"

- Paragraph 11 requires the review of accounting estimates included in the previous period financial statements, but the supporting Application Material (i.e. A61 opening sentence) refers to 'previous periods'. Given that evidence will be relevant from before the previous period only, we suggest that the requirement indicates that previous periods should be assessed;

- Regarding para. 25 and A153-154 on written representations, the auditor should also obtain written representations from management acknowledging management's responsibility for establishing and maintaining effective internal controls in relation to certain accounting estimates and disclosure. Specifically, we suggest adding within para 153 a reference to para. A11 of ISA 580, which says:

“In addition to the written representation required by paragraph 11, the auditor may consider it necessary to request management to provide a written representation that it has communicated to the auditor all deficiencies in internal control of which management is aware.”

- We welcome the new reference to ISA 265 and reporting on deficiencies in internal controls at paragraph 26;
- We note the documentation requirement at paragraph 27(b) has been developed to include the auditor’s evaluation of possible management bias on whether the financial statements are materially misstated and we support this change;
- The application material to the documentation requirements has been expanded and we support the new material at A158;
- Appendices 1 and 2 include useful material relevant to the application of the ISA and should be retained as part of the ISA. Appendix 2 is particularly valuable as it explains the factors of uncertainty, judgement and estimation uncertainty which are key to the ISA.

Proposed International Standard on Auditing 540 (Revised)

ICAEW welcomes the opportunity to comment on the *Proposed International Standard on Auditing 540 (Revised)* published by IAASB on 20 April 2017, a copy of which is available from this link.

This response of 31 July 2017 has been prepared on behalf of ICAEW by the Audit and Assurance Faculty. Recognised internationally as a leading authority and source of expertise on audit and assurance issues, the Faculty is responsible for audit and assurance submissions on behalf of ICAEW. The Faculty has around 7,500 members drawn from practising firms and organisations of all sizes in the private and public sectors.

ICAEW is a world-leading professional accountancy body. We operate under a Royal Charter, working in the public interest. ICAEW's regulation of its members, in particular its responsibilities in respect of auditors, is overseen by the UK Financial Reporting Council. We provide leadership and practical support to over 147,000 member chartered accountants in more than 160 countries, working with governments, regulators and industry in order to ensure that the highest standards are maintained.

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MAJOR POINTS

Support for the project

1. We welcome this ED and congratulate IAASB on its proposals. ED ISA 540 on the audit of estimates is the first in a series of important and far-reaching revisions. The risk ISAs and standards on quality control, group audits and audit evidence are being revised. They all go to the heart of every audit. We also welcome the field testing being conducted through the Global Public Policy Committee and urge IAASB to pay particular attention to the results. IAASB also needs to engage actively in the implementation effort and establish a model with the implementation of ISA 540 that can be used again.

2. An audit regulatory observation made over many years is that auditors deal with estimates inconsistently. There are several reasons for this, some of them firm-related, some driven by regulatory pressure and some relating to ISA 540 itself. The proposals are an attempt to reduce inconsistency and overall, we broadly support the reduction in emphasis on significant risks, the proposed 'stand back', and the enhanced focus on disclosures, models, and bias.

Restructuring is needed

3. We are concerned about the structure of the proposed standard. All of those we consulted believe that while the three risk factors are useful in driving thought processes in performing the analysis, driving the response through three risk factors will result in inconsistency, repetition and inefficiency. We understand that field testing has demonstrated this.

4. Complexity, estimation uncertainty and judgement are tightly interrelated. An estimate by definition includes estimation uncertainty, and estimation uncertainty by definition involves the use of judgement, and any complex estimate therefore involves the other two. Furthermore, they are not, of themselves, risks. They are not 'things that can go wrong'. They are categories that can help auditors think about what might go wrong. The requirement to focus the response on which are the main 'drivers', will result in practice in all three approaches being adopted in many cases, to avoid regulatory challenge. Is this what IAASB really intended? Will it normally be two out of three? Are there any situations in which IAASB can envisage it being one out of three? The distinction between the three approaches described is artificial. The extent of overlap and the interaction with financial statement assertions will result in complex and repetitive matrices analysing risk by line item, risk factor, assertion, assessed risk level and more. The use of the three risk factor model may be useful in the risk analysis process but IAASB should not force its use in driving the response.

5. The PCAOB's proposals on estimates retain an existing recognisable structure while incorporating many of the new elements of IAASB's proposals. This will lead some respondents to suggest that the PCAOB's proposals appear to be more readily workable. Calls for IAASB to *restructure* the proposals should not be dismissed lightly. Restructuring could be achieved in several different ways[1], without altering the substance of the proposals or the need for re-exposure. From a public interest perspective, it must surely be more important than ever that there is as much consistency as possible in the audit of the world's largest banks and other financial institutions and we will be urging the PCAOB to look at what it can do to bring the *substance* of its proposals closer to those of IAASB.

6. ICAEW's Corporate Finance Faculty has recently published its _Consultation paper on prospective financial information_ to update *Prospective Financial Information: Guidance for UK Directors,* published in 2003. The proposals would result in updated prospective financial

[1] For example, the proposals could be structured using headings of 'methods, data and assumptions', or 'low risk, not low risk and complex' estimates.

information (PFI) principles comprising, among other things, the three current *preparation principles*, i.e. *reasonable disclosure, business analysis and subsequent validation*:

- *reasonable disclosure* is of uncertainties and mitigating actions;
- *sound business analysis* renders PFI reliable;
- *subsequent validation* renders PFI comparable.

7. We draw IAASB's attention to these principles because the consultation paper proposes to extend the principles beyond the regulated PFI currently in scope, to forward looking information more widely. Forward looking information is now embedded in financial reporting frameworks such as IFRS and many of the challenges faced by auditors auditing, for example, impairments and recoverability are the same as those faced by preparers.

8. Despite an absence of guidance, expectations of both preparers and auditors are high, in terms of the 'accuracy' of the forecasts and projections underpinning many estimates. Banks and others moving to the ECL model are struggling with the transition. It is not easy for any preparer to develop an estimate involving projections 40 years hence, and principles relating to the disclosure of uncertainties, based on a sound knowledge of the business, backed up by subsequent validation where short terms assumptions are projected forward, would be helpful to preparers and their auditors.

9. IAASB cannot resolve this issue but it might acknowledge it in the introductory information to ISA 540. In its engagement with other stakeholders in the financial reporting supply chain, IAASB might also encourage the adoption by accounting standard-setters of guiding principles for the preparation and audit of forward looking information. The three factors developed by IAASB are not shared by preparers and some common ground in this difficult area would be welcomed by both. It would be an unfortunate, if not entirely unpredictable, unintended consequence if auditors were found to approach the audit of estimates by attempting to rationalise or retrofit estimates produced by preparers using IAASB's three factors, for the want of guiding principles. Giving greater prominence to principles of preparation, where they exist, would help align the work of preparers and auditors.

More is needed to achieve scalability, but not all of it in ISA 540

10. Using the inherent risk (IR) assessment as a threshold will be a key issue for some respondents who will question IAASB's approach. The assessment of IR *per se* is not well developed either in these proposals or in other ISAs. ISA 315 on risk assessment mentions in passing the assessment of IR in the context of estimates and other references are limited to a few in ISA 200. We understand the need not to overload ISA 315 but the revision of that ISA needs to be aligned with the revision of this one. The idea that conforming amendments will be made to ISA 540 after ISA 315 has been finalised does not sit well with the nature and extent of these proposals. More is needed somewhere on IR, distinguishing between low and not low IR, IR and the risk of material misstatement and IR and significant risk.

11. We make numerous references in this response to a need for more examples and guidance, and we acknowledge that we are asking a lot. We make no apology for this and have not made these points carelessly. We are asking for a lot because a lot is needed. To ask for these proposals, or any ISA, to serve the largest of financial institutions and the smallest of audits may be asking too much. We do not underestimate the extent of IAASB effort involved in arriving at a position intended to cover both extremes, from the simplest depreciation calculation to the most complex of financial instruments and expected credit losses (ECL), but we believe that more detail is needed at both ends of the scale, not all of it in ISA 540.

12. At the upper end of the scale, auditors of banks, insurers and other financial institutions might be forgiven for thinking that IAASB has lost sight of the original objective of the project, which was to deal with IFRS 9 issues. Our members working in banking and insurance have expressed scepticism as to how the proposals as they stand, will enhance consistency in the

audit of financial institutions. The material on ECL under IFRS 9 and technical provisions under IFRS 17 is thin.

13. We have heard repeated calls for more specific guidance for the audit of banks and insurers, and we therefore strongly suggest that IAASB considers the development of guidance for the application of ISA 540 to the financial sector in the form of an IAPN. This should provide guidance on, among other things, the audit of forward-looking information and approaches to determining when a significant increase in credit risk has occurred. We understand that the Basel Committee is also in favour of an IAPN for this sector.

14. At the other end of the scale, it is difficult to avoid the impression that the proposals are over-engineered in some respects. We sense that while IAASB would like the low IR category to be perceived as the principal means by which scalability has been achieved, this ignores the fact that the financial statements of many SMEs include not low IR estimates.

15. We do not believe that IAASB intends to make extensive changes to the ways firms approach the audit of low IR estimates and IAASB should make this clearer. To the extent that it *does* intend to enhance the approach to such estimates, it should highlight those enhancements. The required *response* to low IR estimates does not appear to represent a significant change from the status quo[2]. However, more work does appear to be required to *assess* the risk associated with such estimates - only in many cases to arrive at the same place as before. Even where it is obvious that the estimate is low IR, all of the paragraph 10 requirements still apply. Explaining this to our members will be a tall order. IAASB needs to do what it can to emphasise the benefits to practitioners and the clients they serve, to prevent a perception arising that the only benefits will accrue to regulators of larger audit firms.

16. The need for implementation material prepared by IAASB for the benefit of smaller firms and the SMEs they serve has never been clearer. Currently, IAASB provides examples of estimates that 'are' low IR, rather than a nuanced discussion. We urge IAASB to consider setting a precedent in this case by developing a staff publication. This should explain and illustrate the practical application of the proposed requirements, enhance the existing examples and provide further examples of estimates that might be considered low IR in some situations and not in others and how, most importantly, auditors might respond to them in practice. This would encourage consistency of application and avoid any perception of rule-making.

17. The behaviour of auditors and regulators is critical, as always, to successful implementation. There is as much of a risk that some auditors will always try to shoehorn estimates into the low IR bucket and ignore the rest of the ISA, as there is a risk that others might seek to avoid that bucket, for exactly the same reason, i.e. a perception that regulators will automatically treat anything in the low IR bucket as suspect. Practitioners from small and large firms alike fear that expectations will arise about which types of estimate fits into which bucket and how big each bucket should be relative to the other. As with the rebuttable presumptions regarding the risks associated with fraud and revenue recognition, and significant and non-significant risks, firms also fear they will waste effort by being driven to treat low IR estimates as if they were not low IR.

18. We are not comfortable with IAASB's proposal to deal with the inconsistency with ISA 700 resulting from the change to the objective for disclosures from 'adequate' to 'reasonable' during the post-implementation review of reporting standards. It is a substantive issue that should be resolved prior to finalisation.

High estimation uncertainty and the 'stand back'

[2] The extant four steps - audit estimate, post balance sheet events, management's process and internal controls - have been rationalised, controls have been taken into management's process and there are now three.

19. IAASB should more clearly address situations in which high levels of estimation uncertainty mean that the range of reasonable estimates may be many times materiality for the entity as a whole - such as for large technical provisions in small insurance companies, and property assets in property investment companies. Currently, there is a brief reference to ranges being multiples of materiality in A134. IAASB might note that in such cases, the size of the provision or property assets should be included in determining materiality for the financial statements as a whole, with a lower level of materiality set for unrelated items. Similar considerations apply to non-bank lenders and life insurers.

20. It is important in cases of high estimation uncertainty to focus on the factors of judgement and complexity. When auditors are genuinely dealing with a high level of true estimation uncertainty, of whatever size, an estimate is not misstated if it is depicted properly using a representative point value that the framework requires. IAASB could make this clearer. It might also make it clearer, without losing framework-neutrality, that most frameworks refer to a representative figure in a range, rather than any number that could be at either end of the range, and that numbers are unlikely to be 'representative' at the outer ranges, particularly if all are equally probable. In cases such as these, the probability weighted estimate would be the mean and not the outer ranges. However, if the distribution were skewed a number further towards an outer range might be a better representation. IAASB might consider giving additional emphasis or prominence to the wording in paragraph A123 referring to management's estimate being 'appropriately representative of the range of reasonably possible outcomes'.

21. We are sympathetic to those respondents who question the legitimacy of asking auditors to 'address' estimation uncertainty if management is unable or unwilling to do so because of the importance of maintaining auditor independence. The term 'address' may be deliberately broad but it may lead to inconsistencies in practice. For example, some may take the view that it is sufficient for management to simply measure and disclose estimation uncertainty, others may believe that management should, where possible, reduce estimation uncertainty to a level below performance materiality.

22. The proposed 'stand back' in paragraph 23 is important. There are few other areas in which ISAs mandate a stand back for such a specific category and this proposal sets something of a precedent. It is therefore important that it is as clear as possible. At present, proposed paragraph 23 does not make it clear whether it relates to individual estimates or estimates collectively. It can be read as applying to either or both. In ISA 330 the response is at the assertion level for an estimate or group or class thereof. This type of ambiguity may satisfy the need to build consensus in the short term but it is a recipe for inconsistency thereafter and we strongly suggest that IAASB resolves it before finalisation.

Costs, benefits and the implementation effort

23. When proposals such as these are made it is often asserted that the best audit teams are already doing much of what is proposed. While this may be true in some cases, documenting it, changing methodologies, training and managing regulatory challenge all represent cost. It is easier to pass costs relating to changes in accounting standards on to clients and we believe that as part of its implementation effort, and for the proposals to stand the best chance of successful implementation, IAASB *must* seek to engage with preparers of financial statements to make them aware or remind them of the:

- changes in the way auditors will be approaching the audit of estimates;
- concomitant need to provide auditors with good quality and internally consistent support for estimates and the related disclosures on a timely basis;
- importance of management taking full responsibility for their own estimates in the financial statements, and to stand back and challenge their own models, data, assumptions and processes, and those of any employed or engaged experts;
- importance of the disclosure of assumptions and sensitivities;

- benefits of better quality audits.

RESPONSES TO SPECIFIC QUESTIONS

Q1: Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?

24. We note above that despite an absence of guiding principles, expectations of both preparers and auditors are high, in terms of the 'accuracy' of the forecasts and projections underpinning many estimates now embedded in financial reporting frameworks such as IFRS. Banks and others moving to the ECL model are struggling with the transition. It is not easy for any preparer to develop an estimate involving projections 40 years hence. Principles of preparation for forward looking information. such as those promulgated by ICAEW's Corporate Finance Faculty, relating to the *disclosure* of uncertainties, based on a sound *knowledge of the business*, backed up by *subsequent validation* where short terms assumptions are projected forward, would be helpful to both preparers and their auditors.

25. IAASB might acknowledge this issue in the introductory information to ISA 540. In its engagement with other stakeholders in the financial reporting supply chain, IAASB might also encourage the adoption by accounting standard-setters of guiding principles for the preparation and audit of forward looking information. The three factors developed by IAASB are not shared by preparers and some common ground in this difficult area would be welcomed by both. It would be an unfortunate, if not entirely unpredictable, unintended consequence if auditors were found to approach the audit of estimates by attempting to rationalise or retrofit figures produced by preparers, using IAASB's three factors, for the want of guiding principles for preparers. Giving greater prominence to principles of preparation, where they exist, would help align the work of preparers and auditors.

26. As they stand, the proposals are weighted towards accounting estimates that are not low IR, but are not the most complex of estimates found in the financial statements of banks, insurers and other financial institutions. There is much more material on not low IR estimates than low IR estimates. Good quality application material and detailed examples are needed to make the proposals workable for both for banks, insurers and other financial institutions, and for the vast majority of audits in which run of the mill estimates are generally assessed as low IR - but not always.

27. For not low IR estimates, IAASB could make it clearer that no extensive changes to the extant approach to the *response* are intended and to highlight the enhancements in respect of the risk assessment. Better quality and more detailed examples are also needed. Currently, IAASB provides examples of estimates that 'are' low IR, rather than a nuanced discussion of different types of risk, the different circumstances in which they might be assessed as low IR or otherwise and, most importantly, how such risks might be dealt with in practice.

28. Implementation material prepared by IAASB for the benefit of smaller firms and the SMEs they serve is needed and we strongly urge IAASB to consider setting a precedent. A staff publication that explains and illustrates the practical application of the proposed requirements and provides further examples of estimates that might be considered low IR in some situations and not in others, and how they might be dealt with in those different situations would encourage consistency of application.

29. At both ends of the scale, observations have been made repeatedly to the effect that had the existing requirements been applied properly, much of what is proposed would have been unnecessary. Revisions to standards are only part of the overall effort to improve audit quality. When finalising this standard, IAASB should call on other stakeholders in the financial reporting supply chain to acknowledge the responsibility of management to provide auditors with adequate support on a timely basis for their accounting estimates when preparing

financial statements, including situations in which valuations are provided by third parties. Engagements should not be accepted or continued if management does not acknowledge its responsibilities for the preparation of the financial statements and while this is sometimes a difficult area in practice, IAASB should resist any suggestion that might dilute, or appear to dilute this important principal. Without auditor independence, there is no audit and auditors cannot eliminate estimation uncertainty by preparing the estimate themselves.

30. IAASB acknowledges that the quality of disclosures relating to estimates is critical and we agree with the upgrade and alignment of the audit objective for disclosures with the objective for estimates themselves. However, auditors will inevitably be unclear as to how the current requirements differ from the previous requirements. The application material has numerous, scattered references to disclosures and there are few cross-references. It would be helpful to consider how these could be drawn together.

The need for an IAPN

31. The original objective of this project was to deal with IFRS 9 issues in the light of G20 concerns about the financial statements of large financial institutions. Our members in that sector have expressed scepticism about how the proposals will, of themselves, enhance consistency in the audit of financial institutions, particularly given the lack of application material on ECL under IFRS 9 and technical provisions under IFRS 17. The example in A5 which refers to the auditors independently estimating ECL on a single loan is grossly over-simplified because it ignores the complexities involved in calculating ECL for an institution whose main business is lending.

32. We strongly suggest that IAASB considers the development of guidance for the application of ISA 540 to the financial sector in the form of an IAPN. This should provide guidance on, among other things, the audit of forward-looking information and approaches to determining when a significant increase in credit risk has occurred. We understand that the Basel Committee is in favour of an IAPN for this sector.

33. Our members in that sector are also rightly concerned about a lack of relevant guidance on internal control within the proposals. This is part of a wider issue about the audit of highly complex estimates. The quality of internal controls, and the control environment in particular, is critical in the audit of such estimates. While sector specific guidance is not appropriate for a general purpose ISA, and we are satisfied that most of the proposed material on internal control is in the application material, these concerns point strongly to the need for an IAPN, developed on a timely basis, for the financial sector.

34. Other examples of areas in which the proposals seem very light, especially in the context of ECL and technical provisions under IFRS 17, include:

- the requirements relating to the ‘stand back’ and bias assessment;
- different types of reporting, including regulatory reporting;
- disclosures.

35. References in A5 to the development of point estimates and ranges for components of estimates such as assumptions and data are confusing. In effect, they amount to developing different assumptions and data against which to benchmark those used by management. What is critical is the impact of those on the actual ECL estimated by management. Similarly, the difference between the 2nd and 4th bullets of A131 is unclear. The former uses management’s model and selects alternative assumptions or data sources to develop a point estimate or range, the latter uses alternative assumptions to those used by management. If the former involves independent inputs to management’s model to assess the actual estimate, this can and should be clearer.

36. We make further more detailed drafting points regarding the audit of ECL below.

Q2: Do the requirements and application material of ED-540 appropriately reinforce the application of professional skepticism when auditing accounting estimates?

37. We understand the importance of scepticism relating to estimates because of the risk of management bias, and note that the idea is to drive actions that promote scepticism as set out in paragraph 4. If followed properly, the proposals represent a challenging standard. But the outstanding question for practitioners now, as before, is how much evidence will be considered 'enough' by regulators. How far do auditors need to go to show that they have challenged management assumptions effectively, and to what extent do management and auditors need to consider alternative assumptions. Some guidance regarding the nature and extent of the 'stand back', and/or examples thereof, is important, particularly in jurisdictions in which a compliance framework is mandated and in which the concept of a 'stand back' is not well-embedded.

38. Some query the proposed paragraphs 12 and 14 requirements to determine the need for the use of experts in all cases. The issue is less about the requirement, and more about the need to document a negative, i.e. to make a statement in the vast majority of cases in which an expert is not required. While the increase in the use of fair values in UK and international frameworks has led to increasing reliance on specialists by management and auditors alike, the use of specialists remains the exception rather than the rule. It might be better to deal with this issue in application material in the context of the team discussion, rather than having two separate requirements.

Q3: Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?

39. We sense that while IAASB would like the low IR category to be perceived as the principal means by which scalability has been achieved, this ignores the fact that the financial statements of many SMEs include not low IR estimates.

40. Even a simple loan, not at market rates, can arguably involve complexities and judgements. The accounting regime for smaller entities in the UK, based on the IFRS for SMEs, distinguishes between 'basic' and 'other' financial instruments and there are fears that regulatory pressure will mean that an estimate will need to be very low IR, or virtually no risk (if such a thing exists) before auditors can safely categorise it as low IR. Some suggest that the trigger should be at the higher end of complexity, judgement and estimation uncertainty to prevent the low IR category becoming redundant and IAASB might consider incorporating some nuance to this effect in the application material.

41. The behaviour of auditors and regulators is critical, as always, to successful implementation. There is as much of a risk that some auditors will always try to shoehorn estimates into the low IR bucket and ignore the rest of the ISA, as there is a risk that others might seek to avoid that bucket, for exactly the same reason, i.e. a perception that regulators will automatically treat anything in the low IR bucket as suspect. Practitioners from firms of all sizes fear that expectations will arise about which types of estimate fits into which bucket and how big each bucket should be relative to the other. As with the rebuttable presumptions regarding the risks associated with fraud and revenue recognition, and significant and non-significant risks, firms also fear they will waste effort by being driven to treat low IR estimates as if they were not low IR.

42. In discussions about low IR estimates, the language used often reverts to 'complex' and 'simple'. We are aware that IAASB considered these terms and rejected them but it might be worth explaining in application, surround or implementation material that while there is considerable crossover between the 'low IR' and 'simple' or 'non-complex' estimates, they are not the same thing.

43. The proposed *response* to low IR estimates does not appear to represent a significant change from the status quo. However, more seems to be required for the assessment of such risks, even where it is obvious that the estimate is low IR, because all of the paragraph 10 requirements still apply. Explaining this approach to our members will be a tall order. IAASB needs to do what it can to emphasise the benefits to practitioners and the clients they serve, to prevent a perception arising that the only benefits will accrue regulators of larger audit firms. Possible ways of doing this include the following:

- making it clear that while many estimates in SME financial statements will fall to be classified as low IR, the increasing use of fair value accounting means that not all estimates in SME financial statements can be assumed to be low IR. IAASB should provide examples of the many industries in which SME financial statements are likely to incorporate several material not low IR estimates, such as those in the print, media and film industries;

- additional discussion of the principles governing the determination of what might constitute a low IR estimate, bearing in mind the potential for the confusion between or conflation of inherent risk, significant risk and business risk.

44. UK regulators note – although it is not widely reported – that auditors often do *too much* in irrelevant areas, sometimes because of this type of confusion. Many firm methodologies, including those marketed commercially and/or provided by training consortia or professional bodies, no longer analyse risk using 'low, medium or high' categories, having moved in line with ISAs some time ago to focus on significant risks. The change in mind set that will be required to implement the shift to low IR estimates and all others, should not be underestimated.

45. We have concerns about the IR assessment generally. A key issue that will lead some respondents to question IAASB's low IR threshold approach is the assessment of IR *per se.* ISA 315 on risk assessment mentions in passing the assessment of IR in the context of estimates but there are very few other references to IR within ISAs, most of them in ISA 200. More is needed somewhere on the nature of IR and its assessment. We understand the need not to overload ISA 315 but the revision of that ISA needs to be aligned with the revision of this one, and the idea that conforming amendments will be made to ISA 540 after ISA 315 has been finalised does not sit well with the nature and extent of these proposals.

46. ISAs currently subsume the IR assessment into the overall risk assessment and the only *discrete* reference to IR is in A39 of ISA 200 which states:

'For example, [inherent risk] may be higher for complex calculations or for accounts consisting of amounts derived from accounting estimates that are subject to significant estimation uncertainty. External circumstances giving rise to business risks may also influence inherent risk.'

47. IAASB might also consider aligning this with paragraph 13 of the proposed ISA by referring in to the fact that management judgement and potential for management bias may also influence inherent risk.

48. More detail should be provided on the examples already given of low IR estimates. For example, depreciation is unlikely to be assessed as a low inherent risk in parts of the public sector. Lists of additional examples are unlikely to be helpful because of the potential for use and misuse thereof by auditors and regulators alike, but what would be helpful is more detail on the existing examples.

49. Performing work on management's process is the most common technique adopted where it is available as an option, in preference to developing an independent estimate or reviewing subsequent events. IAASB should make it clear that auditors should not automatically choose this option simply because it is available, regardless of the quality of management's

process, or because another route, is less straightforward, especially if the alternative route might produce better quality audit evidence. Where appropriate, this would demonstrate the exercise of scepticism and reduce the emphasis on corroborative evidence.

50. Currently, paragraph 10 (f) refers to the need under ISA 315 for auditors to understand the components of controls in relation to estimates. The extensive related application material mostly apples to larger audits and the only reference to the need for auditors to understand controls *relevant to the audit* (which is all ISA 315 actually requires) is in A100 and even then only in the context of 'very small entities'. The absence of reference to controls 'relevant to the audit' in paragraph 10f has the effect of overstating the case. A100 errs on the side of caution in this respect: controls may not be relevant to the audit in audits of any size.

51. Enhancing the application material relating to controls might involve:

- suggesting that auditors consider whether a substantive approach alone is likely to be sufficient for not low IR estimates;
- emphasising the ISA 315 statement that enquiries of management alone are insufficient to obtain an understanding of internal control;
- suggesting that auditors obtain an understanding of the level at which controls operate, and how this is likely to prevent or detect material misstatement.

52. With regard to documentation, the IR assessment takes auditors to ISA 330 for low IR estimates, and leaves the rest in ISA 540. Auditors will need to focus more on *why* the evaluation was made, not on what it was, although they should have been doing this under the extant standard. However, if we are correct in believing that there is no intention to significantly change existing behaviour regarding documentation, and that only the trigger has changed (i.e. the IR assessment, rather than whether something is a significant risk), IAASB could make it clearer than it does that no such change is intended.

Q4: When inherent risk is not low (see paragraphs 13, 15 and 17–20):

a) Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?

b) Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty? And

c) Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 to 19 of ED-540? If not, what additional guidance should be included?

53. We are concerned about the structure of the proposed standard. All of those we consulted believe that while the three risk factors are useful in driving thought processes in performing the analysis, driving the response through three risk factors will inevitably result in inconsistency, repetition and inefficiency. We understand that field testing has demonstrated this.

54. Complexity, estimation uncertainty and judgement are tightly interrelated. An estimate by definition includes estimation uncertainty, and estimation uncertainty by definition involves the use of judgement, and any complex estimate therefore involves the other two. Furthermore, they are not, of themselves, risks. They are not 'things that can go wrong'. They are categories that can help auditors think about what might go wrong. The requirement to focus the response on which of these are the main 'drivers', will result in practice in all three approaches being adopted in many cases, to avoid regulatory challenge. Is this what IAASB really intended? Will it normally be two out of three? Are there any situations in which IAASB

can envisage it being one out of three? The distinction between the three approaches described is artificial. The extent of overlap and the interaction with financial statement assertions will result in complex and repetitive matrices analysing risk by line item, risk factor, assertion, assessed risk level and more. The use of the three risk factor model may be useful in the risk analysis process but IAASB should not force its use in driving the response.

55. The PCAOB's proposals on estimates retain an existing recognisable structure while incorporating many of the new elements of the IAASB's proposals. This will lead some respondents to suggest that the PCAOB's proposals appear to be more readily workable. Calls for IAASB to *restructure* the proposals should not be dismissed lightly. Restructuring could be achieved in several different ways[3], without altering the substance of the proposals or the need for re-exposure. From a public interest perspective, it must surely be more important than ever that there is as much consistency as possible in the audit of the world's largest banks and other financial institutions and we will be urging the PCAOB to look at what it can do to bring the *substance* of its proposals closer to those of the IAASB.

56. It will often be easier to adopt all three approaches. It is difficult to see how intangibles and goodwill impairments, insurance contracts and expected credit losses will ever not involve all three, and revenue recognition, litigation and regulatory sanctions (money laundering, bribery and corruption) are also likely to involve more than one.

57. Can IAASB provide examples of specific instances in which the *only* relevant factor is likely to be estimation uncertainty, judgement or complexity, respectively? If it proves difficult to provide such discrete examples it does beg the question as to whether the distinction is really relevant to the *response*, even if it is relevant to the *assessment.* IAASB should pay particular attention to the results of field-testing in this area.

58. We agree that analysis of the three factors is useful in identifying and assessing the risk, but it is less useful in determining the appropriate response. IAASB should recognise that the three-factor approach to not low IR estimates works as a thought process, but require those three factors to drive the response. Instead, IAASB should include them, or the detailed aspects thereof, in the application material. To the extent that IAASB is making genuine efforts to move towards outcomes-based objectives and requirements in standard-setting generally, this should work.

59. IAASB should also make it clearer that the three approaches to low IR estimates may also be appropriate responses to other estimates. The important point is to perform procedures that are responsive to the risks. The requirements in paragraphs 17-19 are likely to be interpreted as individual audit procedures required to be performed depending on the driver for the estimate. Furthermore, while IAASB makes it clear that complexity, judgement and estimation uncertainty are not the only three factors to be taken into account in the risk assessment, we believe it is unlikely that any alternative or additional factors will be used in practice. We understand that field testing has demonstrated all of this.

Q5: Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?

60. IAASB should address more clearly situations in which high levels of estimation uncertainty mean that the range of reasonable estimates may be many times materiality for the entity as a whole - such as for large technical provisions in small insurance companies, and property assets in property investment companies. Currently, there is a brief reference to ranges being

[3] For example, the proposals could be structured using headings of 'methods, data and assumptions', or 'low risk, not low risk and complex' estimates.

multiples of materiality in paragraph A134. IAASB might note that in such cases, the size of the provision or property assets should be included in determining materiality for the financial statements as a whole, with a lower level of materiality set for unrelated items. Similar considerations apply to non-bank lenders and life insurers.

61. It is important in cases of high estimation uncertainty to focus on the factors of judgement and complexity. When auditors are genuinely dealing with a high level of true estimation uncertainty, whatever size it is, an estimate is not misstated if it is depicted properly using a representative point value that the framework requires. IAASB could make this clearer. It might also make it clearer, without losing framework-neutrality, that most frameworks refer to a representative figure in a range, rather than any number that could be at either end of the range, and that numbers are unlikely to be 'representative' at the outer ranges, particularly if all are equally probable. In cases such as these, the probability weighted estimate would be the mean and not the outer ranges. However, if the distribution were skewed a number further towards an outer range might be a better representation. IAASB might consider giving additional emphasis or prominence to the wording in A123 referring to management's estimate being 'appropriately representative of the range of reasonably possible outcomes'.

62. IAASB should also acknowledge more fully in application material the dissimilarity between estimation and judgemental differences vis-à-vis factual and known misstatements and the fact that it is not uncommon for one qualified and diligent valuer to arrive at a point estimate for a goodwill impairment or investment that is significantly different to that of another. Application material should therefore suggest that auditors consider the usefulness, or otherwise, of ranges of best estimates and address how auditors should deal with estimates reflecting factual errors within a range of best estimates

63. While we support the proposed requirement for auditors to address estimation uncertainty where management has failed to do so adequately, we reiterate the importance of IAASB engaging with other stakeholders in the financial reporting supply chain to deal with the risk of management failing to address the issue of estimation uncertainty in the knowledge that as a result, auditors will be required to do so. IAASB has a role to play in educating the wider stakeholder group that preparers and users of financial statements also have responsibilities, including understanding that:

- estimates represent a significant element of modern financial statements;
- they are what they say on the tin – just estimates;
- as noted above, it is not uncommon for one valuer to arrive at a point estimate for a goodwill impairment or investment that is significantly different to that of another;
- the solution is often good quality disclosure of the relevant assumptions and sensitivities, regardless of whether they are specifically required by the financial reporting framework.

64. We are sympathetic to those respondents who question the legitimacy of asking auditors to address estimation uncertainty if management is unable or unwilling to do so because of the importance of maintaining auditor independence. The term 'address' may be deliberately broad but it may lead to inconsistencies in practice. For example, some may take the view that it is sufficient for management to simply measure and disclose estimation uncertainty – others may take the view that management should, where possible, reduce estimation uncertainty to a level below performance materiality.

Q6: Will the requirement in paragraph 23 and related application material (see paragraphs A2–A3 and A142–A146) result in more consistent determination of a misstatement, including when the auditor uses an auditor's range to evaluate management's point estimate?

65. The proposed 'stand back' in paragraph 23 is important. There are few other areas in which ISAs mandate a 'stand back' for such a specific category and this sets something of a

precedent. It is therefore important that it is as clear as possible. At present, proposed paragraph 23 does not make it clear whether it relates to individual estimates or estimates collectively. It can be read as applying to either or both. In ISA 330 the response is at the assertion level for an estimate or group or class thereof. This type of ambiguity may satisfy the need to build consensus in the short term but it is a recipe for inconsistency evermore thereafter and we strongly suggest that IAASB resolves it before finalisation.

66. While auditors should form an overall view on the reasonableness of individual estimates, bias may not be evident at the individual estimate level (although it may be for ECL and certain technical provisions). We think that an overall emphasis should be on the ISA 700 'stand back' for the financial statements as a whole, rather than at a collective 'estimates' level. IAASB might also give simple and more complex examples of the use of different assumptions (about growth rates for example) used within the same organisation to support estimates in different areas.

Q7: With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?

67. We are concerned that the proposals purport to address but skirt around areas in which the availability of independent audit evidence to support certain types of estimate is scarce or non-existent, and the associated difficulties with evaluating the related management processes and internal controls. Such areas include:

- certain types of financial instrument marketed to smaller entities, where there is no market for the instrument and where the only evidence is a single figure provided by the counterparty bank;
- other situations in which the only inputs are at level 3;
- the independent estimate of ECL and some other technical provisions.

68. This lack of evidence gives rise to an increased risk of material misstatement over and above those created by complexity, estimation uncertainty and judgement. Neither the main proposals nor the consequential amendments to ISA 500 on audit evidence regarding external information sources deal with these situations adequately. IAASB should acknowledge more clearly than it does that a limitation in the scope of the audit may, after the auditor has considered estimates both individually and as a whole, be an appropriate response to a lack of sufficient appropriate audit evidence regarding estimation uncertainty. We urge IAASB to address this issue head on when it comes to revise ISA 500 on audit evidence.

69. We understand the additional emphasis on the robust challenge of experts by auditors but IAASB and regulators should recognise that this is an emerging area for SMPs and that even in developed economies, good quality and relevant financial valuation services for SMEs and SMPs are only just beginning to appear. The use of an expert to assist in a valuation should not of itself necessarily result in the assessment of risk as not low.

70. The application material might focus on the importance of expertise when it comes to the integrity of data. The focus is often on the validity of the model. There could also be some discussion of the value of different sources of audit evidence. With regard to liabilities where the counterparty is a bank that sold a financial instrument to an entity, for example, the bank will tend to provide the highest valuation, and expert the lowest, and the auditor's own estimate might be somewhere in the middle. IAASB might acknowledge this, and also the trend for firms to take on more staff with modelling and data skills.

Q8: In addition to the requests for specific comments above, the IAASB is also seeking comments on the matters set out below:

(a) Translations—Recognizing that many respondents may intend to translate the final ISA for adoption in their own environments, the IAASB welcomes comment on potential translation issues respondents note in reviewing the ED-540.

71. We make no comment on this question

(b) Effective Date—Recognizing that ED-540 is a substantive revision, and given the need for national due process and translation, as applicable, the IAASB believes that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of a final ISA. Earlier application would be permitted and encouraged. The IAASB welcomes comments on whether this would provide a sufficient period to support effective implementation of the ISA.

72. Periods ending on or after 15 December 2019 is a year late for expected credit losses but we will, and IAASB should, permit firms to early adopt the standard. IAASB might consider providing examples for financial institutions where there are common issues globally. IAASB might also consider encouraging national standard-setters to provide examples using national GAAP, including examples relating to financial instruments, for example. We understand that the FRC in the UK is considering this.

MORE DETAILED DRAFTING COMMENTS

73. Changes in estimates: the current requirement to determine whether changes in estimates or methods from the prior period are appropriate does not appear to be fully replicated in the ED. 18(a) (ii) deals with the appropriateness of changes in methods, significant data or assumptions, but only where judgement is a factor. This is a critical area in practice and we do not believe that IAASB would want to be perceived as downgrading the extant requirement, especially given the relative lack of emphasis of significant risks which is also open to misinterpretation.

74. The proposed reference to ISA 265 and the auditor's responsibility to report on deficiencies in internal controls in paragraph 26 is useful.

75. A95 states that the ISA does not require an assessment of IR. Paragraph 15 does require this. This appears to be an error.

76. 20A could make it clearer that it is intended to refer to audit evidence already obtained, not new evidence, if that is the case.

77. A35: this should read: 'For example, an accounting estimate may be applied *by* applying a method that uses several data sets and several assumptions'.

78. A62 suggests a retrospective review performed for estimates made over several periods or shorter periods but the related requirement only relates to the previous period. We believe that the requirements should also refer to one or more, or shorter periods, because a more useful history of estimates will emerge over a longer time period.

79. Critical accounting judgements and sources of estimation uncertainty are not distinguished in A112, which is unhelpful as financial reporting frameworks emphasise the difference.

80. The application material dealing with the assessment of differences between management and auditor ranges does not deal with bias in terms of aggressiveness, which is critical in practice.

81. The flowchart supplement illustrating the work effort requirements is helpful. IAASB should consider including it as an appendix to the revised standard.

82. Paragraph 19 in Appendix 1 on measurement bases for fair values ignores the fact that some frameworks define fair value in a different way, such as FRS 102 under UK GAAP which has the old IFRS definition.

83. Appendices 1 and 2 contain useful material relevant to the application of the ISA and should be retained as part of the ISA.

Comments with particular relevance to the audit of ECL

84. The application material on management's point estimate, 9(e), and on 17(a) and (b) on complexity, is limited. Ditto 17(e), 18(a) (iii), 18(c) (i) and (ii).

85. The extent and depth of the required auditor understanding of applicable regulatory factors are not made clear in A15.

86. There is a lack of application material addressing the audit of mid-sized entities. These are critical in the financial sector which has many, including smaller investment businesses and banks, which are nonetheless PIEs.

87. A30 on auditing policy is light in relation to issues such as changes in credit risk, ditto A31 on model validation.

88. A73 is simplistic as a bank does not need to be active internally for ECL to be complex, subject to estimation uncertainty and involve judgement.

89. A76 and A77 are insufficiently granular for the audit of ECL.

90. A86 can be read as implying seems to imply that estimation and judgemental differences are not misstatements, only known and factual ones are. The sentence beginning 'The variation in the measurement of an accounting estimate…' should perhaps state 'The variation in the measurement of an accounting estimate that results from estimation uncertainty is not necessarily, in itself, a misstatement'.

91. Paragraph A104 is light in terms of ensuring that appropriate data is used in a model and assessing the appropriateness of management assumptions.

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August 17, 2017

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submitted electronically through the IAASB website

Re.: International Standard on Auditing: Proposed International Standard on Auditing 540 (Revised)
Auditing Accounting Estimates and Related Disclosures

Dear Matt,

We would like to thank you for the opportunity to provide our comments on the IAASB Exposure Draft "International Standard on Auditing: Proposed International Standard on Auditing 540 (Revised); Auditing Accounting Estimates and Related Disclosures".

Given the fundamental changes in some financial reporting frameworks for certain kinds of estimates (e.g., IFRS 9) and the overall concerns expressed by stakeholders about how auditors deal with accounting estimates, we agree that a fundamental revision of ISA 540 needed to be on the IAASB's agenda. However, we are concerned about how the IAASB decided to progress this matter, which accounts for some of our comments of a more fundamental nature. That being said, given the strictures within which the IAASB operated based upon the decisions that it had made prior to drafting the standard, the standard appears to work well but for the issues we address in this comment letter and its appendices.

We provide our general comments on the proposed standard in this letter. Our responses to the questions posed in the Explanatory Memorandum are included in Appendix 1. Our comments on specific paragraphs are included in

GESCHÄFTSFÜHRENDER VORSTAND:
Prof. Dr. Klaus-Peter Naumann,
WP StB, Sprecher des Vorstands;
Dr. Klaus-Peter Feld, WP StB;
Dr. Daniela Kelm, RA LL.M.

Appendix 2. Rather than repeat our detailed comments in the questions and in this letter, we refer to the comments by paragraph, which provides some of the reasoning for the comments that we make.

General Comments

Progression of the ISA 540 Project and its Impact on Scope and Scalability

We recognize the political imperative under which the IAASB operates to respond to the calls from stakeholders to deal with the audit implications of the fundamental changes occurring in some financial reporting frameworks – and in particular, the changes engendered by the issuance of IFRS 9 and its introduction of an expected loss model approach to valuing certain kinds of assets. We also recognize that the overall greater incidence of accounting estimates whose measurement and related disclosures involve complex methods or models based on larger volumes of data from outside the general and subsidiary ledger systems of entities, and calls for better auditor performance in dealing with estimates and management judgement about them, means that a general overhaul of ISA 540 is warranted.

However, given the current project on ISA 315, we are concerned that the IAASB has placed the “cart before the horse” by seeking to overhaul ISA 540 generally before having a clear indication of where ISA 315 might land on a series of key issues and concepts, even though the resolution of these matters will have a major impact on ISA 540. Consequently, we believe the IAASB should have considered to first issuing, in a shorter period of time, limited amendments to ISA 540 to deal with the issues around estimates with the characteristics of expected loss models. In a second step, once the project on ISA 315 has been completed, it would have then been appropriate for the IAASB to engage in a general overhaul of ISA 540 based upon a revised ISA 315. The current approach of dealing with ISA 540 first involves the dangers of either ISA 540 needing fundamental revision a few years down the road due to changes in ISA 315 – or worse – having the ISA 540 “tail” wag the ISA 315 “dog” such that decisions made on ISA 540 limit options on where ISA 315 lands on key issues and concepts (also see our comments to paragraph 15 in Appendix 2).

The relationship between ISA 315 and ISA 540 also engenders some of our concerns with respect to the scope of the standard (see our comments to paragraphs 1 and 9 (a) in Appendix 2) and the scalability of proposed risk assessment requirements (see our comments to paragraph 10 in Appendix 2). In our view, this indicates that some issues need resolution within ISA 315 before addressing them in ISA 540.

We acknowledge that at this stage after the issuance of the exposure draft, the IAASB cannot reverse its decision on this matter. However, it seems to us that the IAASB did not appear to adequately consider the potential longer term implications as to how it progresses this standard. This suggests to us that potential implications of standard setting options need greater attention when considering a project proposal.

Application Material

We are rather concerned with the length of the application material and the appendices. The material and appendices read very much like a textbook on how to deal with accounting estimates in an audit. We do not believe it to be the role of the IAASB to educate auditors, but to issue standards that contain requirements and application material to assist in the application of those requirements. This means that application material should not include matters that involve educating auditors about issues in which they need to be competent before accepting an engagement. We therefore recommend that the IAASB seek to rationalize the content of the application material.

Drafting

We note that the word “includes” or “including”, which has always been a part of the drafting repertoire of the IAASB, is being badly overused. We first noticed this tendency in the application material of ISA 701, in ISA 720, and in the disclosures project, but this tendency has reached new heights in ISA 540. In some cultures, the overuse of this word is indicative of sloppy thinking. We recommend that the IAASB seek to redraft some of the wording so that this overuse is ameliorated.

We would be pleased to provide you with further information if you have any questions about our response and would also be pleased to be able to discuss our response with you.

Yours truly,

Klaus-Peter Feld	Wolfgang Böhm
Executive Director	Director Assurance Standards, International Affairs

Appendix 1:
Response by Question

Overall Questions

1. **Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?**

   In our view, the ED has been appropriately updated for developments in IFRS as they relate to accounting estimates. However, the IAASB should be cognizant of the fact that many financial reporting frameworks have not changed significantly and that this means that it is important that the scope of the standard remains appropriate (see our comments in Appendix 2 on the scope of the standard on paragraph 9 (a)) and the requirements scalable (see our comments in Appendix 2 on paragraph 10).

2. **Do the requirements and application material of ED-540 appropriately reinforce the application of professional skepticism when auditing accounting estimates?**

   In our view, by focussing the standard on "what can go wrong" due to complexity, judgment and estimation uncertainty, the standard provides a better basis for the application of professional skepticism when auditors deal with the measurement of accounting estimates and making related disclosures.

Focus on Risk Assessment and Responses

3. **Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?**

   Based on our comments in Appendix 2 on paragraph 9 (a) and paragraph 10 in relation to the scope of the standard and the risk assessment procedures, respectively, we do not believe that the standard is sufficiently scalable with respect to accounting estimates whose measurement is not subject to significant measurement uncertainty or for which one or more of the procedures in paragraph 15 (a) would be sufficient when inherent risk is low. The standard appears to be scalable for instances when the inherent risk is not low due to measurement complexity.

4. When inherent risk is not low (see paragraphs 13, 15 and 17–20):

a) Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?

The question is somewhat strangely put because when inherent risk is deemed not to be low, the identification and assessment of risks of material misstatement has been done. However we believe that the responses to risks of material misstatement when inherent risk is not low are more effective.

b) Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty?

Yes, we support the use of these factors in the auditor's work. However, the use of these factors might need to be revisited once the ISA 315 project is completed.

c) Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 to 19 of ED-540? If not, what additional guidance should be included?

In our view, there is too much guidance. The IAASB should not be writing a textbook on auditing in its standards. There is considerable room to rationalize the application material.

5. Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?

We believe that the requirement in paragraph 20 is superior to that in extant ISA 540. The requirement in extant ISA 540 was not practicable because it assumed that if an auditor obtains more evidence, the range of the estimate would narrow, when in fact gathering more evidence can lead to a widening of the range; in addition, often more information simply is not available. We also support the application material as written for this particular issue.

6. Will the requirement in paragraph 23 and related application material (see paragraphs A2–A3 and A142–A146) result in more consistent determination of a misstatement, including when the auditor uses an auditor's range to evaluate management's point estimate?

We believe that the requirement in paragraph 23 and related application material will result in a more consistent determination of misstatements – in particular when the auditor uses his or her own range to evaluate management's point estimate.

Conforming and Consequential Amendments

7. With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?

We regard the proposed conforming and consequential amendments regarding external information sources – with one exception – to result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources. As noted in our comments in Appendix 2 on these conforming amendments, we do not believe that information from external information sources must always be publicly available (and therefore disagree with the definition of external information source on that point), even though we agree with the application material that this might be a factor in deciding whether an information source is an external information source or a management expert.

Request for General Comments

8. In addition to the requests for specific comments above, the IAASB is also seeking comments on the matters set out below:

a) Translations—Recognizing that many respondents may intend to translate the final ISA for adoption in their own environments, the IAASB welcomes comment on potential translation issues respondents note in reviewing the ED-540.

With the exception of our comments in the accompanying letter on the length of the application material and the abuse of the word "including", we have no comments relating to translations.

b) Effective Date—Recognizing that ED-540 is a substantive revision, and given the need for national due process and translation, as applicable, the IAASB believes that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of a final ISA. Earlier application would be permitted and encouraged. The IAASB welcomes comments on whether this would provide a sufficient period to support effective implementation of the ISA.

Given the applicability of IFRS 7, we agree that earlier application be permitted and encouraged. However, given the time needed for translation and due process in various jurisdictions and the fact that auditing firms need to implement significant changes to their systems and processes relating to accounting estimates in audits of financial statements, we believe that the standards should be mandatory for audits of financial statements for financial reporting periods beginning two years after the approval of the final ISA.

Appendix 2:
Comments by Paragraph

Title The proposed title and the existing title both refer to "<u>auditing</u> accounting estimates…". A number of standards had similar titles using the term "audit of" or "auditing" in the past, but these titles were changed over the years to reflect the fact that, in line with ISA 200.11 (a), the objective of an audit is "…To obtain reasonable assurance that the financial statements <u>as a whole</u> are free from material misstatement" [underlining added for emphasis]. When auditing financial statements, auditors do not give an opinion on accounting estimates individually – that would be a separate engagement under ISA 805. In line with a number of other standards (e.g. "Related Parties", "Subsequent Events", etc.) we therefore suggest that the title be changed to "Accounting Estimates and Related Disclosures" or "Special Audit Considerations Relating to Accounting Estimates and Related Disclosures".

1. Upon close examination, the *first sentence* of the standard does not appropriately describe the scope of the standard because the standard does NOT deal with all of an auditor's responsibilities relating to accounting estimates and related disclosures in an audit of financial statements. Rather, the standard deals only with the audit consideration of measurement issues in relation to accounting estimates. Furthermore, the standard only deals with the audit consideration of issues relating to recognition and disclosure of accounting estimates to the extent that these relate to measurement issues. The standard does not deal with the audit consideration of issues concerning the recognition, classification, presentation or disclosure of accounting estimates that are not related to measurement issues: for these issues, ISAs 315 and 330 etc. would apply. We recognize that what makes accounting estimates special are the measurement issues associated with estimation uncertainty and the related recognition and disclosure issues, but the other audit considerations are important too. The way this first sentence is written, it suggests that these other considerations need not be dealt with beyond what the standard addresses, which is not the case. We therefore suggest that the first sentence be changed to read "… relating to <u>the measurement of</u> accounting estimates and making related disclosures.

This matter about referring to “measurement” might need to be put through many of the sentences in the rest of the standard. *To show this impact, we have only provided examples hereof in the introduction and objective section in our comments on the following paragraphs.*

The *second sentence* claims that “it” (we presume “it” means the standard) “expands on” how ISA 315, ISA 330, ISA 500 and other relevant ISAs are to be applied in relation to accounting estimates. If this statement is true, this statement is of concern to us because indicates a drastic change in how IAASB engagement standards are written. Pursuant to ISA 200.18, an auditor shall comply with all of the ISAs relevant to the audit. If ISA 540 expands on how all of the relevant ISAs are to be applied, then this would imply that the standard ought to expand upon all of the requirements of these standards. While the draft standard is long, it certainly does not expand on all of these requirements, nor should it. Rather, the standard seeks to deal with the *special considerations* related to the measurement of accounting estimates and related disclosures when applying these other ISAs. For these reasons, we suggest that the second sentence read as follows: “This standard deals with the special considerations on how ISA 315 … and other relevant ISAs are to be applied in relation to the measurement of accounting estimates and making related disclosures.” One of the matters the IAASB might need to consider is whether some of the requirements in the standard do in fact “expand” on the requirements in these other standards, rather than dealing with just the special considerations as noted, and that perhaps some rationalization of the requirements might be applicable.

2. In line with our comments on paragraph 1 and the content of the first three sentences of paragraph 2, the third sentence should be changed to read “The extent to which <u>the measurement of accounting estimates and making related disclosures</u> are subject to …”.

3. In line with our comments on the first two paragraphs, the first sentence should be changed to read “When an accounting estimate is being measured and related disclosures are being made, the susceptibility of this measurement and related disclosures to misstatement may increase …”.

4. In line with our comments on the first two paragraphs, the following should be inserted near the end of the first sentence: “… assessed risk of material misstatement in relation to measurement and related

disclosures, …" The word "in" in the last sentence should be changed to "to".

5. In line with our comments on the first two paragraphs, the first sentence should be changed to read "… relating to the measurement of accounting estimates and making related disclosures". Likewise the second sentence should be changed to read "… affecting the measurement of accounting estimates and related disclosures …".

6. In line with our comments on the first two paragraphs, the first sentence should read "This ISA requires an evaluation of the measurement, and related disclosures, of accounting estimates …". Likewise, the second sentence would read "… required to evaluate whether the measurement, and related disclosures, of accounting estimates are reasonable ….".

8. In line with our comments on the first two paragraphs, the objective in (a) should read "The measurement of accounting estimates, … ".

9. (a) We are concerned with the definition of an accounting estimate, which determines the scope of ISA 540 and when this standard is required to be applied. We would like to point out that with the possible exception of cash in local currency and share capital at par and the like, almost every other monetary item disclosed in the financial statements is an estimate of some sort. Even many assets purchased at cost are subject to estimation uncertainty because, for example, decisions are made about which costs are allocated to product costs or costs of acquisition and issues about impairment or depreciation or amortization involve judgment and hence estimation uncertainty. Some estimation uncertainty also applies to the valuation of simple liabilities (the decision whether to discount at all, for example, and if so, at what rate).

   The issue is whether the estimate is subject to *significant* estimation uncertainty – that is, whether it is worth it to consider such estimation uncertainty at all when preparing and auditing financial statements given materiality considerations. It would be disproportionate to require the application of the standard as currently drafted – even with the response to low inherent risk as contemplated in paragraphs 10 and 15 (a) – to all of these estimates because there would be hardly any monetary item in the financial statements to which this standard would not apply. We recognize that some application material would need to be developed so that the word "significant" is not subject to abuse such that estimates with considerable estimation uncertainty are then nefariously scoped out of the standard. However, such application material can be developed to hinder this. For this reason, we believe that the definition of accounting estimate should refer to "significant" estimation uncertainty.

We also have a number of technical concerns with the definition of accounting estimate. We note that the definition of estimation uncertainty refers to the inherent lack of precision in measurement. Consequently, the words "the measurement of which" currently included in the definition of accounting estimate together with the definition of estimation uncertainty would lead to the meaning "the measurement of which is subject to the susceptibility of an accounting estimate to an inherent lack of precision in its measurement". Some of the wording is therefore redundant. We therefore suggest deleting the words "the measurement of which". In addition, the positioning of the words "prepared in accordance with the requirements of the applicable financial reporting framework" suggests that the monetary amount is prepared in accordance with the financial reporting framework, which is in fact the determination that needs to be made in the audit. What is meant is that estimation uncertainty arises when the monetary amount is prepared in accordance with the requirements of the applicable financial reporting framework.

Based on these reasons, we believe that the definition of accounting estimate should read as follows:

"A monetary amount subject to significant estimation uncertainty when that amount is prepared in accordance with the requirements of the applicable financial reporting framework."

(c) The definition of estimation uncertainty refers to "accounting estimate", which is circular when the definition of accounting estimate then also includes the term "estimation uncertainty". This issue can be resolved by not having the definition refer to "accounting". Furthermore, the phrase "lack of precision in its measurement" is awkward. We therefore suggest that the definition read as follows:

"The susceptibility of an estimate to inherent measurement imprecision."

10. We have a major concern with the applicability of paragraph 10 to all accounting estimates in conjunction with our concerns about the definition of an accounting estimate in paragraph 9 (a) as noted above.

    We surmise that this paragraph seeks to provide the <u>additional</u> considerations applicable to accounting estimates when performing risk assessment procedures and related activities in accordance with ISA 315. To this effect, the requirements in 10 (a) to (d) and in paragraphs 11 and 12 appear reasonable <u>as long as the definition of an accounting estimate is narrowed as we describe in our comments on paragraph 9 (a)</u>. However, it seems to us that the order ought to be changed. For example, it seems to us that (c) and then (d) ought to be done first, because (a) only ought to apply to those kinds of estimates that are expected to be in the financial statements: there is no point to obtaining an understanding of the requirements in the financial reporting framework for certain kinds of estimates if those kinds of estimates are not expected to be included in the financial statements. For these reasons, we suggest that the order be changed as follows: (c), (d), (a) (b), 11 and 12.

    Our major concern relates to (e) and (f). These requirements have been expanded considerably in granularity compared to the corresponding requirement in extant ISA 540.8 (c). If the definition of an accounting estimate is not narrowed as we describe in our comments on paragraph 9 (a), then these requirements are clearly disproportionate for estimates with insignificant estimation uncertainty. Furthermore, were the definition of an accounting estimate to be changed as we suggest, even for estimates with significant estimation uncertainty but whose measurement is not complex, the nature and extent of the granularity of these requirements exceeds that needed to deal with those simple estimates that might be addressed through the requirement in paragraph 15 (a) of the draft. Many of the issues addressed appear to us to apply to estimates whose measurement is complex only. It seems to us that there ought to be a requirement as part of the risk assessment procedures to determine whether the measurement of any of the accounting estimates expected in the financial statements is likely to be complex. If such accounting estimates with complex measurement are identified, then a conditional requirement including some of this granularity for the risk assessment procedures in relation to those estimates appears to be appropriate.

13. This paragraph requires the auditor to take into account certain factors when identifying and assessing the risk of material misstatement in relation to accounting estimates in applying ISA 315. However the first sentence prior to the requirement refers to "at the financial statement and assertion levels". Based upon our reading of ISA 315, risks of material misstatement at the financial statement level are pervasive to the financial statements as a whole and therefore cannot be allocated to particular items or assertions in the financial statements – such as those relating to accounting estimates. However, the reference to "at the financial statement and" in the first sentence suggests that the assessment at the financial statement level ought to be applied to the consideration of the factors in relation to accounting estimates. This is not consistent with our understanding of what risk assessment at a financial statement level means. For this reason, we suggest that the noted words be deleted.

15. Paragraph 15 refers for the first time to when "inherent risk is low" and "when inherent risk is not low". We presume the inherent risk of material misstatement in the measurement of accounting estimates and related disclosures is meant. If that is the case, perhaps this ought to be clarified in the standard in an appropriate place. However, it is unclear what the use of the word "low" means in this context and how this concept articulates with the overall objective of the auditor in ISA 200 to reduce audit risk to an acceptably low level. We presume that "low" in this case still means "greater than an acceptably low level of risk", or there would be a conceptual contradiction within the ISAs. This issue arises in part from the fact that the project to revise ISA 315, which would have considerable impact on risk assessments as required in ISA 540, has not yet nearly reached the same stage of completion as ISA 540. Based on previous discussions at the IAASB, the project on ISA 315 only addressed "high risks" in a preliminary fashion when seeking to deal with the identification of "significant risks". It is therefore unfortunate that ISA 540 is introducing a new concept that has not yet been vetted at a more general level through the completion of the project to revise ISA 315. The danger is that either ISA 540 would need to be revised later due to changes to ISA 315, or worse, that the ISA 540 "tail" would wag the ISA 315 "dog" and thereby impair a good revision of ISA 315 (this has happened before, when a completed ISRE 2400 determined the content of an ISAE 3000 that was issued later, even though this was not technically warranted). For reasons of short-term practicality, we can

accept the use of the term “low inherent risk” as long as its meaning is clarified (inherent risk of material misstatement in the measurement of accounting estimates and related disclosures) in the standard, the standard reconciles the term to the overall objective of the auditor (low risk is still greater than an acceptably low level of risk), and the use of this term is not set in stone for the revision of ISA 315, even if this means subsequent changes to ISA 540.

We also note that the requirement in 15 (a) is for the auditor to determine whether the procedures in (i) to (iii) would provide sufficient appropriate evidence. Unlike in 15 (b), there is actually no requirement to perform procedures if the auditor actually determines that the procedures would provide sufficient appropriate evidence. It seems to us that paragraph 15 (a) needs to be augmented to require the performance of at least one or more of the procedures in (i) to (iii) when the auditor has determine that these would provide sufficient appropriate evidence.

A2. We found the attempt to provide a description of the term “reasonable” in the context of measuring accounting estimates and making the related disclosures to be helpful. We note, however, that the first three bullet points in A2 apply only when the applicable financial reporting framework actually addresses these bullet points: if the applicable financial reporting framework does not address these, then the bullet points do not apply and the description of reasonableness ceases to be useful. Perhaps consideration ought to be given as to the meaning of reasonableness when the financial reporting framework does not address these three bullet points. The other considerations, however, were helpful in this respect.

A3. We did not find the description of the term “appropriate” to be helpful, as the description appears not to articulate with the use of the term “appropriate” in the second sentence of A2. Furthermore, it is unclear to us how “reflects judgements that are consistent with the measurement basis in the applicable financial reporting framework” adds to the concept “complies with the applicable financial reporting framework”: it just seems to be conceptually redundant. Furthermore, if the financial reporting framework does not address the first three bullets in A2, what is the difference between the description of appropriate and reasonable in A2 and A3? Overall, we believe that either the description of appropriate can be deleted, or a better description that articulates with the description of reasonable in A2 is needed.

A12. Footnote 39 reflects a substantive point that generally ought to be taken up in the text of the application material under the Clarity Conventions.

A14. The paragraph could be understood as suggesting that auditors have a duty to regulators in relation to regulatory requirements for accounting estimates even when these regulatory requirements do not affect the financial statements and there are no legal or regulatory requirements for the auditor of the financial statements to deal with such regulatory requirements for accounting estimates. Consequently, more clarification is needed in this paragraph that these regulatory matters are relevant to the auditor only if they have an impact on the measurement of accounting estimates or making related disclosures in the financial statements.

A18. The use of the word “requires” in the first sentence suggests that the IAASB is setting requirements for management preparation of the financial statements. We suggest changing the word “requires” to “involves” (and then changing “determine” to “determining”) so that the sentence represents a statement of fact.

A26. As a matter of principle, definitions that have a significant impact on the work effort of auditors ought to be placed in the definitions section of the ISAs and not be relegated to the application material. This applies to the definition of “method” in this paragraph, but also applies to the definition of ” model” in paragraph A27, and in particular to the definition of a “complex model” in paragraph A29. If the IAASB does not want to include these as formal definitions in the definitions section, then an additional paragraph can be added to the definitions section with more informal descriptions (see, for example, paragraph 5 in ISA 210, paragraph 8 in ISA 580, or paragraph 10 in ISA 600).

A27. See comments in comments to A26.

A28. See comments in comments to A26.

A29. See comments in comments to A26.

A35. As a matter of principle, definitions that have a significant impact on the work effort of auditors ought to be placed in the definitions section of the ISAs and not be relegated to the application material. This applies in particular to the definition of “significant data and significant assumptions”, which has a central role in determining when and how certain requirements apply. . If the IAASB does not want to include these as formal definitions in the definitions section, then an additional paragraph can be added to the definitions section with more informal descriptions (see, for example, paragraph 5 in ISA 210, paragraph 8 in ISA 580, or paragraph 10 in ISA 600).

A82. Data sources are not “reliable” as noted at the beginning of the first bullet – the data that the sources provide is or is not reliable. This is clarified in the next sentence. We therefore suggest that the words be changed to “The reliability of data from different sources”.

Conforming Amendments

ISA 500

5. (cA) The fact that information is or is not publicly available might be a factor to consider when determining whether an information source is a management’s expert or an external information source, as is set forth in paragraph A1A. However, there may be information that is not publicly available – i.e., not any member of the public has access – but that nevertheless does not represent information from a management’s expert because management has no influence on the nature or content of the information. We therefore recommend deleting the reference to “publicly available” in the definition. In any case, including this as a factor to consider (which means the information can be publicly available, yet not be from an external information source) and in the definition at the same time is contradictory.

BY E-MAIL ONLY

Prof. Arnold Schilder
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International Auditing and Accounting Standards Board
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Date: July 31, 2017

Subject: COMMENTS ON THE PROPOSED INTERNATIONAL STANDARD on AUDITING 540 (Revised): Auditing Accounting Estimates and Related Disclosures

Dear Prof Schilder,

1. The International Forum of Independent Audit Regulators (IFIAR) appreciates the opportunity to comment on the International Auditing and Accounting Standards Board (IAASB) request for input on "Proposed International Standard on Auditing 540 (revised) – Auditing Accounting Estimates and Related Disclosures" (Exposure Draft). As an international organisation of independent audit oversight regulators that share the goal of serving the public interest and enhancing investor protection, IFIAR is committed to improving audit quality globally through the promotion of high-quality auditing and professional standards, as well as other pronouncements and statements.

2. IFIAR's objectives are as follows:

   - Sharing knowledge of the audit market environment and practical experience of independent audit regulatory activity, with a focus on inspections of auditors and audit firms.
   - Promoting collaboration and consistency in regulatory activity.
   - Initiating and leading dialogue with other policy-makers and organisations that have an interest in audit quality.
   - Forming common and consistent views or positions on matters of importance to its members, while taking into account the legal mandates and missions of individual members.

3. The comments we provide in this letter reflect the views expressed by many, but not necessarily all, of the members of IFIAR. However, the comments are not intended to include, or reflect, all of the views that might be provided by individual members on behalf of their respective organisation.

4. Where we did not comment on certain specific matters this should not be interpreted as either approval or disapproval by IFIAR.

5. We support a holistic revision of ISA 540. Auditing accounting estimates is an area of recurring inspection findings across jurisdictions. The recent IFIAR inspection survey[1] continues to indicate that the most pervasive inspection finding within engagement performance relates to the audit of accounting estimates. The survey findings point to difficulty auditors face when assessing the reasonableness of assumptions, performing sufficient risk assessment procedures, testing the accuracy of data used, or taking relevant variables into account in the audit of accounting estimates.

Enhancement in the Exposure Draft (ED)

6. We generally believe that the proposals in this ED are a step in the right direction and can help drive better audit quality by requiring auditors to perform risk assessment procedures specifically addressing factors relevant to accounting estimates. Conceptually requiring auditors to take into account the factors of complexity, judgment and estimation uncertainty and their related inherent risks when identifying and assessing the risks of material misstatement should lead to a more effective audit response, specifically in the area of complex estimates.

7. The ED emphasizes the importance of risk assessment being performed by auditors and moves away from the concept of additional procedures to be performed only in the event of a significant risk. We support this approach and believe it is likely to lead to a more appropriate audit response being developed, even if further clarifications still would be helpful in this regard (see following paragraphs).

8. We support the inclusion in the ED of paragraph 16 that echoes the requirement of ISA 330, paragraph 8 on the need to test internal controls when the auditor intends to rely on those internal controls or when substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level. We believe this will raise auditor awareness of the requirement to consider the importance of internal controls in designing an audit response.

9. We also support the provisions (paragraph 23 of the ED) which refer to the need to consider all evidence obtained, including contradictory evidence, and the reasonableness of any significant variations between or within management's estimate or range and those developed by the auditor (see also our comment on explanatory material in paragraph 17 below).

[1] IFIAR Survey Report

Risk assessment

10. The inherent risk assessment is a key element in the determination of the work effort to be performed in the audit of the estimates. As mentioned in paragraph 7 of this letter, we support the focus placed on an improved risk assessment regarding the audit of accounting estimates. We nevertheless believe the relationship, if any, between the different types of risk factors and the risk levels used in the ED should be further explained in the standard.

11. There is a need to further align and revise provisions of the extant ISA 315 dealing with risk assessment to ensure a proper understanding of how to assess low inherent, non-low inherent and significant risks in order to ensure consistency in application by auditors.

12. The determination of whether an estimate is low inherent risk or not and which of the risk factors are relevant are key elements of the revisions proposed in the ED. The IAASB should clarify whether estimates can only be assessed as low inherent risk where none of the risk factors are relevant or whether another basis for concluding on low inherent risks is appropriate. We also believe the ED should require that the auditor documents the risk assessment determination of low inherent risk estimates.

13. In addition, we foresee challenges in the execution of the inherent risk assessment in ED 540 as to whether inherent risk and control risk are to be assessed separately or in combination, which could lead to a different response in terms of work effort. We believe further clarification would help ensure consistency in the risk assessment procedures. Provisions described in paragraph A95 should be deleted from the ED to ensure the auditor understands that the audit response is based on inherent risk only, because A95 suggests that a combined risk assessment is permissible.

Work effort

14. The auditor is required under ISA 330 to design and perform further audit procedures if the procedures described in paragraph 15 a) of the ED (to be applied in low inherent risk situations) do not provide sufficient appropriate audit evidence. We believe this requirement could be made clearer by including the guidance included in paragraph A96 of the ED in the requirements of the ED.

15. The ED focuses on three factors for the risk assessment of estimates and provides requirements relating to the audit response in respect of each of these factors. Consistent with paragraph 2, the risk factors of judgment and complexity are interrelated with the estimation uncertainty risk factor. Because the concepts are not mutually exclusive, the requirements of paragraphs 19 and

20 that are applicable to estimation uncertainty should also be applicable in situations where inherent risk is not low based on the judgment or complexity risk factors.

16. In situations where the auditor believes that management has not appropriately understood or addressed the estimation uncertainty, we believe the auditor should first ask management to provide alternative assumptions. We suggest clarifying this requirement in paragraph 19 (b) of the ED, for example, by building upon some of the guidance included in paragraph A126.

Development of a range and estimation uncertainty

17. The development of an auditor's range or point estimate (to the extent possible) is only required by the ED if the auditor believes that management has not appropriately understood or addressed the estimation uncertainty. We believe this creates a high bar for this requirement and inhibits professional scepticism as the auditor's estimate or range provides a valuable means for challenging management's estimate.

18. Paragraph A144 indicates that auditors may need "to reconsider whether sufficient appropriate audit evidence has been obtained regarding the reasonableness of the amounts within the range" in situations where there are variations in ranges or point estimates which are material. We support the inclusion of guidance to this effect as we consider it relevant to promoting the exercise of appropriate professional scepticism by the auditor. However, we recommend including further requirements in the ED in this regard.

Terminology

19. We note that the ED requires the auditor to obtain sufficient appropriate audit evidence about whether accounting estimates and related disclosures are reasonable in the context of the applicable financial reporting framework. However, as acknowledged in the Explanatory Memorandum to ED, ISA 700 uses the terms "appropriate" and "adequate", not "reasonable", in relation to disclosures. We have concerns about how the inconsistencies in terminology would be applied in practice and encourage the IAASB to give this further consideration.

Conforming ISA 500 amendments

20. We support the development of guidance to further the application of professional scepticism by the auditor on the use of data from external sources as audit evidence. The notion of "publicly available information" should nevertheless be clarified in ISA 500, since it could be understood as only open and free data, which is not necessarily the case with pricing services, which are available for those paying for the use of it.

21. Given the frequency in which companies use experts to assist in developing accounting estimates and the focus of the ED on evaluating management's process, selection and judgments, we would expect more emphasis on the fact that the auditor should apply the requirements of ISA 540 when management's assumptions are developed by management or, alike, when they are developed by an expert employed or engaged by management. We would like clarification in the standards so that the auditor fully considers the necessary evidence to be obtained when following ISA 500.8 for a management's expert.

Professional scepticism

22. The guidance included in paragraph A101 around considering "whether there were alternative concepts, techniques or factors, types of assumptions or sources of data" that might have been appropriate should help drive a more sceptical auditor mind-set. However, it is not clear to us why this consideration applies only to the 'complexity' risk factor and why this questioning attitude should not be further required by the ED.

Need for post-implementation review

23. We encourage the IAASB, following completion of this project, to gather stakeholder input via a post-implementation review in order to assess whether the changes have achieved the desired effects (e.g. whether the goals have been met and whether some challenges remain).

Should you wish to discuss any of our comments, please do not hesitate to contact me or Marjolein Doblado, Chair of the IFIAR Standards Coordination Working Group.

Yours faithfully,

Brian Hunt
Chair

Cc: Frank Schneider, Vice Chair,
Marjolein Doblado, SCWG Chair
Carl Renner, Executive Director

International Organization of Securities Commissions
Organisation internationale des commissions de valeurs
Organização Internacional das Comissões de Valores
Organización Internacional de Comisiones de Valores

21 August 2017

Technical Director
International Auditing and Assurance Standards Board
529 Fifth Avenue, 6th Floor
New York, 10017 U.S.A.

Our Ref: 2017/IAASB

Subject: International Auditing and Assurance Standards Board ('the Board') Exposure Draft, Proposed International Standard on Auditing 540 (Revised) Auditing Accounting Estimates and Related Disclosures ('ED')

Dear Sir,

The International Organization of Securities Commissions' Committee on Issuer Accounting, Audit and Disclosure (Committee 1) appreciates the opportunity to comment on the ED. As an international organization of securities regulators representing the public interest, IOSCO is committed to enhancing the integrity of international markets through the promotion of high quality accounting, auditing and professional standards, and other pronouncements and statements.

Members of Committee 1 seek to further IOSCO's mission through thoughtful consideration of accounting, disclosure and auditing concerns, and pursuit of improved global financial reporting. Unless otherwise noted, the comments we have provided herein reflect a general consensus among the members of Committee 1. Our comments are not intended to include all of the comments that might be provided by individual securities regulator members on behalf of their respective jurisdictions.

Overall Comments

We support the Board's efforts to improve the requirements and guidance for auditors in auditing accounting estimates and related disclosures.

In this letter, we have identified instances where we believe the final standard could be improved. We are disappointed that the ED does not address key issues with the extant standard and that the testing objectives required to be met are unclear.

We believe it is important that the matters outlined in this letter are addressed in the final standard. However, if the Board decides to proceed with a standard without dealing with the key matters that are outlined in the following three sections of this letter, we believe the

Board should give priority to follow up projects to address the matters we discuss later in this letter under the following subheadings:

- "Sampling, identification of differences to investigate and evaluate errors";
- "Use of the auditor's own experts"; and
- "Specific guidance on financial instrument valuation and related areas".

We believe it is important that, as a minimum, all other matters outlined in this letter should be addressed in the final standard.

Responses to the assessed risks of material misstatement

Paragraphs 14-20 under the heading "*Responses to the Assessed Risks of Material Misstatement*" require different testing objectives to be applied based on the assessed level of inherent risk. When inherent risk is assessed as 'low', the auditor response is required to follow paragraph 15(a). When inherent risk is assessed as 'not low', paragraph 15(b) directs the auditor to meet the testing objectives in paragraphs 17-20, when applicable.

Contrary to the approach in the ED, we believe that a single set of testing objectives should apply in all cases irrespective of the assessment of risk or the classification of risk by complexity, judgement and estimation uncertainty. Instead, the nature, timing and extent of the procedures required to be designed and performed by the auditor should differ based on the risk assessment as 'low' or 'not low' and the reasons for that assessment. See our comments below related to the designation of 'low' or 'not low'.

Even if the Board were to retain its current approach, and we do not support this, the Board should consider whether paragraphs 14-20 may be overly complex, unclear, and consequently could result in inconsistent application by auditors.

Application of testing objectives in paragraphs 15 and 17-20

As stated above, we believe that the testing objectives in paragraphs 17-20 of the ED should apply to both situations where inherent risk is assessed as 'not low' and where inherent risk is assessed as 'low'. For example, the appropriateness of the valuation method and assumptions, the relevance and reliability of significant data, and the accuracy of calculations (see paragraph 17) all appear to be applicable matters whether inherent risk is assessed as 'low' or 'not low.' The assessed risk should only affect the nature, timing and extent of the procedures to be applied by the auditor, not the testing objectives.

The testing objectives in paragraphs 15 and 17-20 should be included in a single list that applies irrespective of the assessed inherent risk. This may necessitate reviewing the testing objectives and, for example, removing duplication and addressing overlap.

'Low' vs. 'Not Low' Inherent Risk Assessment

While paragraph 13(n)(i) of ISA 200 defines the term 'inherent risk', which is further discussed in paragraph 7 of ISA 330, paragraph A40 of ISA 200 states that the ISAs do not ordinarily refer to inherent risk and control risk separately. Instead, inherent risk is a component of the auditor's assessment of the risk of material misstatement. While it may be a matter for the ISA 315 project, we believe that the auditor should be required to consider and assess inherent risk and control risk separately.

The significant focus in the ED on inherent risk assessment, including determination of further audit procedures based on the auditor's conclusions about the inherent risk, is a new approach under ISAs for requiring auditor responses to risk. This, combined with the fact that the concepts of 'low' and 'not low' inherent risk are new and not clearly defined and explained in the ED, could lead to inconsistent audit approaches.

Responding to Inherent Risk that is 'Low'

When responding to inherent risk that is 'low', paragraph 15(a) requires the auditor to evaluate whether one or more of the following three further audit procedures would provide sufficient appropriate audit evidence:

- Obtaining audit evidence about events occurring up to the date of the auditor's report;
- Testing how management made the accounting estimate and the data on which it is based; or
- Developing a point estimate or range based on available audit evidence to evaluate management's point estimate.

These three further audit procedures appear to be largely consistent with the approaches to auditing accounting estimates outlined in paragraph 13 of the extant ISA 540. However, we are concerned about the lack of more detailed requirements or guidance on these three further audit procedures in the ED. In particular, the ED does not retain the application guidance in paragraphs A59–A95 of the extant ISA 540. As a result, it may not be sufficiently clear what procedures the auditor is required to perform to achieve the objectives outlined in paragraph 15(a) of the ED, which could result in an inconsistent, and potentially inappropriate, audit execution. For example, it is not clear whether the auditor is required to evaluate if significant assumptions made by management in developing an accounting estimate are reasonable in each of the further audit procedures listed in paragraph 15(a). The Board should consider clarifying the requirements for the three further audit procedures as well as provide further guidance to auditors regarding execution of these procedures.

Responding to Inherent Risk that is 'Not Low'

The Board should consider the issues outlined in this section if the Board continues its current approach, which we do not support, of allocating testing objectives based on the assessment of inherent risk as 'low' or 'not low' and classifying risks based on 'complexity', 'judgement' and 'estimation uncertainty'.

Definitions of 'low' and 'not low' risk

Furthermore, the lack of definitions of 'low' and 'not low' risk, combined with the significant difference between the nature and extent of the further audit procedures required to achieve the objectives of paragraphs 15(a) and 15(b), might create an incentive for some auditors to inappropriately assess the inherent risk as 'low' to avoid the burdens of the requirements in paragraphs 17-20 while claiming the protection of 'professional judgment' for their risk assessment conclusions.

Is the approach in paragraph 15(a) available?

It is not clear from the ED whether the auditing procedures outlined in paragraph 15(a) would also be available to auditors when responding to inherent risk that is 'not low'. We are concerned about limiting the auditor's ability to select the most effective audit approach. There might be situations, even when inherent risk is assessed as 'not low', that one of the approaches listed in paragraph 15(a), or a combination thereof, might be more effective in obtaining sufficient appropriate audit evidence regarding an accounting estimate, for example when the outcome of the estimate is known based on an event or transaction that occurred prior to the date of the auditor's report. If, however, it is not the Board's intent to restrict the procedures the auditor can perform to comply with the requirements in paragraphs 17-20, this should be made clear.

Risks that relate to 'complexity,' 'judgement' and 'estimation uncertainty'

Paragraphs 17 to 19 of the ED would require the auditor to determine which of 'complexity', 'judgement' or 'estimation uncertainty' give rise to inherent risk being assessed as 'not low' and then only satisfy the testing objectives under the relevant category. However, we believe that the three concepts are often not sufficiently separable to guide an effective audit response. For example, estimation uncertainty is by definition (paragraph 9(a)) a key characteristic of any accounting estimate. Furthermore, estimation uncertainty is often a function of a complex model used in the estimation process that may also require significant judgment from management. As such, it would appear that many (if not all) of the testing objectives in paragraphs 17-20 would represent relevant considerations for most (if not all) accounting estimates, including accounting estimates with a 'low' assessed inherent risk. However, the ED separates them into three distinct categories.

The following examples illustrate the lack of clarity as to why certain testing objectives were considered relevant to one but not the other reasons for the auditor's risk assessment. In most of these examples we illustrate one area in which the objective may also apply but, as discussed above, we believe these objectives would apply to most (if not all) estimates, including estimates with a low assessed inherent risk:

- It is not clear why some level of data testing, as required by paragraphs 17(b) to 17(d), would not be a relevant consideration for virtually all accounting estimates that use data especially when testing how management made the accounting estimate (while we acknowledge that paragraph 18(a) directs the auditor to evaluate whether *management's judgements* regarding the selection and use of the method and the significant data and assumptions are appropriate, the ED only appears to require such direct testing of data for estimates associated with inherent risk that is 'not low' based on the estimates' complexity);

- It is unclear why the requirement for the auditor to obtain sufficient appropriate audit evidence about whether management has appropriately understood or interpreted significant data when the reason for the inherent risk assessment of 'not low' includes complexity (paragraph 17(c)) would not also apply where judgement by management is the factor that gave rise to the inherent risk assessment as 'not low';

- It is not clear why the testing objectives related to judgements on complex modelling when the reason for the inherent risk assessment of 'not low' includes judgment (paragraph 18(c)) would not also be applicable when 'complexity' was the factor that gave rise to the inherent risk assessment;

- It is not clear whether paragraph 18(a)(iii) should also include significant data and not just significant assumptions when assessing the consistency of information used in accounting estimates and other areas of the entity's business activities;

- It is not clear why it would not be appropriate for the auditor to develop his or her own point estimate or range in certain circumstances when assessing whether management's point estimate is reasonable where estimation uncertainty (paragraph 19(a)(ii)) or complex methods (paragraph 17) are the factors that gave rise to the auditor's inherent risk assessment as 'not low'. The auditor may decide to develop his or her own point estimate or range to challenge management's estimate. In the ED, the development of the auditor's point estimate or range seems to only apply when management has not appropriately understood and addressed the estimation uncertainty (paragraph 19(b)) or where inherent risk is low (paragraph 15(a)(iii)).

Furthermore, we are concerned with any inference that in instances where management has not appropriately understood or addressed the estimation uncertainty of an accounting estimate, this can be overcome by the auditor's response. The auditing standards should not imply that the auditor's responses could abdicate management of their financial reporting responsibilities; and

- It is not clear why the need to consider whether adjustments to the output of the model are consistent with the reporting framework applies only under the 'judgement' concept (paragraph 18(c)(iii)) and would not also apply to estimates where the reasons for the inherent risk assessment of 'not low' include 'complexity' or 'estimation uncertainty'.

As a result of the difficulty to distinguish among 'complexity,' 'judgment' and 'estimation uncertainty', there is a risk that auditors may default to responding only to some of the reasons for the assessment given to the risk of material misstatement. In those circumstances, due to the segregated nature of the testing objectives in paragraphs 17-20, auditors might omit certain testing objectives that, while not associated with the key drivers of the auditors' risk assessment, are still important to the ultimate audit conclusion.

Alternatively, given the difficulty in distinguishing between the concepts of 'complexity', 'judgement' and 'estimation uncertainty', auditors may default to addressing all the testing objectives in paragraphs 17-20. In that case, they may be confused by the seemingly overlapping nature of some testing objectives. For example, both paragraphs 17(a) and 18(a) require auditors to evaluate certain aspects of the appropriateness of management's selection of the methods, significant data and assumptions used in the estimation process.

Given the objective based nature of the requirements in paragraphs 17-20 and the potential overlap among the concepts of 'complexity,' 'judgment' and 'estimation uncertainty' and their related testing objectives, the Board should consider whether all (or a subset of) the testing objectives in paragraphs 17-20 should be required to be met for all accounting estimates, irrespective of the reason for the assessment of their inherent risk as 'low' or 'not low' risk, and whether or not the auditor places reliance on controls. Under such an approach, auditors would respond to the assessed risks of material misstatement by varying the nature, timing, and extent of the further audit procedures performed in response to the defined testing objectives.

While we would not support the approach in the ED of only applying the testing objectives based on which of 'complexity', 'judgement' and 'estimation uncertainty' gives rise to an assessment that inherent risk is 'not low', if the revised ISA 540 adopts that approach, the following should be made clear:

(a) Whether the testing objectives under 'estimation uncertainty' should always apply regardless of whether inherent risk is assessed as 'low' or 'not low' and the reasons for that assessment; and

(b) The distinction between the concepts of 'complexity', 'judgement' and 'estimation uncertainty'.

Risks that do not relate to 'complexity', 'judgement' or 'estimation uncertainty'

The testing objectives in the ED described in paragraphs 17-20 apply where risk is assessed as 'not low'. These testing objectives are limited to situations in which the reasons for the assessment given to the risk of material misstatement include either complexity (paragraph 17), judgment (paragraph 18), or estimation uncertainty (paragraphs 19-20). It is not clear, and the Board should clarify, what procedures an auditor should perform when the inherent risk of an accounting estimate is assessed as 'not low' but for reasons other than complexity, judgment, or estimation uncertainty. It appears the standard allows for other reasons with the use of "including" when discussing the relevant factors considered in the auditor's risk assessment in paragraph 13.

Objective based requirements

The "Explanatory Memorandum to ED-540" explains that the requirements in paragraphs 17-20 are not drafted in the form of procedures that shall all be performed, or a list of possible procedures from which the auditor should choose. Instead, these paragraphs contain requirements that are focused on objectives ("testing objectives") that the procedures selected by the auditor need to accomplish.

We are concerned that the lack of specificity as to the nature and extent of the further audit procedures that the auditor should perform, or consider performing, in connection with paragraphs 17-20 might lead to inconsistent audit approaches and an inability of regulators to enforce high-quality audits. Therefore, we ask the Board to consider providing further requirements for the audit procedures that the auditor should perform, or consider performing, to achieve the testing objectives in paragraphs 17-20.

Sampling, identification of differences to investigate and evaluating errors

We are concerned that the ED does not address key methodology issues in testing estimates such as values of financial instruments. We believe that the Board should give priority to a further project to develop additional guidance in this area. While some of these issues might be also relevant to a project on data analytics, they should not be delayed pending such a project.

While sampling and error evaluation should be addressed more generally, there are specific issues for estimates such as the valuation of financial instruments that require the Board's attention. Examples of those issues are discussed in the next several paragraphs. We believe that ISA 530 *Audit Sampling* does not provide sufficient requirements or guidance to address these matters.

Where an auditor develops his or her own estimate to test the values of financial instruments in a portfolio, guidance is needed for setting sample sizes, setting thresholds for investigating differences, reviewing and investigating differences, identifying errors, and extrapolating and evaluating errors. For example, while paragraph A128 of the ED refers to ISA 520 *Analytical Procedures* in setting point estimates and ranges, the guidance on determining which differences do not require investigation in paragraph A16 of that standard is too general and is not sufficient to promote consistent application by auditors in practice. ISA 520 does not address fundamental questions such as: (i) how to set thresholds having regard to materiality, the precision required and the nature of the population; (ii) whether to address assessed risks by seeking greater precision in setting thresholds; and (iii) how to set thresholds for disaggregated populations. There is a risk that the auditor sets thresholds that are large enough to allow for differences caused by the auditor using different pricing sources from those used by management, rather than setting thresholds for the precision required. Similarly, if the auditor attributes differences identified to using different pricing sources, this would defeat the purpose of testing client values by using different pricing sources. For example, where an auditor is unable to find a suitable pricing source to capture inputs in the same time zone or on the same date as used for valuation by management, it would not be appropriate to compensate by increasing the acceptable thresholds to allow for the volatility in inputs or values over time, rather than focusing on the level of precision required.

To address issues in practice, the standard should specifically state that it is not appropriate to set thresholds based on tolerable differences in individual inputs (e.g. point differences in interest rates) without also quantifying and evaluating how those tolerable differences would impact point estimates and ranges used by the auditor to evaluate amounts in the financial statements.

Auditors may also be uncertain as to how to extrapolate and evaluate errors. This may include cases where values of an instrument recorded in the financial statements could be positive or negative (e.g. interest rate swaps) and errors identified from sample selections could be in opposite directions. This matter is not addressed in ISA 520 or in ISA 530.

If these matters are not dealt with in the revised ISA 540, they should be given high priority in a separate project.

Reasonable ranges (paragraphs 20 and A2)

The term 'reasonable' is used throughout the ED and paragraph 20 requires the auditor's range to be reasonable when used to evaluate management's point estimate. While paragraph A2 describes the concept of 'reasonable', it is subjective and general in nature. The Board should provide more guidance and key considerations to facilitate practical application of the term 'reasonable.'

It is also important to remind auditors to exercise their professional skepticism in developing the reasonable range and not to set too wide of a range or threshold when auditing management's accounting estimate. Further, it is important for auditors to be aware as to when it is appropriate for them to rely on their own development of a range to evaluate the reasonableness of management's point estimate, and in which situations auditors need to undertake supplemental audit procedures. An example of the latter case may be a situation in which an auditor's range for an accounting estimate may be multiples of materiality for the financial statements taken as a whole, as described in A134. It would be helpful for the Board to provide further guidance in this area in a final standard.

The guidance currently in paragraphs A128 to A134 is not sufficient. Therefore, the Board should provide clearer guidance on how to:

- Set a reasonable range or threshold in testing management's accounting estimate;
- Evaluate the variance between auditor's point estimate or range and management's accounting estimate and highlight the importance of investigating the underlying root causes of such variance (particularly when there is contradictory evidence from other audit procedures); and
- Identify and evaluate errors. This includes extrapolation of errors to the relevant population and evaluating the risk of incorrect acceptance due to root causes of variances not being identified. ISA 530 and ISA 520 do not provide requirements or guidance to address these matters.

Paragraph 20 should also refer to guidance on developing an auditor's point estimate or using an auditor's range in paragraphs A128 to A134.

Paragraph A131 allows the auditor to develop a point estimate or a range for only part of the accounting estimate. The Board should consider providing further guidance and examples of this approach. The Board should also highlight that if the auditor develops a range in testing the underlying data or assumptions of the accounting estimate, there should be an assessment of variances and reasonableness of the accounting estimate in monetary terms. For example, the impact on the financial report may be difficult to assess from differences in non-monetary inputs such as interest rates, percentages or ratios. Assessing the impact on the financial report in monetary terms enables the auditor to better understand the impact of differences in estimates. While paragraph A131 of the ED provides examples of ways to develop a point estimate or range, it does not discuss identifying differences or evaluating errors.

Estimation uncertainty for populations with small number of high value items

A final standard should address the issues of estimation uncertainty with populations containing a small number of high value items compared to populations containing a high number of low value items. Where the population contains a small number of high value items (e.g. models for impairment of non-financial assets or recoverability of a single large disputed debt) and an auditor's range of values is broad, the auditor would need to consider whether to perform additional audit procedures. Prominent disclosure may be required under the reporting framework concerning the estimation uncertainty, but disclosure by management is not a substitute for the auditor to obtain reasonable assurance and sufficient audit evidence with respect to management's estimates.

Where a population contains a large number of low value items, the law of averages may assist in addressing estimation uncertainty (e.g. large numbers of small insurance contracts). However, there should also be guidance concerning the possibility of estimation bias in populations of a large number of low value items, that could result in material misstatements. For example, where differences between management's and auditor estimates are all in the same direction but each is less than the threshold, there could still be a material misstatement in aggregate. There may be other patterns or trends in differences identified.

Evidence to support an estimate and disclosures

Paragraph 19(a)(ii) of the ED says that the auditor's evaluation of whether an accounting estimate, and related disclosures, are reasonable in the context of the applicable financial reporting framework includes obtaining sufficient appropriate audit evidence to support the reasonableness of management's conclusions. To the extent the auditor is unable to obtain sufficient appropriate audit evidence, there should be application guidance on potential impacts to the audit opinion and whether reporting the matter to those charged with governance is necessary. Given practice issues noted by some members, we believe that it is important to remind the auditor to consider the impact on their opinion in ISA 540 rather than to rely on the general requirements in paragraph 17 of ISA 700 *Forming an Opinion and Reporting on Financial Statements*.

Information sources

In describing the nature of accounting estimates, the ED says that the susceptibility of an estimate to misstatement may increase because of the need to "Appropriately consider the relevance and reliability of the data used, whether the data is obtained from internal sources or from external information sources" (paragraph 3(a)(ii)).

The proposed amendments to ISA 500 provide a definition of an external information source and considerations when evaluating the relevance and reliability of information obtained from such a source. In particular, paragraph 5(cA) of ISA 500 defines an external pricing source as an individual or organization that provides 'publicly available' information used by the entity in preparing the financial statements. However, it is not clear what is meant by 'publicly available'. For example, it is not clear whether 'publicly available' information needs to be available to the general public or whether the definition would also encompass circumstances in which information is not available to the general public but is nevertheless provided in a uniform manner to the interested users of an information source, for example on a subscription basis. Examples may include results of surveys of a small number of industry participants by industry associations or central banks that may not be public but only available to entities in the industry.

The Board should consider clarifying its definition of an external information source in this regard. Guidance may also be useful where the audited entity is the price maker in a particular market.

In discussing the evaluation of external information sources, paragraphs A33A to A33G of ISA 500 appear to focus on the relevance and reliability of those sources. As the Board observed in paragraph A33C, in many circumstances the auditor may not be able to test the accuracy and completeness of the information received from an external information source. For example, there may be no contractual relationship between the external information source and the entity that requires the provision of information, or the models used by external information sources may be proprietary.

However, in the example provided in the same paragraph, the Board appears to suggest that evaluating the relevance and reliability of information would only be a 'part of considering the accuracy and completeness of the information'. This may be confusing to auditors when it comes to the extent of procedures that they would be expected to perform with reference to information received from an external information source. The Board should clarify its expectations regarding the criteria for evaluating information from external information sources, i.e. whether such information should be evaluated solely for its relevance and reliability while accuracy and completeness would be the appropriate evaluation criteria for information generated by the entity subject to the audit.

If the auditor is not able to evaluate a proprietary model used by external providers or to evaluate the relevance and reliability of information from an external information source, the auditor may need to consider whether there is a limitation of scope and whether a modified audit opinion is needed. The Board should provide further guidance to auditors in this respect.

The proposed amendments to ISA 500 do not cover internal information sources and should do so.

The revised ISA 540 should also make a distinction between internal and external information sources where internal information may be more subjective and more likely to be exposed to the risk of inappropriate management bias whereas external information may be perceived to be more objective.

Management experts and third party pricing providers

Due to increasing complexity in products and models (e.g. financial instruments), management often uses the assistance of external experts with the estimation process, or uses third party pricing providers or brokers' prices. The Board's proposed amendments to ISA 500 will not provide sufficient guidance for auditors in these areas.

Greater guidance is required on auditing accounting estimates prepared by, or using the work of, third parties, including how the auditor can reasonably obtain sufficient and appropriate audit evidence on the method, significant data and significant assumptions underlying such estimates (particularly when limited information is provided by the third parties to management). This could help to clarify how the objectives and audit procedures would be different or similar to those currently in paragraphs 17-19.

Use of the auditor's own experts

Under ISA 500 *Audit Evidence* the auditor needs to appropriately evaluate the work of management's expert if the information is to be used as audit evidence. ISA 500 defines audit evidence as including information in the financial records underlying the financial report.

Some members believe that the Board should give priority to a further project to develop additional guidance where management uses experts in developing accounting estimates. Other members do not believe that any additional guidance is required.

The first group of members believe that the revised ISA 540 or a revised ISA 500 *Audit Evidence* should be clarified by stating that auditors cannot rely on the work of management's expert and must perform sufficient audit testing on that work. Otherwise, the expert would in effect be playing a significant role in preparing the information in the financial report with no independent assurance by the auditor, which undermines the objective of having an independent audit. If the audit team does not have sufficient experience and expertise to perform audit work on an accounting estimate, the audit team should consider engaging their own internal or external expert.

While these members believe that the existing standards should be interpreted as requiring auditors to perform audit work on accounting estimates developed by using the work of management's experts, these members are concerned that there are instances where auditors are of the view that the existing standards do not require audit work other than seeing that the expert is purported to have appropriate qualifications and/or experience.

Paragraph 8 of ASA 500 refers to cases where "information to be used as audit evidence has been prepared using the work of a management's expert". It may be useful to provide guidance for cases where management's experts have been used in developing accounting estimates, and for cases (if any) where management's experts are used to test the accounting estimates. In both cases, these members believe that the auditor should not abrogate responsibility and rely on the work of management's expert, and that the auditor must perform sufficient audit testing.

The second group of members are of the view that the auditor can rely on the work of management's experts, including where those experts develop the accounting estimates used in the financial statements. However, these members are of the view that the auditor should still perform some audit testing on that work and not adopt a full reliance approach.

The first group of members believe that paragraph 8 of ISA 500 and paragraph 7 of ISA 620 *Using the Work of an Auditor's Expert* include requirements that are subjective and which should be supported by stronger guidance.

These members believe that ISA 620 *Using the Work of an Auditor's Expert* should also be revised to provide improved guidance. In practice, some auditors have read paragraphs A8 and A9 in ISA 620 as indicating that auditors do not need to use their own expert if management has used an expert, management's expert is an external expert, the expert has suitable qualifications and experience, the expert is subject to professional requirements, or the entity has controls over the work of the expert. Some members have observed that paragraph 8 of ISA 500 has been interpreted in practice as requiring the auditor to do little more than assess the competence of management's expert. Paragraph A48 of ISA 500 only provides considerations in evaluating the work of management's expert "as audit evidence", and only one of those considerations "may include" the relevance and reasonableness of significant assumptions and methods. The work of management's expert should not be regarded as audit evidence in itself and should be subject to audit procedures that involve obtaining sufficient appropriate audit evidence. Further guidance is required to ensure that auditors use their own internal or external expert, unless the auditor has sufficient and appropriate skills, experience and expertise to undertake the necessary work.

Specific guidance on financial instrument valuation and related areas

The project to develop a revised ISA 540 was originally intended to result in guidance on auditing financial instrument values and loan loss provisioning under the expected credit loss model. While there is some guidance in the proposed amendments to ISA 500, the ED does not contain specific requirements or guidance in these areas.

We appreciate the imperative to issue a revised version of ISA 540 before IFRS 9 *Financial Instruments* is in effect for years commencing on or after 1 January 2018, and that the ED provides high level requirements and guidance for audit work across a broad range of accounting estimates. However, we believe it is important to provide specific guidance on the audit of accounting estimates in areas such as financial instrument valuation, loan loss provisioning under an expected loss model, impairment of non-financial assets, tax balances, and valuation of insurance policy liabilities.

We encourage the Board to provide supplemental guidance in these areas as a high priority after the release of the revised ISA 540.

Professional skepticism

As referred to in paragraph 5, the application of professional skepticism by the auditor is particularly important to the auditor's work relating to accounting estimates. While there are requirements in ISA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Statements on Auditing* concerning professional skepticism, there is a lack of specific guidance on what constitutes 'professional skepticism', including its meaning and definition, as well as specific application procedures related to auditing of accounting estimates. We encourage the Board to provide greater guidance in these areas throughout ISA 540.

Stand back provisions

The stand back provisions in paragraph 22 currently only refer to paragraphs 17 to 19 relating to situations where risk has been assessed as 'not low'. The stand back provisions should apply whether risk is assessed as 'low' or 'not low'. It is important to review whether the risk assessment at the assertion level remains appropriate when the assessment was 'low' given that the nature and extent of work may have been insufficient (paragraph 22(a)). It is also relevant to assess whether sufficient audit evidence has been obtained (paragraph 22(b)) and to review management's decisions under the reporting framework (paragraph 22(c)) even where risk was assessed as low.

The stand back provisions in paragraph 22(a) should also require the auditor to reassess the appropriateness of any reliance on controls, and the effect of any changed assessment on the nature, timing and extent of audit procedures.

Paragraph 23 requires the auditor to consider all relevant audit evidence obtained whether "corroborative or contradictory" when evaluating whether the accounting estimates and related disclosures are reasonable in the context of the applicable financial reporting framework. While recognizing that paragraph 22(b) would require the auditor to evaluate whether sufficient and appropriate audit evidence has been obtained, paragraph 23 should be amended to focus on whether the auditor has exercised sufficient professional skepticism. Professional skepticism involves challenging management's estimates and assumptions, rather than mere corroboration. The auditor should consider whether to obtain more evidence to challenge rather than corroborate accounting estimates and related disclosures, and whether the auditor has sufficiently challenged the accounting estimates. This is in addition to considering contradictory evidence. For example, the auditor might benchmark assumptions against other entities in the industry, consider legislative changes that affect future cash flows, or have regard to whether asset values are consistent with the entity's market capitalization.

Documentation

Paragraph 27 would require, among other matters, documentation of the auditor's evaluation of the reasonableness of the accounting estimates and related disclosures and indicators of possible management bias. Despite the general nature of this requirement, it does not capture other important matters that we believe should be documented.

Given that the revised ISA 315 on risk assessment has been delayed, the revised ISA 540 should specifically require documentation on the process for assessment and classification of inherent risk ('low' or 'not low'), the reasons for that classification and responses to the assessed risks of material misstatement.

Further, where an accounting estimate involves the use of complex models (e.g. impairment testing of non-financial assets), the auditor should retain a copy of management's model and any model prepared by the auditor or their expert in a readily reviewable format (e.g. Excel) to enable another experienced auditor having no previous connections with the audit, to understand the model and how it works, the work performed and the reasons for the conclusions reached. However, the Board may need to provide guidance to address the impact of proprietary models.

Where there are a large number of complex valuation models for different items (e.g. life insurance policy liabilities or financial instruments), the auditor should perform testing using his or her own independent models, or clearly document management's models tested and the testing performed.

Reference should also be made to the general requirements in ISA 230 *Audit Documentation*.

Definitions

The Board should provide further clarification on the following definitions:

- *Accounting estimate*: Paragraph 9(a) includes the term 'monetary amount.' It is not clear whether this encompasses an estimate of zero and whether it includes disclosures of non-monetary amounts.

- *Fair presentation framework* and *compliance framework*: These terms are used in paragraph 21 and should be cross referred to the definitions in ISA 200 *Overall Objective of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*.

Thank you for the opportunity to comment on the exposure draft. If you have any questions or would like to further discuss these matters, please contact Doug Niven on ph. +61 2 9911-2079 (email: douglas.niven@asic.gov.au) or Nigel James at ph, + 1 202-551-5300 (email: jamesN@sec.gov). In case of any written communication, please mark a copy to me (email: nagpal@sebi.gov.in)

Sincerely,

PK Nagpal
Chair, Committee on Issuer Accounting, Audit and Disclosure
International Organization of Securities Commissions

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Mr Matthew Waldron
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Our ref MC/288

1 August 2017

Dear Mr Waldron

ED: Proposed ISA 540 (Revised), Auditing Accounting Estimates and Related Disclosures

We appreciate the opportunity to comment on the International Auditing and Assurance Standards Board's (IAASB) Exposure Draft: Proposed ISA 540 (Revised) *Auditing Accounting Estimates and Related Disclosures* (ED-540). We have consulted with, and this letter represents the views of, the KPMG Network.

The need to change ISA 540

Leading financial reporting frameworks have undergone significant changes in recent years, moving towards a more forward-looking and judgmental accounting for many financial statement items. Consequently, there is an increasing need for management to make accounting estimates and financial statements are subject to greater levels of estimation uncertainty than before. These changes have been accompanied by increasing complexities in the global business environment.

Coupled together, these trends pose significant challenges to both preparers and auditors, as the preparation of accounting estimates often involves the use of numerous subjective and, often inter-related assumptions, complex modelling and increasingly large amounts of data.

These challenges necessitate that ISA 540, and other International Standards on Auditing, be modernised to make them more fit for purpose.

Our overall impressions of ED-540

We agree with the objectives of the project as set out in ED-540 and we appreciate the efforts that have been undertaken to modernise and enhance the requirements of ISA 540. We also recognise the challenge of drafting a standard that is sufficiently scalable, addresses the challenges currently faced by auditors and is future-proof to the extent possible.

Whilst we agree there is the need to update the standard, we have concerns regarding key aspects of the proposals being overly complicated, lacking in clarity and difficult to operationalise. In summary, these concerns relate primarily to the following:

(1) Risk assessment

Risk assessment plays a key role in addressing the challenges described above, enabling the auditor to identify the relevant risk factors that have the most impact on the identification and assessment of the risks of material misstatement, thereby allowing the auditor to develop an audit approach that appropriately responds to those risks.

Whilst we believe there is merit in enhancing risk assessment for the more sophisticated accounting estimates, we believe that ED-540 lacks clarity around some of the requirements pertaining to risk assessment – for example, the extent of these procedures and their interaction with ISA 315;

(2) *The work that the auditor needs to perform to test accounting estimates*

Some regulators have highlighted, for example, deficiencies in:

a. Evaluating the appropriateness (and reliability) of the methods/models used to make accounting estimates;

b. Evaluating the reliability of the data used to make accounting estimates;

c. Evaluating the reasonableness of assumptions used to make accounting estimates, in particular significant assumptions; and

d. Evaluating the design and operating effectiveness of internal control over the methods/models, data and assumptions.

We believe that ED-540 needs to do more to directly address these issues. Specifically, we found that:

— The approach used to make ED-540 scalable (i.e. using a “low inherent risk” threshold) and enhance the auditor’s response by distinguishing between the three risk factors (i.e. complexity, judgment and estimation uncertainty) to be confusing, overly complicated and difficult to operationalise.

  Our initial impression of the approach taken by the PCAOB in its proposed auditing standard on accounting estimates to address scalability and enhance the auditor's response is that it is more intuitive because it is consistent with how management makes the estimate and how audit evidence is available. We encourage the IAASB to consider the merits of this more simplified approach.

— ED-540 appears to be overly complicated for auditing relatively simple estimates;

— There is a lack of clarity around how ED-540 specifically interacts with ISA 330;

— ED-540 could benefit from additional guidance on how to apply its requirements when auditing accounting estimates (either for the simple or more sophisticated estimates). We note that some of the useful practical guidance that exists in extant ISA 540 has not been retained; and

— Further consideration is needed in addressing the challenges related to evaluating the reliability of external information sources.

(3) *Applying professional scepticism and especially identifying and addressing management bias*

This has also been raised by regulators as an area which may not have been appropriately addressed by auditors in the past.

We are generally supportive of the measures taken in ED-540 to address this area, although we have concerns, for example, with respect to the use of three risk factors (i.e. complexity, judgment and estimation uncertainty) and some of the guidance with respect to management bias.

Our detailed comments on ED-540 and possible ways of addressing these comments are described in the Appendix to this letter.

It should be noted that our observations above are consistent with feedback received from our engagement teams involved in the limited-scope field testing of the proposals.

Considering our observations above, we believe that additional work is needed on ED- 540. Our assessment is that ED-540 may not be a significant improvement to extant ISA 540 in addressing the challenges of auditing sophisticated estimates, and we believe it may actually be more complicated to apply in practice for both simple and more sophisticated estimates.

The way forward

We recognise that:

— ISA 540 is intended to apply to all accounting estimates regardless of the assessed risk of material misstatement; and

— The approaches to auditing accounting estimates will generally be consistent for all types of accounting estimates, irrespective of the complexities, judgment and degree of estimation uncertainty involved in making them. Rather, it is the extent of the auditor's work effort and persuasiveness of audit evidence needed that differentiates the audit response, which is driven by the underlying assessment of the risks of material misstatement of the estimate and the rationale for the assessment as it relates to the different components (i.e. data, assumptions and methods/models) of each estimate.

As such, we believe the standard should prescribe the relevant approaches to auditing all accounting estimates (i.e. the approaches identified in ED-540.15(a)), and clearly articulate that, as the assessed risk of material misstatement increases, it is important the auditor responds by identifying and sufficiently understanding the risks related to different components (i.e. data, assumptions and methods/models) of each estimate that impact the assessed risk of material misstatement, and designing an audit approach that appropriately responds to these risks. The application guidance could then expand upon the challenges of auditing the more sophisticated estimates, where it may be more difficult/judgmental to determine whether the auditor has obtained sufficient appropriate audit evidence.

To make the identification, assessment and response to risks of material misstatement more intuitive for the auditor, as well as to be consistent with how the entity makes the estimate and how audit evidence is available, we believe ED-540 needs to describe relevant risk factors for an estimate based on how they relate to the different components of the estimate (i.e. data, assumptions and methods/models), rather than how such relevant risk factors relate to complexity, judgment and estimation uncertainty. Whilst we understand there may be concerns that this proposed approach may result in duplicative guidance in the standard, we believe this could be overcome (see, for example, the proposed approach in the PCAOB's standard).

Furthermore, considering the standard cannot provide detailed application guidance with respect to how the requirements apply to the many varied types of accounting estimates, it may be useful if the standard is complemented by non-authoritative guidance dealing with application of the requirements to more specific sophisticated estimates.

Considering the standard will not be effective for auditing estimates related to the significant new accounting standards (such as IFRS 9 and 15) which become effective on 1 January 2018, our preference would be to allow sufficient time to complete the additional work to ensure that the finalised standard is of high quality, fit for purpose and future proof to the extent possible, even if this means deferring the planned issue and effective date of the standard.

This approach would also have the benefit of allowing the IAASB to:

— Better align ED-540 with the planned revisions to ISA 315, which is currently on the IAASB's work plan;

— Better understand the challenges faced by auditors as they apply extant ISA 540 to the audit of the more sophisticated estimates such as the expected credit loss model, and use these insights to further improve ED-540; and

— Liaise with the PCAOB to achieve more convergence between the proposed standards on auditing accounting estimates, as mentioned above. Our initial review has identified several areas where the proposed approach taken by PCAOB significantly differs from the proposed approach in ED-540 and we do not believe it is in the public interest to have significantly divergent approaches with respect to auditing accounting estimates.

Please contact Matthew Cook at +44 7694 8871 if you wish to discuss any of the matters raised in this letter.

Yours sincerely

KPMG IFRG Limited

KPMG IFRG Limited

cc: Len Jui, KPMG

<u>Appendix – Response to questions included in the exposure draft</u>

<u>*Overall Questions*</u>

1. Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?

As noted in comments on our overall impressions of ED-540, considering the challenges imposed by evolving financial reporting framework and the business environment, we agree with the objectives of the project and we appreciate the efforts that have been undertaken to modernise and enhance the requirements of ISA 540. We also recognise the challenge of drafting a standard that is sufficiently scalable, addresses the challenges currently faced by auditors and is future-proof to the extent possible.

Whilst we agree there is the need to update the standard, we have concerns regarding key aspects of the proposals being overly complicated, lacking in clarity and difficult to operationalise.

Our response to other questions below highlight those concerns and the possible ways of addressing them.

2. Do the requirements and application material of ED-540 appropriately reinforce the application of professional scepticism when auditing accounting estimates?

We are generally supportive of the steps being taken by the IAASB to reinforce the application of professional scepticism. However, we have concerns regarding the following:

— The use of the three risk factors (i.e. complexity, judgments and estimation uncertainty) – see our response to question 3;

— The requirement in ED-540.19(b) for the auditor to develop an independent estimate when management has not appropriately understood and addressed estimation uncertainty – see our response to question 5. We believe that this requirement may imply that it is the auditor's responsibility to compensate for management's ineffectiveness which, in our view, would not be consistent with the concept of maintaining professional scepticism; and

— The guidance with respect to management bias – see below.

Management Bias

ED-540 refers to management bias throughout various phases of the audit:

(1) Risk assessment procedures – understanding how management is identifying and addressing the risk of management bias when preparing accounting estimates and considering the potential for management bias when identifying and assessing the risks of material misstatement (ED-540.10(e)(v) and ED-540.13(b));

(2) Risk response procedures – obtaining evidence about whether management's judgments give rise to indicators of possible management bias (ED- 540.18(a)(i)(b));

(3) Overall evaluation based on the audit procedures performed – considering the need to re-assess the risks of material misstatement due indicators of possible management bias and evaluating the implications for the audit (ED-540.22(a), 24);

(4) Documentation of indicators of possible management bias and the auditor's evaluation thereof in forming an opinion on whether the financial statements as a whole are free from material misstatement (ED-540.27(b)).

We recognise the importance of identifying and appropriately responding to management bias and are supportive of the emphasis being put on the issue of management bias in ED-540. However, we have the following concerns:

a. ED-540 focuses on identifying and addressing all indicators of management bias. We believe it is neither practical nor possible for auditors to identify all indicators of management bias and, as recognised by paragraph ED-540.A148, indicators of possible management bias themselves do not constitute misstatements for the purpose of drawing conclusions on the reasonableness of individual accounting estimates. Consequently, we believe that ED-540 should be clearer that the auditor should focus on identifying and addressing indicators of possible management bias which could result in a material misstatement; and

b. ED-540.18(a)(i)(b) requires the auditor to obtain sufficient appropriate audit evidence about whether management's judgments regarding the selection and use of the methods and the significant data and assumptions give rise to indicators of possible management bias.

   We believe that the auditor should not specifically plan and perform the audit to obtain evidence of the existence of indicators of possible management bias on their own. In our view, the auditor obtains evidence over the data, assumptions and methods that were used to make the estimate, and through evaluating this evidence the auditor considers whether there are any indicators of management bias that may represent a risk of material misstatement. We also believe that if risk assessment procedures indicate a risk of possible management bias that could result in a material misstatement, then the auditor may exercise a heightened professional scepticism to the implications of this potential bias when the auditor obtains evidence over the different components of each estimate.

Furthermore, the auditor may find that obtaining evidence about indicators of possible management bias, as suggested above, is impracticable at the estimate level, considering that ED-540.A7 recognises that management bias may be difficult to detect at an account level and may only be identified when considered in groups of accounting estimates, all accounting estimates in aggregate, or when observed over a number of accounting periods.

Our recommendation is that the IAASB more clearly articulate the auditor's responsibilities in this area.

Finally, we believe the location of ED-540.24 should be reconsidered. In our view, the auditor should consider whether there are indicators of possible management bias before the auditor performs an overall evaluation based on audit procedures performed in ED-540.22-23. This is because, if indicators of possible management bias are identified, the auditor shall evaluate the implications for the audit, including whether the auditor's risk assessment and related responses remain appropriate.

<u>Focus on Risk Assessment and Responses</u>

3. Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?

We have a number of concerns with respect to scalability of ED-540, which are outlined below. Our response to this question is divided into several sub-sections:

— Risk assessment procedures and related activities

— Identifying and assessing the risks of material misstatement

— Responses to the assessed risks of material misstatement

3(a) Risk assessment procedures and related activities

Interaction with ISA 315

ED-540.10 requires the auditor to perform risk assessment procedures and related activities to obtain an understanding of certain matters relevant to accounting estimates and related disclosures.

The interaction between these requirements and those outlined in ISA 315 is not clear. ISA 315 is a foundational standard and the requirements in ED-540.10 should clearly build upon (not change or supplement) those in ISA 315. The lack of clear interaction may create the impression of another layer of risk *assessment* and/or may result in certain requirements being interpreted in isolation rather than in combination with related requirements in other ISAs.

Consequently, we believe the interaction needs to be made more clear and explicit.

Our comments below illustrate specific areas where the interaction between ED-540 and ISA 315 may need to be clearer.

Extent of understanding - general

ED-540.A9 elaborates that, in performing the procedures required by ED-540.10, the auditor's primary consideration is whether the understanding obtained is sufficient to:

— Identify and assess the risks of material misstatement; and

— Plan the nature, timing and extent of their further audit procedures.

We believe there could be significant differences in interpretation with respect to the extent of understanding the auditor is required to obtain over accounting estimates.

For example, some of the requirements can only feasibly be applied at the financial statement level (e.g. 10(c) and (d)), whilst others could be more easily applied to the individual accounting estimate (e.g. 10(a) and some of 10(e)). This lack of clarity may result in differing interpretations as to whether ED-540.10 is applied to each accounting estimate or to accounting estimates as a whole. ED-540.A9 and the references to "accounting estimates" in ED-540.10 imply that the auditor is not required to specifically address each requirement for each individual estimate. However, we believe ED-540 should be clarified regarding this matter. Our view is that the auditor should use professional judgment to determine the extent of understanding they need to obtain for the purpose of identifying and assessing the risks of material misstatement, which could vary significantly depending on the nature of the different estimates in the financial statements.

We also note that ISA 315.18(e) requires the auditor to understand the financial reporting process used to prepare the entity's financial statements, including "significant" accounting estimates and disclosures. This appears to be inconsistent with the scope of the requirement in ED-540.10(e). We believe it is necessary to provide further clarification in this area including with respect to the interaction between ISA 315.18(e) and ED-540.10 and the meaning of "significant" accounting estimates.

Extent of understanding - specific considerations for estimates with very little or no estimation uncertainty at the time that the audit is performed

ED-540.9(a) defines an accounting estimate as "a monetary amount…the measurement of which is subject to estimation uncertainty."

ED-540.A75 states that "The auditor's assessment of the risks of material misstatement at the assertion level may be informed by events occurring after the date of the financial statements. For example, the outcome of an accounting estimate may become known during the audit. In such cases, the auditor may assess or revise, when relevant, inherent risk as low, regardless of the extent to which the accounting estimate was subject to, or affected by, complexity, the need for the use of judgment by management or estimation uncertainty at the time management made the estimate."

We believe that when the outcome of an accounting estimate may become known, in certain circumstances, this may enable the auditor to conclude that there is no longer a reasonable possibility of a risk of material misstatement related to estimation uncertainty. It is unclear whether the language in ED-540.A75 is suggesting that an accounting estimate subject to, or affected by, complexity, the need for the use of judgment by management or estimation uncertainty at the time management made the estimate always has a reasonable possibility of risk of material misstatement related to estimation uncertainty, or whether it is simply trying to make the point that, when the outcome of an accounting estimate may be known, it is more likely that inherent risk would be assessed as low and the requirements in ED-540.17-20 would not apply.

Consequently, we believe clarification is needed with respect to the extent of understanding that the auditor needs to obtain with respect to accounting estimates that are expected to be subject to no or very low estimation uncertainty at the time the audit procedures are planned to be performed.

For example, if, when planning the audit, the auditor has a reasonable basis for expecting the outcome from management estimates such as provisions for litigations and claims, purchase accruals or management bonuses to be known when the auditor plans to perform audit procedures, and the auditor expects that this known information will be highly relevant to the estimate made at the measurement date, what would be the extent of understanding required by the auditor?

We believe that if the auditor's assessment is that estimation uncertainty is expected to no longer represent a reasonably possible risk of material misstatement when the procedures are planned to be performed, then the auditor would not need to obtain a detailed understanding of how the accounting estimate had been made. Additional application guidance could clarify that:

— The fact that the outcome of a management estimate is expected to be known when the audit procedures are planned to be performed does not necessarily mean that estimation uncertainty no longer represents a risk of material misstatement. For example, the disposal of a "hard to value" financial instrument measured at fair value several months after the reporting date may provide an indication of fair value at the reporting date, but the auditor would need to consider whether the financial instrument's fair value could have been significantly impacted by changes in market conditions or other factors between the reporting date and the date of disposal. If this was a reasonable possibility, then estimation uncertainty may still represent a risk of material misstatement at the time that the auditor's procedures are performed; and

— When the auditor performs testing, the auditor would need to reassess whether the initial assessment that estimation uncertainty does not represent a reasonably possible risk of material misstatement is still appropriate. For example, if when the auditor starts to perform testing on purchase accruals, and the auditor determines that a significant number of supplier invoices are unexpectedly still outstanding and a number of management's estimates for purchase accruals remain, then the auditor's reassessment of the risk of material misstatement related to estimation uncertainty may lead the auditor to conclude that more work needs to be performed to obtain a better understanding of the risks.

Extent of understanding - internal control

ED-540.10(f) requires the auditor to understand the components of internal control as they relate to making accounting estimates, which includes control activities. We believe clarifications are necessary related to this requirement.

Specifically, the footnote to this requirement references ISA 315.14-24. However, ISA 315.12 makes it clear that the auditor obtains an understanding of control "relevant" to the audit. ISA 315.A100 elaborates that control activities that are relevant to the audit are those that relate to significant risks, those that relate to risks for which substantive procedures alone do not provide sufficient appropriate audit evidence and those that are considered to be relevant in the judgment of the auditor. We believe the application guidance related to 10(f) needs to make it clearer that the requirement to understand control activities is consistent with ISA 315.A100 and therefore that the footnote needs to refer to ISA 315.12-24.

Retrospective Review

Consistent with extant ISA 540, ED-540.11 requires the auditor to review the "outcome" of accounting estimates included in the previous financial statements or their subsequent re-estimation.

Although this requirement has not substantially changed from extant ISA 540, we do not believe there is consistent interpretation of the extent of procedures the auditor needs to obtain to perform to review the "outcome" of accounting estimates. In particular:

— It is difficult to judge the extent of work necessary as it relates to long tail estimates as the outcome may not be known. The new application materials added has not provided sufficient guidance related to these matters. We believe it would be beneficial to provide further application guidance to clarify the work effort related to long tail estimates;

— Paragraph ED-540.A63 states that a retrospective review of management judgments and assumptions related to “significant” accounting estimates (reflected in the prior year financial statements) is required by ISA 240 and that this review may be performed concurrently with the review of the prior period accounting estimates in ED-540.11. We believe it is necessary to provide further clarification application guidance in this area as to whether the retrospective review requirement in ED- 540.11 is required for all estimates or all “significant” accounting estimates. We believe it would also be useful to clarify the meaning of “significant” accounting estimates, which is not currently defined in ISA 315.

Furthermore, with changes to financial reporting frameworks resulting in the emergence of increasingly sophisticated and subjective estimates, such as impairment provisions for loans measured using the expected credit loss model and insurance liabilities, we believe it will become increasingly difficult to apply this requirement.

For example, a provision for impairment losses for loans at a large bank could be made up of individual estimates for each loan portfolio, with each of these estimates relying on multiple models to derive the estimate, and with each model likely having multiple judgments, assumptions and sources of data underlying them. It is unclear without further guidance how much work the auditor would need to undertake to satisfy the retrospective review requirement, particularly when the estimate is made at a point in time and is not affected by subsequent events.

In addition, management of a large bank would likely have a process and internal controls to assist them with identifying the need for a change from the prior period in methods, assumptions or data used in making the estimate. As ED-540.10(e)(vii) requires the auditor to understand how management has addressed the need for a change from the prior period, if the auditor has understood management’s process and believes it is sufficient to enable the auditor to identify and assess risks of material misstatement, then it may be unclear (e.g. when it is a recurring estimate) why the auditor would still be required to perform a retrospective review as an incremental risk assessment procedure.

We believe further consideration should be given to the scope of the retrospective review requirement and that further application guidance should be added to clarify the work effort for the more sophisticated estimates.

3(b) Identifying and assessing the risks of material misstatement

ED-540.13 requires the auditor, in identifying and assessing the risks of material misstatement, to take into account the extent to which the estimate is subject to, or affected by, one or more of the following factors:

— Complexity

— The need for use of judgment by management

— Estimation uncertainty

Distinguishing between these three risk factors is difficult given they are frequently interrelated and relatively broadly defined. Further, as an accounting estimate is defined in ED-540.9(a) as a monetary amount subject to estimation uncertainty, it is not clear how "estimation uncertainty" can be a distinct factor on its own, rather than a result of complexity, a need for judgment or a combination of both.

We also believe that all three risk factors will often be relevant to most accounting estimates, although the magnitude of the impact each factor may have on the estimate could vary significantly. Consequently, it is uncertain how often the auditor could avoid identifying at least two of the three as relevant risk factors. If this turns out to be the case, this could result in work effort that is not scalable to the risks of material misstatement.

We believe the auditor will likely resort to reviewing the objectives related to ED- 540.17-19 in an attempt to determine which risk factors are relevant to the estimate. However, as these more granular matters are organised by the three risk factors, rather than the different components of each estimate (data, assumptions and methods/models), this makes risk identification and assessment less intuitive for the auditor.

Consideration should be given to reducing the complexity of these requirements by instead requiring the auditor to understand different individual components of each estimate to identify and assess the risks of material misstatement (at a level more granular than the three risk factors).

Rather than requiring the auditor to separately consider the three relatively broad risk factors above (complexity, judgment and estimation uncertainty), we recommend more granular risk factors are developed, perhaps derived from the objectives outlined in ED- 540.17-19, and included as example risk factors in the application guidance. Organising these more granular risk factors based on the different components of each estimate (data, assumptions and methods/models) would better align with how management actually makes the accounting estimate and the way audit evidence is available, making risk identification and assessment more intuitive and streamlined.

3(c) Responses to the assessed risks of material misstatement

ED-540 has different requirements for responding to risks of material misstatement at the assertion level depending on whether inherent risk is "low" or "not low" for the purpose of scalability. This approach results in a number of issues:

Consistency with other ISAs

ISA 200.7 requires the auditor to identify and assess risks of material misstatement, which are comprised of inherent risk and control risk. ISA 200.A42 permits the auditor to make a combined assessment (there is no explicit requirement to assess inherent risk and control risk separately). Consequently, the requirement in ED-540.15 to separately assess inherent risk could be problematic for auditors that do not currently do this in practice as permitted by ISA 200. As other ISAs discuss the audit response responding to "higher" or "increased" risks of material misstatement, we believe it would be preferable to use these terms for consistency and because they are better understood.

Secondly, introducing a requirement to assess inherent risk separately for classes of transactions, account balances and disclosures that contain an estimate may raise questions as to whether this assessment is also required for classes of transactions, account balances and disclosures that do not contain an estimate.

Finally, we do not believe ED-540 clearly explains how the terms "inherent risk is low", "inherent risk is not low" and "significant risk" interrelate. This may cause confusion as to whether inherent risk that is not low is the equivalent of a significant risk or is meant to capture a wider range of risks (we believe "inherent risk is not low" is intended to capture a wider range). We also believe that the approach of distinguishing the work effort between "low" and "not low" inherent risk creates an ambiguity with respect to the interaction between ED-540 and ISA 330 and ISA 500, as described further below.

Examples of low inherent risk

ED-540.A72 provides examples of accounting estimates that the auditor's assessment of the risks of material misstatement may be based on low inherent risk.

We believe these examples should be reconsidered for the following reasons:

— Depreciation calculations for an entity using a single depreciation method for property and equipment and a relatively low level of additions and disposals.

  We believe that estimation uncertainty for depreciation primarily arises from the selection of an appropriate method to allocate the depreciable amount on a systematic basis over its useful life, the estimate of the useful life and the estimated residual value at the end of the asset's useful life. The fact that an entity has a single depreciation method and a low level of additions and disposals during a period do not seem to be particularly relevant considerations when identifying and assessing the risk of material misstatement related to estimation uncertainty.

— Accounting estimates that are based on data that is readily available - for example, translation of a cash balance that is held in a currency other than the reporting currency.

We believe that the inherent lack of precision associated with the measurement of an account balance of this nature would normally be so low that it is highly unlikely that an auditor would identify a reasonably possible risk of material misstatement related to this estimation uncertainty. The suggestion that the estimation uncertainty of a foreign currency denominated cash balance could on its own represent a reasonably possible risk of material misstatement could lead the auditor to conclude that there are almost no accounting estimates for which estimation uncertainty does not represent a reasonably possible risk of material misstatement. It may also suggest that all estimates other than the most simple would have inherent risk that is not low.

Further audit procedures

ED-540.15 has different requirements for further audit procedures depending on whether inherent risk is low or not low. When inherent risk is low, the auditor shall determine whether one or more of three audit procedures would provide sufficient appropriate audit evidence regarding the assessed risks of material misstatement (and perform further audit procedures if needed to obtain sufficient appropriate audit evidence). When inherent risk is not low, the auditor is required to perform further audit procedures to obtain audit evidence about the matters in ED-540.17-20. There are no requirements with respect to the procedures to be performed but ED-540.A97 suggests the three audit procedures in 15(a) may assist the auditor in obtaining audit evidence. There is limited guidance on how to perform these three audit procedures (some guidance in extant ISA 540 has been removed).

This approach results in several issues:

a. It is unclear how certain requirements interact with ISA 330 and ISA 500 and we believe the current wording could cause confusion with respect to the work effort required, particularly when inherent risk is assessed as low. For example, the objectives under ED-540.17-19 could be interpreted as meaning that the auditor only requires sufficient appropriate audit evidence for these objectives when inherent risk is not low. However, when inherent risk is low, we believe the auditor would still need to obtain sufficient appropriate audit evidence with respect to most of these objectives (but the persuasiveness of audit evidence would be less because the risk is lower).

b. When inherent risk is not low, it is not clear whether the auditor is required to obtain sufficient appropriate audit evidence to address the matters under each of paragraphs 17, 18 and 19 if the auditor concludes, for example, that all three factors are relevant but only one or two of the three factors are the drivers of the higher assessed risk of material misstatement. If audit evidence does need to be obtained to address the matters for all relevant factors, regardless of whether they contribute to the higher assessed risk of material misstatement, then considering all three factors will be present in many estimates, it raises the question of what is the purpose of distinguishing between the three factors in the first place.

c. We also find that the objectives under each of the three risk factors are not always intuitive. For example, ED-540.17(a) links whether the significant assumptions are appropriate in the content of the applicable financial reporting framework to complexity. It is not obvious what the link to complexity is in this example.

d. As noted earlier, ED-540.15(b) does not prescribe the audit procedures to be performed when inherent risk is not low. However, several of the objectives for the factors seem to necessitate testing how management made the estimate to obtain audit evidence. For example, if the audit procedures in ED-540.15(a)(i) or (iii) were performed when inherent risk is not low, how would they provide sufficient appropriate audit evidence that management has appropriately understood or interpreted significant data or that management's judgments are appropriate in the context of the applicable financial reporting framework? ED-540.A97 states that the audit procedures performed need to be designed to address the matters in ED- 540.17-19. However, it is difficult to understand how some of these matters could be addressed if the auditor is not testing how management made the estimate. It is not clear whether the intention is to encourage the auditor to test management's process whenever inherent risk is not low, but it does appear that if an alternative audit procedure was performed, top up procedures would then be required to obtain sufficient appropriate audit evidence to meet certain objectives. If the intent is to encourage a preference for testing management's process, consideration should be given as to whether this is appropriate if alternative approaches may provide higher quality audit evidence (such as testing events after the reporting date).

e. Finally, it is unclear whether ED-540.19 has any incremental work effort beyond that required to satisfy the objectives of ED-540.17-18.

Suggested approach

We believe consideration should be given to revising ED-540 as follows:

a. Remove the requirement to differentiate between inherent risk of low and inherent risk of not low for scalability purposes and rather focus on the different components of the estimate (data, assumptions and methods/models) and how the specific relevant risk factors within these components impact the assessment of the risk of material misstatement (which, as noted in our response to 3(b), should be more granular). This would be broadly consistent with the approach taken in the PCAOB's proposed auditing standard on accounting estimates.

b. ED-540.15 already notes that the auditor's further audit procedures shall be responsive to the reasons for the assessment of risk of material misstatement and the higher the assessed risk of material misstatement, the more persuasive the audit evidence needs to be. It would be helpful to build on this requirement by making it clearer that when an estimate has a higher risk of material misstatement, whilst the general approach to auditing the estimate may be the same, the auditor would need to obtain more persuasive evidence to respond to the specific relevant risk factors identified.

c. Remove requirements to obtain sufficient appropriate audit evidence to address the matters in ED-540.17-20 and instead focus requirements on the need to design an audit approach that appropriately responds to the specific risks identified. We believe that the "stand back" requirement in ED-540.22 could provide an extra "line of defence" to ensure that sufficient appropriate audit evidence has been obtained.

d. Expand requirements and application guidance with respect to how the auditor perform the three audit procedures listed in ED-540.15(a) to obtain sufficient appropriate audit evidence.

4. When inherent risk is not low:

a) Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?

We believe the proposed requirements are overly complicated and may be confusing for the reasons outlined in our response to question 3 above. Consequently, we do not believe they will support more effective identification and assessment of, and responses to, risks of material misstatement.

b) Do you support the requirement in ED-540 for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty?

We recognise the importance of developing requirements that enhance the auditor's ability to identify relevant risk factors that have a significant impact on the identified and assessed risk of material misstatement related to estimation uncertainty and to develop an audit approach that specifically responds to those risks. However, we believe the introduction of the three risk factors above is unlikely to achieve this objective for the reasons outlined in section 3(b) of this letter. Consequently, we are not supportive of the requirements in ED-540.13.

c) Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17–19 of ED-540? If not, what additional guidance should be included?

For the reasons outlined in 3(c) of this letter, we believe ED-540 has insufficient requirements and application guidance related to the three audit procedures that would usually be performed to respond to the identified and assessed risks of material misstatement, as described in ED-540.15(a). Our preference would be to remove the requirements to obtain sufficient appropriate audit evidence for these matters, especially given it is unclear how they can be met if the auditor is not testing management's process for making the estimate.

We believe ED-540 should instead focus on requirements that require a response that appropriately responds to the specific risks of material misstatement, and adding additional application guidance on the three audit procedures referred to in ED- 540.15(a) that can be used to test estimates.

5. ***Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?***

We agree with the approach taken by paragraph 20 to setting the attributes of the auditor's range. We also support the explicit recognition in paragraph A134 that there are circumstances where the auditor's range may be multiples of materiality, as we consider that to be a common issue in practice (e.g. impairment provision for loans using the expected credit loss model, insurance liabilities).

Notwithstanding the above, we have the following concerns with respect to other requirements and application guidance related to the auditor's range:

a. Paragraph 19(b) *requires* (to the extent possible) that the auditor develop an auditor's point estimate or range when management has not appropriately understood and addressed estimation uncertainty.

   This requirement may imply that it is the auditor's responsibility to compensate for management's ineffectiveness. As we do not believe that this was the IAASB's intention, we would encourage the IAASB to emphasise, beyond what is currently mentioned in paragraph A126, that it is management's responsibility to appropriately understand and address estimation uncertainty (an exercise that is required anyway for disclosure purposes in many financial reporting frameworks) and the auditor should focus on management's response.

We also believe that, while the standard recognises that in certain circumstances it may not be possible for the auditor to come up with an independent point estimate or range (e.g. expected credit-loss provision), it does not provide guidance on the auditor's response in those circumstances (i.e. when management has not appropriately addressed estimation uncertainty and the auditor is unable to develop an independent estimate).

Consequently, we believe that the standard should further describe the implications of management not properly addressing estimation uncertainty. For example, such circumstances may have implications on communicating control deficiencies and on the auditor's assessment of the sufficiency and appropriateness of audit evidence obtained.

b. Paragraph A128 states that the auditor's range is considered a substantive analytical procedure. While there may be valid reasons to make such a statement, we believe that it may have some significant unintended consequences. For example:

(1) ISA 520.7 states that if analytical procedures identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences. This seems to suggest a different approach than the one prescribed in paragraph ED-540.A145 of the ED, according to which management's point estimate which lies outside the auditor's range is considered a misstatement without further investigation;

(2) ISA 520.A16 states that the auditor's determination of the amount of difference from the expectation that can be accepted without further investigation is influenced by materiality and the consistency with the desired level of assurance, taking account of the possibility that a misstatement, individually or when aggregated with other misstatements, may cause the financial statements to be materially misstated. This paragraph further suggests that as the assessed risk increases, the amount of difference considered acceptable without investigation decreases in order to achieve the desired level of persuasive evidence. This may seem to convey a different message from the one conveyed in paragraph ED-540.A134 which describes situations where an auditor's range can be multiples of materiality, and therefore could cause confusion.

We further note that it is our understanding that in some jurisdictions a range determined by performing a substantive analytical procedure cannot exceed two times performance materiality. This may cause further confusion regarding the interaction between paragraphs ED-540.A128 and ED-540.A134; and;

(3) When the auditor chooses to develop an independent estimate to audit management's estimate (or a component thereof) which includes a significant risk, the requirement in ISA 330.21 is that the auditor perform additional audit procedures. This implicitly suggests that developing an independent estimate

provides less persuasive audit evidence than the other two approaches to auditing estimates, which we do not believe would necessarily be the case. This may have an unintended consequence that it discourages the auditor from performing this audit procedure when an estimate includes a significant risk.

c. We believe that ED-540 lacks guidance in relation to the work effort that the auditor should perform when developing a point estimate or a range.

   Although the IAASB may have conceptually addressed that by referring to the auditor's independent estimate as a substantive analytical procedure, we believe that ISA 520 contains limited guidance that can assist the auditor in the context of developing an independent expectation for an estimate.

   Coupled with our comment in (b) above, we would suggest that the IAASB remove the reference to substantive analytical procedure and instead incorporate guidance on the extent of work expected from the auditor when developing an independent estimate. We suggest that the IAASB consider the guidance in paragraphs 21-24 of the PCAOB's proposed auditing standard on accounting estimates in this context.

d. It may not be clear whether, and if so – how, the requirement in paragraph ED- 540.19(b) is any different to developing an auditor's point estimate or a range in accordance with ED-540.15(a)(iii). Specifically, it may not be clear whether ED- 540.20 and its related application materials are applicable to an independent estimate made in accordance with paragraph ED-540.15(a)(iii).

   We would suggest clarifying that if the auditor chooses to develop a point estimate or a range (although not required to do so), then the requirements of paragraph 20 and its related application materials are applicable in the same way.

e. ED-540.A133 refers to a scenario where management has developed a range and selected assumptions which lie on the same end of the range – a situation that may indicate management bias. It is not clear why this paragraph is included within the application materials which refer to an auditor's range.

   We would suggest either clarifying the example or relocating it to the application material that discusses management bias.

6. Will the requirement in paragraph 23 and related application material (see paragraphs A2-A3 and A142-A146) result in more consistent determination of a misstatement, including when the auditor uses an auditors range to evaluate management's point estimate?

We are generally supportive of the requirement in paragraph 23 and its related application material.

We believe that the determination required in paragraph 22(c) – i.e. whether management's decisions relating to the recognition, measurement, presentation and disclosure of these accounting estimates are in accordance with the applicable financial reporting framework – should be part of paragraph 23. This is because this determination relates to the assessment of whether a misstatement exists.

With respect to the auditor's range – see our comment in the response to question 5 above, paragraph b(1).

Conforming and Consequential Amendments

7. ***With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?***

Whilst we believe the requirements and related application material may result in more appropriate and consistent evaluations of the relevance and reliability of external information sources in certain circumstances, we have specific concerns that the application guidance does not sufficiently address the challenges with respect to evaluating the relevance and reliability of independently obtained pricing information from pricing services and brokers.

The application material in ED-500.A33C-D acknowledges some of the challenges pertaining to the auditor's ability to consider the accuracy and completeness of information for an external information source.

However, we do not believe the application guidance sufficiently addresses these challenges in certain circumstances. For example, the audit procedures in ED- 500.A33F are likely to be difficult to perform when evaluating the reliability of security prices:

a. Performing procedures at the external information source - This is unlikely to be possible for smaller audit firms (due to a lack of a contractual relationship or the information may be considered intellectual property);

b. Testing operating effectiveness of controls management has in place to evaluate reliability - Management of less sophisticated entities are unlikely to have controls in place to evaluate the reliability of security prices from external information sources (other than considering nature and authority of the external information source themselves) for the reasons outlined in a.;

c. Consideration of whether the information is intended to be used in the manner management is using it – If the information is from an external information source rather than a management expert, it could quite likely be subject to disclaimers, caveats or restrictions on use, which may lead the auditor to conclude that the information was not prepared to be used in the manner that management is using it and therefore cannot be relied upon as audit evidence even though it is relevant. However, this does not preclude management from using such data as the caveats are often in place to limit the external provider's liability without undermining the reliability of the data. If information to be used as audit evidence is not available from alternative external information source, it is unclear what the appropriate response would be other than to request management to engage a management expert to prepare a detailed price estimate or to prepare a detailed price estimate themselves; or

d. Obtaining an independent price from an alternative information source – This may be difficult because:

   (i) An alternative source may not be available. In this circumstance, if the other procedures in ED-500.A33F could not be performed either, it is unclear whether the auditor could obtain sufficient audit evidence by performing the procedures in ED-500.A33C alone, or whether they would conclude they have insufficient audit evidence and need to evaluate the impact on the audit;

   (ii) When an alternative information source does exist, this may impose a significant cost on the auditor to obtain the security price, particularly if the auditor needs to obtain prices from multiple sources in order to establish a range;

   (iii) If the auditor obtains a price from one or more alternative external sources, and using that price to estimate the fair value of the securities results in an amount that is not materially different to the estimate made by management, a question arises as to whether this is sufficient appropriate audit evidence that management's source is reliable, given the auditor still does not have a detailed understanding with respect to how either individual security price was determined. If, based on the nature of the estimate, there is likely to be a "reasonable range" that the security price is expected to fall within, and this range has not been reliably quantified but could be reasonably expected to exceed the difference between the sources, can the auditor conclude that the difference between management's source and their own does not need further investigation (as, although the difference may not be material, it may be well above the auditor's threshold for accumulating misstatements)?

   (iv) If the auditor obtains a single alternative price, and using that price to estimate the fair value of the securities results in a materially different amount to the amount recorded by management, it is not clear what the appropriate response would be, particularly given the auditor is unlikely to be able to consider the accuracy and completeness of the information from either management's or the auditor's source. In this circumstance, it would not be possible for the auditor to determine if a material misstatement exists based on the information available. In this scenario, a number of questions arise:

— Would the auditor need to obtain additional security prices from other sources to try and develop a range?

— If there were no alternative external information sources, would the auditor conclude that they do not have sufficient audit evidence that management's source is reliable, and request management either to prepare their own detailed price estimate or to engage a management expert to prepare it and then test this estimate to obtain audit evidence?

— If the auditor considers the nature and authority of management's external information source to be comparable to the auditor's source, what is the appropriate response when the difference between the two sources cannot be easily understood and is material or more than trivial? If, based on the nature of the estimate, there is likely to be a "reasonable range" for the security price, and this range has not been reliably quantified but could be reasonably expected to exceed the difference between the sources, can the auditor conclude that management's source is reliable without further investigation of the difference?

— If the auditor can accept management's external information source without fully understanding the reasons for a material (or more than trivial) difference between that source and the auditor's, this raises the question of the purpose of obtaining an alternative security price in the first place (particularly if the auditor has assessed that management had used the "best" source available and that the alternative source is known to be less reliable).

As demonstrated by the scenario discussed above, further consideration of the challenges related to evaluating the reliability of security prices provided by pricing services and brokers, along with additional application guidance, appears to be needed. The PCAOB, in its proposed auditing standard on accounting estimates, has developed more extensive guidance on responding to the challenges in this area. This may be useful to consider if further application guidance is developed.

Finally, we note that the current wording in ED-500.A33H appears to suggest that, when management and the auditor have used the same source and there is more than one source available, the auditor may be expected to obtain information from an alternative external information source. We believe this wording should be clarified to make it clear that this is a matter of the auditor's professional judgment, which will in part depend on the nature and authority of the source and the circumstances (ED-500.A33C).

Request for General Comments

8. In addition to the request for specific comments above, the IAASB is also seeking comments on the matters set out below:

a) Translations – Recognizing that many respondents may intend to translate the final ISA for adoption in their own environments, the IAASB welcomes comment on potential translation issues respondents note in reviewing the ED-540.

b) Effective date – Recognizing that ED-540 is a substantive revision, and given the need for national due process and translation, as applicable, the IAASB believes that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of the final ISA. Earlier application would be permitted and encouraged. The IAASB welcomes comments on whether this would provide a sufficient period to support effective implementation of the ISA.

We understand the need to promptly address the evolution of financial reporting frameworks, such as IFRS, in a way that will provide auditors with tools to tackle the new challenges.

Considering the standard would not apply to auditing the estimates related to the significant new accounting standards (such as IFRS 9 and 15), which become effective on 1 January 2018, we do not believe there is an urgent need to mandate a short period of time between the issuance of the standard and the time it becomes effective. Major revisions to ISA 540, as currently planned, will require significant time to at least:

— Study the requirements;

— Identify any changes to current practice, including with respect to broader implications than those related to estimates (such as inherent risk assessment);

— Agree on appropriate interpretation of the standard;

— Incorporate the new guidance into firm’s manuals and tools; and

— Provide training to firm’s personnel.

As these processes take time, we believe that the period of 18 months suggested in the question is the minimum time that should be provided from the moment the standard is issued and until the standard becomes effective. Notwithstanding that, early adoption should be permitted and encouraged.

Other Matters

Written Representations

In accordance with the proposed ED-540.25, "the auditor shall obtain written representations from management and, where appropriate, those charged with governance that they believe the methods, significant data and significant assumptions used in making the accounting estimates and their related disclosures are appropriate to achieve recognition, measurement or disclosure that is reasonable in the context of the applicable financial reporting framework".

We have the following concerns regarding the requirement in paragraph 25:

a. The required representation uses terms that may not be defined under the applicable financial reporting framework (and if defined – they may be defined differently than the ED) and may not be well understood by management (e.g. the meaning of "significant data" or "significant assumptions", as defined in ED-540.A35, or the meaning of the terms "reasonable" and "appropriate" as defined in ED-540.A2-A3);

b. It is not clear why the auditor would be satisfied with representations about only the significant data and assumptions rather than all data and assumptions, and why data and assumptions would be referred to differently from methods in this respect; and

c. The representation does not relate to the reasonableness of the estimate as a whole. It may be the case, for example, that while assumptions are reasonable on their own, they may be inconsistent with each other or result in estimates that are not reasonable.

Consequently, we would recommend that the representation obtained relate to the reasonableness of the accounting estimates, including the appropriateness of underlying methods, assumptions and data, in the context of the applicable financial reporting framework.

Appendices

With respect to Appendix 1, *Measurement Bases of Accounting Estimates,* we recommend the IAASB consider removing this content from the standard. The guidance appears to be primarily accounting related, educational in nature, and it is unclear how it interacts with, or complements, the requirements and guidance in the standard itself, which could cause confusion.

IAASB
Attn. Prof. Arnold Schilder, Chairman
529 Fifth Avenue, 6th Floor
New York, New York 10017
USA

Date	Re	Our ref	Attachment	Direct dial nr
August 1, 2017	ED ISA 540	KvH	-	020-3010399

RE: Proposed International Standard on Auditing 540 (Revised) Auditing Accounting Estimates and Related Disclosures

Dear Mr. Schilder,

The NBA appreciates the opportunity to comment on the Exposure Draft *International Standard on Auditing 540 (Revised) Auditing Accounting Estimates and Related Disclosures* (hereafter the 'ED'). First we will give some general comments before answering your questions.

General Comments

We support the effort of the IAASB to revise ISA 540. Estimates are increasingly relevant in financial statements and therefore an updated standard is needed. An example of the increasing relevance is the implementation of IFRS 9. We therefore understand the need to move quickly in the public interest. At the same time we encourage the IAASB to take the time needed to make sure that the standard is not only technically sound but that it is also easy to understand.

This standard should change auditor behavior for the audit of small entities and large entities. We would encourage the IAASB to take an extra three months to finalize the standard if the IAASB felt that that time would improve understandability of the standard for large firms and for SMP's. It is Royal NBA's experience that Mark Twain's words "*I didn't have time to write a short letter, so I wrote a long one instead"* also applies to ourselves as standard setters and that it is not only relevant with regards to the length of our publications but also with regards to the clearness of the publications.

<u>Three factors</u>
We welcome the idea that different factors drive the work load in the standard. We wonder whether the right factors (complexity, judgment and estimation uncertainty) are chosen. In the ED, the existence of estimation uncertainty is a precondition for an estimate and it is also one of the three chosen factors. To us this is confusing.

We recommend using the following three factors:

1.	Access to data and assumptions for the estimate	Focusing on reliability and availability of data and assumptions
2	Subjectivity of the estimate	Focusing on necessary judgement and possible management bias
3	Complexity of calculation of the estimate	Focusing on need to use models, difficult calculations and to deploy specialists.

In our opinion these three factors drive estimation uncertainty for an accounting estimate, clearer differentiate between each other and it will be easier to define audit procedures than the three factors mentioned in the ED (see response to Q4b).

Low inherent risk/threshold
We support the thought that for an estimate with 'low' inherent risk it is not necessary to perform the same level of work as for an estimate with higher inherent risk. Thus we support the threshold approach. We suspect that from a conceptual perspective low estimation uncertainty (as defined above), will probably lead to low inherent risk. Nevertheless the standard does not make clear to us how to distinguish between low inherent risk and other levels of inherent risk. Therefore it is not clear to us when the 'threshold'-approach can be taken (limited procedures when inherent risk is low).

According to the definition of inherent risk, the determination of inherent risk should not be influenced by internal control Therefore, although sometimes helpful, it is conceptually not always necessary to understand the internal control environment to determine the level of inherent risk. Especially for simple estimates in simple environments it might not be useful and not worthwhile to get an understanding of the control environment. We suggest that the standard recognizes that as soon as the auditor has enough evidence to determine that inherent risk is low there is no need to deepen his understanding of the internal control environment (see response to Q3).

Work effort
The workload for the three factors in the ED is 'output driven' ('objective-based'). No concrete audit procedures are specified, instead the audit evidence to be obtained is described. In general we support this approach, but we recognize that this is new and challenging to auditors. Applying this approach includes applying professional judgement and professional skepticism. Therefore different auditors might come to different conclusions what is sufficient appropriate audit evidence. In the public interest we feel that it is necessary to provide as much guidance as necessary to ascertain that auditors perform the necessary procedures. Although we already worry about the extensiveness of application material we strongly believe that it is necessary to provide detailed examples of possible procedures (see response to Q4a).

Models
The ED explains that it might be necessary for the auditor to develop an own model when management's model is not appropriate. Although we understand that it might be necessary for an auditor to develop an own model to evaluate management's point estimate , this introduces several risks:

- Developing an own model might endanger the independence of the auditor. Therefore guidance should be provided to avoid that the auditor takes over management responsibilities. Therefore management should provide a representation that they agree to the model of the auditor and take responsibility for the estimate, based on the model.
- When the auditor develops an own model, the data and assumptions used do not need to represent the data and assumptions used by management. This might become an issue when management provides disclosures about the estimate in the financial statements based on his own evaluation. Therefore the auditor should make sure that the disclosures are in line with his own model. (see response Q4c).

Range

If the auditor defines a range he should only accept values that are supported by the audit evidence and are reasonable according to the auditor. We have problems understanding how the range of the auditor's estimate should be determined. For instance when the auditor concludes that for an actuarial calculation an interest rate should be used between 3 and 4%, are all values in between than acceptable? We recommend giving clear guidance and examples (see response Q5).

Structure and content

The ED is very extensive, primarily in the application material. Especially the paragraphs about risk assessment and internal control are very comprehensive. This does not help the user to easily understand the standard. This is a pity given the fact that the flow chart that was provided shows clearly the simplicity of the process described in the ISA. We therefore strongly suggest to at least add the flow chart as an appendix to the standard. In addition we have the following suggestions to improve the accessibility to the ISA:

- The ISA includes in the application material educational material, that explains for instance on what a model is (A26 – A29), which might be helpful to certain auditors whilst others are aware of this information. We wonder if as a general principal for this and other ISA's application material that is educational should not be moved to appendices. Real application material should focus on applying the requirements not on educating the auditor on more broader issues. In our opinion this would improve the accessibility of this ISA and the ISA's in general.
- With regards to applying ISA 315 the ED provides 4 requirements and 85 paragraphs of application material. We feel that a lot of this material could be integrated in ISA 315. We fully accept that ISA 315 is a separate project and that it is too early to update ISA 315 with the material in ISA 540. At the same time we wonder whether it wouldn't be a better solution to create a temporary solution (for instance ISA 315 A) thus creating a clean ISA 540.
- We suggest to use more plain English and easier constructs. For instance paragraph 8(the objective) states:

> *The objective of the auditor is to obtain sufficient appropriate audit evidence about whether:*
>
> *(a) Accounting estimates, whether recognized or disclosed in the financial statements; and*
> *(b) Related disclosures in the financial statements,*
>
> *are reasonable in the context of the applicable financial reporting framework.*

We do not understand why we need the underlined text. Paragraph A2 provides an abridged version of the objective without this construct.

- Paragraph A2: The first sentence repeats paragraph 8 and could therefore be removed. We do not understand where the other considerations come from, especially the second bullet. The second bullet could be moved upwards to the "normal" considerations.
- Paragraph A71 is a repetition of paragraph 13 and can therefore be removed.
- References between the paragraphs in the application material make the ED also complex. We recommend limiting this as much as possible.
- Appendix I is very theoretical and explains the techniques. We recommend considering to make this more practical and explain how the auditor should deal with the various measurement bases.

If helpful we can share some further detailed comments with the task force.

Request for Comments

Q1 Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?

The ED 540 sufficiently reflects the developments in financial reporting frameworks. Forward looking information is taken into account by describing models and assumptions. There is extensive attention to models in the ED and in our opinion part of the application material can be considered as educational material. Given the fact that according to the IESBA Code of Ethics the auditor is required to act with professional competence and due care we wonder whether some of this educational material might be considered as knowledge that the auditor should have upfront when auditing certain types of entities such as financial institutions. We wonder whether the ISA's are the right place to educate the auditor. Although reporting frameworks are getting more complex, it would be helpful if the ISA's focused on auditing their requirements.
We recommend shortening the educational material about models and/or removing them to an appendix. This would focus the application material on how the auditor should apply the requirements of the standard. For example, the explanation of paragraph 10, which ranges from paragraph A9 up to A60 could (partly) be moved to an appendix.

Q2 Do the requirements and application material of ED-540 appropriately reinforce the application of professional skepticism when auditing accounting estimates?

Although attention is paid to professional skepticism, we feel that the standard could provide more examples to demonstrate how professional scepticism can be applied. For instance we suggest to add more guidance on how to deal with contradictory audit evidence. More guidance could also be given as to whether, how and to what extent management's estimates should be challenged.

At the same time the standard should be clear that the auditor cannot reduce inherent estimation uncertainty by performing more audit procedures and applying professional skepticism.

Q3 Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?

The term 'scalability' might mean different things to different auditors / stakeholders and it is not entirely clear which one is meant here. The focus regarding the scalability of estimates is on estimates with a low inherent risk. In terms of SMEs, the ED is therefore not necessarily scalable (and we wonder whether it should be). That depends upon whether SMEs have low inherent risks regarding estimation uncertainty. Although SME's in general are less complex compared to for instance listed entities, for certain estimates of SMEs inherent risk will not be low.

At the same time given the fact that the work load with regards to the factors is evidence driven we suppose that there is a second level of scalability. Sufficient appropriate evidence regarding (one of) the factors in case of high inherent risk might be more extensive then when inherent risk is moderate. The standard could demonstrate this in examples in the application material. In many cases SMEs could benefit from this.

Although a few paragraphs are dedicated to SME's, this could be more extensive. For example, in paragraph A23 it is not clear which information should be obtained from the owner-manager and how to determine whether this is sufficient.

In terms of work effort, the ED can be considered scalable if inherent risk is low ('threshold'). However to clearly identify in practice whether inherent risk is low is difficult. The standard nor the ISAs in general do not provide guidance on how to decide whether inherent risk is low.

Furthermore, we wonder whether internal controls need to be considered (paragraph 10f) if inherent risk is low and whether paragraph 16 can apply if paragraph 15a has been applied (low inherent risk). Internal control is not relevant to determine whether inherent risk is low. Paragraphs 10f suggests that internal control should be considered although inherent risk is low. This both would not eliminate the work effort. In some situations substantive testing would be sufficient. Therefore we suggest to move the paragraphs about internal control after paragraph 15a the 'threshold', or made conditional in situations where inherent risk is already evaluated as being low, and clearly explained that they might not be applicable when inherent risk is low.

Finally, we suggest to make it clear which audit procedures should be performed in paragraphs 17-20 when inherent risk is not low and when there is insufficient internal control.

Q4a Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?

According to us the standard is not clear how the fact that inherent risk is higher than low relates to significant risks. According to the standards a significant risk is a risk that, in the auditor's judgement, requires special audit consideration. Given the fact that this standard provides specific requirements for estimates that have an inherent risk that is higher than low, taking in account Paragraph 28e of ISA 315, we wonder whether this by definition is not a significant risk. We wonder whether this is intended and therefore encourage the IAASB to provide more clarity what is intended with the concept of 'special audit consideration'

If inherent risk is not low, but risk of material misstatement is low, would this lead to the right work effort?

As mentioned in the general remarks we are of the opinion that parts of ED 540 should be transferred to ISA 315 as they relate to risk assessment (e.g. paragraph 28 of ISA 315.

Furthermore, the ED is 'output driven' ('objectives-based'). No concrete audit procedures are specified, only the audit evidence to be obtained. Although we understand that this approach has been chosen, we doubt whether this is clear for auditors in practice. We recommend giving concrete examples of audit procedures to be performed in certain situations.

Further less attention could be paid to using specialized skills or knowledge. Reference could be made to ISA 620.

Q4b Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty?

We do support the factor approach, however we do not support the specific three factors mentioned. There is overlap in the three factors and management bias is a factor included in judgment but also mentioned separately. The definition relates to estimation uncertainty only and not to the other two factors. Estimation uncertainty is a precondition for an estimate and estimation uncertainty is often caused by the other two factors. This seems to be mixed up in the ED. However, the work effort relates to the three factors. We question whether it is clear in practice which audit procedures should be performed to respond to the risks and whether the three factors really can be separated in the work effort.

We recommend reconsidering the three factors by taking the following three factors into account:

1.	Access to data and assumptions for the estimate	Focusing on reliability and availability of data and assumptions
2	Subjectivity of the estimate	Focusing on necessary judgement and possible management bias
3	Complexity of calculation of the estimate	Focusing on need to use models, difficult calcu-lations and to deploy specialists

In our opinion these three factors determine estimation uncertainty and will be easier to audit than the three factors mentioned in the ED.

Q4c Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 to 19 of ED-540? If not, what additional guidance should be included?

We question whether it is clear when an auditor should develop his own point estimate or range and whether this is appropriate. This could result in a disproportionately high work effort for the auditor and an unwanted situation where the auditor performs the work that management should do. We recommend to give more guidance in the following areas: should the auditor build his own model when the model of management is not appropriate or does this go too far and can this only be done as last resort? Developing an own model might endanger the independence of the auditor. Is it appropriate to disapprove the model of the management? How should this be disclosed as this might be sensitive to disclose and will this have an effect on the auditor's opinion? (see also Q5)

If inherent risk is low, the auditor should also consider developing a point estimate or range to evaluate management's point estimate. This is not further explained. Is this realistic if inherent risk is low? We recommend to give more guidance in this area.

Q5 Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?

With the new approach the range is already "narrowed down" because there needs to be audit evidence and amounts in the range have to be "reasonable" (which is not defined). Furthermore, at this stage, materiality does not have to be taken into account (two-step approach). This seems realistic. However, we wonder whether it is clear how the auditor should develop a point estimate or range. We recommend to give clear guidance how to determine whether the point estimate or range is reasonable by providing concrete exam-ples. For example, if an actuarial calculation is used and the range of the expected life of men varies from 82 till 85 years. Are all outcomes between 82 and 85 appropriate or not?

Q6 Will the requirement in paragraph 23 and related application material (see paragraphs A2–A3 and A142–A146) result in more consistent determination of a misstatement, includ-ing when the auditor uses an auditor's range to evaluate management's point estimate?

We assume that this will be the case.
Is it made clear how to deal with big differences between the management's point estimate and the auditor's point estimate or range. In paragraph A144 is stated that this does not necessarily has to be a misstatement. However, if there are big differences, the auditor should reconsider the audit evidence.
In paragraph A145 is stated that the difference between the management's point estimate and the nearest point of the auditor's range is the misstatement. Isn't this contradictory?

The relationship between materiality and estimation uncertainty is not fully explained. We recommend to develop more guidance in this area.

Q7 With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?

We support the new term and application material although the application material is very elaborate. However, we wonder whether the information should be limited to publicly available information; it should not be specifically be prepared for the entity (this is the distinguishing criterion), We recommend reconsidering the definition. We also recommend to give guidance how the reliability of the external information source should be considered for example, when Bloomberg information is used. Is this type of information considered to be reliable in general or should this be demonstrated and if so, how should this be done?

Q8a Translations—Recognizing that many respondents may intend to translate the final ISA for adoption in their own environments, the IAASB welcomes comment on potential translation issues respondents note in reviewing the ED-540.

We reiterate our general remark that long, complex sentences are difficult to translate. We recommend using shorter sentences. Furthermore, several terms such as 'level 1 inputs' might be difficult to translate.

Q8b Effective Date—Recognizing that ED-540 is a substantive revision, and given the need for national due process and translation, as applicable, the IAASB believes that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of a final ISA. Earlier application would be permitted and encouraged. The IAASB welcomes comments on whether this would provide a sufficient period to support effective implementation of the ISA.

We consider a period of 18 months for implementation after approval of the final ISA a reasonable period. We support earlier implementation as IFRS 9 will be applicable earlier and audit firms might want to implement the final ISA as soon as possible.

Closing Remarks

For further information, please contact Jan Thijs Drupsteen

Yours sincerely,

Royal NBA, the Netherlands Institute of Chartered Accountants,

Anton Dieleman,
Chair of the Dutch Assurance and Ethics
Standards Board

For the attention of Mr Matt Waldron
Technical Director
International Auditing and Assurance Standards Board
529 Fifth Avenue, 6th Floor
New York, New York, 10017
USA

[Submitted via IAASB website]

1 August 2017

Dear Mr. Waldron

IAASB Exposure Draft: Proposed International Standard on Auditing 540 (Revised)
Auditing Accounting Estimates and Related Disclosures

We[1] appreciate the opportunity to comment on the IAASB's Exposure Draft (ED).

Accounting estimates and related disclosures ("accounting estimates") are an integral part of financial reporting, often having a significant impact on the results of operations and financial position presented in financial statements. The evolving business environment and related developments in financial reporting frameworks are resulting in increasing complexity and management judgement in making accounting estimates. We, therefore, support the IAASB in developing a revised ISA 540 that:

- incorporates relevant considerations underpinning how accounting estimates need to be made in the context of relevant financial reporting requirements; and
- supports the performance of high quality, scalable, auditing procedures over accounting estimates, including reinforcing professional scepticism and evaluating the sufficiency of the audit evidence obtained.

We applaud the extensive outreach undertaken by the IAASB with a wide variety of stakeholders in informing and developing the proposed changes. We support the aim of promoting a more granular consideration of "what could go wrong", to inform the auditor's risk assessment at the assertion level and design of appropriate responses. Much of the related guidance that has been added in the application material is very valuable.

We also believe that close alignment between the IAASB and PCAOB standards on auditing accounting estimates is in the public interest and in our recommendations we make reference to the recent exposure draft issued by the PCAOB[2].

Notwithstanding our overall support, we believe that key aspects of the ISA need to be reconsidered, in particular:

- The integration of proposed, contextual, risk factors into the risk assessment framework and, in particular, as the basis for designing the audit response is unduly complicated and risks

[1] This response is being filed on behalf of the network of member firms of PricewaterhouseCoopers International Limited and references to "PwC", "we" and "our" refer to the PwC network of member firms.

[2] PCAOB Release No. 2017-002, Auditing Accounting Estimates, Including Fair Value Measurements

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creating confusion and unnecessary challenges in practical application. It does not reflect how an experienced auditor thinks about auditing an accounting estimate.

- "Low inherent risk" as a threshold for driving the extent of the auditor's work effort is not, in our view, an effective response to concerns about the scalability of the ISA. The three alternative "testing approaches" presented for low inherent risks apply to the response to any accounting estimate, not just those with low inherent risk. Furthermore, some of the "responses" for other than low inherent risks would be part of how the auditor can respond to a low inherent risk. Therefore, as our field testing showed, it is very unclear what the threshold actually achieves in practice.

In the remainder of this covering letter, we provide an overview of what we consider to be necessary changes to address the concerns described above. Our comments on how to address the points above reflect where we felt the structure of the PCAOB standard was more logical and capable of practical application, while still achieving the desired objectives.

Responses to the specific questions posed in the explanatory memorandum, including additional explanation of the matters addressed in this covering letter, together with constructive drafting suggestions that would address our comments, have been included in the accompanying appendices.

The proposed use of factors unduly complicates the auditor's risk assessment

We believe that identifying and assessing the risks of material misstatement for account balances, classes of transactions, and disclosures *<u>at the assertion level</u>* remains appropriate. The assertions identified in ISA 315 (e.g., existence, completeness, accuracy, valuation) *<u>are</u>* the ways in which an account balance can be misstated. Complexity, judgment and estimation uncertainty are contextual factors that can influence the assessment of risk (e.g., whether a risk of misstatement at the assertion level is low, or higher, or a significant risk), as well as how best to design the approach to obtain audit evidence in response to identified risks. The factors are not, in and of themselves, "what could go wrong".

For these reasons, we are concerned that:

- The way in which the proposed risk assessment requirement in paragraph 13 is drafted, in conjunction with the fact that the requirements in paragraphs 17-19 for the related response to assessed risks are driven by each factor, is leading to: i) a perception of the need to explicitly identify and assess risks by factor, even though complexity, judgement and estimation uncertainty are not mutually exclusive; and ii) confusion over which factors, individually or in combination, are "the reasons for the assessment given to the risk", which is problematic as that determines the application of paragraphs 17-19.
- The proposed approach will require documentation of a complex matrix of the identification and assessment of each risk by: i) assertion (as required by ISA 315); and ii) then also by each of the three risk factors.
- There is also no clear linkage in paragraph 13 back to paragraph 10, which identifies the matters for which the auditor is required to obtain an understanding to inform the auditor's risk assessment. There is therefore confusion about how to relate the risk factors in paragraph 13 to the understanding obtained in accordance with paragraph 10 in performing the risk assessment.

For all of these reasons, we believe that suggesting that the auditor make risk assessments by both assertion and factor will cause confusion and will not enhance the auditors' risk assessment or audit response. This concern extends not only to ISA 540 but also to the proposed revision of ISA 315, where we note similar consideration is being given to the use of risk factors.

We strongly recommend that the proposed risk factors of complexity, the need for the use of judgement, and estimation uncertainty be positioned as useful considerations when thinking about the susceptibility of the estimate to error or fraud, or "what could go wrong". They can usefully inform the auditor's assessment of the identified risks of material misstatement at the assertion level, but should not be the *basis* for identifying those risks and how to design a response. This is consistent with how risk factors are used in ISA 240 and also how they have been incorporated into the proposed PCAOB standard.

A more intuitive way to organise the proposed responses to assessed risks

We agree that there is merit in being more specific in the standard about areas on which the auditor should obtain evidence when testing how management made the accounting estimate. This will help the auditor identify the various components of the estimation process on which it may be necessary in the circumstances to obtain audit evidence.

However, our field testing showed that the structure of the requirements for responding to assessed risks is not intuitive. While most could reconcile the procedures they considered appropriate in the circumstance to the matters for which evidence was required to be obtained, the ED was not presented in the way that auditors think about how to design an audit approach. There was confusion over why matters were listed under certain factors rather than others in paragraphs 17-19 and a lack of clarity about how to address the inter-relationships between them. In addition, it was unclear whether paragraphs 17-19 necessarily all applied to both testing management's process and to the auditor developing a point estimate or range independently.

Equally important, we believe there may be an unintended risk that focusing on risk "factors" and obtaining evidence about "matters" may cause the auditor to lose focus on adequately responding to the risk of material misstatement at the assertion level. More specifically, the requirements to respond to each of these factors and matters may promote a checklist approach to performing procedures without carefully thinking about whether those procedures, and evidence obtained, provide sufficient appropriate audit evidence about the specific risks of material misstatement at the assertion level.

Our field testing also found that engagement teams were confused by the differentiation between the proposed responses for "low" inherent risk and "other than low" inherent risks. This was because the approaches listed in paragraph 15 are equally applicable when designing a response to any estimate not just low inherent risk estimates.

Therefore, similar to the PCAOB's approach, and irrespective of the level of assessed risk, we recommend that the standard include an initial requirement to establish the overall testing strategy based on one or more of the potential approaches – testing subsequent events, testing management's process, developing the auditor's own point estimate/range.

We also recommend that the original "matters", set out in paragraphs 17-19 of the ED, for which the auditor is required to obtain evidence, be restructured more logically and intuitively under sub-headings of "method", "data" and "assumptions". These would then form revised requirements addressing the matters for which the auditor obtains evidence when testing how management made the accounting estimate and the data on which it was based. We also recommend introducing requirements that set out matters to be considered when obtaining evidence from subsequent events and when developing an auditor's point estimate/range. In appendix 2 we illustrate how this could be achieved.

Bring scalability to life through application material rather than the proposed low inherent risk threshold

We are very supportive of both the concept of scalability and of the objective of demonstrating scalability more explicitly in the revised ISA. But we do not believe that doing so through introducing a threshold of "low inherent risk" works. Simply stating that the auditor applies the options available under today's ISA does not bring the genuine scalability some are seeking.

Scalability is, in our view, best addressed by establishing principles-based standards and allowing auditors to apply them by tailoring them to the circumstances and modifying the nature, timing and extent of procedures to be responsive to the assessment of risk. Using conditional requirements, and requirements focussing on where evidence needs to be obtained (rather than the specific procedures to obtain it), allows for appropriate tailoring to the circumstances.

The best way to illustrate scalability in ISA 540 is through application material that can bring the scalability to life by demonstrating what might be an appropriate approach to a simple, non-complex estimate. For example, application material could be added to explain how events occurring up to the date of the auditor's report may provide robust evidence about the estimate, or how re-performing a simple straight forward calculation, such as depreciation, or using a simple, straightforward analytical procedure can provide reliable evidence for a less complex estimate, such as a basic bonus accrual.

In conclusion, we support the IAASB's objectives in revising ISA 540. To achieve the desired outcomes, however, we believe that it is essential that the revised standard: is understandable and capable of practical application; supports high quality audit procedures and the application of appropriate professional scepticism; and addresses fundamental questions about the nature and extent of audit evidence the auditor needs to obtain as a basis for their conclusion on the reasonableness of accounting estimates.

We believe the IAASB has made good progress in this ED towards achieving these aims. But the proposed structure and logic in the ED needs to be revised. The requirements, as drafted, are not how an experienced auditor thinks about how to logically audit an accounting estimate, are not easy to apply in practice and may, therefore, result in unintended consequences. As explained above and illustrated in the appendices, we believe that it is possible to restructure the requirements to address these concerns, without losing the valuable additional guidance that has been developed. Restructuring them into a more logical and intuitive structure will, in our view, result in a robust, high quality auditing standard that will further contribute to enhancing audit quality.

As a final comment, we note the cooperation between the IAASB and PCAOB, primarily through outreach and the PCAOB's participation in the ISA 540 Task Force, in developing this ED. It is clearly in the public interest to reach solutions that can bring about consistent, high quality auditing standards when addressing the same or similar subject-matters and auditing concepts. It is unfortunate that the EDs issued by each board on the subject of auditing accounting estimates contain quite fundamental differences in approach. In our view, this risks confusion and will not help bring consistency in practice to how accounting estimates are addressed in the audit.

In responding to the feedback on this ED, and in finalising the revised ISA, we therefore strongly encourage both the IAASB and PCAOB to work closely together to achieve close alignment in their respective final standards.

We would be happy to discuss our views further with you. If you have any questions regarding this letter, please contact Diana Hillier, at diana.hillier@pwc.com, or me, at richard.g.sexton@pwc.com.

Yours sincerely,

Richard Sexton.

Richard G. Sexton
Vice Chairman, Global Assurance

cc: PCAOB

James R. Doty, Chairman
Lewis H. Ferguson, Board Member
Jeanette M. Franzel, Board Member
Steven B. Harris, Board Member
Martin F. Baumann, Chief Auditor and Director of Professional Standards

pwc

Appendix 1

Responses to specific questions

1. **Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?**

   Given the need for the ISA to remain framework neutral, it is challenging to include very specific requirements linked to a specific framework. However, in our view the changes made address important concepts that are common to financial reporting frameworks, including a heightened focus on data, assumptions and disclosures.

   The proposed risk factors of complexity, the need for the use of judgement and estimation uncertainty are useful considerations when thinking about the susceptibility of the estimate to error or fraud, or "what could go wrong". However, we comment in question 4 on why we believe the way in which the factors have been incorporated into the standard does not result in an effective approach to identifying and assessing the risks of material misstatement at the assertion level, and responding to those risks.

   The proposed amendment to ISA 500 to address external information sources and the importance of assessing the relevance and reliability of information obtained from sources outside of the entity also helps in focusing attention on new sources of data and information that evolving financial reporting frameworks will require entities to make use of in determining certain accounting estimates, for example expected credit losses.

   In thinking about evolving financial reporting framework requirements and whether the ISA addresses relevant considerations, it is also critical to consider expectations of users, including regulators, about what is needed to comply with those financial reporting requirements, in particular disclosures. And, as a consequence, what is therefore expected of auditors in terms of "how much evidence is enough". At its heart, where there has been debate on the audit of accounting estimates this often relates to questions about what constitutes sufficient appropriate audit evidence in particular circumstances – for example, what evidence is needed to demonstrate that the auditor has sufficiently challenged managements' assumption or in relation to information from external information sources. We believe that greater specificity of matters on which the auditor needs to obtain evidence in designing appropriate responses to assessed risks of material misstatement is a useful step-forward in helping to resolve those fundamental questions.

2. **Do the requirements and application material of ED-540 appropriately reinforce the application of professional scepticism when auditing accounting estimates?**

   We support the need to ensure that the standard provides a strong foundation that supports the appropriate application of professional scepticism. Evaluating the relevance, reliability and sufficiency of evidence and providing robust challenge to management in areas of subjective judgement are critical elements in auditing accounting estimates. That is best achieved through the nature of the requirements rather than statements that remind or reinforce the importance of the concept.

   We believe the revised requirements in the proposed ISA will encourage a more detailed understanding of how accounting estimates are determined by management. That, alongside the requirements we have suggested in appendix 2 on the identification and assessment of, and response to, risks, will focus the auditor to think more about the reasons for the assessment given to risks of material misstatement and where audit procedures need to be targeted to obtain sufficient appropriate audit evidence. We also support the additional focus on consideration of management bias and the proposed stand-back evaluation to assess the sufficiency of evidence obtained.

As noted in our response to question 1, we believe it is also important to address questions regarding the sufficiency of audit evidence in areas in which there has been debate. The proposed requirements and guidance regarding what is expected in relation to assumptions, data and information from external information sources are helpful in this regard.

3. Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?

We recognise and support the need to better articulate how the requirements of ISA 540 can be applied in a scalable manner to the very broad range of estimates that fall within the scope of the standard.

But we do not believe that doing so through introducing a threshold of "low inherent risk" works. The results of our field testing indicated that auditors found paragraph 15(a) confusing because there was little guidance on how those approaches can be applied in a scalable manner. In their view, the approaches set out in paragraph 15(a) are applicable to the response to all estimates, not just those with low inherent risk, and they would ordinarily perform procedures to address some of the matters in paragraphs 17-19 even for those lower risk estimates. Overall, auditors were unclear on what is expected if selecting one or more of the approaches under this requirement.

Furthermore, simply stating that the auditor applies the options available under the current ISA, absent any additional clarification of how the auditor applies those approaches in a scalable manner, does not, we believe, bring the genuine scalability some are seeking.

Scalability is, in our view, best addressed by establishing principles-based standards and allowing auditors to apply them by tailoring them to the circumstances and modifying the nature, timing and extent of procedures to be responsive to the assessment of risk. Using conditional requirements, and requirements focussing on where evidence needs to be obtained (rather than the specific procedures to obtain it), allows for appropriate tailoring to the circumstances.

We suggest that the application material could better illustrate scalability in responding to assessed risks through providing further explanation and examples about what may be involved in obtaining sufficient appropriate evidence for simpler accounting estimates. For example:

- how events occurring up to the date of the auditor's report may provide robust evidence about the reasonableness of the estimate,
- re-performing a simple calculation, such as depreciation, or
- using a simple, straightforward analytical procedure to obtain evidence about a less complex estimate, such as a basic bonus accrual.

Removing the low inherent risk threshold will, in our view, also eliminate the very significant potential for subjective disagreements between auditors and audit inspection bodies as to the auditor's determination of whether a risk is, or is not, subject to low inherent risk. What is of more importance than such a label is whether the audit response is commensurate to the assessed risk. Recognising that risks exist along a spectrum, we believe it is preferable to reinforce the principle, as set out in the second part of proposed paragraph 15, that the higher the assessed risk the more persuasive the audit evidence needs to be. As suggested above, this could be brought to life in examples within the application material.

We also believe that a more prominent focus on testing events subsequent to the balance sheet date, when those provide sufficient appropriate audit evidence alone, would boost the perception of scalability.

4. When inherent risk is not low (see paragraphs 13, 15 and 17–20):

- **a) Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?**
- **b) Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty?**
- **c) Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 to 19 of ED-540? If not, what additional guidance should be included?**

We believe a focus on complexity, judgement and estimation uncertainty, and the associated guidance included in the ED, are useful considerations that will promote more granular thinking about of "what could go wrong", to inform the auditor's risk assessment at the assertion level and design of appropriate responses. These factors can influence the assessment of identified risks (e.g., whether the risk of misstatement at the assertion level is low, or higher, or a significant risk) and how best to design further audit procedures to obtain evidence in response to the risk. In our field testing, teams agreed that these were important things to think about.

The factors are, however, not what could go wrong i.e., the estimate is not misstated because it is complex or needs judgement. We continue to believe that identifying and evaluating the risk of material misstatement for account balances, classes of transactions, and disclosures *at the assertion level* remains appropriate. The assertions identified in ISA 315 (e.g., existence, completeness, accuracy, valuation) are the ways in which an account balance can be misstated.

We are therefore concerned that the way in which paragraph 13 is drafted and, more specifically, the fact that the related response to risk requirements (paragraphs 17-19) are driven by each factor, creates an artificial structure for designing an appropriate response to identified risks and is not straightforward to apply in practice.

Equally important, we believe there may be an unintended risk that focusing on risk "factors" and obtaining evidence about "matters", may cause the auditor to lose focus on adequately responding to the risks of material misstatement at the assertion level. More specifically, the requirements to respond to each of these factors and matters may promote a checklist approach to performing procedures without carefully thinking about whether those procedures, and evidence obtained, provide sufficient appropriate audit evidence about the specific risks of material misstatement at the assertion level.

The results of our field testing indicated confusion about how to categorise each identified risk based on complexity, judgement and estimation uncertainty, when these factors are not mutually exclusive, as well as confusion, therefore, as to which factors are the reasons for the assessed level of risk, including how they impact that assessment individually and in combination ("the reasons for the assessment given to the risk"), which is problematic as that drives the application of paragraphs 17-19.

Based on the results from field testing, the proposed approach will result in documentation of a complex matrix of the assessment of each risk; on the one hand by assertion (as required by ISA 315) and on the other hand based on each of these three risk factors. We believe this will cause confusion and will not enhance the auditors' risk assessment or audit response.

Our field testing also identified the following challenges in applying the new requirements:

- The focus on factors may result in the broader understanding of the entity in ISA 315, as supplemented by paragraph 10 of ISA 540, being overshadowed. There is no clear linkage in paragraph 13 back to paragraph 10 and the list of matters about which the auditor was required to obtain an understanding, to help inform their risk assessment. This may also lead to confusion about how to relate the risk factors in paragraph 13 to the understanding obtained in accordance with paragraph 10 in performing the risk assessment.
- The structure of the requirements on responding to assessed risks is not intuitive and there is a lack of clarity about how to address inter-relationships between the factors. For example, the extensive overlap between paragraphs 17 and 18 caused confusion. The distinction between, for example, paragraph 17(a) and paragraph 18(a)(i) is not clear.
- There was also confusion over why items are listed under certain factors (paragraphs 17-19). For example, there are matters about which it was expected that it would always be relevant to obtain evidence when testing management's process e.g., the appropriateness of changes from the prior year. This is only explicitly addressed under the "judgement" factor requirement. Similarly, there was feedback that a number of matters in paragraph 17 were more broadly relevant (e.g., relevance and reliability of data or accuracy of calculations) and were not exclusive to "complexity". There is therefore a risk of unintended consequences that if a risk factor is not deemed to be the reason for the assessed risk, that "expected" procedures, and the related audit evidence they would provide, are overlooked.

We believe it is important to maintain a strong link to the requirements of ISA 315 and ISA 330. There is a risk that the multitude of concepts being incorporated into proposed ISA 540, including the risk factors and "matters" about which the auditor needs to obtain evidence, risks confusion as to what the auditor is responding to.

We recommend that the understandability and practical application of the ISA can be enhanced by:

- Positioning the proposed risk factors of complexity, the need for the use of judgement and estimation uncertainty as useful considerations when thinking about the susceptibility of the estimate to error or fraud, or "what could go wrong". They can help inform the auditor's identification and assessment of the risks of material misstatement at the assertion level, but should not be the basis for that assessment and response. This is consistent with how risk factors are used in ISA 240 and also how they have been incorporated into the proposed PCAOB standard. See proposed paragraph 13 in appendix 2.
- Adopting a more intuitive structure for the response to assessed risks that better reflects the way in which audits of accounting estimates are actually approached. The three approaches available to the auditor, regardless of the level of assessed risk, are those set out in paragraph 15(a). We believe an overarching requirement, similar in nature to that

proposed by the PCAOB[3], is appropriate to direct the auditor in determining an appropriate approach to respond to the assessed risks. See proposed paragraph 15 in appendix 2.

- Incorporating requirements that provide further direction for each of the 3 approaches, as explained further below.
- With respect to testing events subsequent to the balance sheet date, giving this greater prominence. If this approach is capable of providing sufficient appropriate audit evidence then this would, in most cases, be the most sensible approach. A requirement to directly address obtaining evidence from this approach, that precedes requirements under other approaches, appears warranted and would also, in our view, promote an element of scalability. See proposed paragraph 15A in appendix 2.
- With respect to testing management's process, reorienting paragraphs 17 and 18 to individually address the method, data and assumptions. Both of the proposed ED paragraphs largely focus on these "elements" of accounting estimates but, as noted, contain significant overlap. Restructuring would, in our view, eliminate this overlap, avoid any commonly "expected" procedures being overlooked by subjective judgement as to applicability of a particular factor, and represent a more intuitive approach to thinking about how to respond to risks arising from the key elements of accounting estimates. See proposed paragraphs 15B and 17-18A in appendix 2.
- Creating a more explicit requirement that addresses expectations of the auditor when developing their own point estimate or range. While application material discusses broadly how an auditor might go about developing their own estimate or range we think it is more helpful to indicate the expected work effort if, for example, the auditor uses management's method or model, data or assumptions. Similarly, setting a clear benchmark in the requirements that, if the auditor uses their own method, model, data or assumptions, they need to have a reasonable basis for those selections would also be appropriate. See proposed paragraph 19B of appendix 2. Note, some further restructuring of the ordering of paragraphs 19 (estimation uncertainty), 20 (auditor ranges) and our suggested additional requirement regarding point estimates or ranges is likely necessary.

These changes will necessarily result in amendments to the application material, including amending the guidance to align to the repositioning of complexity, need for use of management judgement and estimation uncertainty from being the reason for the risk assessment to a consideration influencing the assessment of an identified risk.

5. Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?

We support the intent of paragraph 20 and the revised language in part (b). The concept of "narrowing the range" in the extant ISA was criticised by some as being disingenuous. With respect to part (a), it is unclear as to the specific intent of the phrase "are supported by the audit evidence". There is uncertainty as to whether the reasonableness of the range was to be assessed

[3] Proposed AS 2501 paragraph .07

based on audit evidence obtained from the procedures performed in, for example, testing management's assumptions, data etc., or if this requirement is implying that there is a need to obtain some further additional level of evidence. We believe the intent was the former and that this could be clarified simply in the application material. This would also hold true for when the auditor used their own assumptions or data, and a link back to both our proposed amended requirements (see question 4) in that regard would be useful.

While we find much of the application material to be useful reminders, in particular the focus on bias and the reasonableness of the disclosures, we do not anticipate any real change in practice in respect of the boundaries of the ranges that are developed. Assuming an appropriate work effort has been performed on the relevant inputs/elements of an accounting estimate (method, data, assumptions), the inherent estimation uncertainty associated with certain accounting estimates is such the range of reasonably possible outcomes is very broad and may exceed materiality. The auditor cannot "audit away" inherent estimation uncertainty. We therefore support paragraph A134 and the importance of transparent disclosures about estimation uncertainty in the financial statements.

We also note that there may be some circumstances where the auditor is not able to obtain sufficient appropriate audit evidence about the estimate because the company does not have adequate processes in place to make a reliable estimate. Similar to the positions take in ISA 700 paragraphs 23 and A23 regarding omitted disclosures, and ISA 570 paragraphs 24 and A35 regarding going concern assessments, if management has not made the estimate themselves, or does not have adequate processes to do so, it may not be practicable for the auditor to develop a point estimate or a supportable range. A qualified or disclaimer of opinion may be appropriate because the auditor may simply not be able to obtain sufficient appropriate audit evidence about the estimate. We believe it would be useful to mention this in the application material, for example against paragraph 19 (b).

Finally, we were surprised by the assertion in paragraph A128 that when an auditor develops a point estimate or uses an auditor's range, the auditor is designing and performing a substantive analytical procedure. While the auditor is required to develop an "expectation of recorded amounts or ratios" when performing an analytical procedure in accordance with ISA 520, the type of point estimates or ranges that are often developed in obtaining audit evidence for accounting estimates are, in our view, of a different nature. For example, the auditor may use an actuary to make an independent actuarial valuation of a pension obligation, or reperform management's process. These are procedures that provide persuasive and reliable audit evidence that is more akin to the nature of evidence obtained in a test of detail. Extant ISA 540 did not equate making a point estimate or auditor's range to ISA 520 analytical procedures and we do not believe it is appropriate for the revised ISA 540 to do so either. Furthermore, we believe that categorising an auditor's point estimate or range as a substantive analytic procedure has the effect of requiring the auditor to perform additional tests of details in the event that the relevant assertion(s) of an estimate being tested has been assessed as a significant risk (ISA 330 paragraph 21). We believe in many cases the procedures performed in developing an auditor's point estimate or range are, themselves, tests of details which provide sufficient appropriate audit evidence to address such a significant risk.

6. **Will the requirement in paragraph 23 and related application material (see paragraphs A2–A3 and A142–A146) result in more consistent determination of a misstatement, including when the auditor uses an auditor's range to evaluate management's point estimate?**

If an auditor's point estimate or a range is considered to be a substantive analytic (paragraph A128), it would be inconsistent to use a point estimate or range to identify a misstatement as described in the guidance in paragraphs A143 to A145.

However, if an auditor's point estimate or a range is considered, as we believe, to be a test of detail, we support the application material in paragraphs A142-A146, in particular paragraph A145. When the auditor develops a range that includes reasonably possible outcomes supported by the audit evidence and management's point estimate falls outside of that range, the misstatement cannot be anything other than the difference between management's point estimate and the nearest point on the auditor's range. Any suggestion that the misstatement is to a particular point in the auditor's range implies the auditor is capable of developing a point estimate, which in many cases is not possible and the reason why a range was developed. Further, auditors cannot be expected to introduce more precision than is inherent in the requirements of the applicable financial reporting framework.

Similarly, when management's point estimate does fall within the auditor's range then we agree that there is no misstatement. It is important that the auditor understands how management selected their point estimate and, taking into consideration the audit evidence obtained, whether such selection is consistent with the audit evidence. Any obvious indicator of bias or selection of an amount within a range that is inconsistent with audit evidence obtained or decisions taken with respect to other accounting estimates should be challenged. We therefore support the related application material (A147-A152) addressing potential bias.

With respect to paragraph 23, it is unclear whether the requirement sets an expectation of determining that each accounting estimate is reasonable or misstated, as opposed to "the accounting estimates and related disclosures" collectively. The language used is not clear as is the positioning of the requirement relative to paragraph 22, which clearly and explicitly states that it applies to "each" accounting estimate (that is subject to paragraphs 17-19).

In our view this evaluation has to be for each accounting estimate. Each estimate is being subject to procedures to enable the auditor to reach that conclusion. The "collective" assessment of reasonableness, including consideration of bias, can only take place when considering the financial statements as a whole, and that is, correctly, best addressed in ISA 700. See our recommendations in appendix 2.

7. **With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?**

It is entirely appropriate that information used as audit evidence be assessed as to its relevance and reliability. In practice, given the broad range of external information sources that exist, further guidance may be needed on the nature and extent of the auditor's work effort in satisfying this requirement, particularly in situations where the availability of evidence may be limited given the source of the information. We believe there could be a stronger and more explicit link in ISA 540, specifically the response to risks, to the proposed new content in ISA 500. While paragraphs A82 and A83 highlight the potential risks relating to external information sources (and could also reference ISA 500), there is no equivalent material in the risk response section. A short application paragraph to accompany each of the requirements addressing assumptions and data, drawing this important link, seems appropriate. We have also suggested a more direct link within the requirements – see proposed paragraph 19A in appendix 2.

There are also likely to be challenges in making the determination/distinction between an external information source and a management's expert depending on the nature of the information being provided to the entity. Therefore, we welcome the examples provided in application material.

We also believe the intent of the ED is unclear in situations when both management and the auditor use the same information source, specifically whether this is acceptable or if other procedures are expected when this is the case. We believe the level of evidence that is appropriate in the circumstances should be correlated to the nature of the information source, and what that information is being used for, rather than focusing on whether the auditor uses the same source or not.

Lastly, with respect to the definition of external information source, we caution that the reference to "publicly available" is at risk of being misunderstood, notwithstanding application paragraph A1, and risks inadvertently narrowing the intended scope of the definition. We suggest deleting the words "publicly available" from the definition and using the application material to explain that the information is available to a "broad range of users upon request".

8. In addition to the requests for specific comments above, the IAASB is also seeking comments on the matters set out below:

a) Translations — Recognizing that many respondents may intend to translate the final ISA for adoption in their own environments, the IAASB welcomes comment on potential translation issues respondents note in reviewing the ED-540.

No comments.

b) Effective Date — Recognizing that ED-540 is a substantive revision, and given the need for national due process and translation, as applicable, the IAASB believes that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of a final ISA. Earlier application would be permitted and encouraged. The IAASB welcomes comments on whether this would provide a sufficient period to support effective implementation of the ISA.

We support an effective date of financial periods ending approximately 18 months after final approval of the ISA and that the usual permission to early adopt be maintained.

Other Comments

Terminology

- It is important, to avoid unintended confusion, that terminology be applied consistently throughout the ISA. For example, paragraph 3(c)(ii) continues to use the term "appropriate" in relation to management's selection of a point estimate and disclosures. This is unhelpful given the term "reasonable" is applied to these same matters in the objective of the ISA.
- We note the explanation in the explanatory memorandum that there is inconsistency in terminology between proposed ISA 540 and ISA 700 (Revised) with respect to the use of the term "reasonable" or "adequate" as related to disclosures. The ISAs were only recently amended with respect to the auditor's responsibilities related to disclosures and we caution against making

further changes again so soon. We support a focus on whether "accounting estimates *and related disclosures* made by management are reasonable in the context of the applicable financial reporting framework" and a corresponding amendment could be made to ISA 700 paragraph 13(c). However, we would not recommend amending paragraph 13(e) of ISA 700 (Revised) to broaden it to reflect "financial statement disclosures being reasonable" as we do not believe that sufficient consideration has been given to the possible unintended consequences.

- There are a few places where the terms "back testing", "model overlay" and "reverse stress testing" are used. It would be useful to include an explanation of what is meant. These terms are not necessarily widely used and understood by all auditors.

Understanding the Entity and Internal control

- Our field testing indicated some lack of clarity about what is expected by the new requirement in paragraph 10(c). How this differs from paragraph 10(a) was not clear. The distinction between this and understanding what has been included and how management made those estimates is too subtle and teams didn't know what to document to satisfy the requirement. We recommend that this "independent" consideration be moved to a new requirement focused on engagement team discussion of potential risks of material misstatement. See proposed paragraph 11A in appendix 2.
- The language used in paragraph 10(f) can be read as implying some separate consideration of internal control, specific to accounting estimates, beyond what is required in ISA 315. In seeking to eliminate this confusion, we have recommended alternative language that is more direct and focuses on understanding the relevant controls and extent of governance and oversight that exists, which should have been obtained in complying with ISA 315. See proposed paragraph 10 in appendix 2. We also note that, with the concurrent revision of ISA 315, it may be appropriate for additional content to be added to that standard to better explain key considerations relating to accounting estimates. However, we are not proposing a wholesale relocation of paragraph 10 to ISA 315 as we acknowledge the established structure adopted in developing these "subject-matter" specific ISAs is to address the end-to-end audit process.

Specialised skills

- We are not convinced of the necessity for a separate requirement to determine whether specialised skills or knowledge are required in order to perform the risk assessment procedures, or to identify and assess the risks of material misstatement. In using the work of a specialist in the audit, the auditor needs to have a sufficient understanding to be able to evaluate their work. While the auditor may wish to involve specialists in planning the audit, they can and should be in a position themselves to evaluate risks of material misstatement. This is likely to result in boilerplate documentation. At a minimum we recommend consolidating the two requirements addressing the potential use of specialists (paragraphs 12 and 14) such that identification and response to risks are addressed in one holistic requirement. See proposed paragraph 12 in appendix 2.

Significant risks

- Based on the results of our field testing we concur with the decision not to include any specific additional requirements unique to responding to significant risks related to accounting estimates. Engagement teams did not identify any specific responses where they would expect to perform additional or different procedures to those required by the ED if the risk had been identified as significant. As noted in our question responses, the same approaches are adopted to test estimates regardless of level of risk. It is the extent (rigour) of those procedures that varies. We have, however, suggested reinforcing some of the key principles from ISA 330. See paragraph 15 in appendix 2.

Bias

- We agree that paragraph 24 needs to be assessed at the collective "estimates" level to be able to judge bias across the entire population of estimates, as some bias may only emerge at that level. This requirement does overlap considerably with the equivalent requirement in ISA 700 (Revised) and we have therefore recommended making this link more explicit. See proposed paragraph 24 in appendix 2.
- In paragraph A7, the statement is made that the susceptibility of an accounting estimate to management bias increases with the extent to which there is a need for judgement in making the accounting estimate. Simply needing judgement does not necessarily make an estimate susceptible to bias, rather it is the extent to which the accounting estimate is influenced by management judgement.

Documentation

- As explained in this letter, we have concerns over what is expected in respect of documentation of:
  - Paragraph 10(c) - The auditor's independent expectation of the nature of the accounting estimates the auditor expects to be included in the financial statements;
  - Paragraph 10(f) – internal control;
  - Paragraphs 12 and 14 – Determination of the need for specialised skills or knowledge;
  - Paragraph 13 - Risk assessment;
  - Paragraph 15 – Judgement on "low/not low" inherent risk;
  - Paragraphs 17-19 – How procedures performed address these requirements given their inherent inter-relationship;
  - Paragraph 23 – Level at which the evaluation is performed.

Other comments on proposed guidance in the application material

- The application guidance includes a number of considerations specific to smaller entities, as is done in other ISAs. In some cases, however, the guidance applies to any estimate that is not complex, and may not be applicable to estimates in a smaller entity that are complex. It is the nature of the estimate that is relevant to the guidance rather than the size of the entity.

- In paragraph A23, it is equally important to note that an owner-manager may not have the requisite knowledge and experience to identify the need for an estimate or to make the estimate. This may increase the risk of material misstatement.

- In a few places (e.g., paragraph A30), the guidance implies that expected credit loss models are necessarily complex. While this is likely to be the case in, for example, an expected credit loss model for a large portfolio of commercial loans, there are circumstances when the model need not be complex (e.g., smaller entities with a basic debtor portfolio).

- In paragraph A33, the variability and timing of future cash flows are provided as examples of assumptions outside of management control, but as management usually can influence them, this does not seem like a good example.

- The point being made in paragraph A89 could be clearer – that auditors should not make decisions based solely on the amount recognized or disclosed, as the estimation uncertainty associated with an otherwise immaterial amount could result in the potential for material misstatement.

- We suggest that paragraph A92 be reconsidered as it could inadvertently be suggesting that auditors do need to obtain audit evidence for assumptions to which the estimate is not sensitive.

- Paragraph A95 includes a statement that the ISA does not imply or require a separate assessment of inherent risk. In light of the paragraph 15(a) requirement this statement is factually incorrect. However, as noted above, we recommend eliminating the low inherent risk threshold, which would mean that this paragraph in the application material, as well as paragraph A96, is no longer necessary, while others will require amendment.

- In paragraph A100, it is unclear whether the point being made is that there may be few controls related to accounting estimates that are relevant to the audit, or that the auditor may decide that it will be more effective and efficient to perform substantive procedures than obtain evidence by testing controls.

- Paragraph A101 seems to be suggesting that the auditor is expected to be able to definitively determine whether alternative valuation concepts, techniques or factors, types of assumptions or sources of data are more "appropriate" or "generally accepted". In some circumstances, alternatives may be equally reasonable and acceptable in the circumstances.

- Paragraph A125 makes the point that the auditor's consideration of estimation uncertainty associated with an accounting estimate and its related disclosure may be a matter that required significant auditor attention and, therefore, may constitute a key audit matter. There are many aspects of the audit of an accounting estimate that could require significant auditor attention and, therefore, be considered a key audit matter. It seems incomplete to focus solely on estimation uncertainty.

- In paragraph A127 it would be useful to also mention that if management has not appropriately understood or addressed the estimation uncertainty, this is likely to constitute a control deficiency. We suggest making a cross reference made to the auditor's related communication responsibilities in ISA 265.

Appendix 2

Detailed Drafting Recommendations

Requirements

Risk Assessment Procedures and Related Activities

10. When performing risk assessment procedures and related activities to obtain an understanding of the entity and its environment, including its internal control, as required by ISA 315 (Revised), the auditor shall obtain an understanding of the following: (Ref: Para. A9–A10)

    (a) The requirements of the applicable financial reporting framework relevant to accounting estimates, including the recognition criteria, measurement bases and the related presentation and disclosure requirements. (Ref: Para. A11–A13)

    (b) Regulatory factors, if any, relevant to accounting estimates. (Ref: Para. A14–A15)

    (c) ~~The nature of the accounting estimates and related disclosures that the auditor expects to be included in the entity's financial statements. (Ref: Para. A16–A17)~~ [*Relocated to proposed paragraph 11A*]

    (d) How management identifies those transactions, events and conditions that may give rise to the need for accounting estimates to be recognized or disclosed in the financial statements. In obtaining this understanding, the auditor shall make inquiries of management about changes in circumstances that may give rise to new, or the need to revise existing, accounting estimates. (Ref: Para. A18–A23)

    (e) How management makes accounting estimates, including: (Ref: Para. A24–A25)

        (i) The methods used, how they are selected or designed, and how they are applied, including the extent to which they involve modelling; (Ref: Para. A26–A31)

        (ii) The process used to select assumptions, including alternatives considered and how management identifies significant assumptions; (Ref: Para. A32–A38)

        (iii) The process used to select data, including the source(s) of that data and how management identifies significant data; (Ref: Para. A39–A42)

        (iv) The extent to which management has applied specialized skills or knowledge, including whether a management's expert has been used; (Ref: Para. A43–A44)

        ~~(v) How the risk of management bias is identified and addressed; (Ref: Para. A45)~~ [*Relocated to point (f)*]

        (vi) How management has addressed estimation uncertainty; and (Ref: Para. A46)

        (vii) How management has addressed the need for a change from the prior period in the methods, assumptions or data used, and if so, the nature of, and reasons for, such changes. (Ref: Para. A47).

    (f) ~~Each of the components of~~ Relevant internal control ~~as they~~ related to ~~making~~ accounting estimates, including the nature and extent of oversight and governance that the entity has in place over management's process, including controls that address the potential for management bias in making significant judgments. (Ref: Para. A48–A60)

11. The auditor shall review the outcome of accounting estimates included in the previous period financial statements, or, where applicable, their subsequent re-estimation to assist in identifying and assessing the risk of material misstatement in the current period. The auditor shall take into account the characteristics of the accounting estimates in determining the nature and extent of that review. The review is not intended to call into question judgments about previous period accounting estimates that were appropriate based on the information available at the time they were made. (Ref: Para. A61–A66)

11A. In discussing the susceptibility of the entity's financial statements to material misstatement, as required by ISA 315[4], the engagement partner and other key engagement team members shall discuss, based on the understanding obtained, the nature of the accounting estimates and related disclosures that the auditor expects to be included in the entity's financial statements, and how and where the entity's accounting estimates may be susceptible to material misstatement due to fraud or management bias. (Ref: Para. A16–A17)

12. Based on auditor's understanding of the nature of the accounting estimates and related disclosures included in the entity's financial statements, ~~T~~the auditor shall determine whether specialized skills or knowledge are required~~,~~ in order to perform ~~the~~ risk assessment procedures, ~~or to~~ identify and assess the risks of material misstatement, design and perform audit procedures to respond to those risks, or evaluate the audit evidence obtained. (Ref: Para. A67–A70)

Identifying and Assessing the Risks of Material Misstatement

13. In identifying and assessing the risks of material misstatement, as required by ~~applying~~ ISA 315 (Revised), the auditor ~~is required to~~ shall identify and assess the risks of material misstatement~~,~~ at the ~~financial statement and~~ assertion level in relation to accounting estimates (whether recognised or disclosed in the financial statements) and related disclosures, including ~~determine~~ determining whether any of the risks of material misstatement identified are, in the auditor's judgment, significant risks. ~~In identifying and assessing risks of material misstatements in relation to an accounting estimate~~ In making this risk assessment, the auditor shall take into account: ~~the extent to which the accounting estimate is subject to, or affected by, one or more, relevant factors, including: (Ref: Para. A71–A78)~~

(a) The complexity of the method used for making the accounting estimate, including the use of models;

(b) The number, complexity and source of significant assumptions and significant data used in making the accounting estimate;

(c) The extent to which the accounting estimate is sensitive to the selection of different methods or to variations in the assumptions and data used.

~~(a) Complexity in making the accounting estimate, including:~~

~~(i) The extent to which the method, including modelling, involves specialized skills or knowledge; and (Ref: Para. A79–A81)~~

~~(ii) The difficulty, if any, in obtaining relevant and reliable data and maintaining the integrity of that data; (Ref: Para. A82)~~

~~(b) The need for the use of judgment by management and the potential for management bias, including with respect to methods, assumptions, and data; and (Ref: Para. A83–A85)~~

[4] ISA 315, paragraph 10

~~(c) Estimation uncertainty, including the extent to which the accounting estimate is sensitive to the selection of different methods or to variations in the assumptions and data used. (Ref: Para. A86–A93)~~

~~14. In responding to the assessed risks of material misstatement related to accounting estimates, the auditor shall determine whether specialized skills or knowledge are required to design and perform audit procedures, or to evaluate the results of those procedures. (Ref: Para. A67–A70)~~ [*Now merged with proposed paragraph 12*]

15. In ~~applying ISA 330, the auditor is required to~~ designing ~~and perform~~ further audit procedures to respond to the assessed risks of material misstatement, as required by ISA 330, the auditor shall design an approach to testing the accounting estimate that is responsive to the reasons for the assessment in paragraph 13 and that includes one or a combination of the following approaches: ~~including significant risks, at the assertion level. In doing so: (Ref: Para A94–A95)~~

    (a) Obtaining audit evidence about events occurring up to the date of the auditor's report;

    (b) Testing how management made the accounting estimate and the data on which it is based; or

    (c) Developing a point estimate or range based on available audit evidence to evaluate management's point estimate.

    The approach shall take into account that more persuasive audit evidence is required the higher the auditor's assessment of risk, and that for risks assessed as significant risks ISA 330 requires the auditor, among other matters, to:

    (a) Test controls in the current period if the auditor plans to rely on controls over a risk; and

    (b) Include tests of details when the approach consists only of substantive procedures.

    The auditor shall also design and perform substantive procedures for each material class of transaction, account balance and disclosure, as required by ISA 330, related to accounting estimates, irrespective of the assessed risk of material misstatement.

    ~~(a) When inherent risk is low, the auditor shall determine whether one or more of the following further audit procedures would provide sufficient appropriate audit evidence regarding the assessed risk(s) of material misstatement in the circumstances: (Ref: Para A96)~~

    ~~(i) Obtaining audit evidence about events occurring up to the date of the auditor's report;~~

    ~~(ii) Testing how management made the accounting estimate and the data on which it is based; or~~

    ~~(iii) Developing a point estimate or range based on available audit evidence to evaluate management's point estimate.~~

    ~~(b) When inherent risk is not low, the auditor's further audit procedures shall include procedures to obtain audit evidence about the matters in paragraphs 17–20, when applicable. (Ref: Para A97)~~

    ~~The auditor's further audit procedures shall be responsive to the reasons for the assessment given to the risk of material misstatement in accordance with paragraph 13, recognizing that the higher the assessed risk of material misstatement the more persuasive the audit evidence needs to be.~~

~~16. If the auditor intends to rely on controls relating to accounting estimates, or if substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level, the auditor shall design and perform tests of controls to obtain sufficient appropriate audit evidence as to their operating effectiveness. (Ref: Para A98–A100)~~

Obtaining audit evidence about events occurring up to the date of the auditor's report

15A. When the auditor obtains audit evidence from events that have occurred up to the date of the auditor's report, the auditor shall evaluate whether the audit evidence:

(a) is sufficient, reliable and relevant to the accounting estimate, and

(b) supports or contradicts the accounting estimate,

taking into account that changes in circumstances and other relevant conditions between the event or transaction date and the measurement date may affect its relevance to the accounting estimate at the measurement date.

Testing how management made the accounting estimate and the data on which it is based

15B. When testing how management made the accounting estimate and the data on which it is based the auditor's further audit procedures shall include procedures to:

(a) obtain audit evidence about the method, significant assumptions and significant data used in making the accounting estimate (see paragraphs 17-18A); and

(b) when applicable, address estimation uncertainty (see paragraph 19).

[*Paragraphs 17-18A are not marked as they have been substantially redrafted. Application material references have been excluded as these would require re-mapping*.]

Method

17. In responding to the assessed risks of material misstatement identified in accordance with paragraph 13, the auditor shall obtain evidence about:

(a) whether the method selected for making the accounting estimate is appropriate in the context of the applicable financial reporting framework and changes, when applicable, from previous periods are appropriate;

(b) whether the calculations are mathematically accurate and appropriately applied; and

(c) when management's application of the method involves complex modelling, whether judgments made have been applied consistently and whether, when applicable:

(i) the design of the model meets the measurement objective of the applicable financial reporting framework and is appropriate in the circumstances;

(ii) changes, if any, from the previous period's model are appropriate in the circumstances; and

(iii) adjustments, if any, to the output of the model are consistent with the measurement objective of the applicable financial reporting framework and are appropriate in the circumstances.

Significant Assumptions

18. In responding to the assessed risks of material misstatement identified in accordance with paragraph 13, the auditor shall, when the accounting estimate makes use of significant assumptions, obtain evidence about:

    (a) whether the significant assumptions selected for use:

        (i) are appropriate in the context of the measurement objectives and other requirements of the applicable financial reporting framework and changes from previous periods, when applicable, are appropriate;

        (ii) gives rise to indicators of possible management bias;

    (b) whether the integrity of significant assumptions has been maintained in applying the method;

    (c) whether significant assumptions are consistent with each other and with those used in other accounting estimates or with assumptions used in other areas of the entity's business activities; and

    (d) when relevant to the appropriateness of the significant assumptions or the appropriate application of the requirements of the applicable financial reporting framework, whether management has the intent to carry out specific courses of action and has the ability to do so.

Significant Data

18A. In responding to the assessed risks of material misstatement identified in accordance with paragraph 13, the auditor shall, when the accounting estimate makes use of significant data, obtain evidence about:

    (a) whether the significant data selected for use:

        (i) is appropriate in the context of the measurement objectives and other requirements of the applicable financial reporting framework and changes, when applicable, from previous periods are appropriate;

        (ii) gives rise to indicators of possible management bias;

        (iii) is relevant and reliable;

    (b) whether management has appropriately understood or interpreted significant data, including with respect to contractual terms; and

    (c) whether the integrity of significant data has been maintained in applying the method.

Estimation Uncertainty

19. ~~In complying with paragraph 15(b), when the reasons for the assessment given to the risk of material misstatement include estimation uncertainty:~~ In responding to the assessed risks of material misstatement identified in accordance with paragraph 13, when the accounting estimate is subject to estimation uncertainty the auditor shall:

    (a) ~~The auditor shall o~~Obtain sufficient appropriate audit evidence about whether, in the context of the applicable financial reporting framework:

        (i) Management has taken appropriate steps to understand and address the estimation uncertainty, and develop a point estimate that meets the measurement objective; and (Ref: Para. A113–A115)

(ii) Management's point estimate ~~is reasonable,~~ and ~~the~~ related disclosures ~~in the financial statements~~ that describe the estimation uncertainty are reasonable. (Ref: Para. A116–A125)

(b) When, based on the audit evidence obtained, in the auditor's judgment, management has not appropriately ~~understood and~~ addressed the estimation uncertainty, the auditor shall, to the extent possible, develop an auditor's point estimate or range to enable the auditor to evaluate the reasonableness of management's point estimate and the related disclosures in the financial statements that describe the estimation uncertainty. (Ref: Para A126–A134)

~~20. If the auditor concludes that it is appropriate to develop an auditor's range, the auditor shall only include in that range amounts that:~~

~~(a) Are supported by the audit evidence; and~~

~~(b) The auditor has evaluated to be reasonable in the context of the measurement objectives and other requirements of the applicable financial reporting framework.~~ *[Now addressed through paragraph 19B]*

External information sources

19A. When management makes use of information from an external information source, the auditor shall consider the relevance and reliability of the information to be used as audit evidence as required by ISA 500[5].

Developing a point estimate or range

19B. When developing a point estimate or range based on available audit evidence to evaluate management's point estimate, the auditor shall:

(a) when using some or all of the auditor's own methods, data or assumptions to develop an expectation of the accounting estimate, or range, for comparison to the entity's accounting estimate:

(i) Have a reasonable basis for the assumptions or method used;

(ii) Evaluate the relevance and reliability of any data or assumptions obtained from an external information source in accordance with ISA 500.

(b) when using the entity's methods, or using data produced by the entity or significant assumptions used by the entity, obtain evidence about the matters in paragraphs 17-19A, as applicable.

Disclosures Related to Accounting Estimates

21. The auditor shall obtain sufficient appropriate audit evidence about whether the disclosures related to accounting estimates are reasonable in accordance with ~~the context of~~ the requirements of the applicable financial reporting framework including: (Ref: Para. A135–A138)

(a) In the case of a fair presentation framework, whether management has provided the disclosures beyond those specifically required by the framework that are necessary to achieve the fair presentation of the financial statements as a whole, or

(b) In the case of a compliance framework, whether the disclosures are those that are necessary for the financial statements not to be misleading.

[5] Proposed ISA 500 (Revised) paragraph 7

Overall Evaluation Based on Audit Procedures Performed

22. ~~In applying ISA 330 to each accounting estimate for which the auditor's further audit procedures are required to address the matters in paragraphs 17–19, t~~The auditor shall evaluate for each accounting estimate, based on the audit procedures performed and audit evidence obtained, whether: (Ref: Para A139–A141)

    (a) The assessments of the risks of material misstatement at the assertion level remain appropriate~~, including when indicators of possible management bias have been identified~~;

    (b) Sufficient appropriate audit evidence has been obtained; and

    (c) Management's decisions relating to the recognition, measurement, presentation and disclosure of the~~se~~ accounting estimate~~s~~ in the financial statements are in accordance with the applicable financial reporting framework.

23. Based on the audit procedures performed and the audit evidence obtained, the auditor shall evaluate, for each accounting estimate, whether the accounting estimate~~s~~ and related disclosures are reasonable in the context of the applicable financial reporting framework, or are misstated. In making this evaluation, the auditor shall consider all relevant audit evidence obtained whether corroborative or contradictory. If the auditor is unable to obtain sufficient appropriate audit evidence, the auditor shall evaluate the implications for the audit. (Ref: Para. A2, A142–A146)

Indicators of Possible Management Bias

24. The auditor shall evaluate whether judgments and decisions made by management in making the accounting estimates included in the financial statements~~, even if they are individually reasonable,~~ indicate possible bias on the part of the entity's management, when assessing the financial statements as a whole. When indicators of possible bias are identified, the auditor shall evaluate the implications for the auditor's risk assessment and responses, in accordance with paragraph 22, and take this into account when evaluating whether the financial statements as a whole are free from material misstatement in accordance with ISA 700 (Revised) ~~audit~~. (Ref: Para. A147–A152)

Written Representations

25. The auditor shall obtain written representations from management and, when appropriate, those charged with governance that they believe the methods, significant data, and significant assumptions used in making the accounting estimates and their related disclosures are appropriate to achieve recognition, measurement or disclosure ~~that is reasonable~~in accordance with ~~the context of~~ the applicable financial reporting framework. The auditor shall also consider the need to obtain representations about specific accounting estimates, including in relation to the methods, assumptions, or data used. (Ref: Para. A153–A154)

Communication with Those Charged With Governance or Management

26. In applying ISA 260 (Revised) and ISA 265, the auditor is required to communicate with those charged with governance or management about certain matters, including significant qualitative aspects of the entity's accounting practices and significant deficiencies in internal control, respectively. In doing so, the auditor shall consider the matters, if any, to communicate related to the extent to which the accounting estimates and their related disclosures are affected by, or subject to, complexity, the need for the use of judgment by management, estimation uncertainty, or other relevant factors. (Ref: Para. A155–A157)

Documentation

27. The audit documentation shall include:

(a) The basis for the auditor's evaluation of the reasonableness of the accounting estimates and related disclosures; and

(b) Indicators of possible management bias, if any, and the auditor’s evaluation thereof in forming the auditor’s opinion on whether the financial statements as a whole are materially misstated. (Ref: Para. A158–A159) pwc

Appendix 3

Summary of approach to field testing

In field testing the proposed requirements set out in the ED we undertook two parallel exercises, as described below:

General – Four engagement teams were asked to: consider the six accounting estimate scenarios presented in the IAASB field testing package; read the new requirements; identify and assess the risks of material misstatement relating to each estimate; and respond to a series of questions that were broadly aligned with those in the IAASB package (see below).

Banking and Insurance – Seven engagement teams were asked to undertake the same exercise as that described above but with the subject-matter being accounting estimates common to their client base/ relevant industry (banking or insurance), rather than the six scenarios presented in the IAASB package. We specifically requested that Expected Credit Losses under IFRS9 be included. The same series of questions were posed, modified, where appropriate, to reflect the different subject-matter.

Questions

1. Did the revised understanding the entity risk assessment requirement (paragraph 10) provide you with sufficient guidance to identify and assess the risks of material misstatement?

2. With respect to the revised requirement to identify and assess the risks of material misstatement (paragraph 13) how capable were you of thinking about the estimate in terms of the risk factors of complexity, the need for the use of judgement and estimation uncertainty?

3. What risk(s) of material misstatement did you identify for each estimate and which risk factor(s) did you determine as being the reason for your assessment?

4. Did you identify any other relevant risk factor(s) when thinking about the risks of material misstatement? If so, please explain.

5. Recognising that risks exist on a spectrum, how easy or otherwise did you find it to make the judgement required under paragraph 15 as to whether inherent risk is low or not low?

6. If you considered the estimate to have low inherent risk, was it clear from paragraph 15 (a) what you would need to do to design an appropriate response to the risk? What sort of procedures did you think were appropriate to respond to the risk? If you determined a different approach than those listed in the requirement please explain (mark N/A if risk is not assessed as low inherent risk).

7. If inherent risk was considered to be 'not low', was it sufficiently clear to you what procedures you would need to perform to obtain evidence about the matters in paragraphs 17-20, as applicable (mark N/A if risk is assessed as low inherent risk)?

8. Did you find that the reasons for the assessed risks included more than one risk factor (complexity, judgement, estimation uncertainty), and, if so, how did you approach addressing paragraphs 17-20? What challenges did you encounter when trying to address multiple factors?

9. In reading each of the new requirements and thinking about the different estimates you had to consider, was it clear to you what you needed to do to comply with each requirement?

10. Did this new approach, based on consideration of "risk factors" and "matters about what audit evidence needs to be obtained, when applicable", change your overall approach to thinking about risks related to accounting estimates and how best to address them, compared with applying existing ISA 540? If so, what was different?

11. Recognising that risks exist along a spectrum, were you able to tailor the procedures you would perform to the level of assessed risk? If you identified any significant risks, based on the work effort you think would be needed to comply with paragraphs 15-20, would you expect to do anything different/additional as a consequence of the risk being determined as significant?

12. Regarding misstatements, did you find the application material in paragraphs A142-A146 clear in determining what constitutes a misstatement?

Ref#623970

31 July 2017

International Auditing and Assurance Standards Board (IAASB)
529 Fifth Avenue
New York
10017 USA

Submitted electronically at www.iaasb.org, and to MattWaldron@iaasb.org

Dear Matt

SAICA COMMENT LETTER ON THE PROPOSED ISA 540 (REVISED) AUDITING ACCOUNTING ESTIMATES AND RELATED DISCLOSURES

The South African Institute of Chartered Accountants (SAICA) is the home of chartered accountants in South Africa – we currently have over 42,000 members from various constituencies, including members in public practice (±30%), members in business (±50%), in the public sector (±5%), education (±2%) and other members (±13%). In meeting our objectives, our long-term professional interests are always in line with the public interest and responsible leadership. SAICA is currently the only professional accountancy organisation that has been accredited by the Audit Regulator in South Africa, the Independent Regulatory Board for Auditors (IRBA).

We welcome the opportunity to comment on the proposed ISA 540 (Revised) *Auditing Accounting Estimates and Related Disclosures* (ED).

Overall we are supportive of the modernisation of ISA 540 for evolving financial reporting frameworks and the enhancement of the identification and assessment of risks of material misstatement and risk response with respect to accounting estimates and related disclosures. Please find included the comments prepared by SAICA (accompanying this cover letter).

We wish to express our appreciation for the work of the IAASB task group in addressing this challenging, but extremely important aspect of an audit of financial statements. Please do not hesitate to contact us should you wish to discuss any of our comments. You are welcome to contact Willie Botha (willieb@saica.co.za) or Thinus Peyper (thinusp@saica.co.za).

Yours sincerely

Signed electronically

Willie Botha
Senior Executive – Assurance and Practice

CONTENTS

This submission is presented under the following headings:

A. SAICA'S APPROACH TO RESPOND

1. SAICA's approach to informing our members of the proposed amendments, and to gather information to inform our comment letter can be summarised as follows:

   - A SAICA internal working group studied and debated the ED and prepared initial thoughts and input pertaining to the questions that have been posed (questions 1 to 8), as well as identifying other matters of importance on which comments may be required. The internal working group proceeded to prepare a template of specific questions to be answered by field testing participants, as well as a survey questionnaire to be completed by other members wishing to participate (an online survey).

   - SAICA issued a communication requesting its members to respond to the questions asked in the explanatory memorandum by means of an online SAICA survey. The survey link was sent to all members.

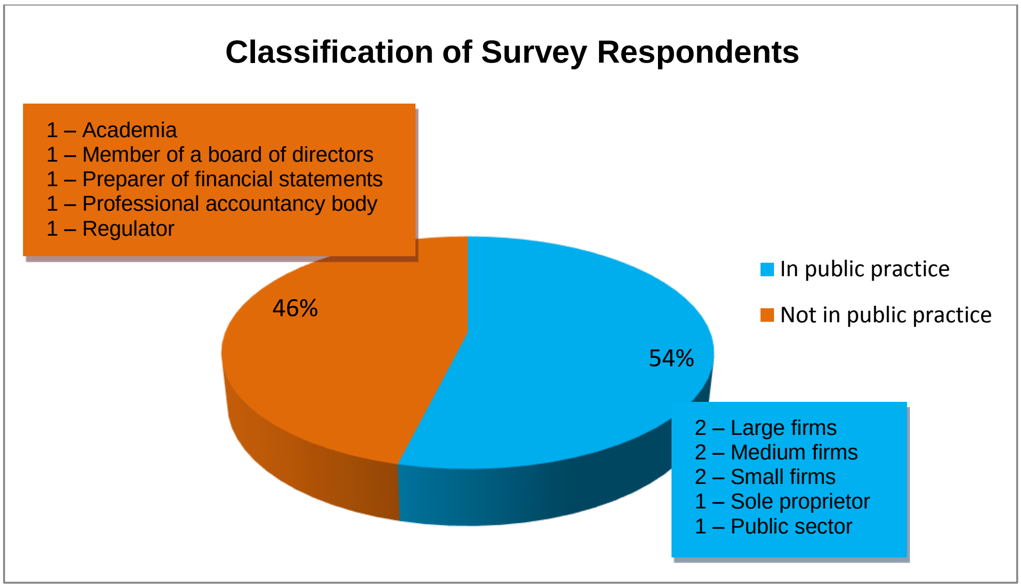
   - SAICA further issued a communication requesting its members to participate in field testing the amended requirements and guidance on a live audit and to provide us with feedback based on specific questions around implementation. A questionnaire was sent to members who were willing to participate. Most of the feedback received were based on completed audits rather than live audits due to the timing of the audits, as well as the due date for providing feedback.

   - SAICA established a comment letter task group consisting of members of the SAICA Assurance Guidance Committee (AGC) to discuss the ED, review the draft comment letter and provide any additional inputs they may have.

B. OVERVIEW OF SURVEY REPSONDENTS AND FIELD TESTING REPSONDENTS

Survey responses

2. The SAICA survey was completed by 13 respondents. All the respondents are members of SAICA, while 9 are also registered with the IRBA. The graphic below provides an overview of the classification of respondents:



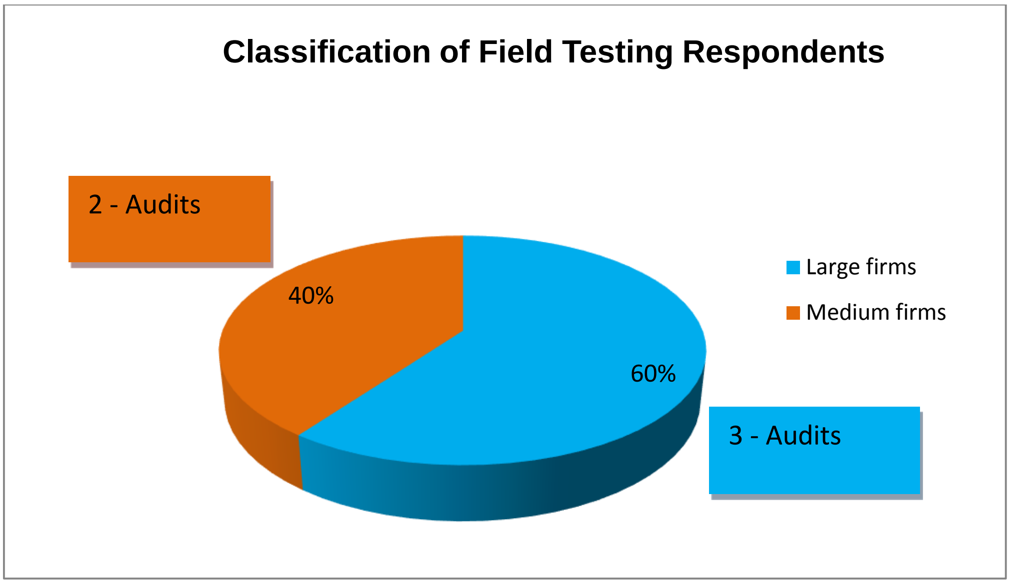
3. In the analysis above, the following meaning is attributable to the relevant terms:
   - Large firms are firms with more than 10 partners
   - Medium firms are firms with 5 – 10 partners
   - Small firms are firms with 2 – 5 partners

4. In applying the survey approach as part of previous comment letters submitted to the IAASB, SAICA has been able to achieve a higher response rate. We believe that the lower response rate this time is in part owing to the highly technical nature of the proposed standard and the fact that we did not have sufficient time to present to our members an information session (via webcast), before requesting the completion of the survey. However, we are satisfied that the respondents that replied provided appropriate input for the SAICA comment letter task group to consider and discuss.

5. Throughout this comment letter we present the results from the survey by referring to "**survey respondents**". The survey results have not been analysed statistically and cannot be extrapolated. The results are presented as perceptions and views that have been observed, and although not representative of a general or common view, provide insights into, and some additional perspectives regarding the matters on which the IAASB are seeking comments, as well as in relation to additional matters that were included in the survey that the IAASB may find helpful.

Field testing responses

6. Respondents from 5 audit firms agreed to participate in field testing and to complete SAICA's questionnaire designed for field testing respondents. The graphic below provides an overview of the classification of respondents.



7. Throughout this comment letter we present the results from the field testing by referring to "**field testing respondents**". As stated in paragraph 1, above, most of the feedback received were based on completed audits rather than live audits due to the timing of the audits, as well as the due date for providing feedback. However, the results still provide valuable additional insights into the application of the requirements of the ED. A summary of the responses from field testing is included as **Annexure 1** to this submission.

C. DETAILED COMMENTS TO QUESTIONS

8. Our detailed comments are presented in terms of the questions posed in the Explanatory Memorandum (questions 1 to 8) including additional questions posed by SAICA as part of the SAICA survey and field testing questionnaire in order to cover and form a view on all aspects of the ED that were deemed important.

Question 1
Has the ED been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates (including enhanced emphasis on obtaining an understanding of the requirements of the financial reporting framework)?

9. All the survey respondents agreed that the ED has been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates, including enhanced emphasis on obtaining an understanding of the requirements of the financial reporting framework.

10. The following comments to the SAICA survey refer to the additional requirements introduced in paragraph 10 of the ED and illustrate support for the additional focus in the ED to draw the auditor's attention on obtaining an understanding of accounting estimates:
    - 10(b): Regulatory factors, if any, relevant to accounting estimates. This requirement also re-enforces the auditor's existing responsibilities in this regard in terms of ISA 250.
    - 10(c): The nature of the accounting estimates and related disclosures that the auditor expects to be included in the entity's financial statements. It is further SAICA's view that it is appropriate to add the context of "expects to be included"; i.e. anticipating what

would be relevant and required in the circumstances of the entity, and thereby enhancing the auditor's application of professional scepticism.

- 10(e)(iii): The process used by management to select data, including the source(s) of that data and how management identifies significant data. The application material further recognises that there could be large volumes of data from complex IT systems.
- 10(e)(v): How management identifies and addresses the risk of management bias, together with the application material in paragraph A45 provide much needed emphasis on this important element of accounting estimates.
- 10(f): Although extant ISA 540 required the auditor to obtain an understanding of the relevant controls related to how management makes accounting estimates, this paragraph specifies that the auditor must obtain an understanding of each of the components of internal control. This will ensure that the auditor obtains a more thorough understanding of management's process of making accounting estimates, leading to a more robust risk assessment and identification of risks of material misstatement (RoMM).

11. SAICA agrees that the ED has been appropriately updated. In addition to the points referred to above, paragraph 10(a) clarifies the auditor's responsibility of understanding the applicable financial reporting framework in respect of accounting estimates in its full context, i.e. the recognition criteria, measurement bases and presentation and disclosure requirements.

12. We appreciate the fact that the International Standards on Auditing (ISAs) are written in the context of being framework neutral. The expansion of the application material throughout, in particular in relation to complexity, the use of judgement by management and estimation uncertainty enhances the standard's ability to remain principles based in dealing with evolving financial reporting frameworks. Appendix 1 and Appendix 2 provide helpful guidance in the context of relevant requirements of financial reporting frameworks, and the application material in paragraphs A135 to A138 focuses appropriately on disclosures in terms of the requirements of the applicable financial reporting framework.

13. We do however suggest that the IAASB consider expanding the guidance relating to mainly future orientated accounting estimates where the amounts may not be directly observable, including those estimates that utilise significant data and assumptions outside of the traditional general ledger and financial reporting system (e.g. include as a 3rd appendix) to further assist auditors with evolving financial reporting frameworks which include models such as the Expected Credit Loss model.

SAICA also considered the following **additional question**: Do you agree that the requirements in paragraphs 10 and 11 will result in a more detailed understanding of the accounting estimates at the entity and do you believe it will improve your ability to identify RoMM?

14. All the survey respondents agreed that these requirements will result in a more detailed understanding of the accounting estimates at the entity and do believe that it will improve their ability to identify RoMM.

15. The field testing respondents also agreed with these requirements but did indicate that the requirements may be too onerous for less complex accounting estimates. From a practical application point of view, guidance/ clarity is required on whether professional judgement can be applied in determining the extent of understanding required (e.g. are all of the elements identified in paragraph 10 always relevant; or are they all relevant in principle, but the depth of understanding may vary depending on the circumstances around the nature and extent of

an entity’s accounting estimates in the context of the understanding that the auditor is required to obtain in terms of ISA 315 (Revised)). Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing question (d)).

16. The counter argument could be that the auditor needs to cover all of these aspects as part of the understanding phase of the audit to be more confident in the eventual result of the risk assessment, including distinguishing between when inherent risk is low and when inherent risk is not low.

17. SAICA agrees that the proposed revised requirements will result in a more detailed understanding. Our comments to question 3 should however be referred to in respect of the scalability of risk assessment procedures and related activities for an entity with less complex accounting estimates.

Question 2
Do the requirements and application material of the ED appropriately reinforce the application of professional scepticism when auditing accounting estimates?

18. Most of the survey respondents agreed. The upfront emphasis of its importance underlines the frame of mind with which the auditor should approach all audit work related to accounting estimates.

19. SAICA agrees that the ED appropriately reinforces the application of professional scepticism. At an overall level professional scepticism has been reinforced by enhancing the risk assessment requirements which will provide the auditor with a more in-depth basis for identifying and assessing RoMM. There is further a requirement for the auditor to “stand back” and re-evaluate the audit evidence obtained. The following specific requirements will also require the auditor to apply professional scepticism:
    - 10(c): That requires an understanding of the nature of accounting estimates and related disclosures that the auditor expects to be included, in addition to what has been included in the entity’s financial statements.
    - 24: That requires the auditor to consider management bias by evaluating the judgements and decisions made by management for individual accounting estimates and in aggregate.

20. The IAASB could consider linking the professional scepticism “catch all” in paragraph 5 to ISA 200, paragraph 15 (and its related application material) for additional clarity and support of the concept.

21. The application of professional scepticism could be further enhanced if the following guidance is provided:
    - How the auditor should deal with contradictory evidence as described in ED-ISA 540 (Revised).23.
    - How the auditor should evaluate qualitative disclosures as mentioned in ED-ISA 540 (Revised).A57 and A137.

Question 3
Is the ED sufficiently scalable with respect to auditing accounting estimates, including when there is a low inherent risk?

22. Although the majority of the survey respondents agreed that the ED is sufficiently scalable with respect to auditing accounting estimates when inherent risks are assessed as "low", one survey respondent expressed a strong view that this is not the case in respect of the risk assessment procedures and related activities – these requirements are detailed and extensive, which is appropriate for complex, highly judgemental accounting estimates that are subject to higher estimation uncertainty.

23. The above-mentioned view was confirmed by the views of the field testing respondents. Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing questions (a), (b), (d) and (f)).

24. SAICA suggests that the IAASB consider that the requirements and application material of the ED could be further scaled in respect of the risk assessment procedures and related activities. For example, it may not be necessary for the auditor to obtain the same level of understanding, including for each of the components of internal control, for less complex accounting estimates than for more complex accounting estimates.

    ISA 315 (Revised) paragraph A3 states that the auditor applies professional judgement to determine the extent of the understanding required and that the primary consideration is whether the understanding obtained is sufficient to meet the objective of the ISA. The auditor should therefore be able to apply more judgement in respect of the extent of understanding required for purposes of performing the risk assessment, which provides the basis for the auditor's further audit procedures depending on the nature and extent of the entity's accounting estimates.

25. The IAASB should further be mindful that although a clear distinction is made between "When inherent risk is low" and "when inherent risk is not low", there is, apart from paragraph A96, no application material (or no clear application material) relating to the work effort linked to "When inherent risk is low". The approaches in ED-ISA 540 (Revised).15(a) have been retained from extant ISA 540.13, which include related application material. The IAASB should consider whether some of that application material could be retained in the revised standard, adapted as required to the context of low inherent risk.

SAICA also considered the following **additional question**: Is the ED sufficiently scalable with respect to auditing accounting estimates when inherent risk is assessed as 'not low' (i.e. in terms of providing a sufficient "step-up" in terms of the further audit procedures that would be required to obtain sufficient appropriate audit evidence in the circumstances)?

26. All of the survey respondents agreed that the ED is sufficiently scalable with respect to auditing accounting estimates when inherent risk is assessed as 'not low'.

27. SAICA agrees with the objective-based requirements that the auditor has to achieve based on the applicability of one or more of the three factors. It is suggested that the terms 'low' and 'not low' should be defined or described as these terms may not be specifically used in a firm's methodology.

28. The field testing respondents also stated that their work effort for risks assessed as 'not low' were similar to the previous year but required more documentation. Annexure 1 to this

comment letter provides a summary of responses from field testing (refer to field testing questions (e), (f) and (g)).

29. Overall, SAICA appreciates the proposed change in approach that is being introduced in this ED as a mechanism to make the requirements of the standard scalable (i.e. the distinction between "when inherent risk is low" and "when inherent risk is not low"). The IAASB should seek to apply this approach, as may be relevant and applicable, or adapted as necessary, to other standard-setting projects.

Question 4
When inherent risk is not low (see paragraphs 13, 15 and 17 – 20):

(a) Will these requirements support more effective identification and assessment of, and responses to RoMM (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?

30. All of the survey respondents agreed that the requirements in paragraph 13, together with the requirements of ISA 315 (Revised), support a more effective identification and assessment of RoMM.

31. The application material in paragraphs A71 to A78 provides important guidance in relation to the assessment of RoMM in the context of accounting estimates; and specifically draws attention to low inherent risk and not-low inherent risk. It is helpful that specific focus is placed on significant risks (paragraphs A76 to A77), and on other relevant factors in addition to the three "main" factors (paragraph A78).

32. The IAASB should consider including in paragraph 13 a reference to Appendix 2.

33. SAICA's comments relating to questions 3 and 4(b) should however be taken into account. I.e. guidance on the scalability of risk assessment procedures and related activities, and the interrelationship of the three factors for an entity where risks relating to accounting estimates have been assessed as 'low'.

34. Most of the survey respondents and SAICA agree that when inherent risk is assessed as 'not low', the requirements in paragraphs 15(b) and 17 – 20, together with the relevant requirements of ISA 330, support more effective responses to RoMM.

35. The field testing respondents commented that the requirements resulted in a more detailed and specific response to RoMM and ensured that appropriate procedures are designed and performed. Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing questions (f) and (g)).

(b) Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which an accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgement by management and the potential for management bias, and estimation uncertainty?

36. Most of the survey respondents supported the requirement and believe that the above-mentioned three factors influence the risk of material misstatement of an accounting estimate.

37. The majority of the field testing respondents also supported the requirement and believe that the three factors influence risk of material misstatement. Two respondents indicated that their risk assessment and response were consistent with the previous year. Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing question (e)).

38. One survey respondent and a field testing respondent commented that there is not enough emphasis on the interrelationship between the three factors and the impact of the interrelationship on the auditor's identification and assessment of risks of material misstatement as well as the auditor's responses to those assessed risks.

39. SAICA notes that the ED recognises under the 'Key concepts of this ISA' that the three factors are interrelated. In paragraph 13, the auditor is required to take into account the extent to which one or more of the factors affect RoMM. Paragraph 15(b) requires the auditor to perform procedures to obtain evidence about complexity, judgement and estimation uncertainty (as indicated in paragraphs 17 – 19), when applicable. These sections indicate that there could be a scenario where only one or a combination of the factors are applicable.

40. However, we are aware of suggestions that the ED does not provide sufficient further guidance on the interrelationship of the factors and how the auditor's response to the risks are affected when more than one factor is applicable, including that the procedures relating to the objective-based requirements for each factor might overlap. The IAASB may have to consider this matter further (it would be interesting to see whether this is identified as an issue in the context of all of the comments that the IAASB receives).

(c) Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 – 19?

41. Most of the survey respondents and SAICA agree that there is sufficient guidance in relation to the proposed objectives-based requirements in ED-ISA 540.17 – 19, including the related application material.

42. The field testing respondents commented that more applicable guidance has been provided in the proposed revised standard. Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing question (g)).

43. SAICA wishes to also note that the proposed objectives-based approach calls for considerable professional judgement to be exercised by the auditor, whilst at the same time allowing the auditor to scale and custom-design procedures relevant to the entity's accounting estimates that are responsive to the assessed risks of material misstatement. The IAASB could consider to also include professional judgement as part of the "Key concepts" section at the beginning of the standard (i.e. part of the "catch all" paragraphs upfront).

44. There is the risk that should an auditor get this wrong it will significantly impact the sufficiency and appropriateness of audit evidence in the circumstances. The IAASB may receive comments from respondents that focus on this aspect and who call for more specificity in relation to the procedures that are required to be performed. It is SAICA's view that the proposed approach is appropriately principles based and allows for the standard to be applied in the numerous different circumstances that are likely to be encountered in practice.

SAICA also considered the following **additional question**: Do you agree with the requirement in paragraph 16 to test the operating effectiveness of internal controls, if the auditor intends to rely on controls relating to accounting estimates, or if substantive procedures alone cannot provide sufficient appropriate audit evidence?

45. All of the survey respondents agreed with the requirements in paragraph 16.

    One survey respondent supported the emphasis placed on a controls based approach in auditing accounting estimates as accounting estimates in some instances relate to more complex environments that require the selection of models, methods, assumptions and data in making those accounting estimates; and because accounting estimates are increasingly derived from complex information technology systems and generated from large volumes of data. Both these factors lend themselves to being more efficiently and effectively audited by means of a controls based approach.

46. The field testing respondents further commented that the applicability of the requirement would depend on the nature and size of the entity, the processes around estimates and whether internal controls are in place that can be relied upon. Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing question (h)).

47. SAICA agrees with the requirement in paragraph 16 to test the operating effectiveness of internal controls, if the auditor intends to rely on controls relating to accounting estimates, or if substantive procedures alone cannot provide sufficient appropriate audit evidence. The application material in paragraphs A98 to A100 provides appropriate additional guidance. Greater emphasis on performing tests of controls will however require clarity in ISA 315 (Revised) and ISA 330 on the understanding required and how this affects the nature, timing and extent of substantive procedures and the combination of tests of controls and substantive procedures.

48. SAICA wishes to draw the IAASB's attention to a possible consistency / interpretation risk that we have encountered in South Africa around the design and performance of tests of controls in response to RoMM at the assertion level which may also have implications for the application of ED-ISA 540.16 and A98 – A100. The difference in interpretation relates to whether ISA 330.A4(a) provides for a scenario where the auditor is able to perform only tests of controls to obtain sufficient appropriate audit evidence in response to RoMM at the assertion level (for individual assertions) without also performing substantive procedures on the assertions concerned.

Question 5
Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as described in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?

49. Most of the survey respondents agreed that the requirements in paragraph 20 and related application material in paragraphs A128 – A134 appropriately establish how the auditor's range should be developed.

50. One survey respondent found it more difficult to determine a range that is specifically applicable to the estimate being audited and suggested that guidance and examples should be provided in this regard.

51. This was supported by another survey respondent who suggested that the guidance should be expanded to include examples of possible plausible relationships between data that may typically be used to develop a point estimate or an auditor’s range for the more common accounting estimates, such as the examples given in paragraph A1.

52. SAICA agrees that additional guidance may be required. The application material clarifies that developing a point estimate or range is a substantive analytical procedure in terms of ISA 520. The requirements and guidance of the ED should therefore be aligned to the auditor’s considerations in ISA 520 (in particular in relation to the amount of difference of recorded amounts from expected values that is acceptable without further investigation). ISA 520.A16 includes guidance in determining whether the difference in the recorded amount and the auditor’s expected amount is acceptable, i.e. the difference that can be accepted is influenced by materiality and the desired level of assurance (risk).

53. The field testing respondents also indicated that the determination of an auditor’s range is one of the difficult areas to implement. Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing questions (b) and (i)(2)).

54. All of the survey respondents agreed that the revised approach relating to determining and using an auditor’s range in evaluating whether management’s point estimate is reasonable or misstated, will be more effective.

55. When one considers the end result of the proposed approach to developing an auditor’s range, compared to the “narrowing the range” approach in the extant standard, SAICA’s conclusion is that you in essence achieve the same result, without being ‘limited’ by the application material in the extant standard (paragraphs A93 to A95) around specific steps to “narrow the range”. Paragraph 20 read together with paragraphs A143 to A145 are interpreted to mean that all of the amounts included in the auditor’s range should be considered as being reasonable. Conversely, if management’s point estimate equals any of the amounts in the auditor’s range, the auditor’s conclusion will be that the accounting estimate concerned is reasonable (and not misstated). This is also the reason why the evaluation proposed in paragraph A145 would lead to an acceptable audit outcome. SAICA suggests that the IAASB considers how these important concepts may be clarified further, including using examples to illustrate.

56. Furthermore, we suggest that paragraph 20 include references, or otherwise be linked to the application material in paragraphs A128 to A134, as well as A143 to A145.

Question 6
Will the requirements in paragraph 23 and related application material (see paragraphs A2–A3 and A142–A146) result in more consistent determination of a misstatement, including when the auditor uses an auditor’s range to evaluate management’s point estimate?

57. Also refer to our comments in relation to question 5, above.

58. Most of the survey respondents and SAICA agree that the requirements in paragraph 23 and related application material will result in a more consistent determination of whether an accounting estimate is reasonable or misstated, including when the auditor uses an auditor’s range to evaluate management’s point estimate.

59. One survey respondent commented that paragraph A144 uses the term “significant” which is open to interpretation and may not be applied consistently. It was suggested that additional guidance and examples should be provided of when a variation would be considered significant. The guidance and examples should also relate the concept of a ‘significant variance’ to that of materiality.

Question 7

With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?

60. All the survey respondents agreed that the revision to the requirements in ISA 500 and the related new additional application material, will result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources.

61. One survey respondent commented that the additional guidance on when an external organisation is acting as an external information source vs. as a management’s expert is particularly useful.

62. SAICA agrees with the above-mentioned views expressed.

Question 8

(a) Translations

63. The IAASB’s pronouncements are not translated in South Africa.

(b) Do you agree that the effective date should be 18 months after the approval of the final ISA, with early adoption being permitted and encouraged?

64. Most of the survey respondents agreed that the effective date should be 18 months after the approval of the final ISA, with early adoption being permitted and encouraged.

65. One survey respondent suggested that the effective date should be aligned to the effective date of IFRS 9 as this was one of the main reasons for the revision of the ISA.

66. Another survey respondent suggested a 24 month period stating that the ED proposes a substantive revision to the audit approach. 18 months is too short for the significant development work to amend an audit methodology and working papers as well as training of audit staff to appropriately apply the revised requirements.

67. SAICA supports an 18 month or longer period before the revised ISA is made effective. The option to early adopt the revised ISA will address the concern raised regarding the effective date of IFRS 9.

Additional questions

68. SAICA also considered the following additional questions:

Do you agree that the stand back provision in paragraph 22 will improve the auditor's focus on whether sufficient appropriate audit evidence has been obtained?

69. Most of the survey respondents agreed that the stand back provision in paragraph 22 will improve the auditor's focus on whether sufficient appropriate audit evidence has been obtained. It also enhances the auditor's exercise of professional scepticism.

70. One survey respondent commented that when auditing an accounting estimate, particularly one that is subject to more complexity, judgement and estimation uncertainty, the extent of audit work that the auditor is required to perform can easily lead the auditor to lose sight of the overall evaluation with respect to obtaining sufficient appropriate audit evidence whether the financial statements are materially misstated.

    Requiring the auditor to take a step back after having performed the relevant audit procedures and re-evaluate the outcome of the audit procedures will assist the auditor in making an overall/ holistic assessment of whether sufficient appropriate audit evidence has been obtained and to reach an appropriate conclusion on whether an accounting estimate is free from material misstatement. It was however suggested that paragraphs A139 – A141 be clarified by specifically stating that the auditor should 'stand back' and evaluate the audit evidence obtained regarding the accounting estimate.

Do you agree with the decision of the IAASB to place more emphasis on communication with those charged with governance regarding accounting estimates in paragraph 26?

71. All of the survey respondents agreed with the decision of the IAASB to place more emphasis on communication with those charged with governance regarding accounting estimates.

72. One survey respondent commented that this will also enhance the communication of key audit matters which often relate to matters of significant complexity, judgement and estimation uncertainty.

73. The majority of the field testing respondents also agreed with the requirement and stated that it did not affect their audit where the risk was assessed as 'not low' because significant risks were already communicated to those charged with governance (and flagged as possible key audit matters). Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing question (i)(6).

74. SAICA agrees with the above-mentioned views expressed.

Do you agree that the requirement in paragraph 27 and the related application material (see paragraphs A158–A159) will result in consistent documentation of the basis for the auditor's evaluation of the reasonableness of accounting estimates?

75. Most of the survey respondents agreed that the requirement in paragraph 27 and the related application material will result in consistent documentation of the basis for the auditor's evaluation of the reasonableness of accounting estimates.

76. One survey respondent and one field testing respondent suggested that a specific documentation requirement should be included in respect of the considerations and conclusions of the "stand back" provision.

77. The majority of the field testing respondents indicated that the amended requirements did not affect their audits as the risks were previously assessed as significant and therefore required similar documentation. It was however noted that documentation would increase for risks assessed as ‘low’.

Furthermore, it was indicated that the link between documentation requirements and work effort requirements relating to the auditor’s consideration of management bias is not clear. Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing question (i)(7).

78. SAICA generally agrees with the respondents’ views and have further comments and suggestions in the paragraphs that follow to contribute to the clarity and consistent application of the documentation requirements.

79. The ED does not contain specific documentation requirements regarding the following sections of the ISA:

- Risk assessment procedures and related activities
- Identifying and assessing the RoMM
- Responses to the assessed RoMM
- Disclosures related to accounting estimates

We have deduced that the reason for this is that the ED describes in the scope section that the ISA expands on how ISA 315 (Revised), ISA 330, ISA 500 and other relevant ISAs are to be applied in relation to accounting estimates and therefore the documentation requirements in those ISAs should be applied in addition to the ED.

80. ISA 240 however, also contains requirements relating to risk assessment, identifying and assessing RoMM and responses to assessed RoMM. The documentation requirements in ISA 240 differ from the proposed requirements in ED-ISA 540 as it makes reference to ISA 315 (Revised) and ISA 330 and also includes the specific documentation requirements relating to these ISAs. It is therefore recommended that the documentation requirements in the ED should be worded similarly to the requirements in ISA 240 (i.e. applying a similar approach). SAICA believes it is important that the standard is written in such a way that auditors do not underestimate the implications for audit documentation.

81. With respect to the documentation requirements pertaining to the auditor’s evaluation of management bias, paragraph A159 is narrow in referring only to the examples in paragraph A147. We believe that the reference should be more holistically to the requirement in paragraph 24, which will be aligned to the approach adopted in paragraph A158 that refers to paragraphs 17 – 21 and 22 – 23.

One of the key components of the proposed revised standard is the expansion of the application material (i.e. the A-paragraphs). Do you believe that the application material is sufficient in extent and content to provide meaningful guidance in enhancing the auditor's understanding of the requirements regarding the auditing of accounting estimates and how to carry these requirements out?

82. Most of the survey respondents agreed that the application material is sufficient in extent and content to provide meaningful guidance in enhancing the auditor's understanding of the requirements and how to carry these requirements out.

83. One survey respondent suggested that it may be useful to expand the application material further to include more practical examples that will illustrate the practical application of the requirements.

84. The field testing respondents also agreed and believed that the application material is vital in understanding the ED. Annexure 1 to this comment letter provides a summary of responses from field testing (refer to field testing question (c)).

85. SAICA agrees that the application material is comprehensive and most helpful. We have included a few suggestions in terms of the possible expansion of application material in certain areas as part of our responses to the other questions in this comment letter.

86. There was a particular comment from the survey respondents that more guidance should be considered for the **audits of smaller entities** where accounting estimates may be less complex.

    SAICA compared the ED to the extant standard in relation to "Considerations specific to smaller entities". We found that the relevant A-paragraphs in the ED (A23, A44, A60, A100, A107 and A110) have retained the guidance included in the extant standard, with some amendments, additions and clarification in certain cases. There are two instances where the guidance in the extant standard has not been 'transferred' to the ED:

    - Extant ISA 540.A67: We believe that the matter relating to a longer period between the balance sheet date and the date of the auditor's report is a characteristic that is specific to smaller entities and relevant in considering the audit evidence for certain accounting estimates. We request that the IAASB consider retaining this guidance.

    - Extant ISA 540.A106: This paragraph includes, among other, the following guidance that has not been retained in the ED, "… the auditor may explain to management the process or the different methods available for doing so, and the documentation thereof. This would not, however, change the responsibilities of management for the preparation of the financial statements." The circumstance described here is a reality of practice in dealing with many smaller entities. We are not sure why the IAASB has decided not to retain this as part of the guidance; we had considered that the decision may relate to a possible conflict with independence requirements in the Code of Professional Conduct.

D. EDITORIAL AND OTHER COMMENTS ON SPECIFIC PARAGRAPHS

87. Paragraph 13 makes reference to ISA 315 (Revised) without a specific paragraph reference in a footnote for the auditor to cross-reference to. Paragraphs A48 and A76 makes reference to specific paragraphs in ISA 315 (Revised) instead of using a footnote. Paragraph A50 makes no reference to ISA 315 but includes a footnote.

    Paragraphs 15, A94, A95 and A96 make reference to ISA 330 without a specific paragraph reference in a footnote for the auditor to cross-reference to.

    Paragraph A151 refers to ISA 700 (Revised) without a specific paragraph reference in a footnote for the auditor to cross-reference to.

    We suggest that referencing in the ED to other ISAs should be aligned to the referencing in all other ISAs.

88. We suggest that the words ‘also is’ in paragraphs 5, A113 and A116 should be changed to ‘is also’, similarly the words ‘also may’ in paragraphs A11, A99, A120, A122, A132, A133, A144 and the conforming amendment to ISA 260.A20 should be changed to ‘may also’.

89. Paragraph A135 states that paragraph 21 applies regardless of whether the auditor is required to perform procedures under paragraph 19. It is not clear why paragraph 19 is referred to. It is suggested that either the correctness of the reference is considered or the paragraph should be deleted.

90. Paragraph 25 requires the auditor to obtain written representations regarding ‘significant’ data and ‘significant’ assumptions. We believe that ‘significant’ should be deleted to require the auditor to obtain written representation from management and those charged with governance for selected data and selected assumptions used in making the accounting estimate (this will be consistent with the wording used in paragraph 10(e)).

APPENDIX: SUMMARY OF RESPONSES FROM FIELD TESTING

Introduction

91. As indicated under section B of this comment letter, 5 audit firms agreed to participate in field testing the requirements and guidance of ED-ISA 540 (Revised) and to complete SAICA's questionnaire designed for field testing respondents.

92. In the paragraphs that follow, field testing respondents described their understanding and their experience in implementing the requirements and guidance. The comments are each from individual respondents, unless indicated otherwise.

93. This feedback is provided as additional information for the IAASB to consider with respect to the perceptions that have been expressed from field testing; in certain instances SAICA has added comments.

Field test question (a)
What difficulties did you experience in understanding the new requirements?

94. The standard appears to have been developed with complex estimates in mind but will likely result in significant incremental effort for lower risk estimates, as the standard is not very clear how to practically differentiate between the work effort that is required for estimates that is 'not low' risk compared to those that are 'low' risk.

95. In implementing responses to the risks of material misstatement that is 'not low', the practitioner is required to implement procedures in accordance with paragraphs 17 – 20. It is unclear how these procedures interact with the procedures articulated in paragraphs 15(a)(i) to (iii). These procedures have always been applied to estimates and are presumably still relevant to address risks relating to estimates. It is assumed that paragraphs 17 – 20 are in addition to the procedures in paragraph 15(a).

    SAICA comment: The application material in paragraph A97 is intended to address this concern.

96. It is unclear what the extent of documentation should be to demonstrate the execution of the requirements in paragraphs 22 and 23.

Field test question (b)
What difficulties did you experience in implementing/ applying the new requirements during the audit?

97. The field testing respondents described difficulties in implementing the requirements in the paragraphs that follow.

98. How to determine the most appropriate point estimate or range.

99. In understanding the models used by management, the most complex part is evaluating the extent of management bias and the impact on the point estimate.

100. The approach of identifying all accounting estimates and then assessing the risks of material misstatement as ‘low’ or ‘not low’ resulted in more detailed documentation and a shift in the flow of the audit file to ensure these requirements are met.

SAICA comment: This may also be linked to a firm’s audit methodology. The revised standard will require the necessary update of methodologies in terms of ensuring compliance with the standard, as well as the most efficient way in which this may be accomplished.

101. The entity’s documentation was not always formalised and in sufficient detail for the auditor to perform the risk assessment procedures.

102. The articulation of risks of material misstatement relating to disclosures and execution of procedures to address the risks.

Field test question (c)
The purpose of application and other explanatory material of an ISA is for the auditor to understand the objectives of the ISA, the meaning of the requirements and how to carry them out. Did you find that the application material assisted you during the audit? (Also taking into account that a key component of the revised standard is the expansion of the application material)

103. The field testing respondents agreed that the application material is detailed and does assist in guiding the assessment; they also commented that the application guidance is vital for an understanding of the requirements of the ED.

Field test question (d)
Did the requirements in paragraphs 10 and 11 result in a more detailed understanding of the accounting estimates at the entity and did it improve your ability to identify risks of material misstatement? Please provide reasons for either “Yes” or “No” responses.

104. The field testing respondents agreed and provided the following comments

- The detailed breakdown in paragraph 10 is useful in identifying factors that should be considered.
- The requirements prompt auditors to ask more probing and specific questions in obtaining an understanding.
- The extent of understanding required is more detailed and drives a more granular risk assessment. The focus on risk assessment will inform the auditor’s judgement regarding risk and an appropriate response thereto.
- These requirements assist the team in ensuring that all factors are documented in one place.
- It also assisted in increasing the documentation around the extent of management skills and knowledge used.
- Paragraph 11 notes, “The review is not intended to call into question judgements about previous period accounting estimates that were appropriate based on the information available at the time they were made.“ This is a useful reminder to evaluate relevant factors each year, separately from the year before. A change in assumptions is based

on what is available at the time and does not necessarily equate to management bias pertaining to achieving a specific outcome.

105. One respondent did however comment that these requirements may be too onerous for obvious low risk estimates, where this level of understanding would not be required.

SAICA comment: Refer to our detailed comments to question 1.

Field test question (e)
How did these requirements affect your assessment of risks of material misstatement (RoMM) at assertion level; also linked to the three factors (complexity, judgement and estimation uncertainty) that are most likely to influence the RoMM?

106. The majority of the field testing respondents described that the requirements improved their assessment in that it was documented in more detailed, resulted in a better understanding and a more effective response to the assessed risks (the right work in the right areas). It highlighted more clearly the risk factors and considerations.

107. Two field testing respondents indicated that the assessment of RoMM was consistent with the previous year.

108. Another field testing respondent commented that previously complexity and judgement were sources of estimation uncertainty, and has always been considered. It is not clear whether estimation uncertainty is no longer impacted by these factors and whether it should be a factor on its own.

SAICA comment: This talks to the interrelationship between the three risk factors identified in the standard. Also refer to our detailed comments to question 4(b).

Field test question (f)
How did the inherent risk you assessed as “low” and/ or “not low” affect your work effort? (in terms of nature, timing and extent)

109. All of the field testing respondents commented that at an overall level, the nature, timing and extent of further audit procedures performed did not significantly differ from the previous year for inherent risks assessed as ‘not low’. Paragraphs 17 – 20 required a more detailed and specific response to RoMM.

110. One field testing respondent commented that the requirements streamlined the process in terms of once it was identified whether the risk is ‘low’ or ‘not low’ to then determine the extent of work that is required.

SAICA comment: This observation confirms that the objective of the IAASB in terms of achieving scalability of the requirements and their application could be achieved.

111. Two field testing respondents commented that there was an increase in the documentation of how management made the estimate for risks assessed as ‘low’ and that this documentation is not necessary to reach a conclusion that the risk is ‘low’.

Field test question (g)
What are your views on the effectiveness and efficiency of the objective based requirements (paragraphs 17 – 19) in guiding the design and performance of further audit procedures?

112. Most of the field testing respondents commented that the objective based requirements ensure that appropriate procedures are performed. It provides for a more detailed and direct response to the specific estimate. More applicable guidance has been provided, especially considering the new accounting standards that are soon to be implemented.

113. One respondent commented that once the RoMM is assessed as 'not low' the procedures required to obtain audit evidence regarding Complexity, Judgement and Estimation Uncertainty were consistent with the previous year.

114. Another respondent commented that in practice the procedures related to complexity and judgement might overlap.

Field test question (h)
What are your views on the internal controls requirement in paragraph 16? (The extant ISA 540 did not include a specific requirement, but a controls based approach has become more important due to the nature of accounting estimates, the complexity and judgement involved in selecting methods, making assumptions and the use of data.)

115. Most of the field testing respondents agreed with the requirement and commented that the applicability of the requirement (whether internal controls will be tested), will depend on the nature and size of the entity (e.g. large data intensive companies such as banks, insurers, and telecommunication entities), the processes around estimates and whether internal controls are in place that can be relied upon.

Field test question (i)
What are your views on how the following matters impacted the performance of your audit? (Did you experience difficulties in applying the matters and did the matters contribute to you achieving the objective of obtaining sufficient appropriate audit evidence in an efficient manner?)

Question (i)(1)
The change in focus relating to significant risks, in that the ED no longer include specific requirements for significant risks.

116. One of the field testing respondents commented that the team's focus shifted to correctly and thoroughly assessing the criteria set out, instead of distinguishing between significant/ not-significant risks.

     <u>SAICA comment</u>: Although the ED does not include requirements specific to significant risks as is the case in extant ISA 540, the manner in which significant risks are referred to in paragraphs 13 and 15, and the related application material in paragraphs A76 – A77 and A94 – A95, are adequate.

117. Two of the field testing respondents commented that this change did not have an impact on their audit.

Question (i)(2)
The changes in paragraph 20 and the related application material (paragraphs A128 – A134) when developing a point estimate/ range.

118. Most of the field testing respondents indicated that it is difficult to determine a point estimate or range. The factors to be considered in identifying the range required is not clear and guidance and examples are required. Previously paragraph A94 of the extant ISA was used that permitted a range equal/less than performance materiality.

     SAICA comment: Refer to our detailed comments to question 5.

119. One field testing respondent commented that it provides more reliable conclusions on whether the RoMM for that specific estimate was addressed and whether misstatements actually exist.

120. Another field testing respondent agreed with the changes with respect to the calculation of a range and setting the parameters of the range and commented that it recognises the complexity of some of the estimates being evaluated.

Question (i)(3)
Enhanced requirements in paragraph 21 and related application material on disclosures.

121. Most of the field testing respondents agreed with the requirements around disclosures. The requirements in paragraph 21 and the application guidance reinforce the IAASB's emphasis on risks related to disclosures; that the auditor should identify disclosures upfront and address the risks of material misstatement related to disclosures during the audit process instead of towards the end of the audit.

122. One field testing respondent however, commented that disclosures are typically only available for audit at the end of the audit and results in more work to be performed towards the end of the audit.

123. Another field testing respondent suggested that the detailed application guidance relating to the disclosures should be included in the main standard to clarify the auditor's objectives related to disclosures. It is suggested that the following matters relating to risks of material misstatement of disclosures be clearly articulated:
     - understanding of the process to calculate disclosures,
     - identification of risks of material misstatement related to disclosures, and
     - the work effort related to disclosure risks.

Question (i)(4)
The stand-back provision in paragraph 22 when inherent risk is not low.

124. All of the field testing respondents agreed with the requirement and it was indicated that this already forms part of the approach of one of the firms.

125. One field testing respondent commented that the paragraph is useful in understanding the ‘big picture’. It assists in defining what the outcome should be and confirming that the process makes sense and the outcome is reasonable.

126. Two respondents commented that guidance should be provided on how to perform and document the stand-back provision.

Question (i)(5)
Evaluating whether the accounting estimate is reasonable or misstated in paragraph 23 (Including the sufficiency of guidance regarding the evaluation of misstatements).

127. Most of the field testing respondents agreed with the requirement.

128. One field testing respondent commented that the requirement ensures that the auditor takes into account all available information and then makes a decision on whether the result is reasonable or misstated. This assisted the audit team during discussions with management as all relevant and supporting evidence was available.

129. One field testing respondent however commented that the determination of reasonable vs. not-reasonable (i.e. misstated) could be clearer, especially where assumptions are highly sensitive.

Question (i)(6)
Enhanced communication with those charged with governance in paragraph 26.

130. The majority of the field testing respondents agreed with the requirement and indicated that it would not have an impact on audits where significant risks were previously communicated to those charged with governance or if the entity is a listed entity, the information around estimates would likely have been communicated and raised as possible key audit matters.

131. Two field testing respondents commented that it might be a more difficult process in an audit of a private company where there are less formal processes in place to communicate all these types of matters to TCWG. The list of possible matters to communicate in paragraph A155 however provides good guidance on what to report.

132. One field testing respondent commented that there is a need to clarify at which level these detailed communications should take place.

Question (i)(7)
The requirements in paragraph 27 and related application material in paragraph A158 regarding documentation.

133. The majority of the respondents agreed with the requirement and stated that it did not have an impact on the documentation for their accounting estimates assessed as significant. It was noted that the ED no longer focusses on documentation around risks relating to accounting estimates assessed as significant risks.

    SAICA comment: The explicit link to the documentation requirements in ISA 230 should address the matter relating to significant risks. Also refer to our other comments with respect to the proposed documentation requirements under additional questions on pages 13 – 14.

134. One field testing respondent commented that documenting the indicators of possible management bias required more detailed consideration.

135. Another field testing respondent commented that the documentation requirements do not clearly link back to the objective. The link between the work effort requirements and the documentation requirements relating to indicators of management bias, is further not clear. A suggestion was made to include some of the detail in paragraph A158 in the requirements section of the standard.

August 7, 2017

IFAC Small and Medium Practices Committee Response to the IAASB's Exposure Draft, *Proposed International Standard on Auditing 540 (Revised) Auditing Accounting Estimates and Related Disclosures*

INTRODUCTION

The SMP Committee (SMPC) is pleased to respond to the IAASB (the Board) Exposure Draft (the ED), *Proposed International Standard on Auditing 540 (Revised) Auditing Accounting Estimates and Related Disclosures.* The SMPC is charged with identifying and representing the needs of its constituents and, where applicable, to give consideration to relevant issues pertaining to small- and medium-sized entities (SMEs). The constituents of the SMPC are small- and medium-sized practices (SMPs) who provide accounting, assurance and business advisory services principally, but not exclusively, to clients who are SMEs. Members and Technical Advisers serving the SMPC are drawn from IFAC member bodies representing 22 countries from all regions of the world.

GENERAL COMMENTS

The SMPC has closely followed the development of the ED and submitted comment letters in advance of a number of the IAASB quarterly Board meetings. We support the IAASB revising ISA 540[1] and commend the Board on the considerable amount of work that has been undertaken in developing the proposals. Accounting estimates can be very complex and both today, and in the future, will continue to be an important element of financial statements, so the ED represents significant progress.

Overall, we appreciate the relative conciseness of the requirements' section and welcome the IAASB's attempts to make ISA 540 (Revised) scalable and the proposed approach in as far as it would ensure accounting estimates assessed as low inherent risk are not subject to inappropriate audit procedures. We broadly support the notion of low inherent risk as a threshold, but strongly believe that to foster consistent treatment of accounting estimates it will need to be explained more thoroughly, and its relationship to the risk of material misstatement further explored. In addition, not all SMEs accounting estimates will be assessed as low inherent risk. It is therefore critical that the IAASB examines how there could be further scalability in the approach, as these issues are not sufficiently addressed with just the introduction of the threshold.

We are concerned that ED-540 is over-engineered in some respects, in particular for SMPs. IAASB implies, but does not state, that the intention is not to make extensive changes in the audit of accounting estimates when inherent risk is low and that this is how the ISA achieves scalability. However, it is clear from the requirements that despite the structural similarity between the extant standard and the proposals with regard to low inherent risk estimates, considerably more is in fact required, even for low inherent risk estimates. We do not believe that IAASB is in a position to unwind the potentially disproportionate

[1] ISA 540, *Auditing Accounting Estimates, Including Fair Value Accounting Estimates, and Related Disclosures*

complexity for some SME audits and we therefore strongly recommend that further SME examples should be included in a separate staff publication. The publication should also cover (a) the link between inherent risk and risk of material misstatement, (b) how the standard can be applied efficiently specifically to smaller audits, such as highlighting the additional work now required for low risk estimates, as well as giving examples how the new requirements for other estimates can be applied efficiently, and (c) examples of the types of documentation that might be appropriate in SME audits. Guidance on the demonstration of professional skepticism when auditing accounting estimates would be particularly helpful for SME auditors where the estimate is complex and management has used data and assumptions in a model. This is an emerging area for many SMEs and their auditors.

We support the additional clarity that has been provided in the standard, including understanding the inter-relationship between judgment, complexity and estimation uncertainty. However, these three factors are very closely interrelated and we believe that the IAASB needs to give this further consideration prior to finalization.

In our view, the IAASB should be sensitive to the risk of increasing public expectations of an audit where an accounting estimate is subject to a significant degree of estimation uncertainty. For instance, increasing the level of prescription in particular areas of ISA 540 (Revised) may inadvertently increase public perception that provided the entity applies the "right" process or model, an acceptably reliable estimate can "more or less always" be included in the financial statements. In reality, the desired degree of exactitude may inevitably remain unattainable in respect of certain accounting estimates. Although the introduction explains that accounting estimates are subject to inherent limitations, this material could be more explicit as to the equivalence of the limitations this places on the preparer's and auditor's ability in the context of measurement uncertainty. Otherwise there may be unrealistic expectations that the auditor can "enhance" the actual degree of reliability of an accounting estimate - an audit cannot make inherently uncertain measurements more precise than they are.

We therefore believe that the IAASB has an educational role in explaining the responsibilities of other stakeholders in the financial reporting supply chain for accounting estimates. For example, highlighting the responsibility of management to provide auditors with adequate information on a timely basis for their accounting estimates when preparing financial statements. The information required from management with the new standard may require more detail on the inputs, ranges etc., but in general this is not considered negative, as it should lead to enhanced evidence and documentation on audit files.

DETAILED COMMENTS

We have outlined our responses to the questions (in italics) in the ED below.

Overall Questions

Q1. Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?

One of the driving factors of the project to revise ISA 540 is the impending adoption of IFRS 9[2], which has been considered in the proposals. However, it is less clear about other new international reporting standards, including leases (IFRS 16[3]), revenue recognition (IFRS 15[4]) and insurance contracts (IFRS 17[5]) as so much of the guidance is for financial instruments, as well as being more relevant for high inherent risk accounting estimates.

Furthermore, there are many financial reporting frameworks, particularly those based on IFRS, which increasingly require the use of fair values in SME financial statements. This reinforces the need for better quality guidance on how the extensive and complex requirements relating to non-low inherent risk (IR) estimates apply to the audit of SMEs.

We broadly support the IAASB's proposal to make significant revisions to the definition of the term "accounting estimate" in paragraph 9(a). The wording may need to be revised slightly in order to be clear that the uncertainty relates to the assumptions applied in measuring the subject matter.

Q2. Do the requirements and application material of ED-540 appropriately reinforce the application of professional skepticism when auditing accounting estimates?

In general, the requirements and application material appropriately reinforce the application of professional skepticism when auditing accounting estimates. A key factor will continue to be how much evidence and documentation is needed for auditors to support that they have challenged management effectively and the degree of skepticism that was exercised on the audit i.e. what will be considered 'enough' by regulators. There is a risk that an expectations gap would be increased with additional recognition of professional skepticism.

Focus on Risk Assessment and Responses

Q3. Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?

SME financial statements include non-low IR estimates

The SMPC fully appreciates the IAASB's recognition of the need to consider scalability as many audits performed world-wide concern smaller and less complex entities. While many accounting estimates in SME financial statements will be assessed as low inherent risk, this will not be the case with all of them. We note above the need for better quality guidance on how the extensive and complex requirements relating to non-low IR estimates apply to the audit of SMEs. We broadly support the notion of low inherent risk as a

[2] International Financial Reporting Standard (IFRS 9), *Financial Instruments*
[3] International Financial Reporting Standard (IFRS 16), *Leases*
[4] International Financial Reporting Standard (IFRS 15), *Revenue from Contracts with Customers*
[5] International Financial Reporting Standard (IFRS 15), *Insurance Contracts*

threshold, but also strongly believe that there could be further scalability in the approach when the inherent risk is not low. For example, it should be made clear that the three procedures listed for low inherent risk estimates (paragraph 15 (a)) may also be appropriate to other estimates - what is important is that the procedures designed and performed are an appropriate response to the specific risks.

Overall, we are concerned that ED-540 is over-engineered in some respects, in particular for SMPs, if the intention is not to make extensive changes in the audit of accounting estimates when inherent risk is low, . For example, whilst it may not appear that the required response to low inherent risk accounting estimates is a significant change from the extant ISA 540, the proposals give the impression that a substantial increase in work is required to assess the risk associated with many estimates (especially the requirements in paragraph 10), only in many cases to arrive at the same place as before. For instance, for a small business, an auditor may simply conduct their own point estimate and compare it to the result provided by management, without needing to necessarily understand all of the intricacies the latter have used to come up with their own estimate. The proposed standard now requires an understanding of what management did, which may not contribute to any additional (or more persuasive) evidence to the audit and just represents additional work effort.

We are also concerned about the additional documentation that will be needed for practitioners to demonstrate how they meet all the requirements, especially as this could be easy to criticize under a regulatory inspection environment. As a result, the cost/ benefit of the changes are likely to be disproportionate for many SMPs and may not enhance audit quality i.e. there needs to be an appropriate balance between the time spent undertaking audit procedures and level of documentation.

The low IR threshold

Some SMPs methodologies may have moved in accordance with the ISAs to focus on significant risks, but some firms still use low, medium and high inherent risk. If firms use the words “low”, “moderate”, and “high” for the assessment of inherent risk, “not low” could be seen as very wide including both moderate and high. The scope of “low” and “not low” is unclear from the proposals and more is needed on what is involved in a low IR assessment.

It is essential for the Board to include greater clarification on what is meant by low inherent risk and the link between inherent risk and risk of material misstatement. There is a concern about which types of estimate fit in which ‘bucket’ and the size of these relative to each other. In particular, practitioners may waste time and effort trying to either fit, or not fit, an accounting estimate in one ‘bucket’. It would be useful if the application material acknowledges that there is considerable crossover between when inherent risk is low and ‘simple’ or ‘non-complex’ estimates. Consideration could also be given to whether there is a way of indicating in the application material that the trigger should be at the higher end of complexity, judgment and certainly estimation uncertainty.

In our view, it would be helpful if the IAASB could provide more detail on the examples of estimates that might be considered low inherent risk (A72), and others which are not (A73), and how they might be dealt with under various scenarios. We recommend that further SME examples could be included in a separate staff publication, but additional lists in the standard may not be helpful given the potential for misuse by practitioners and regulators and the length of the proposed standard. The staff publication could also cover the link between inherent risk and significant risk of material misstatement, how the standard can be applied efficiently to smaller audits and the expected level of documentation, so it is clear for both practitioners and regulators.

There can be circumstances where auditors may be in a position to identify accounting estimates as being of low inherent risk without having first performed all the work steps required under proposed paragraph 10 of the ED, which are excessive. In particular, the requirements to understand each of the components of internal control as they relate to making accounting estimates (paragraph 10(f)), is not clear about the fact that controls auditors are required to understand are only those *relevant to the audit*. We therefore suggest this aspect be revisited to establish whether scalability in the required risk assessment procedures could be improved. We acknowledge and welcome the material in A10, A23 and A60 in relation to smaller entities, which are generally considered helpful, although may still need some refinement. For example, the first sentence of A23 makes two references to "less complex".

Q4. When inherent risk is not low (see paragraphs 13, 15 and 17-20):

(a) Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?

(b) Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimate uncertainty?

(c) Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 to 19 of ED-540? If not, what additional guidance should be included?

While the three factor approach makes sense, complexity, judgment and estimation uncertainty are all closely interrelated and the distinction to a certain extent seems artificial. There is a concern that the requirement to focus the audit approach depending on which of these are the main 'driver' may result in two of the three factors being adopted in virtually all cases, and all three in many, just to avoid regulatory challenge. The IAASB could give more consideration to whether there are discrete examples in which only one factor is relevant. For example, if complexity alone is the reason behind a not low assessment of inherent risk, the auditor can successfully address this factor with the "right" audit procedures.

In our opinion, the IAASB should consider addressing the non-accounting estimate specific issues of complexity and use of management judgement in the current project to update ISA 315 (Revised)[6]. It is extremely important that the approach in both projects is coordinated.

[6] ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment*

We believe that a greater emphasis on 'judgment' and an explicit linking between judgment and management bias could be included. The auditors greatest 'weapon' in auditing estimates lies in understanding management's motivations, incentives and biases in preparing estimates and this could be brought out more in paragraph 18 or the overall evaluation based on the audit procedures performed in paragraphs 22 and 23.

While in paragraph 13, the standard makes clear that complexity, judgment and estimation uncertainty are not the only relevant factors the auditor shall take into account the extent to which the accounting estimate is subject to, there is a concern that additional factors or alternatives will not be taken into account in practice. Furthermore, while paragraph A78 includes other relevant factors, we believe that the reference to "the regulatory environment" could be expanded. For example, considering the impact of other factors, such as the geopolitical environment, technological developments or other disruptive factors when evaluating whether the estimates prepared by management are reasonable.

We note that the paragraph 28 of the Explanatory Memorandum states that *"the requirements in paragraphs 17-19 are not drafted in the form of procedures that shall all be performed, or a list of possible procedures from which the auditor shall choose. Instead, these paragraphs contain requirements that are focused on objectives that the procedures selected by the auditor need to accomplish".* Despite IAASB's best intentions, there is a feeling of an overly prescriptive work effort in each of the three areas. The IAASB will need to work hard to change existing mind-sets which are not accustomed to objectives-based requirements. Significant effort will be necessary to explain to practitioners (in firms of all sizes) and regulators that the requirements in paragraphs 17 to 19 are not all procedures, and are intended to be objectives based requirements.

We agree that analysis of the three factors is useful in identifying and assessing the risk, but it could be less useful in determining the appropriate response. We are concerned that the requirements have been worded to seem as though practitioners would need to address all the matters/ procedures, which could drive a compliance mind-set as regulators will interpret these as a must. The documentation of the sub-components might present practitioners with a challenge because the differences between estimation uncertainty, complexity and judgment are extremely nuanced. The IAASB should consider whether some of the material is more appropriate for application guidance rather than in the requirements.

The use of the term "significant data" in requirement 17 (a) would benefit from clarification or perhaps a link to other relevant application material (e.g. A35, A39 – A42). The Board could consider whether it should refer to whether management has also considered different scenarios that may occur, the impact on the significant data and therefore on the final accounting estimate. The IAASB should also consider whether it intends that there is a difference between the requirement to consider if significant data is reliable (para. 17 (a)) and its integrity (para. 17 (d)). Practitioners may have difficulty distinguishing between the two.

Paragraphs 18 and A111 use the words "intent" and "ability", but it is not easy to understand what these mean. We encourage the Board to consider adding additional explanation of these terms.

Q5. Does the requirement in paragraph 20 (and related application material in paragraphs A128-A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range" as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?

We agree with the IAASB that the proposed approach is more appropriate than that of "narrowing the range" in extant ISA 540. However, more information and guidance is necessary in regards to the relation between materiality and how the auditors range should be developed. This would be particularly important for practitioners that do not have extensive practical experience.

It could be made clearer that an accounting estimate is reasonable and not misstated if it is disclosed properly using a representative point estimate that the framework requires. In addition, paragraph 20 (a) states "*are supported by the audit evidence"*, which may cause some confusion as accounting estimates are based on future events, most of which are not supported by currently available evidence. Additional application guidance may be needed to make this clear.

Q6. Will the requirement in paragraph 23 and related application material (see paragraphs A2-A3 and A142-A146) result in more consistent determination of a misstatement, including when the auditor uses an auditor's range to evaluate management's point estimate?

We note that the only other ISA that deals specifically with a line item in the financial statements is ISA 501[7]. However, ISA 501 stops short at requiring the auditor to obtain sufficient appropriate audit evidence on, or evaluating reasonableness of, the single line item. Pursuant to ISA 200[8], the auditor is required to obtain sufficient appropriate audit evidence to reduce the audit risk to an acceptably low level. ISA 200.17 establishes this as a prerequisite to obtaining reasonable assurance and to enable the auditor to draw reasonable conclusions on which to base the auditor's opinion. The proposed wording in para. 23 requires the auditor "*… based on the audit evidence obtained*" to evaluate *"whether the accounting estimates and related disclosures are reasonable in the context of the applicable financial reporting framework, or are misstated*". Explanation of the relationship between the two standards and the auditor's opinion on the financial statements as a whole would be helpful, as it may be unclear as to whether such "reasonableness evaluation" could constitute some form of piecemeal opinion.

In addition, there is a lack of reference to the concept of materiality in the ED which directly impacts all of the requirements mentioned in paragraph 23 and its related application material A2-A3 and A142-A146.

We believe that the proposed paragraphs 22 and 23 should make clear whether they relate to individual estimates or estimates collectively. Logically paragraph 23 of the ED should follow the auditor's step back

[7] ISA 501, *Audit Evidence – Specific Considerations for Selected Items*
[8] ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*

evaluation as to whether there are indications of possible management bias, and so might be more appropriately located subsequent to paragraph 24.

It could also be questioned, that if it makes sense to expressly have a stand-back provision why this is not a requirement in other ISAs. In our opinion, an overall emphasis would be more appropriate in ISA 700[9] to stand back on the financial statements as a whole, rather than at a collective estimates level.

Conforming and Consequential Amendments

Q7. With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?

In general we are concerned that the combined impression portrayed by the volume and “granularity” of material the IAASB is proposing to add as conforming amendments could lead to an expectation that in practice may not be realistic.

The IAASB should consider situations where an auditor may be faced with an audit client’s use of a valuation service where information is not publicly available and the service provider is not willing to divulge algorithms etc. to allow the auditor to test their suitability etc. The auditor could be confronted with what is essentially a “black-box”, but as the service is not specific to the entity it does not constitute the use of a management expert. Therefore, including the words “publicly available” in the definition proposed in ISA 500 (cA) and referring to this in A1A and A1C means that this type of circumstance is not covered.

Request for General Comments

Q8. In addition to the requests for specific comments above, the IAASB is also seeking comments on the matters set out below:

(a) Translations-Recognizing that many respondents may intend to translate the final ISA for adoption in their own environments, the IAASB welcomes comment on potential translation issues respondents note in reviewing the ED-540.

The main issue (as with all translations of technical material) is the risk of losing actual meaning of the material upon translation. Use of plain English will assist with minimizing this risk.

(b) Effective Date-Recognizing that ED-540 is a substantive revision, and given the need for national due process and translation, as applicable, the IAASB believes that an appropriate effective date for the standard would be for financial reporting periods ending approximately 18 months after the approval of a final ISA. Earlier application would be

[9] ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*

> *permitted and encouraged. The IAASB welcomes comments on whether this would provide a sufficient period to support effective implementation of the ISA.*

We appreciate the fact that regulators in particular are calling for the IAASB to deliver a revised ISA 540 as soon as possible. As the Board is aware, it is vitally important that the ISA 540 Task Force and ISA 315 (Revised) Task Force are as coordinated as much as possible in their approaches, to avoid a situation where the IAASB might need to revise ISA 540 within a relatively short period after its publication.

An 18 month period would be a minimum from our point of view. We recommend a 24 month period after approval of the final ISA as it will take significant time for professional accountants, translators and industry to prepare for the changes.

It would be helpful if the effective date is made for a common financial reporting date (e.g. effective for audits of financial statements for periods ending on or after December 15 [or June 15], 20XX). This would assist implementation for firm's methodologies, training manuals etc.

More detailed drafting comments

In general, the new appendices were considered helpful with the information better placed there than in application material. However, the status must be very clear and be referred to in the introduction. The IAASB could consider publishing this separately from the standard, especially given the overall length.

The application material is lengthy and reads more like a textbook than implementation guidance. Such material is valuable, but IAASB must consider going forward whether this type of material should be supplied in another form to those auditors who wish to have a comprehensive reference. We do not comment on the entire application material, but point to selected instances where we believe the IAASB could make further changes:

- Some material could arguably be more appropriately placed in the introduction. For example, part of paragraph A7 is relevant to the paragraph 5.
- We also note instances of departure from the IAASB's stated drafting conventions. For example paragraph A9 reads as though it is a part of the requirement of paragraph 10.
- Some material in the ED appears to be nonessential or superfluous. For example, paragraph A13 does not add value to the Standard.
- Inconsistency between regulatory requirements and the requirements of the applicable financial reporting framework may not indicate risks of material misstatements as they may not be comparable. Further explanation could be needed in A15.
- The inclusion of A44 and considerations specific to smaller entities should be earlier in the standard. We suggest in the preamble prior to paragraph 10, rather than 10 (e) (iv).
- The guidance in A43 could provide instances when management does not have an expert – it should not only apply to anything that requires an expert. In addition, the use of an expert in a valuation should not in itself necessarily result in the assessment of inherent risk other than low.

- The guidance in A75 could be particularly helpful for SMPs who may well be conducting audits at a point in time when information is known, but it is currently difficult to understand. It could be made much clearer that it is intended to assist when the outcome of an accounting estimate became known during the audit and the inherent risk was assessed as not low during the planning stage. Furthermore, the use of “when relevant” could be seen as superfluous.

CONCLUDING COMMENTS

We hope that the IAASB finds this letter useful. We are committed to helping the Board in whatever way we can to build upon the results of the Exposure Draft.

Please do not hesitate to contact me should you wish to discuss matters raised in this submission.

Sincerely,

Monica Foerster

Monica Foerster
Chair, SMP Committee

Matt Waldron
Technical Director
International Auditing and Assurance Standards Board
529 Fifth Avenue
New York
10017 USA

20 July 2017

Dear Mr Waldron

Exposure Draft – Proposed International Standard on Auditing 540 (Revised): Auditing Accounting Estimates and Related Disclosures

The Financial Reporting Council (FRC) welcomes the opportunity to comment on the exposure draft of the proposed revision of International Standard on Auditing (ISA) 540. To help inform our response we have conducted outreach meetings with UK stakeholders, including investors, preparers, other UK regulatory authorities, valuation professionals, auditors and professional bodies.

There is a clear need to update ISA 540 to support better quality audits of increasingly complex accounting estimates addressing concerns, that more attention should be given to the audit of disclosures and that auditors should more consistently exercise professional scepticism. These issues are regularly identified in the audit inspections that we carry out as the UK's Competent Authority for Audit.

We are supportive of the aims of the IAASB as reflected in the exposure draft and there are many proposals that we want to be retained when the revised standard is finalised. We are particularly supportive of:

- Having regard to developments in financial reporting, but not attempting to address within the standard specific accounting requirements at a detailed level. We comment more on this in our response to question 1.

- The inclusion of requirements and application material that should have the effect of enhancing professionally sceptical behaviour. Professional scepticism is absolutely fundamental in delivering a rigorous and high quality audit and we discuss this further in our response to question 2.

- Introducing the requirement to have regard specifically to the qualitative inherent risk factors, and in particular those of 'complexity' and 'judgement' in addition to estimation uncertainty, when performing risk assessment procedures and designing responses to those assessed risks. We believe this is essential to facilitating an appropriate audit response to more complex accounting estimates, rather than just focussing on estimation uncertainty. However, we believe the inter-relationship between the factors and how they affect the susceptibility to misstatement could be better explained - see our response to Q4 (b) and Attachment 2.

- Using the term 'reasonable' for both the estimate and disclosures, subject to ensuring its meaning, and that of "appropriate", is clear as set out in paragraphs A2 and A3, which we recommend are incorporated in the definitions. We comment further on this in our response to Q4(c), including recommending that paragraph A123, which currently supports A2, is elevated to a requirement.

- The new requirement in paragraph 26 to remind auditors of their responsibilities to communicate certain matters to those charged with governance. An important aspect of paragraph 16(a) of ISA 260 is that, when applicable, the auditor communicates why the auditor considers a significant accounting practice, which is acceptable under the applicable accounting framework, is not the most appropriate to the particular circumstances of the entity. However, we believe that the auditor should be specifically required to consider in performing its work, whether management has used the <u>most</u>, rather than <u>an</u>, appropriate approach. This would support the auditor's communication responsibilities and serve the public interest by requiring actions that would be more likely to drive appropriately sceptical behaviour. We comment further on this in our response to Q2.

- Having work effort requirements expressed in an objective/outcome based manner to address different types of accounting estimate and proportionality, whilst driving more consistent and granular work to obtain sufficient appropriate audit evidence.

- Not requiring particular types of procedures on the basis of whether risks are significant risks. Procedures that are appropriate for 'significant risks' would also be appropriate for many risks that are not determined to be 'significant risks'. This would reflect the expectations of those investors we have spoken to in our outreach.

- The improvements to what constitutes an appropriate 'auditor's range' and the approach to misstatements, although, as explained below in our response to question 5, we have some concerns as to the clarity of the proposed changes.

- That the standard should be applicable to all estimates, with scalability to ensure that 'simpler' less risky estimates can be addressed in a proportionate manner. We believe this is more appropriate than developing two separate standards, particularly as there will be many audits with a combination of estimates with different levels of risk.

- That the criterion of 'low inherent risk' is appropriate as a dividing line for scalability. As we comment in our response to question 3, there is a concern among some stakeholders that under this proposed approach, some auditors may assess estimates as having low inherent risk when in fact they do not. Nonetheless, we believe this criterion should be capable of more consistent interpretation than other possible criteria.

- The emphasis on determining whether specialised skills or knowledge are required and the extension from the current requirement to include this in relation to the identification and assessment of the risks of material misstatement.

We believe that the proposals could be further enhanced in a number of important respects, including in particular:

- As a matter of practicality, the ISA needs to be generic and cannot, nor should it attempt to, address in detail all the various emerging accounting requirements. Nevertheless, we

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do believe there is a need for separate detailed guidance to help apply the standard to different types of more complex or judgmental estimate and the IAASB should set out how this will be addressed when it issues the final standard. We comment further on this in our response to Q1.

- We agree with the approach being taken by the IAASB in ED 540 to emphasise the importance of professional scepticism. However, we are concerned about the absence of clear drivers to challenge management and believe there is room for use of the words "question" and "challenge" in the context of the requirements and application material that address how the auditor approaches its work. We comment further on this in our response to Q2.

- We support the focus on the factors of complexity and judgment as well as estimation uncertainty. However, in our outreach we have encountered confusion as to how these factors inter-relate. We believe the differences and inter-relationships between the factors could be further explained, so that they do not give rise to such confusion or conflation in implementation. We comment further on this, and give a suggested explanation, in our response to Q4 (b) and Attachment 2.

- Further guidance on internal controls that may be relevant in the audit of estimates could helpfully be provided. We comment further on this in our response to Q4(c).

- There is a very significant amount of application material in comparison to the number of requirements. We are concerned that some of the application material identifies actions that would be expected of the auditor in particular circumstances, but their presentation as actions the auditor 'may' take risks them not always being performed when appropriate and could lead to inappropriate or inconsistent practice. We strongly recommend that the IAASB review all the application material and consider whether designating potential actions by the auditor as "may" is appropriate. Where they represent actions that should be expected when applicable circumstances exist that should be made clearer, eliminating the "may" and/or moving the points to requirements. We comment further on this, with examples, in our response to Q4(c).

- We support the IAASB addressing a concern that currently auditors may develop an auditor's range that is inappropriately wide. However, we are concerned that some auditors may not actually see the requirement in paragraph 20 and the related application material as a significant change from the extant standard and, in consequence, may not change what they do in practice and thereby fail to comply with the intent of the new requirements. We comment further on this, and how it might be addressed, in our response to Q5.

We note that the IAASB has invited auditors to participate in field testing of the proposals. We commend this as practical experience can provide helpful insights. We highlight that there may be limitations in the effectiveness of such testing. For example, some of the new accounting requirements that the proposed revisions to ISA 540 are intended to help address have yet to come into effect. As a result auditable examples may not exist. Such field tests will be performed by auditors in isolation from other stakeholders'. Accordingly, any difficulties identified in the feedback from auditors should be explored very carefully and any changes made in response should have regard to the public interest by following appropriate due process and having regard to other stakeholders' views.

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Our detailed responses to each of the IAASB's consultation questions are set out in the Appendix attached to this letter. If you have any questions on our response, or wish to discuss any of our observations in more detail please contact Mark Babington, Deputy Director of Audit Policy on m.babington@frc.org.uk or +44-20-7492-2323.

Yours sincerely,

M McLaren

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Appendix

Responses to IAASB's Specific Consultation Questions

1) *Has ED-540 been appropriately updated to deal with evolving financial reporting frameworks as they relate to accounting estimates?*

The proposed new "objective based" approach to developing responses to risks of material misstatement is suited to addressing a wide range of types of estimate. It has the potential to drive more appropriate responses to risks of material misstatement when complexity, judgment and uncertainty are particular factors giving rise to the underlying susceptibility of estimates to misstatement.

However, as inherent risk increases, particularly as a result of complexity of accounting requirements and methods to address them, auditors will need sufficient knowledge and expertise to design and perform appropriate specific procedures. The emphasis on the need for the auditor carefully to consider the need for specialised skills and knowledge, both in the risk assessment and performance phases of the audit, is important and welcomed.

The application material has been enhanced from extant 540 but, understandably given the wide range of types of accounting estimates that the standard will apply to, provides relatively little specific guidance to help design procedures to address particular circumstances. For example, although a number of references to 'expected credit loss' have been included in the application material, we note that they generally just provide examples of estimates that may have high complexity, judgment and uncertainty and where controls around models may be particularly relevant.

As a matter of practicality, the ISA needs to be generic and cannot, nor should it attempt to, address all the various emerging accounting requirements. Nevertheless, as explained below, we do believe there is a need for separate guidance to help apply the standard to different types of complex estimate. The IAASB should set out how these needs will be met when it issues the final standard.

Attachment 1, dealing with the broad nature and types of estimate, is important both in explaining the underlying concepts relating to accounting estimates referred to in the ED and in providing a reasonable degree of future proofing. However, more specific guidance to assist application of the revised standard is needed. We note that the IAASB's work plan for 2017-2018 (issued in February 2017) identifies that the 'Accounting Estimates project' includes developing IAPNs or other publications as appropriate. We support the development of such guidance, although a lack of authoritative status may be an issue for some sector regulators. Specialised areas that could be covered include estimates of expected credit losses under International Financial Reporting Standard (IFRS) 9, which the IAASB specifically identifies as one of the drivers for revising ISA 540, but also new accounting standards covering leases (IFRS 16), revenue recognition (IFRS 15) and insurance contracts (IFRS 17). We are aware of the limitations of the IAASB's resources - we note that the development of an IAPN on "Special Audit Considerations Relevant to Financial Institutions", included in the IAASB's work plan, is behind schedule - and we encourage the IAASB to explore means to overcome this.

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2) *Do the requirements and application material of ED-540 appropriately reinforce the application of professional skepticism when auditing accounting estimates?*

Professional scepticism is fundamental in delivering a rigorous and high quality audit. We discussed this extensively in our response in 2016 to the IAASB's *Invitation to Comment – Enhancing Audit Quality in the Public Interest – A focus on Professional Skepticism, Quality Control and Group Audits.*

We agree with the approach being taken by the IAASB in ED 540 - to emphasise the importance of professional scepticism in the Introduction to standard, and then establish requirements and application material that are intended to drive sceptical behaviour, rather than to scatter the words "professional scepticism" more liberally throughout the standard.

An important aspect of applying professional scepticism, particularly in relation to estimates, is evaluating management's methods and judgments, considering whether there is evidence that other methods and/or judgments may be appropriate and <u>challenging</u> management accordingly. Management's methods and judgments may be appropriate, but are they the most appropriate – if not, why not, and what are the implications? We are concerned with the absence of clear requirements for the auditor to challenge management and believe there is room for use of the words "question" and "challenge" in the context of the requirements and application material that address how the auditor approaches its work.

For example, many of the requirements in paragraphs 18 and 19 are in the form of obtaining evidence that what management has done is appropriate in the context of the applicable financial reporting framework (AFRF). This could suggest an approach that looks to obtain evidence that supports management, rather than actively determining whether there is evidence to the contrary.

Paragraph 23 requires the auditor, in performing an overall evaluation, to consider all relevant audit evidence obtained whether corroborative <u>or contradictory</u>. We believe, however, that earlier requirements should clearly drive actions that are more likely to ensure the auditor identifies potential alternative sources of evidence that may be contradictory. For example the hanging paragraph at the end of paragraph 15 could be amended to:

> "The auditor's further audit procedures shall be responsive to the reasons for the assessment given to the risk of material misstatement in accordance with paragraph 13, recognizing that the higher the assessed risk of material misstatement, the more persuasive the audit evidence needs to be. <u>The auditor shall seek to obtain all relevant audit evidence, whether it corroborates or contradicts management's assertions.</u>"

Paragraph 26 reminds auditors of their responsibilities to communicate certain matters to those charged with governance. An important aspect of paragraph 16(a) of ISA 260, as referred to in paragraph A155 of ED 540, is that, when applicable, the auditor communicates why the auditor considers a significant accounting practice (which includes management's judgments in making accounting estimates), which is acceptable under the applicable accounting framework, is not the most appropriate to the particular circumstances of the entity. However, we think that consistent with ISA 260, there should be a requirement for the auditor to consider, in performing its work, whether management has used the <u>most</u>, rather than <u>an</u>, appropriate approach. For example, under 10(e) when obtaining an understanding of how management makes accounting estimates; 18(a)(i) when obtaining evidence about management's judgments regarding the selection and use of the method; and the overall evaluation required by paragraph 22. This would

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support the auditor's communication responsibilities and serve the public interest by requiring actions that would be more likely to drive appropriately sceptical behaviour.

For example paragraph 22(c) could be amended as follows:

> "[whether] Management's decisions relating to the recognition, measurement, presentation and disclosure of these accounting estimates in the financial statements are:
>
> (i) in accordance with the applicable financial reporting framework;
>
> (ii) where alternative decisions would be acceptable under the applicable financial reporting framework, whether management's decisions are the most appropriate in the circumstances of the entity."

Similar amendments could be included in paragraphs 10 and 18.

Focus on Risk Assessment and Responses

3) *Is ED-540 sufficiently scalable with respect to auditing accounting estimates, including when there is low inherent risk?*

We agree that the standard should be applicable to all estimates and that the criterion of 'low inherent risk' is appropriate as a gauge for scalability. We believe that the standard is sufficiently clear and capable of proportionate application to estimates that have risks of material misstatement for which inherent risk is low. The proposed requirements are broadly the same in nature as those in the extant ISA 540 and we are not aware of significant issues in applying them to 'simpler' estimates. However, there is a concern amongst some stakeholders that under this proposed approach, some auditors may see a dividing line and assess estimates as having low inherent risk when in fact they do not. The examples in paragraphs A72 and A73 of where inherent risk may be low or not should help, but this is likely to be a matter that audit regulators will wish to monitor when the standard is implemented.

For estimates that have risks of material misstatement for which inherent risk is not low, we believe that expressing the more detailed requirements on an objectives/outcomes basis should assist their proportionate application to the wide variety of accounting estimates, having regard to the spectrum of risk and that some estimates should be more straightforward to audit than others.

4) *When inherent risk is not low (see paragraphs 13, 15 and 17–20):*

   a) *Will these requirements support more effective identification and assessment of, and responses to, risks of material misstatement (including significant risks) relating to accounting estimates, together with the relevant requirements in ISA 315 (Revised) and ISA 330?*

In principle, we believe that they should. While we understand why it was not possible, it is unfortunate that the project to revise ISA 315 could not have taken place at the same time. This would have enabled the developing thinking in relation to the spectrum of risk and risk factors, and how significant risk fits within that, to have been aligned. As it is, we believe that some conforming amendments to the revised ISA 540 may be required as part of the ISA 315 revision.

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b) *Do you support the requirement in ED-540 (Revised) for the auditor to take into account the extent to which the accounting estimate is subject to, or affected by, one or more relevant factors, including complexity, the need for the use of judgment by management and the potential for management bias, and estimation uncertainty?*

Yes. We believe it has the potential to deliver significant improvements in the identification and the design and implementation of appropriate responses by auditors to risks of material misstatement relating to accounting estimates.

However, we believe the differences and inter-relationships between the factors could be further explained, so that they do not give rise to confusion or conflation in implementation. In discussing this with Stakeholders in the UK, we have found the Table and the explanation that follows it in Attachment 2 to be helpful.

c) *Is there sufficient guidance in relation to the proposed objectives-based requirements in paragraphs 17 to 19 of ED-540? If not, what additional guidance should be included?*

Balance between requirements and application material

As stated above we support having the work effort requirements expressed in an objective/outcome based manner as this facilitates the flexibility needed to address different types of accounting estimate and proportionality, whilst driving more consistent and granular work effort to obtain sufficient appropriate audit evidence. However, there is a fairly high amount of guidance given in relation to paragraphs 17 to 19 (indeed the ED in general includes a high amount of guidance in relation to the number to requirements) and we believe that it would be appropriate to elevate some of that guidance to the requirements. For example:

A101 – When management uses a complex method, the expectation ought to be that the auditor will consider whether there were other available valuation concepts, techniques or factors, types of assumption or sources of data that, in the circumstances, might have been more appropriate, or more generally accepted, in the context of the applicable financial reporting framework.

A105 third bullet - When the accounting estimate is based on complex legal or contractual terms, it is to be expected that the auditor would inspect the underlying contract.

A123 - We believe that, when applicable, these matters "will" be relevant in obtaining sufficient appropriate audit evidence. See also our further discussion of this in the Attachment to this letter.

A126 - We believe that when, based on the audit evidence obtained, in the auditor's judgment, management has not appropriately understood and addressed the estimation uncertainty, before the auditor moves to develop an auditor's point estimate or range, it should discuss the circumstances with management and obtain an understanding of why management has not appropriately understood and addressed estimation uncertainty. If appropriate, the auditor should ask management to consider alternative assumptions or to provide additional disclosure relating to the estimation uncertainty.

We strongly recommend that the IAASB review all the application material and consider whether designating potential actions by the auditor as "may" is appropriate. Where they represent

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actions that should be expected when applicable circumstances exist that should be made clearer, eliminating the "may" and/or moving the points to requirements.

We also believe that, given the importance of understanding the meaning of "reasonable" and "appropriate", paragraphs A2 and A3 should be reworked and included as definitions of those terms.

Testing internal control

Much of the application material on internal control relates to obtaining an understanding of internal control. With regard to intended reliance on internal control, the application material in paragraph A98, which supports paragraph 16, focusses on where substantive procedures alone may not provide sufficient appropriate audit evidence at the assertion level and gives examples of such circumstances. We suggest that further guidance could be given to help the auditor when it intends to rely on internal controls that may be relevant in the audit of estimates. In particular, given the different nature of the potential misstatements that can arise from different factors, there would be merit in considering additional guidance about the types of control that may be relevant in the context of each type of misstatement, addressed in relation to each factor.

Paragraph 95 of IAPN 1000 provides a list of factors the auditor may consider in reaching a decision on the nature, timing and extent of testing of controls. Suitably adapted, these could provide a starting point for guidance to include in ISA 540.

Particularly important to accounting estimates and controls that it might be appropriate to rely on is the precision of those controls. Where complexity is a relevant risk factor, controls that the auditor may be able to rely on may have high precision, especially if, for example, the complexity relates to application of a systematic method or the integrity of significant data. In many such circumstances, the use of IT by the audited entity and related controls will be relevant.

Where judgment or estimation uncertainty are relevant risk factors, controls may have varying levels of precision and, generally, be less precise than controls for complexity. These controls will typically be performed at a higher, less granular level for judgments, recognising that there may be no definitive 'right' or 'wrong' answer and expectations are less predictable. Auditors will need to assess the level of precision when determining the extent to which it is appropriate to plan to rely on such controls to address the identified risks. Auditors will need to exercise their own judgment in evaluating the results of testing such controls and the need for additional sources of evidence from other tests of controls or substantive tests.

Independent monitoring of controls, such as by an internal audit function, may be a useful source of audit evidence. Another important consideration is how management responds to identified deficiencies in internal control.

Complexity, judgment and estimation uncertainty are not mutually exclusive and inter-relationships, where they exist, also need to be taken into account when designing and performing tests of controls.

When developing guidance on the design and performance of internal controls, it will be helpful to link this to the earlier guidance on understanding internal controls, which should be amended as necessary so that all the guidance aligns.

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5) *Does the requirement in paragraph 20 (and related application material in paragraphs A128–A134) appropriately establish how the auditor's range should be developed? Will this approach be more effective than the approach of "narrowing the range", as in extant ISA 540, in evaluating whether management's point estimate is reasonable or misstated?*

We understand that the IAASB is seeking to address a concern that currently auditors may develop an auditor's range that is inappropriately wide. Based on our outreach, we are concerned that some auditors may not see the requirement in paragraph 20 and the related application material as a significant change and, in consequence, may not change what they do in practice thereby failing to comply with the intent of the new requirements. As the result, the IAASB should ensure that this is clearly set out in the Explanatory Memorandum that is issued when the Standard is finalised. We illustrate this below with a side by side comparison why some auditors may incorrectly perceive that there is no change in substance:

ED 540	**Extant 540**	**FRC Comment**
20(a) requires that the auditor only includes in the range amounts that "are supported by the audit evidence"	13(d)((ii) requires the auditor to narrow the range "based on audit evidence available	While less explicitly clear, extant 540 does in effect require amounts in the range to be supported by audit evidence
20(b) requires that the auditor only includes in the range amounts that "the auditor has evaluated to be reasonable in the context of the measurement objectives and other requirements of the applicable financial reporting framework."	13(d)(ii) requires the auditor to narrow the range "until all of the outcomes are considered reasonable"	In both cases the amounts have to be "reasonable". The ED sets out what that means whereas extant ISA 540 does not. Some auditors may consider that they already take this into account and that to be reasonable an amount would necessarily have to be acceptable under the applicable financial reporting framework.

However, the other key change is that the ED no longer includes the extant guidance that "ordinarily, a range that has been narrowed [from all possible measurement outcomes] to be equal to or less than performance materiality is adequate for the purposes of evaluating the reasonableness of management's point estimate." This is an important change that we support and helps address concerns that the points at the ends of the range may not be reasonable because they do not appropriately meet the measurement objectives. This is why the revised approach, which requires all amounts to be "reasonable" as now described in A2 and A3, is importantly different from extant ISA 540. For the purpose of measuring any misstatement, it is important that the range is as narrow as it can be based on the audit evidence, not taken to be 'reasonable' so long as it is no wider than performance materiality. We believe it is important that this point is reflected in the application material in the revised standard as it would help highlight the change from the extant position.

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It is also important that what is meant by "supported by the audit evidence" is sufficiently clear. In particular, it should be clear that it includes all evidence that is reasonably available to the auditor, whether or not obtained or taken into account by management.

6) *Will the requirement in paragraph 23 and related application material (see paragraphs A2–A3 and A142–A146) result in more consistent determination of a misstatement, including when the auditor uses an auditor's range to evaluate management's point estimate?*

We believe they will help, but see also our comments above in response to questions 2 and 5.

Conforming and Consequential Amendments

7) *With respect to the proposed conforming and consequential amendments to ISA 500 regarding external information sources, will the revision to the requirement in paragraph 7 and the related new additional application material result in more appropriate and consistent evaluations of the relevance and reliability of information from external information sources?*

The proposed change to the requirement in paragraph 7 of ISA 500 is one of limited clarification rather than substance. However, extant ISA 500 has little application material to assist the auditor in considering the relevance and reliability of information obtained from an external information source. Indeed, the prominence of the first bullet point in paragraph A31 that "the reliability of audit evidence is increased when it is obtained from independent sources outside the entity" may lead auditors not to give sufficient attention to evaluating the reliability of such information.

Accordingly, we support the inclusion of the proposed new application material in ED 540, noting that it draws from that in IAPN 1000. It should help drive more appropriate and consistent evaluations of the relevance and reliability of information from external information sources. This is particularly helpful as many auditors may not be aware of the guidance in IAPN 1000 as the IAASB has determined that IAPN's do not provide authoritative guidance.

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Attachment 1

Exposure Draft – Proposed International Standard on Auditing 540 (Revised): Auditing Accounting Estimates and Related Disclosures

Further comments and recommendations on specific matters

Professional scepticism

Paragraph 5 of the ED includes a reminder of the importance of professional scepticism, with a particular focus on the risk of management bias. The two application material paragraphs in the ED that refer to professional scepticism are also linked to management bias. We agree that possible management bias is a particularly important consideration, but it is also important to be aware that professional scepticism is about more than just being alert to management bias and this should be recognised in the final revised standard. Paragraphs A18 to A20 of ISA 200 give a fuller indication of why professional scepticism is important and it would be helpful to reflect at least some of this in ISA 540. For example, paragraph 5 could be amended along the following lines:

> "<u>[As explained in ISA 200] professional skepticism is necessary to the critical assessment of audit evidence, including consideration of the sufficiency and appropriateness of that evidence and being alert to, and questioning, audit evidence that contradicts other evidence obtained.</u> ~~The application of professional skepticism by the auditor~~ This is particularly important to the auditor's work relating to accounting estimates<u> due to their subjective, potentially complex and uncertain nature. These factors can heighten the risks of material misstatement, including as a result of management bias. </u>~~Professional skepticism also is important because there is a particular risk of management bias affecting accounting estimates due to their subjective, potentially complex and uncertain nature.~~"

Please see also our response to question 2 in the main letter.

Inconsistency with ISA 700

The Explanatory Memorandum notes a degree of inconsistency with ISA 700 that will result from the change to 'reasonable' from 'adequate' for disclosures and suggests that this can be addressed during the post-implementation review of the auditor reporting standards. We believe such inconsistency is unhelpful and confusing and it is not appropriate to wait, potentially several years, to address it through revision of ISA 700, which may follow the post-implementation review of that standard. We recommend that the inconsistency is addressed as part of the finalisation of the revision of ISA 540 by making conforming amendments to ISA 700 at that time.

In particular, it is important to amend paragraph 13(e) of ISA 700 to the effect that the auditor is required to evaluate whether disclosures are 'reasonable' rather than 'adequate'. As noted in the Explanatory Memorandum, continuing to use 'adequate' may inappropriately suggest that disclosures are less important than the accounting estimates themselves.

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Risk assessment procedures

Paragraph 10(c) requires the auditor to obtain an understanding of "the nature of the accounting estimates and related disclosures that the auditor expects to be included in the entity's financial statements." Related application material in paragraph A17 refers to how this may assist in understanding the three specific qualitative inherent risk factors given most prominence in the ED, but within the requirements those factors are not referred to until paragraph 13.

We recommend that a requirement is added to paragraph 10 to obtain a sufficient understanding of the extent to which making the estimates would be subject to, or affected by, the inherent risk factors, including the three given most prominence. This would help set up paragraph 13 which, in effect, requires taking such an understanding into account when identifying and assessing the risk of material misstatement. One way to achieve this would be to move points (a) to (c) of paragraph 13 to be sub-points of paragraph 10(c), and shorten the references to the factors in paragraph 13.

Review of outcome of previous accounting estimates

Paragraph 11 of the ED requires the auditor to review the outcome of accounting estimates included in the <u>previous period</u> financial statements or, where applicable, their subsequent re-estimation to assist in identifying and assessing the risk of material misstatements in the current period. The related application material in paragraph A62 identifies that a retrospective review may also be performed for accounting estimates made over several periods or a shorter period (such as half-yearly).

We believe that, as recognised by the application material, reviewing the outcome of previous accounting estimates other than those just in the previous accounting period can help provide a better understanding of management's effectiveness in making accounting estimates. This is particularly relevant for estimates that involve judgments and projections extending more than one year (e.g. the outcome of management's credit loss projections over a cycle). Accordingly, we recommend that the requirement should be amended along the following lines:

> "The auditor shall review the outcome of <u>previous</u> accounting estimates ~~included in the previous period financial statements~~, or, where applicable, their subsequent re-estimation, when it will assist in identifying and assessing the risk of material misstatement in the current period. The auditor shall take into account the characteristics of the accounting estimates in determining the nature and extent of that review. The review is not intended to call into question judgments about previous ~~period~~ accounting estimates that were appropriate based on the information available at the time they were made."

In relation to some accounting estimates, paragraph A65 of the ED clarifies that the estimate itself will not have an outcome. We recommend that this guidance is extended to explain that while this may be the case for the overall estimate, some of the valuation attributes used in making the estimate may nonetheless have an outcome that can be reviewed. For example a Level 3 fair value could be based on a Level 3 input such as a projected cash flow derived from an asset or liability, and that cash flow may have an output that can be back-tested in subsequent periods.

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Specialised skills or knowledge

Paragraph 12 requires the auditor to "determine whether specialised skills or knowledge are required, in order to perform the risk assessment procedures, or to identify and assess the risks of material misstatement." Saying "or to" identify and assess the risks of material misstatement may imply that risk assessment procedures are separate from identification and assessment of risk, whereas they are related as defined in ISA 315 (paragraph 4(d)). We recommend that the requirement is amended to say:

> "... in order to perform the risk assessment procedures relating to accounting estimates, or to identify and assess the risks of material misstatement based on those procedures."

Identifying and assessing the risks of material misstatement

Paragraph 13 requires the auditor to "... take into account the extent to which the accounting estimate is subject to, or affected by, one or more, relevant factors, including [complexity, judgment and estimation uncertainty]". However, there is no explicit requirement to evaluate the degree to which the estimate is subject to, or affected by, the other qualitative inherent risk factors identified in paragraph A78, which may result in them not receiving sufficient appropriate attention.

We recommend that paragraph 13 is amended to explicitly require the auditor to take into account the other inherent risk factors of 'change' and 'susceptibility of material misstatement due to fraud'.

Procedures responsive to 'change' are already included with those for 'judgment' (e.g. in 18(a)(ii)) so, on this basis, the risk factor of change could be included by rewording 13(b). For example;

> The need for the use of judgment by management, including to respond to circumstances giving rise to a need for changes in the method, assumptions or data used, and the potential for management bias~~, including with respect to methods, assumptions, and data~~;"

This would also address what could be perceived to be a weakening in the ED compared with extant ISA 540, which includes a more explicit requirement for the auditor to determine whether changes, if any, in accounting estimates or in the method for making them from the prior period are appropriate in the circumstances.

Where 'susceptibility of material misstatement due to fraud' is identified as a relevant factor, the auditor should be directed to ISA 240.

Evaluating the reasonableness of disclosures

Paragraph A123 sets out "Matters that may be relevant in obtaining sufficient appropriate audit evidence about the reasonableness of management's point estimate and related disclosures include, when applicable:" We believe that, when applicable, these matters "will" be relevant in obtaining sufficient appropriate audit evidence. Accordingly, as stated in the main letter, we recommend that paragraph A123 should either be incorporated in the requirements or, at the least, amended to remove the "may" by for example changing it to:

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"…. Matters ~~that may be~~ relevant to obtaining sufficient appropriate audit evidence about the reasonableness of management's point estimate and related disclosures include, when applicable:"

This would be an approach similar to that used in ISQC 1 to avoid overly detailed requirements.

Further, paragraph A123 is cross referred to paragraph A2 which describes what is meant by "reasonable", including that all relevant requirements of the applicable financial reporting framework (AFRF) have been applied "appropriately". If paragraph A123 remains as application material, it would be helpful to move it up to follow paragraph A2.

We also recommend that more emphasis is given to the importance of the presentation of disclosures in the financial statements and the need for them to be understandable by the users. This could be included in paragraph A136.

Responses to assessed risks of material misstatement

Paragraph 15 sets out requirements to design and perform further audit procedures to respond to assessed risks of material misstatements. It identifies specific procedures that may be appropriate when inherent risk is low or, if it is not, directs the auditor to the requirements in paragraphs 17-20. There is a hanging paragraph at the end of 15 that requires that these further audit procedures shall be responsive to the reasons for assessment of the risk of material misstatement.

Paragraph 16 requires that "If the auditor intends to rely on controls relating to accounting estimates, or if substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level, the auditor shall design and perform tests of controls to obtain sufficient appropriate audit evidence as to their operating effectiveness." Since tests of controls are "further audit procedures", which are therefore designed and performed in accordance with paragraph 15, the requirement in the hanging paragraph in 15 also applies in relation to any such tests of controls. However, this is not stated explicitly.

We believe this presentation is ambiguous and we recommend that it is clarified that the hanging paragraph applies also in relation to tests of controls. This could be achieved by amending the hanging paragraph as follows

"The auditor's further audit procedures, including any tests of controls (see paragraph 16), shall be responsive to …."

Estimation uncertainty

Paragraph 19 establishes requirements for procedures when the reasons for assessing inherent risk as not being low include estimation uncertainty. Given that estimation uncertainty is (by definition) always present, we believe that if there is an assessment that the risk of material misstatement is not low, then the risk attributable to estimation uncertainty would always be expected to be a contributing factor to that. Accordingly, we believe that paragraph 19 should always apply whenever inherent risk is not low.

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Auditor's range

Paragraph 19(b) requires that "When, based on the audit evidence obtained, in the auditor's judgment, management has not appropriately understood and addressed the estimation uncertainty, the auditor shall, to the extent possible, develop an auditor's point estimate or range …". As stated in the main letter, we recommend that before doing that the auditor should discuss with management why management has not appropriately understood and addressed estimation uncertainty and, if appropriate, ask management to consider alternative assumptions or to provide additional disclosure relating to the estimation uncertainty. This, in part, would elevate paragraph A126 to a requirement.

The wording of paragraph 19(b) could support a false impression that the auditor only develops a point estimate or range when management has not appropriately understood and addressed the estimation uncertainty. Developing a point estimate or range may in fact be one of the ways the auditor seeks to obtain audit evidence for the purpose of paragraph 19(a). To address this we suggest adding the words "if the auditor has not already done so" after "the auditor shall".

Paragraph 20 establishes requirements that should apply whenever the auditor concludes that it is appropriate to develop an auditor's range. However, this is not stated explicitly. Given the placing of this requirement after paragraph 19(b), it is possible that the assumption may be made that it only applies when the auditor concludes in accordance with paragraph 19(b) that it is appropriate to develop an auditor's range.

We recommend that it is clarified that the requirement in paragraph 20 applies <u>whenever</u> the auditor concludes that it is appropriate to develop an auditor's range, which would include under paragraph 15(a)(iii).

Auditor's range - multiples of materiality

Paragraph A134 refers to circumstances where the <u>auditor's range</u> for an accounting estimate may be multiples of materiality for the financial statements as a whole. This should really only arise where the inherent uncertainty is itself multiples of materiality and it would be more helpful to consider this initially from that perspective. We agree with the guidance in A134 that, in these circumstances, evaluation of the reasonableness of disclosures is important. However, we believe further guidance would be helpful. The nature of the uncertainty and the requirements of the applicable financial reporting framework will be relevant to considering the disclosures and also implications for the auditor's report. For example, the guidance in paragraph A90 about where estimation uncertainty is so high that a reasonable accounting estimate cannot be made is relevant. There can also be business sectors, such as insurance, where very high estimation uncertainty is the norm and there are specific requirements in the applicable financial reporting frameworks in relation to that. The cross reference to paragraphs A133, A144 and A145 are not particularly helpful.

Overall evaluation

Paragraph 23 establishes a requirement for an evaluation whether the accounting estimates and related disclosures are reasonable in the context of the applicable financial reporting framework, or are misstated. In making this evaluation, the auditor is required to consider all relevant audit evidence obtained whether corroborative or contradictory.

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There are some ambiguities in this requirement. The auditor detects misstatements "at the assertion level" (i.e., at the level of an assertion about a class of transactions, an account balance or a disclosure) through performing substantive tests. This requirement should, therefore, logically be read as applying to each accounting estimate (or at least classes of them tested together). However, the requirement (as in extant ISA-540) refers to "estimates", unlike the requirement in paragraph 22 (which refers to "each accounting estimate"). It also does not say that it applies only to those estimates referred to in paragraph 15(b) and therefore paragraph 22. By inference, it therefore also includes estimates referred to in paragraph 15(a), although that is not clear. Similar ambiguities exist for paragraph 21, which requires obtaining sufficient appropriate audit evidence about whether the disclosures related to accounting estimat<u>es</u> are reasonable.

We recommend these ambiguities are resolved and the wording clarified.

Communication with those charged with governance

Paragraph 26 cross refers to communication requirements in ISAs 260 and 265. However, the related application material in paragraph A155 is worded in a manner that suggests this is optional. We recommend that paragraph A155 is amended, by deleting "may" in the second sentence, to be clear these are requirements and not optional.

A new requirement in paragraph 26 is for the auditor to "consider the matters, if any, to communicate related to the extent to which the accounting estimates and their related disclosures are affected by, or subject to, complexity, the need for the use of judgment by management, estimation uncertainty, or other relevant factors." We believe a requirement to "consider" is weak and may give rise to inconsistency in communication by different auditors. We recommend that this be strengthened, for example along the lines of:

> "When relevant to the understanding of those charged with governance, the auditor shall explain the matters, if any, related to the extent to which ...."

Effective date

We believe it would be considered unreasonable for revised ISA 540 to be mandated to be applicable to all periods for which IFRS 9 is required to be implemented. However, given that IFRS 9 was one of the key drivers for the revision, we recommend that early adoption of the revised standard is permitted and that it is not finalised in a way that would preclude that (i.e. it would not necessitate substantive 'minuses' from the extant standard).

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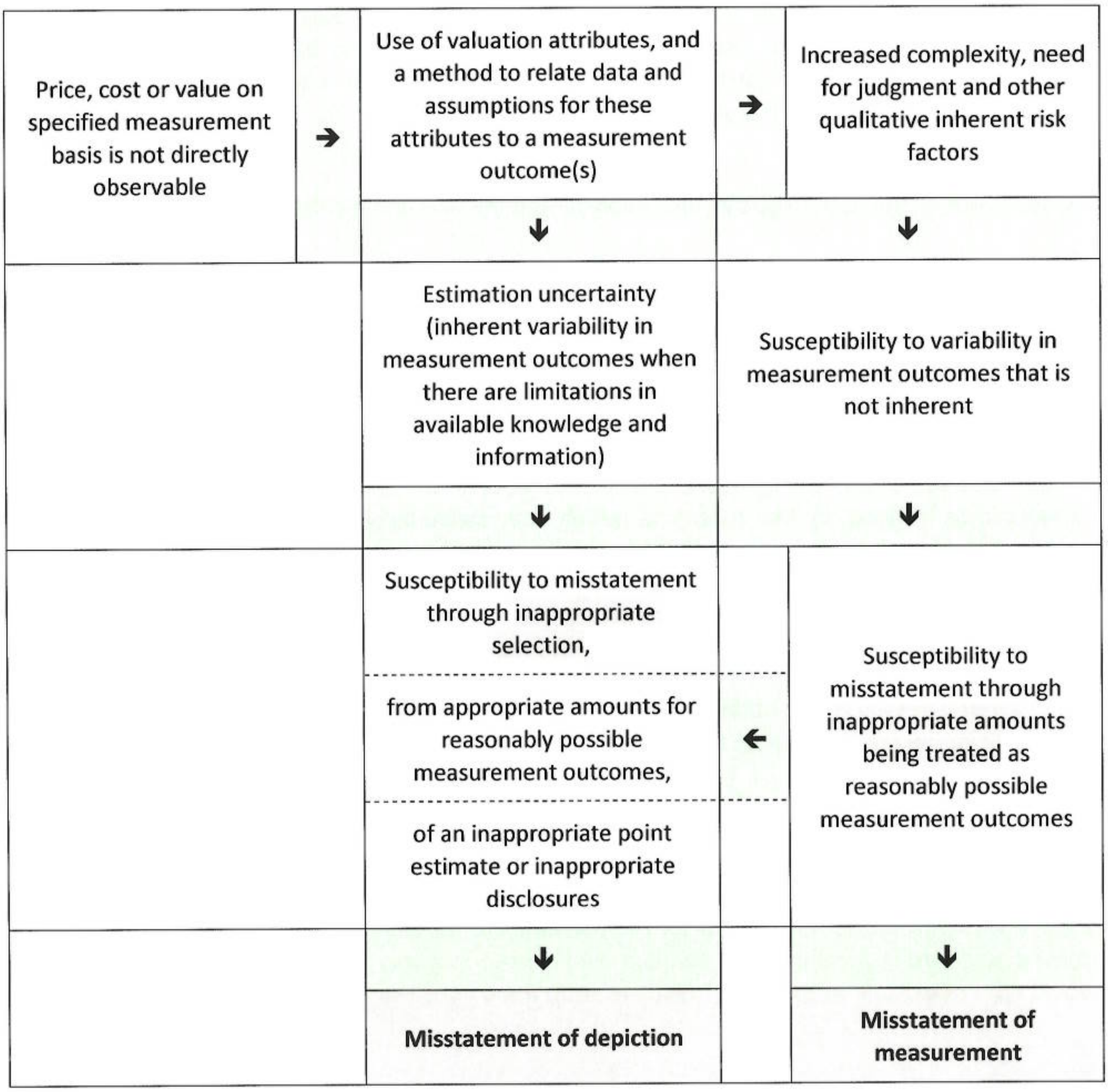
Attachment 2

Accounting Estimates (ED-540)

How Estimation Uncertainty, Complexity and Judgment affect susceptibility to Misstatement and the relationships between these factors



Estimation uncertainty arises from factors that give rise to an inherent lack of precision in the measurement of an accounting estimate. The inherent variation in such measurement that results from estimation uncertainty is not in itself a misstatement. However, misstatements may arise in the presence of estimation uncertainty, from factors that result in the inherent variation (estimation uncertainty) not being appropriately depicted in the financial statements (referred to above as misstatements of depiction).

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Other factors, such as complexity and the need for judgment in making accounting estimates, may give rise to additional variation in the measurement of an accounting estimate that is not inherent and therefore does not represent estimation uncertainty. Such variation in the measurement of an accounting estimate would, if reflected in management's point estimate or related disclosures, be a misstatement (referred to above as misstatements of measurement).

When different qualitative inherent risk factors are present, they increase the susceptibility to different types of misstatements of depiction or measurement. For example, when there is complexity in making an accounting estimate, misstatements may occur because inadequate skills and knowledge are applied in making the accounting estimate. When there is a need for management judgment in making an accounting estimate, such judgment may result in misstatements because of inherent or motivated management bias.

Identifying the factors that are present therefore enables the auditor to identify the types of misstatement that may be present and to better identify and assess the related risks of material misstatement. It also enables the auditor to design more tailored responses to those risks.

Whilst each of these three factors may give rise to different types of misstatements, they are also inter-related because they all have the same root cause, the need to develop an estimate using information, about relevant valuation attributes, which, though it is the best available information, may nonetheless be incomplete or subjective.

Complexity and the need for management judgment are therefore inherent to the process of making an accounting estimate, though they may affect different accounting estimates to a greater or lesser degree. However, when there is high estimation uncertainty, not only is there a greater likelihood that the estimation uncertainty will be inappropriately depicted in management's point estimate and related disclosures, but there is also more likely to be greater complexity, and a greater need for management judgment, in making the estimate.

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